

Finolex Industries (FINPIPE)

Conference call transcripts, oldest-first. 16 call(s). Generated 2026-08-02.

Call: Jul 2022

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FIL/ SEC/ SEs/ 2022-23/41

27th July, 2022 if-

The Manager -Listing Department
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Sub: Transcript of the Investors and Analyst call (Q 1 -FY22-23)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure

Requirements) Regulations , 2015

Dear Sir/ Madam,

This is further to our letter no. FIL/SEC/ SEs/ 2022-23/035 dated 19th
July, 2022 and in terms of the subject referred regulation, we hereby
submit transcript of earnings call held on 25th July, 2022 for discussing
the performance of the quarter ended 30th June, 2022. The same has also
been made available on website of the Company under Investor's section.
You are requested to kindly take the above on your records.

Thanking you,

Yours truly,

For Finolex Industries Limited

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Ashutosh Kulkarni

Company Secretary & Compliance Officer

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"Finolex Industries Limited

Q1 FY2023 Post Results Conference Call"

July 25, 2022

ANALYST:MR. ARUN BAID – ICICI SECURITIES

MANAGEMENT: MR. ANIL WHABI – MANAGING DIRECTOR - FINOLEX

INDUSTRIES LIMITED

MR. NIRAJ KEDIA - CHIEF FINANCIAL OFFICER -

FINOLEX INDUSTRIES LIMITED

Finolex Industries Limited

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Page 2 of 21 Moderator: Good morning Ladies and gentlemen, welcome to Finolex Industries Q1 FY2023
Post Results Conference Call hosted by ICICI Securities. As a reminder, all
participant lines will be in the listen-only mode, and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need

assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchstone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Arun Baid from ICICI Securities.

Thank you and over to you, Sir!

Arun Baid: Thank you Lizann. Good morning ladies and gentlemen. On behalf of ICICI Securities I welcome you all to the post results con call of Q1 FY2023 for Finolex Industries. From the management side we have Mr. Anil Whabi, Managing Director and Mr. Niraj Kedia, CFO. This is the first call of Mr. Whabi, congratulations Sir. I now hand floor to you for opening remarks post which we can have the Q&A.

Anil Whabi: Thank you Arun. Good morning ladies and gentlemen, welcome to the investor conference call for Q1 FY2023 earnings release. Thank you for your continued interest in Finolex Industries Limited. The company reported a healthy performance for Q1 FY2023 on the back of strong volume growth in pipes and fittings segment. Correction in PVC prices during the quarter did have an impact on margins. Let me give you some of the performance indicators for the first quarter of the new financial year 2023.

Total income from operations reported a growth of 23% to Rs 1190 Crores as against Rs 965 Crores in Q1 FY2022. EBITDA was at Rs.126 Crores for Q1 FY2023 down 40% against Rs.210 Crores for Q1 FY2022. The PAT for the quarter was lower by 32% to Rs 100 Crores as against Rs 147 Crores in the corresponding last year's quarter.

Now getting into segmental performance, pipes and fittings revenue grew 34% from Rs 845 Crores last year to Rs 1132 Crores this year. Volumes in pipes and fittings segment grew 29% to 71960 metric ton in Q1

FY2023 against 55819 metric tons in Q1 FY2022. EBIT in pipes and fitting segment was Rs.43 Crores in Q1 FY2023 compared to Rs.44 Crores in Q1 FY2022.

Moving to PVC resin segment revenue in the resin segment grew 25% from Rs.627 Crores to Rs.785 Crores this year. Volume in resin segment grew 25% to 62746 metric tons this year as against 50249 metric tons last year. EBIT in the resin segment was down by 54% on Y-o-Y basis to Rs.73 Crores in this year. The company continue to have a strong balance
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Page 3 of 21 sheet with the net cash surplus of roughly about 1300 Crores as on 30 June 2022. During the quarter, the credit rating for the company was upgraded from AA to AA+ by CRISIL.

I now leave the floor open for questions. I and my colleague Niraj will be happy to answer. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Chintan Sheth from Sameeksha Capital. Please go ahead.

Chintan Sheth: Thank you for the opportunity. Sir I had one question on the expenses for the quarter, it seems to be slightly, not slightly significantly higher than the historical trend if you can provide color on what led to such a sharp increase in other expenses?

Niraj Kedia: Hi Chintan good morning. So at a company level there were two things which actually impacted other expenses, one is on the power and fuel. See, we have our captive coal power plant. The coal prices because of this increase in crude prices and resulting coal prices they have been very erratic so that went up pretty high and that had an impact on other expenses. At the same time, we have this buyer credit on which we have had foreign currency exchange loss. Because of the movement of the currency we had some forex losses on that. So these two reasons and also when I talk about fuel even Naptha so overall in the entire fuel basket as such the prices were up which has impacted us.

Chintan Sheth: So can you quantify what will be the normal power and fuel cost versus what we incur which impacted our numbers?

Niraj Kedia: Coal prices have gone up from 45-55 range to more than \$110. So that is the range. So it all depends on how coal prices behave. If it come back to 50-60 levels, will go back to the old levels.

Chintan Sheth: Sure and what was the product impact for the quarter?

Niraj Kedia: Roughly 20-25 Crores.

Chintan Sheth: On the demand side- on piping segment, how do you see the demand? Because if we are witnessing all across good monsoon this quarter what is our expectation in terms of piping volume for the year?

Niraj Kedia: See for the year it remains to be seen but our target is to first to reach the pre-Covid levels.

The demand for the first quarter has been good, but not to the extent of the pre-Covid levels and this is especially in the Agri segment, if you see we are 29% up as compared to last
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Page 4 of 21 year but when we compared to the pre-Covid period overall pipe and fitting demand volume is lower. When you split it into agri and non-agri actually non-agri is 20% higher than what

was in Q1 before Covid and this drop when we compare to the pre-Covid is primarily because of agri.

Chintan Sheth: This is driven because of the higher PVC prices which is reflecting demand what is our assessment?

Niraj Kedia: So Chintan multiple factors to it, prices if you see they have now in fact come down so this should be actually a positive thing for the demand in agri side because now more or less they are back to the older levels so whatever pent up was there which was not coming because of high prices that should open up. But we are aware agri demand depends on monsoon and plus anyway this quarter Q2 is a lean one.

Chintan Sheth: Okay Sir I will join back in queue. I have few more, I will join the queue. Thank you.

Moderator: The next question is from the line of

Praveen Sahay from Edelweiss Wealth. Please go ahead.

Praveen Sahay: Hi, thank you for taking my question. So the first question is related to the agri non-agri volume mix, how is that for the quarter?

Niraj Kedia: So for the quarter the agri non-agri mix is 40-60.

Praveen Sahay: So, also can you give a PVC, EDC and VCM prices for a quarter and the current level?

Niraj Kedia: So PVC prices for the quarter was roughly \$1450 VCM was \$1175 and EDC was \$670.

Praveen Sahay: And how is that currently?

Niraj Kedia: So today as we speak, PVC is at roughly \$1050, VCM is at roughly \$880 and EDC is \$520.

Praveen Sahay: And also if you can give the CPVC numbers sales and volume?

Niraj Kedia: So CPVC sales for the quarter was roughly 3600 tons.

Praveen Sahay: From the revenue term?

Niraj Kedia: Roughly 150 Crores.

Praveen Sahay: Okay thank you Sir for taking my question.

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Page 5 of 21 Moderator: The next question is from the line of Neha Talreja from Edelweiss Securities. Please go ahead.

Neha Talreja: Thanks a lot for the opportunity Sir. See you mentioned the agri and non-agri mix of current quarter. Could you help us with the same number in Q1 FY2022 as well as pre-Covid levels what it was as you mentioned that non-agri is actually more 20% just wanted to understand the mix?

Niraj Kedia: If I talk about just Q1 numbers in FY2020 non-agri was 25% in FY2021 it was 21%. Last year it was 32% and this year to be very precise it is 36%.

Neha Talreja: This is your non-agri mix improvement year on year?

Niraj Kedia: Yes.

Neha Talreja: Understood. And Sir based on demand just wanted to understand Sir basically what you are trying to say is the demand is all because of agri and the non-agri still continues to move up. Just wanted to get a sense from you, because already the season is lost but where do you see the demand actually went to did it actually go to some other polymers like SDP and all and now as the gap again widen with SDP that demand would again come back to us what is your sense there?

Niraj Kedia: It is difficult to say whether demand went to somebody else other polymer or because see prices are going down everywhere, even SDP prices are down our PVC prices are also down so we will wait for you know. Our sense is overall demand was weak.

Neha Talreja: Okay and now where are the prices, the current PVC prices and where do you see that moving? Are you still expecting them to move back to around 70-80 order piece per kg level?

Niraj Kedia: That will be too aggressive to think, I do not think, this is my personal view I do not think - we see them going to 70-80 levels very soon. But the prices which are there currently \$1050 levels, they should be range bound now.

Neha Talreja: Okay so you do not see much of the material downside?

Niraj Kedia: As of now we do not see but see this is a volatile market and we are impacted by the things that are not in our control so we will see how it pans out. We expect this to be in range bound right now.

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Page 6 of 21 Neha Talreja: Understood. And Sir last one if I at all I may which regards to CPVC volume so we have been seeing good amount of CPVC volume gains I think that is also because of the price gap moving down how is the PVC price scenario this point of time PVC prices stabilized or are you still seeing upward movement here and what is your expectation regards to?

Niraj Kedia: We do not see a major upward trend as of now.

Neha Talreja: But are they falling?

Niraj Kedia: PVC prices right?

Neha Talreja: CPVC.

Niraj Kedia: Not in the same rate as PVC.

Neha Talreja: They have fallen?

Niraj Kedia: Slightly.

Neha Talreja: Understood. That helps, all the very best.

Moderator: Thank you. The next question is from the line of Utkarsh Nopany from Haitong Securities. Please go ahead.

Utkarsh Nopany: Hi good morning Sir, there are

few questions from my side. First what is the reason that our pipe EBITDA per unit has come down to a five-year low level in this June quarter. Is it primarily because of the impact of recovery in the agri pipe or there was an element of inventory loss?

Niraj Kedia: So it is a mix of factors, obviously agri demand was lower than expected and also in a poly PVC regime or a market scenario you will tend to have some inventory losses on that.

Utkarsh Nopany: Sir, like agri pipe demand still has not recovered especially in the June quarter so can there be a further scope of margin pressure for the pipe segment from here on during peak agri season period in future?

Niraj Kedia: We are anyway entering the lean season....

Utkarsh Nopany: Sir I am talking about the peak agri season period say for next June quarter?

Niraj Kedia: It is too early to comment for that I will be very honest.

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Page 7 of 21 Utkarsh Nopany: Sir what is the Capex plan for FY2023?

Niraj Kedia: Normally 200-250 Crore is the Capex plan.

Utkarsh Nopany: Okay. Sir all our Capex plan can be well funded out of internal accrual what is the plan to utilize the cash which is lying there on the books?

Niraj Kedia: See if we are not able to deploy this in business, this will be returned to the shareholders in one way or the other. We will not keep such high levels of cash in a books for long time.

Utkarsh Nopany: Sir. it is been a while like we have been mentioning on this point...

Niraj Kedia: The market is also been acting very erratically, if you see the PVC prices the way they are going up and down, we are waiting for some stability to come in the market so our ability to predict also kind of improves.

Utkarsh Nopany: So can we like understand that once the PVC resin prices stabilize and possibly we can take some decision on this front?

Niraj Kedia: Yes.

Utkarsh Nopany: Okay and Sir if you can give some sense like what would be the current ocean freight rate for PVC resin in terms of dollar per ton basis and what was the peak ocean freight rate seen in the March quarter period and what was the normal level seen during the pre-pandemic period?

Anil Whabi: You are talking about the freight rates?

Utkarsh Nopany: Yes Sir freight rate for the PVC resin.

Anil Whabi: See PVC resin prices are not function of only the freight rate. The major volatility comes from the demand supply situation. Freight rates were hardened earlier now they are probably moving towards normal. But that is not the major reason for volatility.

Utkarsh Nopany: Sir I understand, just wanted to understand like what was the normal ocean freight rate earlier and what is the current freight rate?

Anil Whabi: I do not think we have those numbers right now.

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Page 8 of 21 Utkarsh Nopany: Okay and Sir like with sharp decline in the PVC resin prices do you see the CPVC pipe demand could get impacted in the coming quarter at an industry level?

Niraj Kedia: No not really.

Utkarsh Nopany: Okay. Sir what is the fitting revenue in this June quarter?

Niraj Kedia: Fitting revenue was roughly 200 Crores.

Utkarsh Nopany: Okay and how many SKUs do we have at the end of June?

Niraj Kedia: SKUs are 2000 plus.

Utkarsh Nopany: Okay thanks a lot Sir.

Moderator: Thank you. The next question is from the line of Ritesh from Investec. Please go ahead.

Ritesh: Hi Sir, thanks for the opportunity. Sir boarding on the prior question on capital allocation where we have so much of cash on books and working capital as a percentage of sales is honestly not much of a problem, how should one look at incremental capital deployment given I think again I stress up on the fact that we have been saying that is not for Capex, there will be a special dividend payout which will be there, just trying to gauge the timeline and how relevant is working capital on overall stream of lines?

Ani

I Whabi: Ritesh, we have actually never said that there will be special dividend, what Niraj has mentioned that we will definitely not keep large cash balance on the balance sheet. We definitely would look for the opportunities but otherwise if we do not utilize this then the money goes back to shareholders on whatever way we decide. But right now there is no fixed timelines for this.

Ritesh: Okay fair enough. Sir second question is just wanted to understand the number of inventory days for PVC, CPVC, EDC and VCM under normal circumstances we would have?

Anil Whabi: Sorry

Ritesh: I am looking at it from a raw material side what is a normal quantum of inventory days that we have for PVC, CPVC, EDC and VCM?

Anil Whabi: See normally we carry two month of inventory but you know that pre-monsoon for EDC and ethylene, we accumulate four months stocks because jetty does not operate during

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Page 9 of 21 monsoon period. But otherwise it is normally two months which we always carry whether the prices are high or low.

Ritesh: Okay and Sir for CPVC resin?

Anil Whabi: CPVC resin again if it is imported then it is two month if it is procured in the domestic market obviously lower period.

Ritesh: Okay and Sir last year the pricing I understand we do not call out on the trends but I do understand that there was an industry representation of potential safeguard duties any update over here?

Anil Whabi: None so far.

Ritesh: Sir is there any timeline that one can look at from a procedural standpoint or is it entirely up to the DGTR to take a call?

Anil Whabi: See representations are still being made so we do not know what the result will be and when will it be, the association on behalf of all the members is still taking this up with the government.

Ritesh: Sure. Sir last book-keeping Sir, Ethylene prices for the quarter and spot you did give PVC, VCM, EDC I just missed on it....

Niraj Kedia: Sorry for the quarter,

Ritesh: Ethylene prices for the Q1 FY2023 average and the current spot prices?

Niraj Kedia: \$1219 for Ethylene for the quarter and currently roughly 1030.

Ritesh: Thank you so much and wish you good luck.

Niraj Kedia: Thank you.

Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi: Hi Sir, most of my questions were answered I have a few, first you mentioned that the other expenses they have forex losses and impact of rise in fuel cost, could you spread in terms of the forex loss impact on your two segments PVC pipes and the Resin?

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Page 10 of 21 Niraj Kedia: It is majorly the PVC segment because see forex imports are mostly for the PVC segment where we import EDC, VCM and ethylene. But to give exact number is right now not possible. We do not have it handy. But it is majorly towards the PVC segment.

Rajesh Kumar Ravi: Okay and the fuel prices on Q-o-Q basis could you quantify what was the jump that you have seen?

Niraj Kedia: So you are talking about which quarter, I mean Q4?

Rajesh Kumar Ravi: March versus June how was the impact been?

Anil Whabi: In March it was about 47 Crores. It has gone up beyond 70 Crores.

Rajesh Kumar Ravi: Okay, despite the volumes coming down?

Anil Whabi: No volume in fact production volume is up. This is both.

Rajesh Kumar Ravi: Okay, even if I see production volume for the pipes and fittings it is up by 5% Q-o-Q and in case of Resins it is down sequentially right?

Anil Whabi: Sorry.

Rajesh Kumar Ravi: I am saying the production of volume is up just by 5% in terms of the pipes and fittings whereas your Resin production is down sequentially?

Anil Whabi: Yes, Resin is slightly down.

Rajesh Kumar Ravi: Okay and given that the spreads are further compressed sequentially the July spread number which you just highlighted and even domestic market resin prices have also come down

so

how are you looking at September and December quarters, how are you trying to mitigate margin pressure in the pipes and fittings?

Anil Whabi: See what Niraj mentioned, the spread coming down - that is if we are able to procure EDC at today's prices - we are speaking of EDC which we procured in Q4 which was at higher prices but there is nothing that we can do it always happen, so each year sometimes we gain

sometimes we loss. Its part of business.

Rajesh Kumar Ravi: So what sort of margin impact particularly in the pipes we are looking at for next few quarters?

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Page 11 of 21 Anil Whabi: See again PVC prices if you look at them, they have gone down by Rs.20 in first few weeks of this quarter. Obviously if there is a sharp movement it will impact, it is difficult to say how much.

Rajesh Kumar Ravi: Okay. You have mentioned Capex amount this year would be around in the range of 200 Crore right so are we not taking any capacity expansion across any of the two segments?

Niraj Kedia: See Resin we are not taking any capacity expansion, in pipes and fitting we already have spare capacity and even if there is a requirement sometime so that can be added in the modular fashion. So no major capacity expansion as such in the pipes and fittings. Because see you have to understand, first we need to reach the pre-Covid and cross that bar when we reached 260,000 tons few years ago even then we had spare capacity.

Rajesh Kumar Ravi: And when you do that would you have brown-field expansion capacities at your existing plants?

Niraj Kedia: Yes.

Rajesh Kumar Ravi: Okay. Last question on the price fall which has happened, we are aware about the PVC side in the CPVC side could you highlight or quantify how has been the June end for CPVC Resin prices versus March end?

Anil Whabi: I do not have those numbers.

Rajesh Kumar Ravi: Any ballpark...

Niraj Kedia: See it depends, CPVC volumes are very low, the prices are not published regularly it depends on negotiation and the agreements with the supplier, very few suppliers and generally they tend to follow PVC prices, but with the lag.

Rajesh Kumar Ravi: Okay great Sir thank you all the best.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: Hi Sir, congratulations for a relatively good set of numbers. So my question is Sir this forex loss will continue in this quarter also since the rupee is continuously depreciating against dollar?

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Page 12 of 21 Niraj Kedia: See if rupee continuously depreciate yes but I do not think the so far the rate of fall is as high as it was in Q1.

Vipul Kumar Shah: So you do not expect any major forex loss in this quarter?

Niraj Kedia: If dollar remains where it is then No.

Vipul Kumar Shah: Okay and...

Anil Whabi: Possibility being talked about on rupee going to 82 also so we never know.

Vipul Kumar Shah: Yes, and since you said current PVC prices are around 1050 per ton right Sir?

Niraj Kedia: Yes.

Vipul Kumar Shah: So this quarter also we will have certain inventory losses?

Anil Whabi: Obviously yes, because as I said Rs.20 drop has come in first few weeks of the current quarter.

Vipul Kumar Shah: But has that drop in prices stimulated the demand, are you seeing any signals from the market?

Anil Whabi: Actually no.

Niraj Kedia: Not yet.

Vipul Kumar Shah: And Sir you gave the CPVC volume for this quarter what was the same figure last quarter and corresponding the last year same quarter?

Niraj Kedia: So CPVC volumes for Q1 FY2022 were 2400 tons and Q4 was 3600 tons.

Vipul Kumar Shah: So this quarter also it is 3600 right?

Niraj Kedia: Yes.

Vipul Kumar Shah: Okay Sir thank you and all the best.

Niraj Kedia: Thank you.

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Page 13 of 21 Moderator: The next question is from

the line of Peter from Ksema Wealth Management. Please go ahead.

Peter: My first question is regarding then forex exposure you mentioned, in terms of revenue and in terms of cost what percentage of the total forex exposure?

Niraj Kedia: See we do not export so that way we can say that there is not exposures in revenue, but

PVC prices in the country they are priced at import price parity which takes into account even your forex movements. So that way and this prices are actually passed on almost immediately to the customers so that way there is a sort of a natural hedge that we have when it comes to sales and on imports on the Resin side most of our raw materials are imported so there we are open but again all this get translated into PVC prices which are on import price parity so we are able to pass on.

Peter: Okay. Sir I am just a little new to this in case PVC prices goes high that is negative for the company or

Niraj Kedia: No it is not negative for the company.

Peter: So only EDC prices going high will be negative?

Niraj Kedia: So it is let me put it without specifying anything, if your input prices goes up and your output prices do not go up, it is not good for anybody.

Peter: Okay. Sir my final question to you that in terms of Capex you mentioned 250 but how much is maintenance Capex for you?

Niraj Kedia: It is largely maintenance capex.

Anil Whabi: No, no about 250, that maintenance Capex will not be more than 50 Crores.

Peter: Okay so annually maintenance Capex run rate is around 50 Crore.

Anil Whabi: Yes.

Peter: Thank you Sir, that is all from me.

Moderator: The next question is from the line of Chintan Sheth from Sameeksha Capital. Please go ahead.

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Page 14 of 21 Chintan Sheth: Thank you for the follow up Sir. I still unable to understand, see the data you gave for the quarter on PVC, EDC and VCM, our sales for PVC and EDC is around \$780 versus \$728 previous quarter similarly PVC VCM is 275 that has slightly declined from 350 previous quarter so impact should be larger and the power as well as forex is related to PVC and Resin, so impact have to been seen more on the PVC Resin why PVC pipes EBIT profitability has kind of contracted sharply?

Anil Whabi: See one is of course the power cost has gone up there also and because of sharp decline in PVC prices there would be some inventory losses as well.

Chintan Sheth: But the moment is pretty sharp

Anil Whabi: Yes, it is.

Chintan Sheth: And it will continue as you have mentioned because of the PVC prices have declining and we still have an impact.....

Anil Whabi: Yes.

Chintan Sheth: Okay and Sir remaining 200 Crores will be largely on the moulds and no capacity expansion. Okay.

Anil Whabi: Yes.

Chintan Sheth: Okay got it. Thank you.

Moderator: The next question is from the line of Praveen Sahay from Edelweiss Wealth. Please go ahead.

Praveen Sahay: So my question is related to the volume, for a quarter sequential basis the PVC line.....

Anil Whabi: We cannot hear you, audio is breaking

Praveen Sahay: Okay I will come in queue.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: Sir what is the current spread for EDC PVC and VCM?

Niraj Kedia: So right now PVC EDC is 530 and PVC VCM is 170.

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Page 15 of 21 Vipul Kumar Shah: So can you tell what is the lowest spread you have observed in last five six years? Are they closer to the lowest spread of last few years, have they come to those levels?

Niraj Kedia: See on a full year basis we have a seen them going, see then Covid just started at that time there was a sharp drop so that.....

Vipul Kumar Shah: Leaving out Covid I say Sir, means in a normalize environment?

Anil Whabi: In normalize if you see annually it has been in this range when we look at the lower part of th

e range.

Vipul Kumar Shah: So more or less it has reached bottom range for last few years?

Anil Whabi: On annual basis yes.

Vipul Kumar Shah: Okay thank you Sir.

Moderator: The next question is from the line of Bhavin Shah from Sameeksha Capital Pvt Ltd. Please go ahead.

Bhavin Shah: Yes, thank you. I wanted to ask about you did mentioned now the demand being volumes

being lower than pre-Covid levels I am just wondering if that is industry wise situation or specific to us and more importantly can you talk about what is going to business and is working out for you.

Moderator: Ladies and gentlemen thank you for patiently holding we are now have the line for the management reconnected, over to you Sir.

Bhavin Shah: I was just saying that you mentioned that the volume have not crossed pre-Covid levels so how is the situation for the industry and what are we more importantly broadly doing to grow our business because I think there are peers in the industry which continue to grow quite well and we being there for much longer time, there is a general perception that aggressiveness seems to be lacking so can you address that and also Capex is for increasing widening the product range or I did not understand?

Anil Whabi: See the Capex, while there will be a maintenance Capex at for the mould the extruders and the Resin plant also but mainly the fresh Capex that will be incurring is for fittings and talking about volumes we are the only one hub, the major business has been always the agri business. So since the agri volumes has been lower in the industry, we are the ones hit most while most of other do more on plumbing and sanitation side. So slowly we are also trying

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Page 16 of 21 to grow more there in that segment. We are getting aggressive and slowly our volume should grow in that segment.

Niraj Kedia: And as I said in earlier call also - in non-agri, our growth has been actually pretty decent, even on a quarterly basis. While our company level volumes are down compared to pre-Covid in non-agri we are 20% higher.

Bhavin Shah: Are you targeting any specific geography first, can you just talk bit more about the strategy how you are trying to grow that business?

Niraj Kedia: See we are mostly present in across the country I do not think there is any state where we are not there and so wherever we are but our west and south are our stronger markets so our focus remains there at the same time when we look at newer markets the way we look at it is not a specific zone or , so what we do is we see where is the bigger market and we put ourselves which are the markets where the size is decent but probably our reach is slightly lesser our share of the market is lesser so the target is to improve our penetration in those markets.

Bhavin Shah: So in that regard are you coming up with any specific programs, you know like I know that in some regions there are very strong plumber incentives basically to promote one brand and things like that so how is that how are you doing it?

Niraj Kedia: So we also engage with plumbers on a continues basis and see this is something that we lack in the past, our engagement with the plumbers our influences was less and that is what we have been working on in the last two three years and that is also reflected in the way our form and the volumes has been growing and this will continue in the future also.

Bhavin Shah: Okay thank you.

Moderator: Thank you. The next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund. Please go ahead.

Bhargav Buddhadev: Good morning team and thank you for the opportunity. My first question is on the channel inventory given that the prices were falling is it fair to say that the channel inventory would have been the leanest in as many quarter I mean couple of years?

Niraj Kedia: That is safe to assume.

Bhargav Buddhadev: Okay and assuming a scenario wher

e the PVC prices do not fall materially from hereon do

you expect channel inventory to immediately come back earlier the pre-Covid levels?

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Page 17 of 21 Niraj Kedia: See right now anyway the lean season monsoon, so overall even after June in the last 20 days the prices have again fallen sharply. So I think for that inventory level to come at pre-Covid normal levels, will take some assurance that the price will stabilize now. But having said that you know generally the inventory carried by the channel also not very high.

Bhargav Buddhadev: Okay so assuming may be until September if the prices remains range bound, do you think that by then that our inventory would have been significantly higher as compared to what it is now?

Niraj Kedia: I do not know how do you quantify "significantly" but it should be at a comfortable level.

But you are absolutely right in a falling price scenario, people tend to de-stock and keep as minimum stock as required. Once the prices stabilize this mind set should change, which is natural I mean, which is natural normal for our business.

Bhargav Buddhadev: And secondly on capital allocation again, sorry, again must be a repetitive. You mentioned that once the environment stabilizes you will take a decision on capital allocation so in your

decision-making list is there a green-field sort of facility also on the plate or as of now there is no such ...

Anil Whabi: As we said capacity expansion when required would be because we have possibility of expanding in the existing plants we do that but eventually yes we will have to consider green field as well.

Bhargav Buddhadev: But Sir what better time than right I mean given 13 billion of cash and there will be pressure also to return the cash if you do not invest.

Anil Whabi: Understood, point taken.

Bhargav Buddhadev: Okay, thank you very much for the opportunity.

Moderator: The next question is from the line of Karan Bhatelia from Asian Market Securities. Please go ahead.

Karan Bhatelia: Hi Sir thank you for the opportunity. Sir just to continue from Bhargav's question, Sir do we have some kind of price protection when the PVC prices is so volatile?

Niraj Kedia: See then the market demand or the scenario as such if required we do give.

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Page 18 of 21 Karan Bhatelia: Okay and also how is the competitive intensity from unbrand as PVC of Rs.100 per kg and PVC of Rs.165 per kg because I believe the working capital requirement will be a lesser at this PVC pricing range?

Niraj Kedia: Can you repeat your question please?

Karan Bhatelia: Sir my question is with respect to the competitive intensity from the unbrand PVC of Rs.100 per kg and PVC at Rs.165 per kg?

Niraj Kedia: So competition is already there in the market I mean be it branded or unbranded this is obviously a competitive market. We have more than 500 pipe manufacturers in the country so that always remains.

Karan Bhatelia: So is it correct to assume at a lower PVC pricing the competitive intensity will be a much higher?

Anil Whabi: Even when the price was 75 those players in an organized players were inexistence but I do not think our brand competes with unorganized players.

Karan Bhatelia: Right. And one last question if you may allow any concrete capacity expansion plans for PVC Resins and UPVC Resin at industry levels in India?

Anil Whabi: In PVC Resin of course there are plans - a sizable expansion.

Karan Bhatelia: So can you quantify any?

Anil Whabi: See in past few decades there has been no expansion in PVC Resin industry but now we understand some players are expanding their capacity and new players are also coming in.

Karan Bhatelia: Okay that is it from my side. Thank you.

Moderator: The next question is from the line of Abhishek from DSP. Please go ahead.

Abhishek: Thanks for the opportunity. Sir just one thing in terms of these

PVC prices having come off,

has India seen higher PVC price reduction than globally because of the Chinese imports or is it in line with the global peers?

Anil Whabi: See if you look at US, the prices relatively have been stable. It is only in the Asian market that the sharp movement has been there and you are right it is because of construction slowdown in China and the lockdowns happened due to Covid, the supply glut situation has

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Page 19 of 21 come and at the same time demand in the local markets in the domestic Indian market also has been low so that has triggered this sharp reduction in PVC prices.

Abhishek: Okay and so this can partly reverse is that the channel demand kind of tends to come back?

Anil Whabi: It is hoped yes.

Abhishek: Okay and Sir just in terms of typically the way you all have seen the inventory losses probably the inventory losses since you all have strong balance sheet the ability for the smaller players how do they react in in light of such sharp inventory losses or sharp PVC price reduction anything from the last cycle that one can draw conclusion out of in terms of do they get weaker because of such sharp inventory losses and other things any thoughts?

Anil Whabi: Yes they do. See in case of smaller player it is easy to shut off facilities for a while and then restart and these things happened now. We are more affected because we are integrated player.

Abhishek: Okay and Sir any thoughts on new products, not nonrelated in terms of SDP or maybe there are lot of other products which lot of peers are making any thoughts on getting into some of the

Anil Whabi: Yes, we have been looking at them but you know unless there is some sense that there will be volumes we have not initiated that process.

Abhishek: Okay thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Vipul Kumar Shah from Sumangal Investments. Please go ahead.

Vipul Kumar Shah: Hi Sir, thanks for the follow up. Sir have we lost any market share in agri pipes over the last two three years?

Anil Whabi: Not that we see, we do not think because the overall demand in agri has been lower in past two three years.

Vipul Kumar Shah: But generally last two three years have been very good for agriculture, farmer income has been also good so why demand has been so low?

Anil Whabi: See most because of the volatility, in case of farmer this is one in lifetime type of investment so they would rather wait for the prices to come down then take the plunge.

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Page 20 of 21 Niraj Kedia: And we should also consider that last two three years, monsoon has been good. So if monsoon is good the farmer have the ability to defer to buy to next season so that is also there.

Vipul Kumar Shah: Okay thank you Sir.

Moderator: The next question is from the line of Akshay from CRAMC. Please go ahead.

Akshay: Sir thank you for the opportunity. Just one question on this, Sir you did mentioned that the CPVC now if the gap between the PVC and CPVC is again winding but you do not see that to impact the CPVC volume so Sir any specific reasons why you think so because at least in the past when the gap had narrowed so the CPVC portfolio now the players were doing well so now with the gap again widening so any specific reason that you can share?

Anil Whabi: No we are not seeing the gap is widening. We feel that the CPVC prices also will come down to an extent.

Akshay: Okay. Understood Sir.

Moderator: Thank you. The next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.

Rajesh Kumar Ravi: Sir on the demand side for this pipes and fittings would you have any industry level, if you could share some industry level what was the growth in FY2022 and what sort of number we are looking for FY2023 from industry level I am not asking at a co

mpany level both in

the plumbing side as well as in the agri side?

Anil Whabi: Unfortunately, you know there is no association published figures.

Rajesh Kumar Ravi: Okay and second in terms of capacity invention the few capacities are coming up could you quantify in FY2023 and FY2024 what sort of PVC and CPVC capacity we are expected to be operational?

Anil Whabi: No in next two years I do not think there will be any capacity available because these are gestation period for products so it will take at least three years for these capacities to come in.

Rajesh Kumar Ravi: Okay and you also referring to the question that demand is weak is it just because of monsoon are you talking about the lean period on the agri side it was people held down to the purchases high prices or there is a structural changes which you are looking at?

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Page 21 of 21 Anil Whabi: No there is no structural change in the industry.

Rajesh Kumar Ravi: So are you looking at the post monsoon the demand should pick up because there is lot of government initiatives also there that steel and then also in terms of the plumbing side market picking up?

Anil Whabi: Yes we feel that it should pick up.

Rajesh Kumar Ravi: Okay and just one small observation, your realization which you gave in internal sales and external sales Resin so while where I see the realization for the internal sales have come down quarter on quarter March versus June, external sales realization are marginally higher why this difference sequential basis?

Niraj Kedia: See internal transfer happened at the market rates and external sales mostly happened at open markets so there will be some difference always.

Rajesh Kumar Ravi: While one is down the other could also be slightly higher in terms of change quarter on quarter?

Niraj Kedia: Sorry not very clear I could not....

Rajesh Kumar Ravi: I am saying that versus March quarter the internal sales realization has come down from 131 to 124 rupees per kg where in external sales from 134 it has gone up to 137 so ...

Anil Whabi: No I do not think it has gone down....

Rajesh Kumar Ravi: Okay I will get back; I check my numbers I believe so. That is all from my end.

Anil Whabi: Thank you.

Moderator: Thank you. Ladies and gentlemen that is the last question I now hand the conference over to Mr. Arun Baid for his closing comment.

Arun Baid: On behalf of ICICI Securities I want to thank the management for giving us the chance to host this call. Sir do you want to make any closing remarks?

Anil Whabi: Thank you all of you. Looking forward to meet you again.

Moderator: Thank you. Ladies and gentlemen on behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2022

FIL/SEC/SEs/2022 -23/067

28th October, 2022

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940/FINOLEXIND

Sub: Transcript of the Investors and Analyst call (Q 2 FY23)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our letter no. FIL/SEC/SEs/2022 -23/062 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on 25th October , 2022, for discussing the performance for quarter and half year ended on 30th September , 2022. The same has also been made available on website of the Company under Investor's section.

Thanking you,

Yours sincerely,

For Finolex Industries Limited

Ashutosh Kulkarni
Company Secretary & Compliance Officer
M. No.: A18549
Encl.: As above

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"Finolex Industries Limited
Q2 FY '23 Earnings Conference Call "
October 25, 2022

MANAGEMENT : MR. ANIL WHABI – MANAGING DIRECTOR – FINOLEX
INDUSTRIES LIMITED
MR. NIRAJ KEDIA - CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '23 Earnings Conference Call of Finolex Industries hosted by ICICI Securities. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions, after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, sir.

Arun Baid: Good morning, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q2 FY '23 post results con call. We have the senior management of Finolex with us today. I would request Mr. Anil Whabi to give an opening remarks, post which we can open the floor for question and answers. Over to you, Anil, sir.

Anil Whabi: Thank you, Arun. Good morning, ladies and gentlemen. On behalf of entire Finolex family, I extend warm greetings and best wishes to you and your family for this festive season of Diwali. Welcome to the investor conference call for Q2 FY '23 earnings release. We thank you for your continued interest in Finolex Industries. The results of the company for quarter ended 30th September '22 were approved by the Board of Directors on first 21st October. This second quarter is generally a drag on volumes due to monsoon. However, the company has delivered higher volumes over last year, which reflects spur in demand.

The financial results for the quarter had a severely adverse impact due to sharp correction in PVC prices, against higher price inventory of raw material and finished crudes. The silver lining is that, correction in commodity rates could further improve demand from consumers across segments. The company is well positioned to sail through this trough of the cycle, as it has strong debt-free balance sheet with positive cash flows.

Let me give you some of the performance indicators for the second quarter of the financial year. Total income from operations decreased by 13% to INR 941 crores against INR 1,083 crores in Q2 FY '22. Loss at EBITDA level was at INR 143 crores for Q2 FY '23 against a profit of INR 300 crores in the previous corresponding quarter of Q2 FY '22. The company reported loss after tax of INR 94 crores in Q2 FY '23 as compared to the profit after tax of INR 235 crores in Q2 FY '22.

Now getting into segmental performance, in Pipes and Fittings, the revenue fell by 11% to INR 802 crores in Q2 FY '23 from INR 899 crores in Q2 FY '22. Volumes was up by about 7% Y-o-Y to 59,218 metric tons compared to 55,453 metric tons in the corresponding last quarter. The EBIT in Pipes and Fitting segment was INR 57 crores in the last year in Q2 compared to the loss of INR 48 crores during this quarter of Q2 FY '23.

Moving to PVC Resin segment. Revenue in the Resin segment decreased 26% from INR 654 crores in Q2 FY '22 to INR 481 crores in Q2 FY '23. Volume in Resin segment grew by 4% to 54,633 metric tons in Q2 FY '23 against 52,029 metric ton in Q2 FY '22. Loss at EBIT level in

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the Resin segment was INR 111 crores in Q2 FY '23 compared to the profit of INR 231 crores in the corresponding previous year's quarter.

The company continues to have a strong balance sheet with a net cash surplus of roughly about INR 1,300 crores as on 30 Sept 22. Let me now leave the floor open for questions. And I have my colleague, Niraj also to take the questions. Thank you.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on your touchtone telephone. If you wish to remove yourself from the question queue. You may pre

ss start and two. Participants are

requested to use handsets while asking a question. Ladies and gentlemen we will wait for a moment while the question queue assembles.

First question is from the line of Rahul Agarwal from InCred Capital.

Rahul Agarwal: Hi sir, good morning and wish you all also a very happy Diwali. Sir, a few questions from my side. Firstly, on the EBITDA loss. Is that entirely driven by inventory loss or is there any other element to it, like Forex or anything else? If you adjust for these, what is EBITDA adjusted number we should look at? In either way, you can give it on EBITDA per tonne basis for Resins

or Pipe segment or the overall absolute EBITDA number? That's my first question.

Niraj Kedia: So Rahul, you are right. See, in terms of Forex, there was no major thing per se and because we didn't have much of borrowings because September quarter is when we kind of repay all our short-term loans. So Forex did not have a material adverse effect, but most of the numbers that you see on the negative is because of inventory loss.

Rahul Agarwal: So if we adjust for that, what is the normalized EBITDA number? Like from a business perspective, what is the profitability of the business in the quarter?

Niraj Kedia: See, if you remove this, I'm just trying to say how do I put this? See if...

Anil Whabi: Rahul, net loss impact was there in Q1 also. If you see Q1 and Q2, the PVC prices have fallen by 30%. So first quarter, we did show some profit, but it was compressed and in the second quarter it is a loss. And our normal EBIT levels are about INR 8 to INR 10 a kg in pipes and about INR 15 a kg in PVC segment.

Rahul Agarwal: Okay. So I can back calculate using those numbers. Is that correct?

Anil Whabi: Again, that is difficult. I mean, quarter-on-quarter, you won't see these numbers because of the volatility. But these are general numbers. Yes.

Rahul Agarwal: Yes. I mean I understand because of volatility, it's tough to get to that number, but that is what I really wanted to understand and if I assume to INR 10 per kg and the INR 50 per kg for resins, will that give me enough decent idea for the quarter on a business level? Is that okay?

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Anil Whabi: Yes see quarter-on-quarter, you will see these variations. Even Q3 will have some spillover impact of inventory losses.

Rahul Agarwal: That's the next question actually I had that because we are seeing PVC pricing further falling even in October, is this last thing done with or could be also a similar situation because it's still higher than the pre-COVID level. So let's say, it goes down to \$70. Are we seeing more markdowns next quarter as well?

Anil Whabi: Major part of it is done with in Q2, some effect will be there in Q3. You're right, INR 3, which has fallen and there is an expectation of further correction probably in the next two weeks.

Rahul Agarwal: And PVC, ethylene, EDC and VCM will give the pricing for 2Q average and what are they currently at?

Niraj Kedia: So in the end of September, on 30th September. The PVC/EDC delta was roughly \$ 575. And PVC VCM delta was \$1 65. During the quarter, the PVC/EDC delta was \$600 and the PVC VCM delta was \$235.

Rahul Agarwal: Got anything on ethylene, please?

Niraj Kedia: Ethylene delta, generally, we don't compute because it's a very small component. I mean do you want pricing? What is it?

Rahul Agarwal: That's the price, yes.

Niraj Kedia: So ethylene for the quarter was \$975. It ended September at \$900.

Anil Whabi: And Rahul if we look at it today, this PVC EDC delta has come down to \$510 because of drop in PVC prices.

Moderator: The next question is from the line of Sonali from Jefferies.

Sonali Salgaonkar: So my first question is, could we get the PVC, EDC and PVC/VCM delta for Q2 FY '22, that's the same quarter last year, please?

Nir

Niraj Kedia: FY '22, is it? So PVC/EDC delta last year same quarter was \$790 and PVC/VCM delta was \$391.

Sonali Salgaonkar: Sir, from the current trend of PVC, what -- sorry, what was the PVC price as of 28th September? And what is it right now? I'm also kind of correction that you said you expect in the coming few weeks?

Niraj Kedia: End of September, it was \$900, PVC. Last week, it was -- it has come down to \$830. And regarding the drop as we just discussed now, securities have fallen just now, okay? And

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mortgage sentiments are slightly weaker on the PVC plant. Again, a lot of other factors which are impacting it is dumping from China and all of that. So in the next 2 weeks, there is a feeling in the market that we will go down further by how much and when that remains to be seen.

Sonali Salgaonkar: Sir, but structurally, where do you think PVC can stabilize from here on? I mean we have seen such a sharp drop while steadying PVC. What do you think or rather your take on the near term of PVC, given its global factors?

Niraj Kedia: Before 2020, March, I would say. Historically, PVC was trending between \$980, \$950 and that

has been the average for many years. On this sharp decline that we see, we must also appreciate the fact that in the last two years, previously also almost doubled. So there was a sharp increase also for which the benefits also we kind of reap.

And this was -- and we've always been saying that \$1,500, \$1600 of PVC that is not sustainable. It was a matter of time when the prices came back to the normalized levels. So, in my personal opinion, these are pretty much there. They have almost bottomed out. Some more negative sentiment that we see around is mostly driven by demand and dumping of stock in the country. So if global factors slightly improve, China opens up, we should see some stability. But until that happens, I don't think there is a very material downside left when it comes to dropping PVC because right now at INR 83, INR 81, we are almost at the normal levels.

Sonali Salgaonkar : Understood. Sir, my second question is regarding CPVC volumes and revenue, if you could help for the quarter and same quarter last year, please?

Niraj Kedia: Yes. So CPVC during the quarter, Pipe and Fittings, we did 4,000 tonnes. And this was 3,600 tonnes last year.

Sonali Salgaonkar: And the revenue?

Niraj Kedia: In terms of revenue, it was INR 170 crores versus INR 125 crores last year.

Sonali Salgaonkar: Sir, also, what is our agri to plumbing mix right now for the quarter? And do we still expect plumbing to come up to about 50% over the next 3, 4 years?

Niraj Kedia: Yes. So our year -to-date in terms of tonnage, agri, non -agri is 31.59%, during the quarter, non -agri was 37%.

Sonali Salgaonkar: Got it. Sir, last question. How do you see the demand trends on the ground both for agri and plumbing right now? And what is the current inventory level in the channel? That it from my side.

Niraj Kedia: See, demand per se. the good thing about all this falling present all is that we always keep on talking about muted demand, people deferring their decision and all. It is difficult to put a

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number to it, but that is a general sense that we get. But with PVC coming back to normal levels, we feel that demand should pull up, and we are pretty optimistic and positive about this.

If you look at this quarter also, this is the highest tonnage that you achieved in Q2 ever and while the prices have come down, profitability has taken a hit, the volumes have grown even in this quarter compared to last year. So, this is actually a good thing and the price action would have to happen one day. In another term, you can say that it's good that the same happened very quickly. So, whatever was to be there, it has happened and

now it should be the positive for the

industry. And in terms of channel methane inventory generally is lower and it continues to be low.

Moderator: The next question is from the line of Chintan Sheth from Sameeksha Capital.

Chintan Sheth: So, Whabiji, if I have to understand, inventory write -off is one aspect is because we have -- we are still carrying high -cost inventory, which we have reversed based on the current prices.

The other aspect about it is the conversion which we did of the high inventory and sold it in the market, that is not a notional loss or the inventory write -down. It's actual loss which we have incurred during the quarter, right? Inventory which we have built in the previous quarter, and we have used the material this quarter to manufacture and sell it in the market. So some portion of this is real loss other than the inventory led loss. Would that be the right understanding?

And second is on the pipe front, when we see the write -downs like this on the PVC front, it eventually helps our PVC businesses because that's the end product. But this quarter, we have seen the losses in that segment to be far previous. So, what should we understand from that? If you can explain .

Niraj Kedia: Yes. So see, inventory loans, as you rightly said, it is both. Now there's no defined definition of inventory loss. So, when if I have a stock , which I had bought at a higher cost on our raw material cost was higher. And of course, this is a commodity business, I have to pass on whatever changes in the prices of finished goods.

Chintan Sheth: Correct.

Niraj Kedia: So now it is on how do you view it? Somebody would view it as inventory loss only. Somebody would view it differently because it is not a normal trading or shrinking on margin.

Chintan Sheth: Correct.

Niraj Kedia: This is the passing of raw material price changes or financial price changes to the end customer.

So this quarter had as you rightly said both, we were carrying inventory which was high cost.

When we sold it, and that time also, we had to sell it below the cost. At the same time, at the quarter end to make the inventory levels reflect as per accounting standards, the right numbers that write down also taken. So both these things together . Hello? Am I audible?

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Moderator: It seems like we lost the connection for the current participant. We move to the next question from the line of Praveen Sahay from Edelweiss Wealth Management. Please go ahead.

Praveen Sahay : So the first one is, can you give the number for the fitting revenue?

Niraj Kedia: So during the quarter, we sold 7,000 tonnes of fittings. And INR 200 crores in terms of numbers .

Praveen Sahay : Second question is related to the CPVC realization , so if I look at the calculated task that we have a number given. On the sequential on the Y-o-Y from the higher side, whereas the PVC we had a single amount good decrease in the realization. So what we had seen in the past, your narrowing of the prices of a PVC and the CPVC I think that's the widening it still goes on? And like why it is not falling?

Niraj Kedia: Yes. So I'll tell you . This is something very strange. CPVC prices , see in PVC price passing on a price movement is almost real time. But CPVC for some reason does not follow the same time and this is how the industry has been working. I don't have an answer to that why CPVC does not follow PVC pricing so closely.

Probably one guess would be that in overall terms, the volume of CPVC still is very less in the overall market, domestic as well as global. So that may be one of the reasons , but it is hard to assign one particular reason why CPVC prices don't follow the PVC prices on a much regular basis.

Anil Whabi: No. The other reason is that there are very few suppliers of CPVC , so that is why they are able to sustain the higher prices.

Praveen Sahay : And second question sir related to the PVC. So as you had already mentioned that the PVC prices have fallen and there is a lot of the China dumping happening. So is there any need for central government or any extra duties or something?

Niraj Kedia: See, I think the representations have gone to the government , but nothing has come up as of now.

Anil Whabi: No. The action has started. It will take some time, but there will be some action, yes.

Praveen Sahay : But still we are seeing the falling of the PVC resin prices continues because of a...

Anil Whabi: No. In fact, after the investigations have started, the dumping has slowed down.

Praveen Sahay : And in the INR term, what's the current trading rate of the PVC ratio?

Anil Whabi: Market price is around 79, 80.

Praveen Sahay : Thank you and happy Diwali to everyone.

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Moderator: The next question is from the line of Arafat from Reliance Securities. Please go ahead.

Arafat Saiyed : As you discuss that PVC prices are not close to the bottom. But I just want to understand if the risk that it can go further down?

Niraj Kedia: That could be anybody's guess, Arafat .

Arafat Saiyed : So on your next question on your margin. So what is the PVC margin you can expect for the next couple of quarters on these prices?

Niraj Kedia: So next couple of quarters, it will depend on how volatile PVC prices are. But on a steady -state basis, if you see our past also, roughly INR 8 to INR 12 a kg is what we expect on the Pipe segment. Around INR 15 in PVC.

Arafat Saiyed : And my last question sir, I just want to understand how is the demand outlook, especially from the government for especially agri demand, which can drive the growth for next couple of quarters. So any thought on that?

Niraj Kedia: As I also said earlier, demand should improve. That is our sense. We are looking at positive vibes from our channel partners. So hopefully, with these prices, demand pool should be there.

Moderator: The next question is from the line of Sandesh Barmecha from Haitong . Please go ahead.

Sandesh Barmecha: Good morning and a very happy Diwali. I have few questions , start with, sir, by when do we expect proceeds from the sale of remaining land bank to come in? And any plans of utilizing the excess cash in the book in the form of special dividend or buyback?

Niraj Kedia: So almost half of the land we dispose of in the last financial year itself and the entire proceeds entire cash was received before the end of the financial year. On the remaining bit, there is nothing which has happened as of now. You might be also reading to a report or a news article which was putting around last week or a couple of weeks ago. That actually was a mistimed article on the transaction, which referred to the same transaction which we concluded in the March 2022.

Sandesh Barmecha: So on the part of the excess cash in the book, sir, anything from a special dividend or buyback ?

Niraj Kedia: Yes. When the appropriate time comes, if we are not able to deploy in the business, this will be returned to the shareholders, either as a special dividend or buy back.

Sandesh Barmecha: Sir, just want to understand something, sir. So what would be the difference between PVC agri pipe and HDP pipe at the moment, sir?

Niraj Kedia: You mean to say difference in terms of?

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Sandesh Barmecha: Pricing and usage, what is the difference between the two?

Niraj Kedia: Mr. Whabi would like to answer that?

Anil Whabi: See, if you talk today, the HDP prices are lower. So if we look at the raw material prices, HDP prices, after correction of PVC prices, they would be at similar levels. The densities differ.

Generally in India, the usage of HDP is very limited because it requires special technology to

connect the fusion technology, which is not generally available with the plumbers.

So in common use PVC pipes are used, but where for smaller diameters in some cases like gas distribution and other cases or some other users, this HDP types are used, but the use is very limited.

Sandesh Barmecha: So just two questions, sir. So how many SKUs Finolex has at the end of September '22?

Niraj Kedia: 2,000 plus. I don't have the exact count as of now. But it's 2,000 - 2,100.

Sandesh Barmecha: What will be our total CapEx outlook for FY '23 and '24?

Niraj Kedia: FY '23, we should be targeting for roughly INR 200 - 250 crores.

Sandesh Barmecha: And '24, sir, anything planned, sir?

Niraj Kedia: Generally, our replacement CapEx is roughly at, INR 150-200 crores, and that should continue.

Sandesh Barmecha: Thank you sir. Good day and happy Diwali.

Moderator: The next question is from the line of Abhishek from DSP Mutual Fund. Please go ahead.

Abhishek Ghosh Sir, in terms of -- you mentioned that prior to the crisis in March 2020, PVC prices used to be in the range of 70 to 80. But if you see on overall, there's an inflation in terms of crude being much higher now and also the EDC costs have increased. So how should one look at in terms of cash cost, profitability as far as production of PVC are concerned globally?

Anil Whabi: So you're right, the inflation is there. So conversion costs to a certain extent, would have gone up. But PVC prices are not nearly connected to the crude prices and it would depend again, if the PVC prices are down with a lag of time, EDC prices also tend to come down. Today, EDC prices are also low because caustic soda industry is doing pretty well, caustic soda prices are fairly high and PVC demand being low, that is why EDC prices have also come down.

So there are multiple factors, but going forward, we believe that if the prices of PVC fall and fall below breakeven point. The supplies will be cut off, many producers will curtail production.

So again, the prices would tend to correct and this spread normally which we talk about of 550

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could come back. If we talk of today, it has come below that normal level, it is now today at \$510. But let's see what lies ahead.

Abhishek Ghosh: And sir, what's the outlook on incremental PVC stake in India, you are not commenting drilling capacities because of no certainty of EDC. So what's the outlook over the next couple of years in terms of higher EDC capacities coming through or PVC capacities? Any color on that?

Anil Whabi: See in the domestic market, we understand that some capacities will come up in the next few years. But globally, if you see, there are just enough EDC supplies for the existing PVC capacities. So there will be some addition to PVC capacities globally very low addition, India being a major consumer, yes, the capacity will be added here, but at the same time, for these capacity additions, we understand the EDC capacities are also coming up in Gulf region.

Abhishek Ghosh Sir, just 1 more thing as you've seen you'll have reported losses given the sharp decline in PVC prices. So how should one read the competitive intensity as far as the unbranded or unorganized players are concerned, in terms of their ability to absorb losses, but at the same time, a few quarters back, we also had issues of -- they're not able to source enough supply. So in light of these two aspects, how should one look at the competitive intensity from the unbranded and unorganized place?

Anil Whabi: The unorganized or unbranded have never been the competition. They do have certain volumes of the market, but they have not been the competition. And unorganized sector has been suffering not only in this previous quarter, but since last two years also when the PVC prices went up, there were supply disruptions. So it

was difficult for them to operate. But at the same time, it is

very easy for such units to just close down during this such difficult time and again, start

operating when the times are normal.

Abhishek Ghosh : And sir, just one last question in terms of your regional presence. Have you reject any distribution everything to improve your additional presence? Anything on that thought in terms of more of pre sence in eastern or the southern. Anything on that regional presence aspect?

Niraj Kedia: See south and west are our top markets, and we continue to be our core strengths. But our presence is pan -India. We have supplies to west to as far as Himachal in the East and even Kashmir . So that way presence wise, there is not any large area that we are not covering per se. But south and west are our strong terms or strong areas.

Moderator: The next question is from the line of Ritesh Shah from Investec. Please go a head.

Ritesh Shah : A couple of questions. First, Whabi sir, you indicated like safeguard duties, something has actually happened. Can you elaborate at what stage of the process the government is at? And what sort of industry representation has gone in specifically for the safeguard duties?

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Anil Whabi: Ritesh, a ctually, nothing has happened so far. I just said that the discussions have started, and there is some investigations going on. Well, it will take a little time. These things take a little time.

Ritesh Shah: Sure. But sir, any indication on what sort of duti es can be expected?

Anil Whabi: No, I don't think we can expect what corrective actions will be taken , but I'm sure this issue will be addressed.

Ritesh Shah: Okay. That helps.

Anil Whabi: See what the industry taken up is VCM present more than 2 PPM which is normally lower in ethylene -based supplies. So that has been taken up, and let's see what happens.

Ritesh Shah: Sure. Sir, my second question is, I think in 1 of your earlier questions, you indicated agri, non -agri mix at 31% and 37% for Q1 and first ha lf. I presume this is on volumetric terms, did I hear it right?

Niraj Kedia: Yes. Volume.

Ritesh Shah: And what would be the safe numbers for last year?

Niraj Kedia: So last year, Q2, our non -agri was 42% and it is 37% this quarter. But this year, in Q1, i t was 27% against 24% last year.

Ritesh Shah: Sure. And sir, on CPVC, you indicated 3,600 tonnes and 4,000 tonnes, right?

Niraj Kedia: Yes.

Ritesh Shah: Last year to this year. So sir, my question is, basically, if I just do a simple math of per tonne realization on PVC pipes and fittings divided by PVC resin prices, we see a significant delta of like 1.52 -x. Now this is the highest number, which I see since FY '15. So , the mix change is not huge, basically, if you look at CPVC or agri or non -agri, then how should we understand this ratio bump of PVC pipes and fittings by PVC resin? Is it a function of discounts? Or how should one look at it?

Niraj Kedia: So you are looking at -- but what number are you taking for the resin ? I mean , it's a one day number , quarterly average number , what is that you're looking at?

Ritesh Shah: It's a Q2 FY '23 number. So I'm looking at per kg price for PVC pipes and fittings divided by PVC resin price. This is the reported numbers on realization. So I'm just looking at it o n a per kg basis and dividing it. So it comes to 1.52 -x.

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Niraj Kedia: Okay. I got it now. In terms of absolute numbers, do you see that difference because see PVC price is coming down that percentage may have gone up. Just look at your math probably, Rites h.

Anil Whabi: Ritesh, that may not signify anything much because when you are talking about quarterly numbers of PVC transfer, obviously, the impact of PVC drop is higher in that number. While in Pipes and Fi

tings, it is a matter of mix also and other fa ctors as well.

Ritesh Shah: Okay. Sir, it seems a bit counter intuitive because -- or it can be like for Pipes and Fittings, has the prices not gone down in an equal proportion to what we have seen in PVC resin prices? Or basically, the discounts on Pipes and Fittings would have been lower?

Anil Whabi: See, I said there are other factors also. So it is difficult to put a number on each factor.

Ritesh Shah: That's right. Sir, which would be th e other factors besides the mix -agri, non -agri, CPVC?

Anil Whabi: See discounts, periodic discounts, so they do not necessarily match the PVC supplies coming in.

Ritesh Shah: Okay. Sure, sir. I'll call you separately to understand this better, sir. Sir, my next question is, basically, if you look at the EBIT per kg drop for PVC Pipes and Fittings versus PVC resin, in case of resin, it's a very severe drop, whereas in case of PVC Pipes and Fittings it actually moved

up a little bit. Sir, how should we understand that if one is looking at inventory, if one wants to understand the inventory loss? So should we look at the quantum of PVC inventory, which was sitting in resin business and the differential in pricing being the same, and that is the reason which contributed to a sharp dip on EBIT per kg on PVC resin versus Pipes and Fittings?

Anil Whabi: See obviously, in Pipes and Fittings, 70% to 80% is the PVC content. So that is the only reason.

Ritesh Shah: Okay, fair thing. And sir, last question, is there any scope at all wherein the company we might look to divest either the Pipes and Fittings business or the resin-making operations or look to demerge. Is there any probability of either of these events happening?

Anil Whabi: Nothing under discussions right now.

Ritesh Shah: Okay, sure. And sir, last question, anything incremental on the CapEx side that we have planned, anything upstream?

Anil Whabi: Sorry?

Ritesh Shah: Any CapEx plans basically to get the mass balance right on EDC, ethylene and VCM?

Anil Whabi: No, nothing. No CapEx planned in PVC segment, except replacement assets.

Ritesh Shah: Okay. And sir, do we have a time-frame by when we will actually conclude that cash will actually materialize to pay out or something else because we have been indicating to the

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investors that once something on the CapEx fructifies when we will let you know, is there a time-frame that we have in mind for this particular variable because it has a lot of... ?

Anil Whabi: It's time-frame, but yes, within a reasonable time, it should happen.

Ritesh Shah: Okay. So should one presume to be two quarters or something?

Anil Whabi: That Ritesh, is difficult to say.

Ritesh Shah: Okay. Sure sir. Thank you so much for the answers and wish you a happy Diwali.

Anil Whabi: Happy Diwali to you. Thank you.

Moderator: Thank you. The next question is from the line of Bobby J. from Falcon. Please go ahead.

Bobby Jayaraman: Can you explain the...

Moderator: Sir, sorry to interrupt, but if you can take the phone off speaker, please your audio is not clearly audible.

Bobby Jayaraman: I'm not on speaker, actually. Yes. Am I better?

Moderator: Yes, sir, please proceed.

Bobby Jayaraman: Yes. Can you explain the structure of the PVC market in India? How much of it is catered to by imports?

Niraj Kedia: By imports you meant?

Bobby Jayaraman: Yes.

Niraj Kedia: Yes. So roughly 50% is imported. 3 million tonnes to 3.5 million tonnes is the requirement for the country, of which roughly 1.5 million tonnes to 1.7 million tonnes are made in the country and balance is in total.

Bobby Jayaraman: Right. I mean given that India is one of the few markets where the construction sector is actually growing, why do you think imports still happen?

Niraj Kedia: Because presently, I would say the capacity for

production in the country is not as much as needed to meet the demand. That's the only reason.

Bobby Jayaraman: Yes, right. My question is, why still, why isn't more capacity coming? Or why aren't you increasing capacity? What's the rationale for imports given India is such a big market?

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Anil Whabi: See globally, there are adequate capacities available, and this being a business where the volatility in the prices rules and it's capital intensive. So possibly, that is why nobody has invested in the domestic market.

Bobby Jayaraman: Right. What is the advantage China has because ethylene is a petrochemical product and China doesn't have any advantage there. So how are they able to make PVC so cheaply?

Anil Whabi: No. They make ethylene-based, but the large part of supply comes from carbide-based supplies, which involves coal burning.

Bobby Jayaraman: Also they do it through the carbide route.

Anil Whabi: Yes.

Bobby Jayaraman: Okay. But India has ample coal to...

Anil Whabi: No, in India, there is a very small capacity coming through that route. So generally, worldwide, this is discouraged because of environmental issues.

Bobby Jayaraman: But the thinking was that China would stop this because of environmental issues, right, and there

wouldn't be any kind of passing. That doesn't happened?

Anil Whabi: In fact, three years back, there was some news that they have stopped , but then with PVC prices again going up beyond \$1,000, the supply started coming in, then we heard that no new capacities are being added up, but we are not sure. Today again, since demand in China is low, this carbide route material is being dumped outside.

Bobby Jayaraman: And the market doesn't differentiate between , in terms of prices for the carbide route and the... ?

Anil Whabi: Carbide route prices are generally \$20 to \$50 lower than the ethylene-based supplies .

Bobby Jayaraman: Okay. So that will give you a bit of an advantage, right?

Anil Whabi: Yes.

Bobby Jayaraman: Right. And does this PVC, the price almost crash that has happened. Does that also apply to ECH?

Anil Whabi: Sorry?

Bobby Jayaraman: Does the PVC price decrease that has happened, does that also apply by the ECH , ethylene ?

Anil Whabi: You mean VCM?

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Bobby Jayaraman: No, ECH. Ethylene -chlorohydrin.

Anil Whabi: That I wouldn't know.

Bobby Jayaraman: Okay.

Anil Whabi: You mean EDC, EDC prices have come down, but they always do come down with a lag.

Moderator: Thank you. Next question is from the line of Chirag Lodaya from ValueQuest. Please go ahead.

Chirag Lodaya: Sir, my first question was on what will be the average price for the quarter for us , in PVC prices?

Niraj Kedia: PVC prices you meant?

Chirag Lodaya: PVC prices average for us at what rate we would have consumed?

Niraj Kedia: The PVC prices was \$1,020.

Chirag Lodaya: Sure. It's for the quarter, right?

Niraj Kedia: These are the average PVC prices for the quarter.

Chirag Lodaya: Okay. And secondly within next two weeks time, there's a possibility that PVC prices further that may go down... ?

Moderator: Sir, your audio is breaking up, sir. If you can take the phone off speaker, please?

Chirag Lodaya: Yes. Now it's better?

Moderator: Yes.

Chirag Lodaya: So I understand what is the current rate is today?

Niraj Kedia: Sorry we are not able to hear clearly.

Moderator: Mr. Lodaya, may we request you to move to a better reception area, please. Your audio is breaking up a lot. So it seems like we lost the connection for the participant. We will move to the next question from the line of Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Sir, I understand that calculating inventory losses are difficult, but this time around, we have taken a

mark -to-market on the closing inventory for September. Could you quantify that number, please?

Anil Whabi: See Rahul, mark -to-market is one part of it , which is provided . After marking to the net realizable value also, the inventory value is high, which would impact the current quarter and during the

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quarter, whatever sale happened also, there were many instances where the realization was more than the cost, but you see compressed margin because of high cost raw material being used for fallen PVC prices.

Rahul Agarwal: I understand that, sir. What I was referring to was the September , the balance sheet, the closing inventory number, what was the inventory loss on that M2M? Just a markdown.

Anil Whabi: I don't have that number.

Rahul Agarwal: Okay. And your opening commentary, and Mr. Whabi , you said there is some reflection of demand going up purely because the pricing is now like pretty cheap , but obviously, we are not settling down, there were clear that channel filling happened by trade. But second half, do we see growing on sale volume Y -o-Y? Or you think that is still a challenge depending on if these prices settle down, that can happen or otherwise, it's still like a black box?

Anil Whabi: No. What is expected is that prices now will settle down and the fillers that we get from the marketplace is also once that happens, the volumes should pick up.

Rahul Agarwal: So there is a possibility of us growing in second half Y -o-Y on volume? We did like almost 1,20,000 tonnes for both segments last year , I think that's a decent number to have.

Anil Whabi: Yes. So let us see. The time will tell.

Rahul Agarwal: Okay. And 1 last, just a clarification on CapEx. I think first half, you've done about INR 66 crores, we're guiding for INR 200 crores, INR 250 crores, that is largely maintenance and we should see a catch-up happening in second half, is that correct?

Niraj Kedia: Yes.

Moderator: Thank you. The next question is from the line of Shrenik Bachhawat from LIC Asset Management. Please go ahead.

Shrenik Bachhawat: So my first question is agri -volumes have been weaker in the past season, so what is given the pent-up demand? And how can it benefit in the upcoming agri season for us?

Niraj Kedia: So as you said, the view is that now there is no reason for there being any pent-up demand per se, with PVC prices coming down. We hope that demand pull will be there even from that agri side.

Shrenik Bachhawat: So assuming agri demand being robust for the upcoming season. So what is your view on the non-agri for the next two, three years? Like what is that -- where can you see non-agri?

Niraj Kedia: See non-agri has been our major focus area in the last three, four years and that continues to be our key focus area. It does not mean that we don't focus on agri. In agri, we know we are strong

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and we continue to be strong and we take efforts to ensure that part of the business is not impacted.

So our sight from it does not go away, but on non-agri whatever steps that we have been taking, we'll continue to do that and as I said even earlier, our initial target is to reach 40% non-agri and eventually, we want to reach a scenario where both these agri and non-agri segments contribute equally to our business.

Shrenik Bachhawat: Sure. And just 1 accounting question, sir. So basically, as a recent participant asked. So I just wanted to understand the inventory valuation. So inventory valuation we will be doing on cost or realizable value whichever is less, right? For example, if the PVC costing is INR 100 and the price has gone to INR 90. So balance sheet will already be reflecting the INR 90 price, right?

Niraj Kedia: Yes, you are right.

Shrenik Bachhawat: So we would have been taking that

loss on P&L?

Niraj Kedia: Yes.

Shrenik Bachhawat: So that will be impacting our margins further, right?

Niraj Kedia: It has already impacted our margins this quarter, but as you rightly said. Let's take an example.

Say, let's hypothetically we had a material which cost us INR 120, and on balance sheet date or one subsequently the cost realizable value came down to INR 100. So the INR 20 mug-down did happen.

But even this INR 100. So what happened? What happens with this extra accounting channel is you bring your inventory at the net realizable value. But not at the value, which would have given you the markup in the past. So suppose in the -- historically, your cost was INR 90, and you were selling at INR 100, that INR 10 impact cannot be taken into the financials. Unless the material is.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Sameeksha Capital. Please go ahead.

Chintan Sheth: So when we -- I was just going back to the previous participant, Ritesh asked that the spread between the PVC fitting -- sorry, PVC pipes and the PVC resin this year and this quarter around is at a historical high. So that means that the reduction in PVC input for price is higher than the reduction in realization of PVC pipe. The spread is better, but still we reported a loss in the PVC Pipes segment.

This is driven by, obviously one portion is the setting inventory at a higher cost. But what are the other factors, which would have also impacted that I would like to understand. Because the

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raw material cost has lowered down, right. Our cost of PVC resin for the pipes business was lower during the quarter.

There will be some element of the higher cost inventory of the previous quarter, but still the sizable 70% of the raw material portion of the pipes is PVC that has gone down faster than the decline in the pipes realization. I'm trying to understand -- trying to get that sense of why is the loss in the pipes business?

Niraj Kedia: So see it impacts both the businesses. Let me try and see if I can answer that. See for example,

in Resin segment, our raw materials are EDC and ethylene. So obviously, we have a stock or we purchase raw materials, which were high cost and then prices corrected. So the losses that were incurred were because we converted something, which is high cost and our cost of production was probably more than the realization. Now, similarly, in Pipes and Fittings, the input is resin. While resin is transferred at market rates, then there is a gradual and continuous reduction in prices. So you are always doing a catch-up, per se you see given day, you have an inventory, which is at high cost and the prices go down. So that impact comes in pipes. Similarly, while your input prices keep going down in terms of resin. There is always a lead time between what you procure, you manufacture and then you sell. So in this continuous falling trend, this is bound to happen in both the segments.

Chintan Sheth: So are we seeing further reduction in PVC pipes business realizations as we speak?

Niraj Kedia: See they are driven by PVC price changes, right? For example, INR 3 reduced very recently when the impact was passed on. That is how the industry operates. I think it is the right way of operating because I mean, commodity it is best as soon as the price changes have moved. See, if you look at it last two years whatever our margins. The large reason for that was PVC prices going up and we were able to pass on the increase in prices to our customers.

Chintan Sheth: Correct. They could benefit from it.

Niraj Kedia: Yes. So we cannot have a one-way street.

Chintan Sheth: Correct. But from a business perspective, how do -- how should we manage it? Sometimes, when we were guiding that these prices are unsustainable, the \$1,500, \$1,600 of PVC.

At that point in

time would be in a better position to curtailed down our PVC resin manufacturing and source it from the market at the market price and convert the price?

Niraj Kedia: Yes. See curtailing resin production is not the answer, because that will go in a very different tailspin. There are fixed costs associated with the plant. So that is not the right thing. The best way to deal with such a scenario are to my personal opinion. You have to have a cushion in a strong balance sheet. So you have reserves with you. You have adequate cash.

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To take care of these steps and at the same time keep a very minimalistic or a lower level of inventory, which is what we always do. Unfortunately or fortunately what happens is Q2 and when our jetty closes. So we have to stock over the storage and what happened in this quarter, could have been actually a worse time to happen. So it's part of doing business.

Chintan Sheth: No, I understand that. I'm just trying to -- anyway, we have some nimble flexibility to absorb -- flexibility to reduce production. So at least the fixed costs are covered, but we shouldn't have this kind of environment to hold such large inventory. Then we were all also up a view that the prices will crash at that point in time.

Niraj Kedia: So you are absolutely right, Chintanji. But see even in the last two years, every quarter when we were speaking or we were doing our own analysis, everyone would expect that prices will correct, but they never corrected. The ability to predict when prices would correct is very difficult.

Moderator: Thank you. A reminder to the participants anyone who wishes to ask a question may press star and one at this time. The next question is from the line of Vipul Shah from Sumangal Investments.

Vipul Shah: Happy Diwali to all management team. Sir, my question is are we seeing any market share losses in agri or non-agri, your comment please?

Niraj Kedia: No, not really.

Vipul Shah: And sir, what was our last quarter CPVC volume?

Niraj Kedia: Q1, you mean?

Vipul Shah: Yes. This quarter, it is 4,000 tonnes if I heard you correctly, sir.

Niraj Kedia: Yes, you were right. So Q1, so we were 3,670 tonnes, 3,700 tonnes you can assume.

Vipul Shah: So is there any seasonality in CPVC pipe business, sir?

Niraj Kedia: Typically, there is seasonality. Q2 is generally weak.

Vipul Shah: Q2 is generally weak.

Niraj Kedia: Because see, in Q2 there is monsoon so construction activity slightly goes down. So ideally it would be weak and that is how it has been even historically.

Vipul Shah: But this quarter we have shown a good increase?

Niraj Kedia: Yes.

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Moderator: Thank you. Reminder to the participants anyone who wishes to ask a question may press star and one. The next question is from the line of Dheeresh from White Oak. Please go ahead.

Dheeresh Pathak: Just to understand better, how many days of inventory is being kept by the Pipes and Fitting division? Because it seems that when prices were going up like you explained, right. That the Pipes and Fitting division will keep the resin which will buy from the resin division. So in a falling resin price, were impacted by the inventory they keep, but in a rising resin price they did not seem to have benefited that much. So what...

Niraj Kedia: That was benefit.

Dheeresh Pathak: Not to the extent that other companies saw. Because I think larger benefit was booked in the resin division, it seems. But now when prices are falling, the impact is also coming in the pipe division. So how many days of inventory typically the pipe division keeps?

Niraj Kedia: See generally, we keep...

Anil Whabi: See normally, total inventory is more than a month, about a month. And transfers always happen at the

market price. So it is not that what something is done at the cost of Pipe and Fitting segment. So always a particular point of transfer whatever is the market price the transfer happens at that price.

Dheeresh Pathak: Okay. And typically, a month inventory is kept at the Pipes and Fittings?

Anil Whabi: And this is also a function of the drop. You see in these two quarters, the prices have fallen by almost 40%. While the rise when it was there. I don't think, in particular, one or two quarters we saw a rise of 4%. To that extent may not be seen.

Moderator: Thank you. The next question is from the line of Aasim Bharde from DAM Capital Advisors. Please go ahead.

Aasim Bharde: I had a question on PVC imports. So rather than 1 factor dumping. So would you guys have a sense on how imports will shape up in November? So you mentioned that after investigations on dumping have started that has led to PVC slowing down, the dumping rather is slowing down. But clearly not enough given that there was a price cut already and one more is expected in a week or two?

So this will probably mean that shipments are already booked and on the way at hence the price pressure. So basically, I just wanted to understand like from your sense, when does the source of imports basically dry up?

Anil Whabi: No. Today, see this weakness in the market is global today. So prices are lower in US, demand is lower in US the prices being quoted by US suppliers are also low for December shipments.

So it is not necessarily China dumping, which is driving the lower prices.

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Aasim Bharde: Okay. So I think maybe like two, three months ago, the Chinese dumping was a major concern, But the global PVC otherwise is fine, right?

Anil Whabi: No. You're right. You're right. In three months ago or a quarter ago the US prices, which were being quoted were not so low. But then US, Europe also because of all these global situations, there is oversupply.

Aasim Bharde: Okay. So then basically, I mean, one can probably cross their fingers and say that PVC prices may not go down further by a lot. But there's no scope for any near-term prices going up, right? It's basically stable or going low from here?

Anil Whabi: Yes, you are right.

Aasim Bharde: Okay. And just 1 clarification on the inventory a bit in the Pipes division. When you said just 1 month of inventory that is just raw materials, right? Or do you keep also finished goods inventory?

Anil Whabi: No. It's ...see, raw material inventories also kept in all the plants in pipe plants, then there is work in progress compound stage and there is finish inventory also in the warehouses.

Aasim Bharde: So when you say one month, like what exactly does that pertain to?

Anil Whabi: So while inventory together a little above one month, it would be there always.

Aasim Bharde: Okay. Between the three categories you mentioned?

Anil Whabi: Yes.

Moderator: As there are no further questions, I now hand the conference over to Mr. Arun Baid for closing comments. Over to you, sir.

Arun Baid: Yes. I would like to thank on behalf of ICICI Securities to the management for allowing us to close the call. Any closing comments from you Whabi sir?

Anil Whabi: No. Thank you all and let's hope for the better times. Thank you.

Arun Baid: Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, on behalf of ICICI Securities, that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Feb 2023

FIL/SEC/SEs/2022 -23/100

10th February, 2023

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Investors and Analyst call (Q 3 FY23)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our letter no. FIL/SEC/SEs/2022 -23/093 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on 6th February, 2023 , for discussing the performance for quarter and nine month s ended on 31st December , 2022.

The same has also been made available on website of the Company under Investor's section.

Thanking you,

Yours sincerely,

For Finolex Industries Limited

Ashutosh Kulkarni
Company Secretary & Compliance Officer
M. No.: A18549
Encl.: As above

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"Finolex Industries Limited
Q3 FY2023 Post Results Conference Call"

February 06 , 2023

ANALYST : MR. ARUN BAID – ICICI SECURITIES

MANAGEMENT : MR. ANIL V WHABI – MANAGING DIRECTOR - FINOLEX
INDUSTRIES LIMITED
MR. AJIT VENKATARAMAN – CHIEF EXECUTIVE
OFFICER - FINOLEX INDUSTRIES LIMITED

MR. NIRAJ KEDIA - CHIEF FINANCIAL OFFICER -
FINOLEX INDUSTRIES LIMITED
Finolex Industries Limited
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Page 2 of 20 Moderator : Ladies and gentle men, welcome to the Finolex Industries Limited Q3 FY2023 Earnings Conference Call hosted by ICICI Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions at the end of the day's presentation. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchstone phone. Please note that this conference is being recorded. I would now like to hand the conference over to Mr. Arun Baid from ICICI Securities . Thank you . Over to you, Sir!

Arun Baid : Good morning ladies and gentlemen. On behalf of ICICI Securities I welcome you all to the Q3 FY2023 post result con call for Finolex Industries. From the management side we have Mr. Anil Whabi, Managing Director , Mr. Ajit Venkataraman CEO and Mr. Niraj Kedia, CFO. Now I hand over the call of Mr. Whabi for his openings remarks post which the floor will be opened for Q&A. Over to you Mr. Whabi!

Anil Whabi : Thank you Arun. Good morning ladies and gentlemen . Welcome to the investor conference call Q 3 FY2023 earnings release. We thank you all for your continued interest in Finolex Industries Limited. After the adverse impact on Q2 FY2023 due to fall in prices of PVC , this quarter company reported a substantial improvement in performance on account of robust growth in sales volume for both PVC resin and Pipes & Fittings segment and stabilization of PVC prices. Earnings performance improved on the back of stability in raw material prices. Let me give you some of the performance indicators for the third quarter of the financial year 2023.

Q3 FY2023 highlights . Total income from operations increased 12 % to Rs.1,125 Crores against Rs.1,004 Crores in Q 3 FY2022 . The EBITDA on a Y -o-Y basis decreased 62% to Rs.92 Crores in Q3 FY2023 from Rs.242 Crores in the previous corresponding quarter of Q3 FY2022 . However , there is a marked improvement over the EBITDA loss of Rs.142.67 Crores incurred in Q 2 FY2023. The company reported Profit after tax of Rs.72 Crores in Q3 FY2023 as compared to Rs.178 Crores in Q3 FY2022 and compared to a loss of Rs.93.92 Crores in the previous quarter. Getting into segmental performance, pipes and fittings revenue increased 30% to Rs.1077 Crores in Q3 FY2

023 from Rs .831 Crores in Q3

FY2022. Volumes in pipes and fittings segment reported a robust growth of 92% Y-o-Y to 90,396 metric tonnes in Q3 FY2023 against 46,994 metric tonnes in the corresponding last quarter. The EBIT in pipes and fitting segment was Rs. 69 Crores in Q 3 FY2023 , 25% up on Y-o-Y basis compared to Rs.55 Crores in Q 3 FY2022 and compared to loss of Rs.47.63 Crores in Q2 FY2023. Moving to PVC resin segment , revenue in the resin segment decreased 21% from Rs.636 Crores in Q3 FY2022 to Rs.504 Crores in Q3 FY2023 .

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Page 3 of 20 Volume in resin segment grew 49% to 696 metric tonnes in Q3 FY2023 from 43,464 metric tonnes in Q3 FY2022 .

EBIT in the resin segment was Rs. 12 Crores in Q3 FY2023 compared to Rs.178 Crores in the corresponding previous years' quarter and compared to loss of Rs.110.68 Crores in Q2 FY2023 . The company continues to have a strong balance sheet with the net cash surplus of roughly 1,520 Crores as on 31 December 2022. Let me now leave the floor open for questions. I have my colleagues Ajit and Niraj with me . Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Aman Agarwal from Equirus Securities . Please go ahead .

Aman Agarwal : Hi Sir. Thanks for the opportunity and congratulations on great results . So just wanted to understand on the demand side for the piping segment. 3Q obviously had some good impact because of fall in PVC prices so how is the situation now and what is the kind of annual number that now you are looking at ?

Niraj Kedia : Hi good morning Aman . So yes Q3 was I would say very good in terms of demand , you can see that in the results primarily because the markets opened up. We believed there was some pent up demand which was long pending due which came up so Q3 impact what we have achieved it is the highest ever Q3 numbers that we have achieved. Q4 and Q1 traditionally are strong quarters when the season opens up, but we expect that we will breach the pre COVID levels by the end of this financial year . But there is a slight sluggishness in demand as compared to Q3 what we saw.

Aman Agarwal : Okay you intend to say ~263,000 was the number that we achieved in FY2019 for the piping segment. We will reach that in this year.

Niraj Kedia: Yes.

Aman Agarwal : Sir, on the realization side do we see any further cuts in 4Q or there should be a slight jump up.

Niraj Kedia: See if you see in Q3 after September, the prices in fact went down by Rs.11.5 , PVC prices now subsequently in the month of December some of it was recovered in fact most of it was recovered actually , but last month has been more or less stable after the first week of January we have not seen any prices increases neither we have seen any reductions so there is stability in the market which is a good thing. We do not foresee any abnormal

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Page 4 of 20 movements either side, so as of now and the way the markets have behaved in the last one month we hope this to continue , but again this is anybody's call.

Aman Agarwal : Sir, lastly do we see any capacity constraints for further growth for the company in this year of maybe FY2024.

Niraj Kedia: Not yet.

Aman Agarwal : Sure Sir. Thank you. That would be it from my side.

Moderator: The next question is from the line of Akshat Mehta from Sameeksha Capital . Please go ahead.

Akshat Mehta : So a couple of questions . Sir if you can provide the mix between agri and non -agri for Q3 and the CPVC volumes.

Niraj Kedia: In terms of volume , our non-agri was 27% in terms of volume and for the full year 9 months it is 30%.

Akshat Mehta : Okay and CPVC.

Niraj Kedia: So we CPVC we did roughly 4100 tonnes this quarter .

Akshat Mehta : Secondly Sir my question is on the cash that you have on your balance sheet in September

you had around 1300 Crores of cash on the balance sheet so again what is the plan to utilize

this cash that is available with you either you put into expansion or some inorganic acquisition or you want to pay it out as dividend to share holders. What is the plan of use for that cash?

Niraj Kedia: In the last one year I know this question has been coming and we have also been saying see the whole idea was first for the markets to get stabilized after all this last two years of effects of COVID we were not able to kind of very strongly predict how the market is going to behave , but now mostly COVID is behind us and volumes have come back to normalized levels . So we will see probably in a years or two times we will require additional capacity . So this money will be either used there and if the money generation is more then it will be returned to the share holders in one form or other. It will not be kept in the balance sheet for a very long term.

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Page 5 of 20 Akshat Mehta : Okay. Apart from that is there any inventory loss that we had in Q3 any figure that you can provide for that?

Niraj Kedia: Figure is difficult. Yes we did have inventory loss. In fact the whole losses that we reported was primarily on account of inventory losses.

Akshat Mehta: Okay and can you guide me as to how going forward you are seeing as we want to increase share of that non -agri side because there are higher margins there and we want to reduce our dependence from the agri side so what is the plan to go forward with that. How are we going to execute that?

Niraj Kedia: I would like Ajit to answer that but before he answers, yes there is a very clear focus on improving non -agri. If you see on the non -agri side per se also in this quarter our non -agri growth has been 33% on a 9 month basis . our non -agri growth has been 20% in terms of volumes . So non-agri is definitely moving up as per our expectations . The split has slightly changed in this quarter because the agri demand has surpassed the non -agri demand . So in fact if you see on a quarter on quarter basis , our agri volumes are more than 100% compared to last year . So that is what has skewed the ratio towards agri otherwise if you look at non agri from a standalone perspective , the growth is substantial.

Ajit Venkataraman: Thanks Niraj. In addition to what Niraj mentioned there is a renewed force on making sure that brand awareness of Finolex in the non -agri segment has been increased. We are going after increase in network for our non -agri business and in terms of our product range also we are expanding it and therefore all these areas put together we expect that the renewed focus of Finolex on non -agri segment will help us grow in these segment.

Akshat Mehta : Okay thank you Sir.

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal : Hi good morning. Thank you for the opportunity and hope all of you are doing well. Sir

three questions , firstly to take forward the earlier question on sales mix my sense is the company obviously intends to become a very balanced company in both agri and plumbing. You said obviously you are expanding network and you mentioned product offering expansion. I had a related questions versus other national brands like Ashirwad or Supreme , Astral, Prince whoever , could you highlight some gaps in case there are any on the plumbing pipe and fitting pipe today what we offer and sub question to that also was that in Finolex Industries Limited
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Page 6 of 20 terms of derisking from West and South India because I think that is like bulk of the business for Finolex any thought on that please that is the first question.

Ajit Venkataraman : I do not think there is any gap in the product portfolio. We do agree that we s

tarted a little

bit late in the whole process ; so it is more of a catchup than anything else. In terms of strengths, we have tremendous strength in both west and south and in our non -agri portfolio ,we are seeing strength coming from north as well . So we are focusing in all those areas to make sure that the growth comes in the non -agri segment in plumbing and sanitation.

Rahul Agarwal : So in terms of your internal intention to derisk from south and west is that an intention at all going forward .

Ajit Venkataraman : No we would capitalize on our strength. There is no reason to move away from that. Also our strength in rural areas where the growth is coming from , these regions give us pretty good foundation for us to take off.

Rahul Agarwal : Got it Sir. Second question was on pipe volume, the reasons attributed to such a high number in the quarter essentially one is agri demand is stellar and second my sense is that there is some restocking element as you said some pent up demand. Questions are essentially would you expect a soft fourth quarter because generally you would do such volumes in 4Q and 1Q of every year and assuming 4Q demand is also solid you are using almost 80% of your pipe capacity. I typically think the industry peaks out at this number. Would you be in a situation where your capex is actually delayed and you are not announcing that right now these are some questions on pipe volume?

Niraj Kedia : So there is no announcement Rahul that is not the case at all. On demand side as I said and you also said the same thing that Q4 and Q1 are generally our strong quarters. The demand is strong in this quarter as well but it is not as strong as we saw in Q3.

Rahul Agarwal : So that is pretty clear and I would imagine to beat 2,60,000 tonnes for this year is pretty easy because we are already had 2,20,000 in 9 months. What I am trying to guess is your fourth quarter should be softer than 3Q purely because of the pent up number sitting in 3Q is that understanding correct.

Niraj Kedia: Yes.

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Page 7 of 20 Rahul Agarwal : Okay and in terms of capex you think you are not delayed so 80% is a very high number do not you think so because I think the effective usage of rated capacity is generally 75 right because of different sizes and stuff.

Niraj Kedia: See our rated capacity is 370.000 tonnes when it comes to pipes plus there is a fitting capacity as well so that way we are very comfortable.

Rahul Agarwal : Okay got it and lastly on other expenses the number is Rs.224 Crores for the quarter looks really high for me. Previously you had explained that coal pricing and forex losses had impacted could you give clarity as to what really happened in 3Q and what lies ahead of you.

Niraj Kedia: Which quarter are you talking about?

Rahul Agarwal : Current quarter, third quarter you reported Rs.224 Crores of other expenses. It looks very weirdly high to me any one off elements here.

Anil Whabi : See it is also because of higher volumes and of course power cost anyway has gone up for everybody compared to last year , but this jump that you see is because of higher volumes.

Rahul Agarwal : Okay got it. No significant forex loss sitting here right.

Anil Whabi : Of course not.

Rahul Agarwal : Perfect Sir. I will come back in the queue. Thank you so much. All the best.

Moderator: Thank you. We have the next question from the line of Vanith an individual investor. Please go ahead.

Vanith : I had two questions actually. First was with regard to the sales mix. I just wanted to know in a long term kind of perspective say I am talking about like two or three years from now. Is there any particular figure which we have in mind between agri and non -agri as well plumbing and fittings - the other division and my second question was with regards to the price of the raw material and by what time can we actually com

e to a little bit of a sustainable margin and if there is a particular figure which is a sustainable margin for us in the long run.

Niraj Kedia: On the volume mix a couple of years ago, two to three years ago, our mix was 20:80 in that range but now it comfortably over 30-35%. Our long term target in both these sub

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Page 8 of 20 segments, I will call it agri and plumbing sanitation, should be equal contributors in terms of volumes. It will take some time but that is what we aspire for and coming to your question on raw material pricing, see, as I said last one month has been more or less stable when it comes to PVC prices; so if everything remains same and these are normal levels which were there even pre COVID so there is nothing else which changes globally, we are almost there I would say.

Vanith: Is there a particular figure like 10% or like 20% something like that. The margins.

Anil Whabi: If you see in pipes and fittings the normal margins in our case is normally Rs.8 to 10 per kg which we should achieve but in case of PVC resin it is always below 10 and depends on market parameters.

Vanith: Thank you very much and all the best for the coming quarters.

Moderator: Thank you. The next question is from the line of Asim Bharde from DAM Capital Advisors Limited. Please go ahead.

Asim Bharde: Hi good morning. Just one question on PVC. Just wanted to know how is supply right now especially from imports and with China reopening and there was a recent snow storm that knocked out southern US recently could that hit supplies and could that drive prices higher in your opinion.

Niraj Kedia: When it comes to PVC for consumption, we make our own PVC, so we do not generally import PVC. But on the overall industry demand side, we do not hear of any shortages anywhere. There was this condition some months ago but we do not hear from our purchase team or anywhere else that there is any supply constraint from anywhere. PVC is available freely.

Asim Bharde: Is PVC from China also coming in at regular pace. It might have come off in recent times but is it still coming in or is that completed.

Anil Whabi: After their new year closure in fact China market has picked up so demand is better there now. So what is expected is prices up to March if not strengthened will definitely not fall. So there will be good demand in China. Earlier the prices were falling because of lack of demand in China.

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Page 9 of 20 Asim Bharde: I think there was no case for price fall from here. I just was trying to check what is the probability for price rise in the near term because China is reopening so that should take supplies away from the Indian market.

Anil Whabi: It is possible but I do not think the price rise will be phenomenal. It may range. It will be range bound.

Asim Bharde: Okay got it. Thank you.

Moderator: Thank you. The next question is from the line of Abhishek Gosh from DSP. Please go ahead.

Abhishek Gosh: Hi Sir. Thanks for the opportunity. In terms of profit from associates has seen a major jump. Any sense on that.

Niraj Kedia: That is a small operation that they do. I mean the demand was good on that side as well. So that is how. Again this is also largely agri that business caters to largely agri demand. I mean in our case also agri demand was pretty high and similarly with irrigation business there was a large pent up demand which came up contributing to their profitability.

Abhishek Gosh: Okay thanks. Sir the other question is since you have already done largely closer to your peak capacity, the other way to look at it is the 90,000 tonnes per quarter given the overall fittings capacity and overall PVC pipe capacity. In a quarter can you produce more than a lakh is there a possibility.

Niraj Kedia: Yes.

Abhishek Gosh: Okay so if de

mand comes back in fourth quarter or first quarter of FY2024 you can produce up to 1 lakh tonne per quarter.

Niraj Kedia: Yes definitely.

Abhishek Gosh: Sir the other thing is given that you have such amount of huge cash on balance sheet. The way we look at your business you typically do 90,000 tonnes in those peak quarters of 4Q and 1Q and there is a fairly a lean quarter as far as 2Q and 3Q is concerned given so much of cash in balance sheet. Would building up inventory for those peak seasons given that you are not adding capacity can that also be an option or is outsourcing also something that you

will evaluate at some point in time.
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Page 10 of 20 Niraj Kedia: So see theoretically speaking that is an option that we stock up. But see in our business, we in commodity business - Then you are leaving yourself open to the volatility in metal price movement so today if you stock up and metal prices crash and then you will be susceptible to those risks. So then it does not really make sense for us or anybody else for that matter to stock for the peak season in the lean season. So that is something that is not advisable in our view and secondly on your outsourcing no. On pipe side we will not be outsourcing to anybody.

Abhishek Gosh: Okay. Sir the other thing is if you can also help us with your CPVC volumes and revenue for the quarter.

Niraj Kedia: So CPVC as I said our volumes for the quarter was 4,100 tonnes and revenue was roughly Rs 160 Crores.

Abhishek Gosh: Okay. Sir just one last question from my side. In terms of the channel inventory now which was fairly lean in 3Q FY2023 how does it appear now in terms of the overall channel inventory.

Niraj Kedia: Channel inventory per se is not very high, always. It is 7 to 10 days between one to two weeks. Yes in Q3 it had gone down because naturally the prices were rapidly going down.

Now it is back to the normal levels, but see this does not really make much of a difference.

If you talking about 10 days going down to 2 days or 3 days, you are talking about one week in that only.

Abhishek Gosh: Yes but I am saying now the channel inventory is back to stable levels?

Niraj Kedia: Yes more or less.

Abhishek Gosh: Okay so how should one expect the volume growth for FY2024 now from here on any thoughts?

Niraj Kedia: We will get more clarity on this after Q1 of FY2024. The industry dynamics are very volatile. From very, very slump situation we went to excess demand and again normalized now so there are a lot of factors which affect the demand and supply. So as we move into the next year Q1, we will get a bit more clarity.

Abhishek Gosh: Sir my question was more trending towards the fact that last three agri seasons, two agri seasons were impacted due to the two waves of the crisis and then last year you had sharp increases in PVC prices so you did not have any demand at those PVC prices of 151 to 160?

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Page 11 of 20 Now those things have normalized so can one expect a very strong 4Q and 1Q despite a good 3Q is what my question was and on that basis how should one look at the growth so that is what is what I was trying to get a sense around?

Niraj Kedia: Let us see how the quarter goes in. That will be the right measure. So far as I said earlier also the demand is not bad. It is good, but it is slightly sluggish when you compare it with Q3.

Abhishek Gosh: Got it. Okay Sir thank you so much. I will come back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Sandesh Barmecha from Haitong Securities. Please go ahead.

Sandesh Barmecha: Thank you for the opportunity, Sir so just two questions from my end? Sir what is the fittings revenue for Q3 FY2023 Sir?

Niraj Kedia: So fittings revenue was Rs.200 Crores.

Sandesh Barmecha: Sir what

will be our capex plan for the next two to three years Sir? Any plans to increase capacity through any Brownfield or open up any new plant in North or East?

Niraj Kedia: So there are various discussions which keep happening on the drawing board. On the pipe side there is nothing concrete as of now. We keep on adding capacity wherever required on a model basis be it upgradation of extruders or something. On fitting side we keep on adding moulds and some machines. That will continue but as of now if your question is specifically to know if there any plan finalized for opening a new factory somewhere of pipes that is nothing concrete as of now.

Sandesh Barmecha: Okay. Sir what will be our capex for nine months FY2023 and full year FY2023 and FY2024 Sir?

Niraj Kedia: So capex for this year.

Anil Whabi: Again we have said earlier it would be in the range of Rs.150 Crores for the year.

Sandesh Barmecha: So anything planned for FY2024?

Ajit Venkataraman: Similar range unless we take up some large project to implement.

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Page 12 of 20 Sandesh Barmecha: Okay great Sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Bhargav Buddhadev from Kotak Mutual Fund . Please go ahead .

Bhargav Buddhadev: Good morning and thank you lot for the opportunity and congrats for a good set of numbers. My first question is on the implementation of DMS so we believe that the dealers have now placed orders through DMS but how about distributors or dealers further tracing giving business to retailers? What has been our progress on that front and are we able to see that all schemes are being passed on to retailers?

Niraj Kedia: Good morning Bhargav , so dealers are completely on our CRM as we call it ; so I think it has been almost a year now. No more orders on e-mails or excels ; so they are fully using our CRM. On the secondary side that is what your question was on the retailers ; so that has commenced ; so there are pockets where this has already started and gradually it is moving to all dealers.

Bhargav Buddhadev: So by when do we expect that to fully get completed the secondary side?

Niraj Kedia: In three to six months.

Bhargav Buddhadev: Okay understood. Secondly in terms of number of SKUs, it is possible to quantify how much we have in total?

Niraj Kedia: Roughly 2200.

Bhargav Buddhadev: Great. Thank you very much.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec . Please go ahead .

Ritesh Shah: Sir couple of questions. Sir first I missed on the volume metric terms? Can you help with what was the agri and the non agri pipe for Q2 FY2023 and Q3 FY2023 please?

Niraj Kedia: So agri pipe and fittings was roughly 66,000 tonnes and non agri was roughly 24,000 tonnes.

Ritesh Shah: So this was for Q3 or Q2?

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Page 13 of 20 Niraj Kedia: Q3.

Ritesh Shah: And the same number for Q2 please?

Niraj Kedia: 37,000 and 22,000.

Ritesh Shah: Sir my question is if we look at the realization on a per tonne basis for pipes and fittings versus resins, it has actually moved up very sharply so if you look at last year those numbers were at around 1.28 to 1.22x? This year the same numbers are at 1.52 to 1.53x? I am looking at realization per tonne of pipes and fittings versus PVC realization . So there is something right which we are doing either on the product mix whether it is more of CPVC or it is more of fittings Sir how should we understand that?

Anil Whabi : Ritesh it is number of factors , but obviously when the demand was much more than what we could supply there was price correction in the pipes yes.

Ritesh Shah: Sir I could not understand it so is it we are focusing more aggressively on the mix towards non agri side and more on fittings? Is that the reason why the numbers are actually

looking up?

Anil Whabi : Obviously if you see the past period the fittings volumes in terms of total have gone up.

Ritesh Shah: Sir it is possible to quantify that for PVC and CPVC together because in the presentation we only have for PVC?

Anil Whabi : Not it is both put together.

Ritesh Shah: It is both put together okay that helps. Sir my second question is can you just provide us some color on the sourcing for EDC and DCM what sort of contracts we have and is this business normal scenario right now or are we facing some challenges when it comes to sourcing of this raw materials?

Anil Whabi : No see we normally have annual contracts and they have been going for years and off and on because of some shutdowns there are temporary blitz and then if such a thing happens , we source from the open market on spot basis , but otherwise we have annual contracts with all of them.

Ritesh Shah: Sir currently is the business normal when it comes to sourcing all the three raw materials for us?

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Page 14 of 20 Niraj Kedia : Yes.

Ritesh Shah: Okay and Sir last question on CPVC resin Sir what is our sourcing right now and is it again a business normalcy or are we looking at something different over here?

Anil Whabi : So it is normal.

Ritesh Shah: Okay and Sir where do we source our CPVC resin first?

Anil Whabi : It is multiple sources.

Ritesh Shah: Okay fine and Sir last question would there be some mix that we will be looking on outsourcing versus captive manufacturing? You indicated on pipes it will always be captive manufacturing? Any specific number on fittings? Will it always be outsourced? How should we look at it?

Niraj Kedia : Those outsourced capacities when we say they are exclusive for it so actually there was capacity that was set up for us. It is not outsourcing in the normal terms where the vendor is supposed to supply to somebody else also . So these are exclusive capacity for us.

Ritesh Shah: Sir let me put it the other way? Like we have full confidence in Finolex when it comes to adding capacity on the piping side but when we do that on the piping side will we have the same flex on the fittings outsourcing side or will there be an element of timeline

Anil Whabi : When I say how does it matter when the fittings as we have been adding capacities over the year so whether we add it at vendor or our own it actually does not make any difference.

Ritesh Shah: Sir I am looking at the time element basically we can easily add an extruder and actually increase the capacity but the same thing will it be as easy when it comes to fittings and outsourcing?

Anil Whabi : See in case of fittings you must know the moulds belong to us. The moulds and designs of the fittings belong to us so we keep on adding moulds.

Ritesh Shah: Okay this is helpful Sir. Thank you so much for the answers.

Moderator: Thank you. We have the next question from the line of Vipukumar Shah from Sumangal Investment . Please go ahead .

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Page 15 of 20 Vipukumar Shah: Sir can you give the value wise figure for agri and non agri separately? I think you have given volume wise is 30% for nine months but value wise of course it should be much more?

Niraj Kedia: Generally we do not give this value split. I will tell you just when while we say this agri and non agri also , we need to understand in cognizant of the fact that in lot of markets especially North and West , the agri pipes are used for non agri applications . So that way if you look at it from an usage perspective it becomes very difficult to say whether this was agri or non agri. So while we give that the volume and all it is not right to look at them purely from an agri and non agri perspective because there is flux in that - between agri and non agri also; so generally we do not give this number. It is of less relevance.

e.

Vipukumar Shah: Okay and Sir second question relates to our fitting volumes? I can understand that Q1 and Q4 for agri has higher sales but even in fittings we see lot of volatility in our sales so what is the reason for this volatile ?

Niraj Kedia: I am not sure why and how are you coming in this volatility in fitting volumes because if you look at last seven to eight quarters , every quarter this has only improved.

Vipukumar Shah: I think on the last slide of your presentation I think there is some volatility ?

Niraj Kedia: No, not on fittings. This quarter we did roughly 8000 tonnes of fittings.

Vipukumar Shah: So Q4 it was 7834? Then it came down in Q1 to 644?

Niraj Kedia: That is seasonality. Q4 will be generally more than Q1?

Vipukumar Shah: So that I was trying to understand so in fitting also there is seasonality?

Niraj Kedia: Yes there is seasonality but there is lesser seasonality.

Vipukumar Shah: Not as seasonal as pipes right?

Anil Whabi : Both are seasonal. It actually depends. The demand of fittings in agri is much less. In fittings the major volume would always be of plumbing and sanitation where the volatility is little less.

Vipukumar Shah: Sir lastly what is the current delta of PVC and EDC as on today?

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Page 16 of 20 Niraj Kedia: The latest numbers on PVC and EDC the delta is roughly \$665.

Vipukumar Shah: It was same the last quarter average right?

Niraj Kedia: Last quarter average was roughly \$570.

Vipukumar Shah: So \$100 higher than that . Okay Sir? Thank you and all the best Sir?

Moderator: Thank you. The next question is from the line of Rahul Agarwal from Incred Capital . Please go ahead .

Rahul Agarwal: Thank you for the followup. Actually the question was on the pricing? If you could help me PVC, EDC, VCM pricing for Q3, Y-o-Y and the current price please thank you?

Niraj Kedia: So for Q3 PVC was \$840, EDC was \$270 and VCM was \$650 . So the PVC and EDC delta was \$570 and PVC and VCM delta was \$189.

Rahul Agarwal: And the Y-o-Y number in the current mix please?

Niraj Kedia: So you mean Q3 FY2022.

Rahul Agarwal: Yes?

Niraj Kedia: PVC was \$1753, EDC was \$959, and VCM was \$1403. The PVC and EDC delta was \$795 and the PVC and VCM delta was \$350 . That is average for Q3 FY2022.

Rahul Agarwal: Got it and you said currently PVC and EDC delta is \$665 and what would be PVC and VCM?

Niraj Kedia: \$190.

Rahul Agarwal: Which is similar to last quarter?

Niraj Kedia: Yes.

Rahul Agarwal: Okay and Sir the one question was on the land update? Obviously we do not think more transactions happened but should we see this as a delay or this is how you were expecting it to play out?

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Page 17 of 20 Niraj Kedia: No. So we have to close this as soon as possible. We are working towards it. There is no intentional delay or there is no intention in speeding up of things. The mandate from the board is very clear. We have to get this disposed off and we are working towards this. There is no delay as such.

Rahul Agarwal: So let us say by December we should expect this to complete because that is another Rs.300 Crores?

Niraj Kedia: Hopefully.

Rahul Agarwal: Okay got it. Thank you so much. All the best.

Moderator: Thank you. We have the next question from the line of Karan Bhatelia from Asian Markets Securities . Please go ahead .

Karan Bhatelia: Thank you for the opportunity. Sir if you leave aside these inventory fluctuations in both the divisions what could be the margins for this quarter?

Niraj Kedia: That is difficult to quantify.

Karan Bhatelia: Like so we will be still getting?

Niraj Kedia: I will tell you why I am saying this. Prices after September, in October and November prices kept going down. In fact by November they had gone on further by Rs. 11.5. It is only in December that pr

ices kind of stabilized and they went up again so that number is very difficult to give.

Karan Bhatelia: Right and Sir one clarity which I wanted to have? Sir we keep mentioning about Rs.8 to Rs.10 margins for the plastic pipe division so that is assuming of 50% and 50% mix on the agri and non agri?

Niraj Kedia: No with that the margin should improve.

Karan Bhatelia: Right okay. Thank you. That is it from me.

Moderator: Thank you. The next question is from the line of Padma Raju Mathi from SBI Life Insurance . Please go ahead .

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Page 18 of 20 Padma Raju Mathi: Thank you for taking my question. Sir my first question is related to the capacity side? By the end of this financial year what would be our capacity on the PVC pipes?

Niraj Kedia: 370,000 tonnes.

Padma Raju Mathi: Okay there could be some debottlenecking next year or it is not required?

Niraj Kedia: As of now it is not required. We have substantial headroom.

Padma Raju Mathi: Okay and my second question is related to your earlier comment on the sluggishness on demand so is that visible on the agri and non agri or it is overall?

Niraj Kedia: Overall.

Padma Raju Mathi: Okay fine. Thank you.

Moderator: Thank you. We have the next question from the line of Rahul Agarwal from Incred Capital . Please go ahead .

Rahul Agarwal: I am sorry just last thing? One question on the lay of the land in PVC right now? I am talking about pipes and fittings largely? Obviously PVC pricing stabilizing means that smaller regional players become competitive and they want to increase their own business? Across your markets South, West and North these are three large markets where you work a lot of new plants have come up for peers , national brands as well as you must be seeing some regional players trying to come back and increase business any thoughts on how is the market behaving in terms of supply side from a PVC pipe and fitting perspective? How is Finolex coping up with that?

Ajit Venkataraman: We have done an analysis of our network and also the ideal location of plants and we are not seeing ourselves at a great disadvantage because of concentration of manufacturing locations in the rest of the country and this is something which we are constantly evaluating

and at an appropriate time when the volumes reach a critical mass in any of the locations then we will consider it.

Rahul Agarwal: In terms of the competition any comments Sir how are you looking at competition right now?

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Page 19 of 20 Anil Whabi : Competition has always been there so there are huge number of regional players and new players have been coming in the market , but as the market is growing, I think there will be space for everybody to grow.

Rahul Agarwal: Okay thank you so much for taking my question. Thanks.

Moderator: Thank you. The next question is from the line of Arun Baid from ICICI Securities Limited . Please go ahead .

Arun Baid: Sir just one thing when we look at our EBIT numbers for resin business in this quarter , it is obviously low so we would have an inventory loss there? Is that a right way to look at it?

Niraj Kedia: Yes that is right. That is what I said Arun in the month of October and November also prices kept on going down ; so there was inventory provisioning in October and November as well.

Arun Baid: Okay but as things stand today we will go back to normalization of profit in Q4 from this segment because PVC pipe was normal ?

Niraj Kedia: It should. Now most of all that old high price inventory has been consumed ; so in our view large part of the pain is behind us. We will see how market is behaving in the coming months.

Arun Baid: And just one more clarification Sir when you mention there is a slowdown compared to Q3 are you trying to just make it a Q2 phenomenon or generally the demand

is good but

compared to Q3 which is abnormally high?

Niraj Kedia: Compared to Q3.

Arun Baid: But compared to a normal situation Q4 is much better off than normally right? Is it right?

Niraj Kedia: It is a normal quarter. It looks like normal quarter so far. We will see how it pans out.

Arun Baid: Okay there are no more questions so I want to thank you all for giving us a chance to host this call and if there are any concluding remarks you want to give please share it.

Anil Whabi : Thank you. I appreciate it. Thank you very much.

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Page 20 of 20 Moderator: Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2023

(no extractable text — likely a scanned image PDF)

Call: Jul 2023

FIL/SEC/SEs/202 3-24/045

25th July, 2023

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Investors and Analyst call (Q 1 FY24)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our letter no. FIL/SEC/SEs/2023 -24/039 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on 20th July, 2023 , for discussing the performance for the quarter ended on 30th June, 2023 .

The same has also been made available on website of the Company under Investor's section.

Thanking you,

Yours sincerely,

For Finolex Industries Limited

Ashutosh Kulkarni
Company Secretary & Compliance Officer
M. No.: A18549

Encl.: As above

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"Finolex Industries Limited
Q1 FY '24 Earnings Conference Call "
July 20 , 2023

MANAGEMENT : MR. AJIT VENKATARAMAN – MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. NIRAJ KEDIA – CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Moderator: Ladies and gentleman, good day, and welcome to the Q1 FY '24 Earnings Conference Call of Finolex Industries Limited, hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an

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operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, sir.

Arun Baid: Good morning, ladies and gentlemen. On behalf of ICICI Securities, I welcome all to the Q1 FY '24 Post Results Con Call of Finolex Industries. From the management side, we have Mr. Ajit Venkataraman MD; and Mr. Niraj Kedia, CFO.

Now I hand over the call to Mr. Ajit for opening remarks, post which the floor will open for Q&A.

Ajit Venkataraman: Thank you, Arun. Good morning, ladies and gentlemen. Welcome to the investor conference call for Q1 FY '24 earnings release. We thank all of you for your continued support and interest in Finolex Industries Limited.

Q1 FY '24 continues to see strong volume growth on the back of improvement in demand dynamics in both rural and urban segments. Operating performance has improved despite correction in PVC prices. While the performance of pipes and fitting segment has been phenomenal, the PVC segment has -- was adversely impacted due to sharp contraction in the PVC/EDC and PVC/VCM delta during the quarter. However, this trend seems to be improving in the current quarter, with some feedstock prices normalizing.

Let me give you some of the performance indicators for the first quarter. Q1 FY '24 highlights. Total income from operations of INR1,179.17 crores, was almost at the previous year's level of INR1,189.81 crores in Q1 FY '23. EBITDA for the company for the quarter Q1 FY '24 increased 21% year-on-year basis to INR152.47 crores as compared to INR125.91 crores in Q1 FY '23. EBITDA margin also increased on a year-on-year basis to 12.93% this quarter compared to 10.58% in the corresponding previous quarter of Q1 FY '23. The company reported profit after tax of INR110.88 crores in Q1 FY '24 as compared to INR100.9 crores in Q1 FY '23 and INR158.35 crores in Q4 FY '23.

Now getting into the segmental performance, pipes and fittings. Pipes and fitting revenue increased by 2% to INR1,154.21 crores in Q1 FY '24 from INR1,132.01 crores in Q1 FY '23. This was despite a nearly 30% drop in PVC prices since July of last year. Volume in pipes and fittings segment reported a robust growth of about 28% year-on-year to 92,181 metric tons in Q1 FY '24 against 71,960 metric tons in the corresponding last quarter. The EBIT in pipes and fittings segment was INR126.44 crores in Q1 FY '24, significantly up by 197% on a year-on-year basis compared to INR42.58 crores in Q1 FY '23. On a sequential basis, EBIT improved 40% compared to INR90.32 crores in Q4 FY '23.

Moving to PVC Resin segment. Revenue in resin segment decreased 54% and from INR784.58 crores in Q1 FY '23 to INR359.41 crores in Q1 FY '24. Volume in the resin segment decreased 27% to 46,074 metric tons in Q1 FY '24 against 62,746 metric tons in Q1 FY '23.

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FY '23. EBIT in resin segment was INR3.12 crores in Q1 FY '24 compared to INR72.9 crores in corresponding previous year's quarter. The company continues to have a strong balance sheet with a net cash surplus of roughly INR1,650 crores as on 30th June 2023. Let me now leave the floor open to questions. Thank you.

Moderator: Thank you very much. Our first question is from the line of Bhavin Pande, from Athena Investments. Please go ahead.

Bhavin Pande: I just wanted to understand why are we witnessing this sort of decline in the resins business? And also in your opening remarks, you mentioned the delta between CPVC and PVC. And so I just wanted to understand how does it impact the business?

Niraj Kedia: So see, in the resin business, you would appreciate this is more of a very commodity kind of a business. So what happens, PVC, which is the output, it is priced in India

as per import price

parity. And the feedstock are mainly EDC and VCM. Generally, there is not an immediate impact of PVC price rises on the feedstock and vice versa. So from last year onwards, PVC prices have been declining. If you recall from June of last year onwards, May, June of last

year, April, May, June, since then, PVC prices have been going down from, say, 135 levels, they have come down to now 78, 79 levels.

The feedstock prices have also corrected, but there is generally a lag. So in this quarter, the delta between PVC and EDC actually came down as compared to previous year and 2 years before that also. So it was less at around USD 460 levels. Whereas the VCM to PVC delta, it came down to even below USD 150. But that is how the industry is, that is how the dynamics of this commodity business run, and that is why you see the shrinkage in the profitability or the margin of the resin segment. But now as we speak, there has been an improvement in the delta. So that's how it has impacted us.

Ajit Venkataraman: And in terms of volume, the volume drop, a significant contribution to the volume drop has been almost a month shut down we had taken for maintenance.

Bhavin Pande: Okay. Okay. So for us to -- of course, it is the nature of the beast with deltas and everything narrowing and expanding. So is there any way that we can protect ourselves on this? Or it's just the way it would operate?

Niraj Kedia: Generally, it is the way that it will operate. The best way to protect oneself is to have as minimum inventory as possible, okay? But you'll also appreciate in the last 2 years, FY '21, '22, the business also gained a lot from this delta. We kept on buying lower price feedstock and PVC prices were going up. So we also had an advantage. Last year, if you see Q2, there was a sharp decline in PVC prices. So we incurred even losses in that segment.

But the answer to your question is generally to have as minimum stock available as possible.

What happens with us is generally during Q1, from May onwards, our jetty or the port in Ratnagiri is closed. Hence, we generally stock up. Most of the years, we stock it up to the brim. But this year, looking at the trends, for EDC at least, we did not stock up the entire

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quantity. What we did was because EDC has the ability to be transported on road also. So whatever was required for our PVC generation from May to September, we did not buy entire stock by May. We are getting consignment shipments outside of our jetty and transporting it by road to our plant. And hence, we'll be able to see the benefit in this quarter.

Bhavin Pande: And just one last thing. Would we like to sort of look at other segments in terms of expanding our business as we could see larger players are already doing it? Or we would want to achieve a certain scale and then think of those initiatives? And to add on to that, do you think it is the trough for this spread between EDC, VCM and PVC? That's it.

Ajit Venkataraman: So Bhavin the price and fitting segment has got enough headroom to grow, whether it is agri segment or non-agri segment. So as a company, we have decided to stay very focused to this segment. And therefore, we are not looking at any other success adjacencies in the near future.

And what was your question on PVC?

Bhavin Pande: The spread between EDC, VCM and the PVC, do you think it is the bottom of it? Or we might still see some sort of narrowing happening?

Niraj Kedia: What we have seen in the first quarter has been the bottom in the last 3, 4, 5 years. But whether it has bottomed out, I mean it can be anybody's guess. It seems so, but this is all subject to price situations.

Moderator: Thank you. Our next question is from the line of Gokul Maheshwari from Awriga Capital.

Please go ahead.

Gokul Maheshwari: My one basic question from a capital...

Niraj

Kedia: Hello?

Moderator: I think the participant has left the queue. May we move to the next question? Our next question is from the line of Sonali from Jefferies.

Sonali: Sir, my first question is now you have posted a very healthy volume growth in pipes and fittings at 28% year-on-year. And this is despite the unseasonal rains across multiple regions in India in Q1. So could you please let us know what are the key regions or the demand pockets from which this kind of growth has come through?

Ajit Venkataraman: Thanks for your question, Sonali. There is the -- whether it rains or not, pipelines are necessary for irrigating the land. This is especially in the agricultural segment. When there is a deficit in rain, water needs to be transported from water source to the farms. And when there is excess rain and the crop is good, the farmer has money to invest in pipelines from water source to land for taking care of those eventualities when there is a deficit in rainfall. So either way, the headroom for growth in the agri segment still exists.

When you look at the construction segment, it's -- in India, it is growing at a healthy pace of excess of 15%, and that translates into the plumbing and sanitation segment growth as well. So

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if you look at both these segments, the growth has been fairly good. And that translates into the demand, which is getting generated for the pipes and fitting industry.

Sonali: Sir, what was our mix of agri versus non-agri in Q1?

Niraj Kedia: In volume terms, it was 70 -30.

Sonali: Okay. Still remains 70 -30. All right. Sir, my second question is, could you help us with, a, the raw material numbers, please, so PVC, EDC, VCM and PVC to EDC spread in Q1 this year versus last year?

Niraj Kedia: Sure. So this quarter, your EDC was roughly USD 335 and VCM was USD 670. The PVC/EDC delta was USD 468. And the PVC/VCM delta was USD 133. You also want the corresponding numbers for last year?

Sonali: Yes, please.

Niraj Kedia: So last year's same quarter, EDC was USD 668. VCM was USD 1,174. The PVC/EDC delta was USD 785, and the PVC/VCM delta was USD 279.

Sonali: All right. Sir, could you please summarize or remind us what has been the PVC movement since April this year, that's in Q1? And are there any -- what is the kind of trend that we are seeing in July, please?

Niraj Kedia: See, since April, PVC prices have gone down by INR8.5, okay? In fact, we started -- 1st April onwards, prices have gone down. From mid-June onwards, there was a correction. So in fact, prices went down by more than INR10. From mid-June onwards, there was a slight increase, and the price was stable. They have gone up again this week. So as of now, the outlook looks like stable.

Sonali: Sir, what are the prices right now?

Niraj Kedia: They are in the INR80 range.

Sonali: Okay. Got it. Got it. Sir, and lastly, could you help us with the CPVC volume and revenues for this quarter versus last quarter, please, as in same quarter last year?

Niraj Kedia: We don't give the compound wise details any longer because that is not a separate segment for us. So I think you should look at the business as a whole of the Pipe and Fittings.

Sonali: Okay. Got it. Got it. Sir, just 1 last question, if I may. What was the volume growth in your agri portfolio versus non-agri this quarter?

Niraj Kedia: So in volume terms, our total Pipe and Fittings grew by 28%. In fact, interestingly, both of them have gone up by 28% as compared to last year.

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Sonali: Okay. Okay. Okay. And you mentioned that you had taken a plant shut down for maintenance in the PVC Resin segment. Which month was that?

Niraj Kedia: That was in April.

Sonali: All right. And it began -- it resumed from May, is it?

Niraj Kedia: Within April only, it started

and the shutdown began, and it was over within April itself.

Moderator: Thank you. Our next question is from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay: The first, if you help me with the fitting contribution for the quarter?

Niraj Kedia: Again, because this is not a separate segment for us, we restrict...

Praveen Sahay: Any indications, sir, like it's maintained, or it's improved anything indication qualitative, which was...

Niraj Kedia: Constantly improving slightly. With our new fitting factory coming up also, there has been a push.

Praveen Sahay: Okay. And second, is there any inventory gain or loss do you have in this quarter?

Niraj Kedia: See, in the pipe segment, as you know, the prices went down net basis by INR 8.5. But what has happened, actually, the impact is although generally difficult to find -- to compute, but the inventory levels that we were carrying in the pipe fitting business was actually very low, given the high demand in the season, which has continued since November of last year. So we were actually on a very low level of inventory. So that way, the impact of inventory loss has not been material.

Praveen Sahay: Okay. And then you're in the Pipe and Fittings, 28% of the growth you had delivered. And as you are mentioning, 70% is in agri. Any geographical colour can you give like from where you got a very high growth or...

Niraj Kedia: The growth was from all the regions. See if you look at how the quarter went, we started April with the pair of El Nino, delayed rains, high temperatures in the agri side. So in fact, the demand was from all corners. It is now as we moved into July that there has been the flood situation everywhere. But otherwise, when we started the quarter, it was dryness everywhere and fear of prolonged dry spell and all of that. So that way, demand has come from all segments, all geographic regions.

Praveen Sahay: Sir, just a last question on your PVC Resin. As you had already mentioned that the shutdown of your plant in April, and that, I believe, will lead to the lower utilization of the PVC Resin capacity. But I have never seen such kind of things in the past for the first quarter. So what exactly...

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Niraj Kedia: So generally, you are right, actually. Our shutdown actually happens. We try to do it just when the monsoon is ending around that time in October, November. But this time, we -- our maintenance team and our engineering team, they decided to run the plant continuously. So this shutdown was deferred from September, October of last year to April of this year.

Praveen Sahay: And there is nothing to do with the availability of raw material?

Niraj Kedia: No.

Moderator: Thank you. Our next question is from the line of Hemang from Anvil. Please go ahead.

Hemang: I just wanted to know because of the lower PVC/VCM delta, so are we manufacturing to...

Niraj Kedia: Can you speak up a bit, sorry, but we're not able to hear you very clearly.

Moderator: So Mr. Hemang has left the question queue, or his line has dropped. I'll look into that. Could we move to the next participant?

Niraj Kedia: Yes, please.

Moderator: Thank you. Our next question is from the line of Utkarsh Nopany from Haitong Securities. Please go ahead.

Utkarsh Nopany: Sir, my first question is on pipe segment margin. So if we see our pipe sales volume in this June quarter, it is almost similar to what we have done in last December quarter. And despite inferior mix as Q1 being agri-dominated quarter and very low PVC Resin prices, what we see that our pipe reported EBIT margin has improved sharply from 6% in last December quarter to 1 year record high level of 11% in the June quarter. Sir, can you give a sense like what has led to such sharp improvement in our pipe segment margin? And what would be our sustainable pipe EBIT

margin going forward?

Niraj Kedia: Sure. So as I said, inventory losses were not material because we had low levels of inventory in the Pipe and Fittings business. The -- when -- if you look at, the numbers were slightly higher than Q1. In fact, they were 10% higher. So when you have higher volumes, there is a better absorption of the overhead. Plus, in this quarter, we have seen fuel prices -- sorry, fuel prices gradually coming down. So that is also impacted. As we have said in the past also, about INR12 is something that we feel is sustainable at a full year level.

Utkarsh Nopany: Sir, that is the pipe EBIT per kg guidance you are giving, sir, of INR12 per kg?

Niraj Kedia: Yes, yes.

Utkarsh Nopany: And sir, like since Q1 is agri dominated where we have done close to around INR 16 EBITDA per kg. So going forward, can we do a similar kind of a run rate?

Niraj Kedia: Sorry, can you repeat the question?

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Ajit Venkataraman: Sorry, your question was?

Utkarsh Nopany: Our pipe EBITDA per unit was around INR16 per kg in this June quarter. So can we expect to clock similar kind of a run rate going forward?

Niraj Kedia: As I said, see some of this is also -- we are entering our lean season, Q2. So volume decline here will also have an impact. So as I said, on an EBIT basis, INR12 is something that we can -- we feel is reasonable to accept on a full year basis.

Utkarsh Nopany: Okay. Sir, second, for pipe division, if you can give a guidance on the volume outlook and capacity expansion plan for FY '24?

Niraj Kedia: So if you see in the last year, in the Pipe division, we have added 12,000 capacity in fittings. And during the whole year, on a modular basis, we added roughly 20,000 tons of capacity in our existing plants. So we used to have a capacity of 370,000 tons in pipes. That has gone up to roughly 390,000 tons and fittings of 12,000 tons of our own capacity, which has come. So as such, this year, we don't foresee any requirement to add any modular capacity also in pipes and fittings.

Utkarsh Nopany: Okay. And the volume growth guidance for FY '24?

Niraj Kedia: See, on a per year basis, at times, because given the last year's high base, there can be plus or minus. But on a 4 -, 5-year basis, 15% CAGR is something that we are very confident of.

Utkarsh Nopany: Okay. And sir, like as we are sitting with a pretty large cash in our book, do we have any plan to enter into a new product category in the pipe division, like infra pipe or water tank, or any new product category in the building material space over the next 1 to 2 years EBIT?

Ajit Venkataraman: See, as I mentioned, there is enough growth opportunity in the Pipes and Fittings segment,

both in the agricultural and in the plumbing and sanitation segment. At this point of time, the company is not looking for towards going into adjacencies.

Utkarsh Nopany: Okay. And sir, like as a pipe volume is growing at a pretty healthy rate, by when do you see that we need to stop selling PVC Resin in the external market, and we also may need to procure resin slightly for our pipe business?

Ajit Venkataraman: So as it is, we are -- we have sufficient capacity for the next couple of years. And most of our resin, which we produce, is consumed internally. There's very little, about 10% or so, that is sold in the outside market. And whenever we need additional requirement, we buy it from the open market.

And what was your second question?

Utkarsh Nopany: Sir, like by when we see a possibility that we may need to buy PVC Resin slightly from the external market for our pipe business?

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Ajit Venkataraman: So for example, last quarter, we already did because since our plant was under shutdown for maintenance, we already procured from the open market.

Utkarsh Nopany: O

key. Sir, lastly, on the capital allocation part. Earlier, we mentioned that we will take a decision on the better distribution of surplus cash to the shareholders once PVC Resin prices stabilize. So by when we can expect any action on this trend, sir?

Niraj Kedia: That should be soon. But putting a date to it, this is a bit difficult.

Utkarsh Nopany: Sir, can we expect anything to happen in FY '24?

Niraj Kedia: Let's see. Let's see how the year goes.

Moderator: Our next question is from the line of Karan Bhatelia from Asian Market Securities. Please go ahead. Mr. Karan, your line has been unmuted. You can go ahead and ask a question.

Niraj Kedia: He dropped out.

Moderator: So we move to the next participant. Our next question is from the line of Udit Gajiwala from Yes Securities. Please go ahead.

Udit Gajiwala: So I wanted to check, you mentioned that your EBIT per kg has improved because of better volumes and lower fuel costs. But on a sequential basis, if you look at then was your product portfolio better in Q1 versus Q4? Because sequentially, the volumes are not kind of flatish.

Niraj Kedia: No. The mix has more or less remained the same in Q4 and Q1.

Udit Gajiwala: Okay. Understood. And sir, can you explain -- I mean, on your peak capacity, which is close to 4.20 lakh, excluding your outsourced fittings, what would be the peak utilization on annualized basis that you can hit for pipe business?

Niraj Kedia: See, if you see last 3 quarters, we have sold roughly 2.5, 2.6 lakh tonnes. So every quarter on an average, 85,000, 90,000 tonnes we have been selling. So if you see that -- and still, this is not a peak. If we have done 92,000 tonnes, 100,000 tonnes is something that we can produce in a given quarter.

Udit Gajiwala: Okay. Okay. So that gives an annual run rate of 4 lakh. Sir, do we see any capacity constant coming in by FY '25, given the growth that you are projecting of 15%?

Niraj Kedia: So not really because as I said, we have our own capacity of pipes and fitting taken together at 400,000 tonnes, plus we have external capacity to the tune of 70,000, 80,000 tonnes. So 470,000, 480,000 tonnes capacity we have, including outsourced capacities.

Moderator: Thank you. Our next question is from the line of Vignesh SBK from KSEMA Wealth. Please go ahead.

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Vignesh SBK : Sir, just wanted to understand on the fitting segment, like how is the growth opportunities there? And is it relatively a higher -margin business?

Niraj Kedia: Yes. Fitting is generally a higher -margin business because also the capex involved is higher.

And on that, if you remember last quarter, in March of 2023, we started our own fitting factory that is shaping up pretty well. By end of this month or early next month, we will be reaching our peak production capacity, peak installed capacity of that plant. So, it is doing good.

Vignesh SBK: Okay. Any internal targets for a longer term on this fittings business? Do we have any scale up kind of thing?

Ajit Venkataraman: The current factory can be expanded, and therefore, it can accommodate more machines. So we are looking at taking the necessary steps to grow this business.

Moderator: Thank you. Our next question is from the line of Ajay Sharma from Maybank. Please go ahead.

Ajay Sharma: I want to check, actually, how does the delta translate into your EBIT? Basically because you almost at a breakeven situation, whereas the deltas are still positive. So can you explain on

that?

Niraj Kedia: Yes, the delta is generally the delta between the material to material values, okay? Plus, these are IHS averages for the month. Our procurement and selling prices are not exactly equal to the delta. Plus, there is also a conversion cost, which is on this delta. So these deltas generally when they are spoken about, they are material to material differences.

es.

Ajay Sharma: And of the PVC/EDC and PVC/VCM, like, how does it translate for you? Which one is more important and what ratio, in terms of contribution?

Niraj Kedia: Yes. So see the value addition is more when you go from the EDC to PVC. See the way it works is, you convert EDC and ethylene into VCM, and then you convert VCM into PVC. So obviously...

Ajay Sharma: So are you buying EDC or you're buying VCM as well?

Niraj Kedia: So we have 2 lines. We have 2 lines. One line converts EDC and ethylene into VCM. And one line, it takes VCM from outside and converts into PVC. So the EDC to PVC line is 150,000 tonnes capacity. And the VCM to PVC capacity line is 120,000 capacity.

Ajay Sharma: Okay. So you would be impacted in that sort of ratio basically for the contribution, right?

Niraj Kedia: Yes.

Ajay Sharma: Okay. And so at these kind of deltas, basically you breakeven, is it fair to say or there was something inventory loss in the resin side this quarter?

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Niraj Kedia: Again, inventory loss, per se, we did not -- it is difficult to consume -- to compute. But if you see -- because of this adverse delta, that is why when we bought EDC and VCM towards the end of March and April. And by the time they were ready to be sold in the market, PVC prices had gone down. That is where we suffered the shrinkage of margin in this segment.

Ajay Sharma: Yes. So to some extent, it's sort of inventory loss in some ways, basically, because your finished product you to pass on immediately, whereas raw material has been consumed -- bought at a higher price, right, basically?

Niraj Kedia: Correct. Correct.

Ajay Sharma: All right. Okay. And then for -- I mean, for this year for PVC Resin, what's the production target now, considering you did only 40,000 -something in the Q1?

Niraj Kedia: So we should be doing roughly 230,000 tonnes during the year.

Ajay Sharma: And next year, then you go back to 250, 260, is it or...

Niraj Kedia: Yes.

Ajay Sharma: Right. Okay. And then for, I guess, for Finolex Cables holding, which you have, is there any plan to have any sort of group level restructuring? Because it's not really yielding any benefit for Finolex pipe shareholder at this point of time. Neither do you consolidate, nor do we get any fair dividend from that? So I'm just wondering, and plus there is a kind of fight between the brothers. So what's the plan medium to long term for that?

Niraj Kedia: See, no plan of disposing that investment as of now. So as we speak, the investment continues in our books. That's how it is.

Ajay Sharma: But is there no way to consolidate it into the P&L, right, basically?

Niraj Kedia: No, no.

Ajay Sharma: So currently, we are just getting the dividend, which is also not very big, actually.

Niraj Kedia: Yes.

Ajay Sharma: Right. Okay. So I guess when you talk about the corporate action, is there a plan to either do a buyback or give a generous dividend? Or is there anything else you're looking at?

Niraj Kedia: It could be either. It could be one of these 3. Either we give a buyback, we offer a buyback or we give an exceptional dividend, or we use this money for our expansion. One of these 3 would happen.

Ajay Sharma: Right. Okay. Okay. And finally, I mean, considering the industry scenario, why are you not guys being more aggressive in terms of capex and putting up more capacity, I guess? Because

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with the growth is surprising on the upside so I'm just wondering whether you're being conservative?

Ajit Venkataraman: So we have sufficient capacity at this point of time for the next couple of years. And we are currently evaluating the expansion plans at the moment. As we had mentioned ahead as well, for fittings, we have made the investment over INR100 crores in a new factory, state

-of-the-art

facility in Pune. And we have expanded the fittings capacity to over 25%.

Ajay Sharma: Right. Is there a normalized spread for the PVC Resin business, like per tonne, which you could target? Like, I guess, you made as much as -- you are targeting INR14 to INR15, if I remember correctly earlier. So is that -- does that still hold? Or you...

Niraj Kedia: Yes, that still holds. See, normally, if you see historic levels the EDC to PVC delta, 500, 550 something, which -- generally that is where it ranges. Last 2 years, after COVID, the delta just widened exponentially and that was obviously not sustainable. So, if you look at the long-term historic averages, that is the range, USD 500, USD 550.

Ajay Sharma: And for VCM?

Niraj Kedia: VCM is USD 200, USD 250.

Ajay Sharma: Okay. So in a normal year, you should be able to do this INR14 to INR15 per kg in terms of the EBIT for the PVC Resin segment, right?

Niraj Kedia: Yes.

Moderator: Thank you. Our next question is from the line of Vipul Kumar Shah from Sumangal Investment. Please go ahead.

Vipul Kumar Shah: Sir, can you directionally say the CPVC volumes, what type of growth in terms of percentage we are seeing?

Niraj Kedia: So CPVC volumes have grown at similar levels. So they are 20% higher as compared to last year.

Vipul Kumar Shah: 20%?

Niraj Kedia: Yes.

Vipul Kumar Shah: And fittings also, can you comment directionally?

Niraj Kedia: Directionally, it has been more or less in line of overall Pipe and Fittings growth, 15%.

Vipul Kumar Shah: And sir, lastly, what is the current PVC/EDC delta as we speak today?

Niraj Kedia: As we speak today, the PVC/EDC delta is at 540 levels.

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Vipul Kumar Shah: 540. Okay.

Niraj Kedia: And the PVC, VCM delta is at 200 level.

Vipul Kumar Shah: And sir, your guidance of around INR12 per kg. Is it at EBIT level or EBITDA level? Can you clarify?

Niraj Kedia: EBIT level.

Vipul Kumar Shah: Sorry? EBIT level.

Moderator: Thank you. Our next question is from the line of Sneha Talreja from Nuvama. Please go ahead.

Sneha Talreja: Just 1 question from my end. Sir, if I look at the current growth rate, although it's 28% volume growth that we have seen. If I look at it on a CAGR basis, even if it's a 5-year CAGR or a 6-year CAGR, the growth comes back to be only 3.5% to 4%. Even if I look at it, your next year growth from current numbers, even if I put a 15%, the growth CAGR still looks out to be dull at about 6-odd percent. So any thoughts there? Why are we still lacking the industry growth rate in terms of volumes? What could be the reason?

Niraj Kedia: So while looking at it, if you ignore the COVID period, then I don't think the CAGR is lower than industry. In fact, if I have to just compare this Q1 with Q1 of FY '20, our growth is in the non-agri segment is more than 40%.

Sneha Talreja: Okay. And sir, what's your now -- so given that we are focusing a lot on the non-agri side also, our mix actually still continues to be around 70-30 on a volume basis. Any thoughts there when can you see the meaningful change in this particular delta?

Niraj Kedia: Yes, generally, you would see Q4 and Q1 are very agri heavy, okay. So, while there is a substantial growth in non-agri also, but these years being very, very agri heavy, the ratio would be skewed probably in favor of agri. But as the year goes by Q2 and Q3 when they come in, then there is an improvement in the non-agri mix ratio as such.

Sneha Talreja: Understood. Just lastly, if at all you can highlight the capex for the next 2 years, FY '24 and '25, what are the plans?

Niraj Kedia: See, for FY '24, capex is in the range of INR200 crores to INR250 crores.

Sneha Talreja: Right, sir.

Niraj Kedia: '25 should be in the same range.

Sneha Talreja: And that's largely to do with PVC Resin and maintenance?

Niraj Kedia:

Yes, PVC Resin maintenance and also moulds for the Pipe and Fittings business.

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Moderator: Thank you. Our next question is from the line of Hitarth Kapadia, ValueQuest Investment Advisors. Please go ahead.

Hitarth Kapadia: I wanted some colour on what is the CPVC prices currently? And what would be the trend

expected further forward?

Niraj Kedia: CPVC prices, I mean, it's a bit -- I mean, there are various sources. So this price is -- there's not a standard pricing, which happens in CPVC as compared to PVC.

Hitarth Kapadia : Okay. And any expectations going forward for this price?

Niraj Kedia: See, CPVC prices have not come down the way PVC prices have come down over the last 1 year or so. So the expectation is that they should slightly inch downwards.

Moderator: Thank you. Our next question is from the line of Mr. Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal: Sir, 2 questions. I'll try and restrict to 2 questions. I had more. But firstly, is my understanding correct that South and West is about 2/3 of our business?

Ajit Venkataraman: Yes, approximately, yes.

Rahul Agarwal: Okay. And when we talk to different companies listed, unlisted, it looks like a lot of companies have put new plants into these regions. I wanted to get your views in case what kind of feedback you get from your channel and your own studies. How does the market look like going forward? Obviously, -- and this is in sync with your strategy of getting more to do with plumbing and agri naturally will come down as a mix. And hence, the ultimate target is to reach 50-50 there.

But given the fact that demand has been good, it just revived because PVC is now down. And you have new supplies coming into these regions. You're obviously trying more to expand into North and East in terms of your channel. But could there be a scenario or a risk where South and West actually sees more supplies from competitors, and hence, we might have some issues here?

Ajit Venkataraman: See, it's a fairly competitive market with the presence of all the major manufacturers across the country, and therefore -- and people have adopted either distributed manufacturing or we have adopted centralized manufacturing. There are pros and cons of both. There are advantages and disadvantages of both. So far, it has worked, the centralized manufacturing has worked well for us, but we will evaluate whether to expand into the -- we are currently under evaluation whether we need to expand into other areas. But in terms of competition, it has been this way for a fairly long time now. And we have been able to defend well in the regions where we have strong hold.

Rahul Agarwal: Could you elaborate and help us to understand what could be a disadvantage to have a decentralized manufacturing? Like what about top 2, 3 points, please?

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Ajit Venkataraman: So investment, for example, there are almost about 2,300 SKUs that you need to produce. And for the manufacturers to produce all 2,300 SKUs in all the distributed manufacturing locations, there is a humongous investment necessary in dies, moulds and extruders, et cetera. And beyond a certain point, it will become unviable. So, there are high volume SKUs that gets produced locally, but you still have to depend upon centralized manufacturing for the rest of the SKUs, and therefore, there is an optimization of transportation that will be necessary to get material from other regions to fulfil all the requirements of the local markets.

So there are advantages of making the high-volume producer of SKUs closer to the point of demand. So some people have adopted one and some have adopted the other. So there is no right or wrong answer on this.

Rahul Agarwal: Got it. And secondly, your past experience, Ajit, I know

now you are new in the system, but maybe

Niraj can help on this. It's going to be elections next year. Agri obviously is a sensitive topic for the country even today. Demand right now looks good. So my sense is till December, March, things should pan out as expected and as we are also discussing right now. But would you anticipate a hiccup because we're going to get into elections exactly when our season starts, and our 4Q, 1Q is very important for us in terms of profitability. Any initial thoughts how would you look at the season or in your past experience, does it really impact demand? Or is it like smooth sail?

Niraj Kedia: Yes, elections do have an impact, to be very honest. But given that we are expecting this El Nino and the damage, which is happening right now because of floods, in my view, I mean, it is difficult to predict right now because we'll have to see how the season picks up end of November, December. That should be a more appropriate time for us to kind of comment on how could we expect next year June.

Rahul Agarwal: Okay. But when you say an impact, as in it's a negative impact, right?

Niraj Kedia: See what happens is during election at times markets are close. So there is an impact, obviously.

Rahul Agarwal: Okay. Okay. Got it. And last one quick one on capex. You said INR200 crores, INR250 crores. And obviously, I'm assuming that's entirely maintenance because you said there is no modular capex involved into fiscal '24. And you are saying your sufficed in terms of pipes and fitting

capacity to generate and produce more and sell more in sync with how you look at demand growth. But is it -- my understanding was, frankly, because you produce different sizes, it's really practically impossible to get over 80% utilization on the rated capacity, right? Because the sizes are very different. Is it that you're able to do 85%, 90% utilizations purely because you're producing one size, which is selling the most in the market? Is that understanding correct?

Ajit Venkataraman: See, again, answering to your previous question, when you have centralized manufacturing, you are able to utilize your assets much better than decentralized. So that is one of the

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advantages having a centralized manufacturing. You are able to squeeze out more out of your assets.

Moderator: Thank you. Our next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: I know it's difficult...

Moderator: Mr. Keshav, may we request you to speak up as your voice is not audible.

Keshav Lahoti: Yes. So, I just want to understand, as we already have INR1,650 crores cash on books and next 2-year capex is also INR400 crores to INR500 crores. So we have a good amount on the balance sheet, while the management is not confident to come up with capital allocation plan even in this year. So if you have no plan to enter in other segment also, so why is it not clear?

Niraj Kedia: So you are right. See, generally, we are not used to carrying so much of cash. If you're not able to allocate this in the business, this will go back to the shareholders.

Keshav Lahoti: Understood. So we should expect in this year only because...

Niraj Kedia: Let's see.

Keshav Lahoti: Okay. One last question from my side. Your CPVC, both the portfolios have grown strongly, but CPVC growth was lower versus the pipes at 20%. So is it a market link, whether the CPVC growth in market was lower versus normal pipes? Or is it company specific?

Niraj Kedia: No, no, it is normal.

Ajit Venkataraman: So it has to be looked at an overall level, not at individual material level.

Moderator: Thank you. Our next question is from the line of Akshat from Flute Aura. Please go ahead.

Akshat: I just wanted you to share something on depreciation, why it has increased sequentially and on a year-on-year

basis?

Niraj Kedia: Yes. So depreciation, a couple of reasons. One is we frequently carry out an evaluation of the useful life. So because of that, some INR5 crores, INR6 crores impact has come. As we go during the -- throughout the year, this should come back to, say, INR25 crores, INR26 crores a quarter.

Akshat: Okay, sir. And a quick shed on other income as well. It has grown sequentially and year-on-year basis as well.

Niraj Kedia: So other income is mostly our income in the investments. So 2 factors to it. One is the cash balance has also gone up, plus if you will compare it with last year, the overall yields have also improved. So that is the reason.

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Moderator: Thank you. Our next question is from the line of Aasim Bharde from DAM Capital Advisors. Please go ahead.

Aasim Bharde: Just one question. Again, this is on the pipe margins. So I heard your comments to earlier participants and I learned that the agri, non-agri mix has remained at 70-30, and it's probably almost flatish Q-o-Q. The only difference, I feel, is that the fittings plant was basically non-existent in Q4, which has been there for a full quarter. So would that be the key difference and explain the sudden margin shootout?

Niraj Kedia: So that does help us in the margins. But if you see, we are still in the ramping up stage. We have still not reached the full capacity utilization of the fitting plant. So that has not made a very significant dent. Yes, that has helped us, but that does not make as much difference as you kind of indicated.

Aasim Bharde: Sir, is there a one-off then that you would want to highlight?

Niraj Kedia: No, there is no one-off.

Ajit Venkataraman: No one-off the product mix. See, we have had a good growth in non-agri segment as well. Volume has been also a good contributor. The fixed costs are better allocated across 92,181 metric tonnes. Also, we had -- we were at a very low stock level as well in terms of inventory. So we were not carrying too much of high-value inventory, which could have created loss as well. So all these contributed to better margins.

Niraj Kedia: Plus, I'll just add some more light to this. If you are comparing with last year, last year, because of the dollar movement, we had a forex loss in this quarter, which is not...

Aasim Bharde: Forex loss in this -- Okay. Then just wanted to reconcile, we are at almost INR14 EBIT per kg in Q1. And for the full year, if it comes to around INR12 odd, INR12, INR13, when the next quarters will have to be softer, right, despite the fitting mix only improving going forward?

Niraj Kedia: Yes.

Aasim Bharde: So what would drive the softness? One is the seasonally weak Q2 perhaps? But other than that, nothing should be there, right? So why INR12 per kg?

Niraj Kedia: This is something that we say on a full year basis is maintainable. We are being a bit conservative here. So that is the why.

Moderator: Thank you. Our next question is from the line of Darshika Khemka from AV Fincorp. Please go ahead.

Darshika Khemka: This could be repetitive, but can you please repeat the prices that you have mentioned of EDC, VCM and the deltas as well. I sort of missed that number. And I have another question on the pricing.

Ajit Venkataraman: Which quarters do you want? Or you want the current pricing?

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Darshika Khemka: The current prices and the comparative quarter as well, please?

Niraj Kedia: So Q1 last year, EDC was 668.

Darshika Khemka: And the current quarter?

Niraj Kedia: It is 335.

Darshika Khemka: All right.

Niraj Kedia: VCM was 1,174, it is 670 now.

Darshika Khemka: And the delta?

Niraj Kedia: Delta PVC/EDC was 785. This year, 468.

Darshika Khemka: All right. And the PVC/VCM delta?

Niraj Kedia: VCM was 279. It is 133 now.

Darshika Khemka: Perfect. So, I was actually trying to compare the pricing that was reported in the last quarter, that is Q4 FY '23. So I have seen a sequential improvement in the pricing in Q4. So if I calculate correctly, sequentially in Q4, the prices have sort of stabilized and increased by 11% and 14%, respectively, for the resin and the pipes and fitting segment. But this time around, in this quarter, it has sort of dropped down again. So while you've sort of given an indication that you may not see -- this may not be the bottom when do we expect to see a bottom or can you give indication on that?

Niraj Kedia: What I said was this quarter what we have seen are the lowest probably in the last 5 years. So in my personal view, we have seen the bottom. But what I caveated was these were commodity prices. You never know what happens in the market. So if you look at it today, as we speak right now, the PVC/EDC delta is at 540, which is better than what we had for the Q1. And the PVC/VCM delta is USD 200, which is again better than what we have seen in Q1.

Moderator: Thank you. Our next question is from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay: Just one clarification regarding the volume. As you said that agri, non-agri, the growth rates were similar. But if I look at your Q1 FY '23 transcript that time the agri mix was around 64% in the volume, and right now it is 70%. It's quite higher volume growth in the agri versus non-agri. Is it correct? Or can you give some more colour on this?

Niraj Kedia: Sorry, can you repeat the question? Because if I look at my numbers here, there's a more or less similar ratio, Q1 last year.

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Praveen Sahay: Okay. So because I was referring to your Q1 transcript -- '23 Q1 transcript only, and that is a number you had given 64% contribution of agri volume versus now it's 70%. So it gives me around 40% of the growth in the agri volume. So that's...

Niraj Kedia: That number may not have been rightly put in the transcript.

Moderator: Thank you. Our next question is from the line of Yash Goenka from Awriga Capital Advisors LLP. Please go ahead.

Yash Goenka: So I wanted to know, so if you grow your volumes and the pipe business can entirely consume the PVC, which you're producing, so will you go ahead and expand the capacity in PVC. The question is broadly around that? Will you be investing more on the commodity part of the business?

Ajit Venkataraman: See, we most probably will not expand the capacity because that introduces a lot of variability to our results, but we will try -- we are looking at what else can be done within the plan to

maintain the capacity because it's almost a 30 -year-old plant.

Yash Goenka: Okay. So there is room for debottlenecking and increasing the capacity?

Ajit Venkataraman: Correct.

Moderator: Thank you. Our next question is from the line of Vipul kumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah : Sir, one small request. Prakash sir has not attended investor call since long? At least he comes once in a year on a call.

Niraj Kedia: Sorry, we couldn't hear you, but we gathered your question. We'll try and do.

Vipulkumar Shah : Yes. No, this is a request to...

Niraj Kedia: Yes, yes, we got it. We'll definitely convey your message.

Moderator: Thank you. Our next question is from the line of Abhishek from DSP. Please go ahead.

Abhishek: Sir, how is the channel inventory looking now?

Niraj Kedia: Channel inventory is not very high, and it is not very low level also. If you see in March and because the prices were declining, the channel was a bit sceptical . But since then, prices have been in the last 1 month or so, they have been stable and with this increase. So it is at normal levels, I would say.

Abhishek: Okay. And just the other question in terms

of -- you spoke about a 15% kind of a sustainable volume growth. How should one look at the agri versus the plumbing mix, if you were to clock a 15% kind of volume growth from here on? And would you need a greenfield capacity

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expansion to kind of support that sustainable 15% volume growth from here on for next 3 to 5 years?

Ajit Venkataraman: Yes. There will be a need for expansion. We believe we have sufficient capacity for the next couple of years. But beyond that, there will be a need for expansion. And the -- see, we would like to defend our agri market, but at the same time, go aggressive with our non -agri. So we expect non -agri to move faster.

Abhishek: Okay. So mix could look like more like 50% each in the next 3 to 4 years? Is that the way we...

Ajit Venkataraman: For 5 -year horizon, that is the intent.

Abhishek: Okay. And Ajit, when you kind of joined some time back, your main focus was around increasing the distribution, the touch points. How are you going about it? And has there been some results, which you're already seeing at the ground level? Just some thoughts there?

Ajit Venkataraman: Yes, we have -- see, we currently have approximately 800 distributors and almost 22,000 touch points, and we are aggressively trying to increase the number of retail outlets, the reach for our business, which is very important for our non -agri business. And in terms of product availability, we have all the necessary products to satisfy our customers. In terms of growth itself, we have been converting many of our dealers to distributors so that they can serve a lot wider market, and therefore, increase the reach. The other aspect of it is that we have been very focused in getting into many of the large cities, which have been giving us good dividends.

The other area, which we have also focused ourselves -- focused on is on retail branding.

Finolex retail branding, which you see the yellow and blue, will be very much visible across the small towns as well as big cities at this point of time. And in terms of advertisement, we have been very focused. We have not gone on a national scale, but we have been very local, in terms of local TV channels, et cetera, where we are able to target our customers much better .

Abhishek: Sir, have you improved your pricing vis -a-vis peers or benchmark in the select markets because of all the...

Ajit Venkataraman: It is a very competitive market, and therefore, there is -- and it's a commodity product, and therefore, there is not too much scope for differential pricing.

Moderator: Thank you. Our next question is from the line of Bhavin Pande from Athena Investments. Please go ahead.

Bhavin Pande: I just wanted to know how much would be a cash balance as of Q1 FY '24?

Niraj Kedia: On a net basis, INR1,650 crores.

Bhavin Pande: Sorry?

Niraj Kedia: INR1,650 crores on a net basis -- net cash basis.

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Bhavin Pande: Okay. Okay. And sir, when we look at our return ratios, I mean, the variance is pretty big with the industry. So just wondering if you could throw some light on it? And any sort of initiatives that we can take to navigate our way out of this?

Niraj Kedia: See, one of the reasons is probably in the mix that we have for agri and non -agri. And that is

what we are kind of trying to improve over the last few years, and we have had reasonable success in that field. Other, when you -- if you're talking about ROCE or any other return that you're talking about?

Bhavin Pande: Both, both ROCE and ROE. I mean our debt is not that much, so it should be okay with both, just a general perspective.

Niraj Kedia: Yes. So that is primarily the reason our agri, non -agri mix.

Bhavin Pande: But I'm assuming that non -agri being a margin lucrative, the competitiveness will be extremely

high. So is there a way that we can also cover niche for ourselves over there?

Niraj Kedia: So that is what we have been doing, to be very honest. And that is why you see, from 80 -20 mix, we are towards 70 -- 70, 65 kind of a mix today.

Bhavin Pande: This is volume. And what would be the dollar mix?

Niraj Kedia: Dollar mix will be slightly more. I mean lesser on the agri and higher on the non -agri.

Moderator: Our next question is from the line of Mr. Achal from JM Financial.

Achal: Sorry, I'm hopping on one question again. So if I look at the 4 -year number 4 years back 1Q FY '20, which is a non -COVID quarter, we had a similar volume of about 92,000 tonnes in terms of plastic pipes and fitting volume. So it looks like it's flattish over a 4 year just to remove the COVID-impacted quarters or PVC Resin prices related impact this quarter. What I'm trying to understand, you've also mentioned that we have seen a 40% CAGR in non -agri. So can you elaborate a bit in terms of agri versus non -agri on a 4-year basis?

Niraj Kedia: I did not say -- maybe miss -- you, misheard. 40% is the increase that I'm talking about, okay, what we did in FY '23 versus FY '20.

Achal: Okay. On a full year compared to FY '20, you were talking about for FY '23?

Niraj Kedia: Yes.

Achal: Okay. I understand. Sorry. So what I'm trying to understand is that in terms of the agri growth, what is the sustainable growth? Because you mentioned 15% growth for you over the next 4, 5 years. What would be the agri growth in that time period?

Ajit Venkataraman: So agri growth, we expect in the higher single digits, even going forward in the next 4 to 5 years. Again, it is dependent upon a lot of factors, but since there is headroom, we expect it in the single digits, it's not going to go into the double digits, if I look at a broader perspective.

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Achal: Right. And I presume that is the industry growth, right? Are we looking at industry being flattish, be growing at high single digit to market business?

Ajit Venkataraman: So we are looking at growing in line with the market in the agri segment.

Moderator: That was the last question of our question -and-answer session. I would now like to hand the conference over to Mr. Arun Baid for closing comments.

Arun Baid: On behalf of ICICI Securities, I thank the management of Finolex Industries Limited for allows to close the call. I hand over the call to the management for any closing remarks. Post wishes, we can close the call.

Ajit Venkataraman: Thank you. Thank you all for attending the call today. If you have any further questions even after this call, please feel to get in touch with us. Thank you once again, and have a wonderful day.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2023

FIL/SEC/SEs/202 3-24/077

25th October, 2023

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Earnings call (Q2 FY24)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our letter no. FIL/SEC/SEs/2023 -24/070 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on 23rd October, 2023 , for discussing the performance for the quarter and half y ear ended on 30th September, 2023 .

The same has also been made available on website of the Company under Investor's section.

Thanking you,

For Finolex Industries Limited

Ashutosh Kulkarni
Company Secretary & Head Legal
M. No.: A18549

Encl.: As above

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"Finolex Industries Limited
Q2 FY '24 Earnings Conference Call "
October 23 , 2023

MANAGEMENT : MR. AJIT VENKATARAMAN – MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. NIRAJ KEDIA – CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Moderator: Gentlemen, good day, and welcome to Finolex Industries Q2 FY '24 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Arun Baid. Thank you, and over to you, sir.

Arun Baid: Good morning, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q2 FY '24 Post Results Con Call of Finolex Industries. From the management side, we have Mr . Ajit, MD; and Mr. Niraj, CFO.

Now I hand over the call to Ajit for opening remarks, post which the floor will be open for Q&A.

Thanks. Over to you, Ajit.

Ajit Venkataraman: Thank you, Arun. Good morning, ladies and gentlemen. Greetings for the festival season for Navaratri and Dussehra. Welcome to the investor conference call for Q2 FY '24 Earnings Release . We thank you all for continued support and interest in Finolex Industries Limited. Q2 FY '24 continues to witness a volume growth on a year -on-year basis on the back of continued improvement in demand largely from the plumbing and sanitation segment. Operating performance also witnessed a substantial improvement during the quarter.

Let me give you some of the performance indicators for the second quarter, Q2 FY '24 highlights.

Total income from operations was INR883.15 crores for Q2 FY '24, down 6.16% against INR941.13 crores in Q2 FY '23. EBITDA for the company stood at INR102.98 crores for FY '24 Q2 against EBITDA loss of INR142.67 crores for Q2 FY '23. EBITDA margins during this quarter increased on a year -on-year basis of 11.66% compared to a negative margin of 15.16% in corresponding previous quarter of Q2 FY '23. The company reported profit after tax of INR93.78 crores in Q2 FY '24 as compared to a loss of INR93.92 crores in Q2 FY '23.

Now getting into the segmental performance, the Pipes and Fittings. Pipes and Fittings revenue increased by 7% to INR857.15 crores in Q2 FY '24 from INR801.73 crores in Q2 FY '23.

Volume in Pipes and Fittings segment reported a growth of 6% year -on-year to 62,914 metric tons in Q2 FY '24 against 59,218 metric tons in the corresponding last quarter. The EBIT in Pipes and Fittings segment was INR67.60 crores in Q2 FY '24, compared to EBIT loss of INR47.63 crores in Q2 FY '23.

Moving to PVC Resin segment. Revenue in the resin segment decreased 38% year -on-year to INR297.85 crores in Q2 FY '24 to INR481.07 crores in Q2 FY '23. The volume in resin segment decreased 31% to 37,516 metric tons in Q2 FY '24 against 54,063 metric tons in Q2 FY '23. EBIT in resin segment was INR20.40 crores in Q2 FY '24, compared to a loss of INR110.68 crores in the corresponding previous year. The company continues to have a strong balance sheet with a cash surplus of roughly INR1,500 crores as on 30th September '23.

Let me now leave the floor open to questions. Thank you.

Moderator: Thank you so much sir. We have the first question from the line of Mr. Achal Lohade from JM Financial. Please go ahead.

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Achal Lohade: Can you help us understand if there was any inventory gain in 2Q? And given the current PVC prices, do you look at inventory loss in both the resin as well as piping segment?

Niraj Kedia: So in Q2, overall, the prices of PVC went up by INR4 during the quarter, starting from mid -July to August. So there was marginal inventory gain, but not very material. And the prices, which fell subsequently, then at price fall started 30th September, 1st October onwards. So that for the quarter, there was

as no material inventory loss per se.

Achal Lohade: And given , what has happened in the first 3 weeks of the month, and if we assume the current price sustains, could there be a substantial inventory loss?

Niraj Kedia: Not substantial, but yes, some inventory loss will be there. Because see, the prices fell very sharply in a matter of 7 - 8 days, they went down by INR11. The positive thing is that this morning, the prices have gone up by INR1. So that fall it seems have been arrested. But we'll see how it pans out.

Achal Lohade: Understood. In terms of the CPVC price, we see that the prices have come off. Is it possible for you to kind of give us some sense in terms of what is the extent of price reduction? And do you see further price reduction in terms of the raw material price for CPVC?

Niraj Kedia: Yes. So yes, prices have come down for CPVC. But unlike PVC, there is no standard benchmark, which kind of goes for CPVC, so we cannot give you any specific numbers see how much. But

roughly, we can say that 5% prices have come off very recently.

Achal Lohade: And has that caused any inventory loss?

Niraj Kedia: No, not material. No, not material.

Achal Lohade: Understood. So that anti-dumping duty on the Korean and Chinese CPVC resins, that's coming up for renewal stroke expiry in next year. So if theoretically, it was to go away, how do you see it impacting the industry enough?

Niraj Kedia: If it goes away, frankly, I would personally see it as a positive for the pipe makers, because obviously, the raw material becomes cheaper. So from a pipe makers perspective, it would be a positive move in my view.

Achal Lohade: And as we speak, are we sourcing entirely from overseas or we are buying local as well, CPVC?

Niraj Kedia: We are buying locally also and importing as well.

Achal Lohade: Would it be possible to tell us the mix, sir?

Niraj Kedia: Not really. And there is no fixed mix. It keeps changing. See, for CPVC, we have multiple suppliers. And depending on pricing and our requirements, orders are placed. So we don't have any quantity commitments with any of the suppliers. So that mix keeps changing, Achal.

Achal Lohade: And is there a price difference between the local and the imports? And if yes, could you quantify, sir?

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Niraj Kedia: There is a small difference, but not material.

Achal Lohade: Okay. Understood. In terms of the spreads, if you could help us in terms of the prices and the spreads for PVC, EDC, VCM for the second quarter and the current one?

Niraj Kedia: Yes. So for Q2, PVC was at \$847, EDC was at \$276 and VCM was average \$690. The PVC/EDC delta for second quarter was \$571. And the PVC/VCM delta was \$157.

Achal Lohade: And as we speak currently?

Niraj Kedia: I have last week's numbers with me. I don't have today's number, because prices have again changed, but PVC was at \$770, EDC was at \$320, VCM was at \$675, the PVC/EDC delta today is \$450. And the VCM/PVC delta is \$95.

Achal Lohade: Understood. Understood. And just last question and I'll fall back in the queue again. With respect to the volume guidance for the full year, if it is possible to give us?

Niraj Kedia: So 15% is something that we are very confident of, 15% to 20% growth in Pipes and Fittings segment should be there.

Achal Lohade: And given what has happened in the first half, you think that is a conservative number or that is...?

Niraj Kedia: No. That is something that we are confident would happen. It's not very conservative.

Moderator: The next question is from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: Few questions. Firstly, what happened to resin production. Could you just please explain? I think, obviously, the number looks pretty low. So there has to be a reason for that.

Ajit Venkataraman: So thanks for your question, Rahul. We had supply

issues, especially due to major breakdowns

in Middle East suppliers. And as a result, the supply of EDC and VCM were constrained. And as a result, there was a drop in resin production.

Rahul Agarwal: Is that sorted now?

Ajit Venkataraman: Yes, it is in the process of getting sorted. So overall for the year, we expect that overall resin production will not be to the extent what has been produced in the past. We expect anywhere between 200,000 and 220,000 metric tons.

Rahul Agarwal: All right. Similarly for pipes, I think the company should have done better, what is our reading there and outlook, I think you've already discussed 15%, 20% pipes and fitting growth. But just in terms of 2Q, are you happy with what has happened? And how do you see October panning out?

Ajit Venkataraman: So Rahul, for the movement, which we were expecting, to have more contribution coming from the plumbing and sanitation segment, that we're well on the way. You would have noticed what Niraj just mentioned. There was volatility in the resin prices, and it was a downward movement.

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And the price-sensitive segment, which constitutes a higher percentage of our business, which is the agricultural segment. There was a little bit of hesitation on the part of the network and the customers pulling in or making purchases as they were anticipating a price drop. And therefore, you see a 6% to 7% growth. Otherwise, in terms of non-agricultural segment or plumbing and sanitation segment, we have seen a significant growth.

Rahul Agarwal: So first half non -agri mix would be like how much of the company and if you could help me with the Y -o-Y trend, please, in terms of mix?

Niraj Kedia: So Q2, our mix was 40 -60 non -agri and agri. Last year, same period, it was 37%.

Rahul Agarwal: This is volume.

Niraj Kedia: Volume, yes.

Rahul Agarwal: How about first half?

Niraj Kedia: First half, it is 32%. And last year, it was 30%. See, generally, Q2 being slow in agri, our non -agri a s a ratio is better. But what we have seen this quarter has been the best of all the quarters so far. And as Ajit said, our growth in non -agri has been much, much more as compared to agri.

Rahul Agarwal: Go ahead, sir. And last question, any decisions take n on either capex or the way you're building up the channel, new product launches or dividend payout that we should know of?

Ajit Venkataraman: See, Rahul, we will announce it, but we are actively looking for expansion definitely, because we will be running out of our capacity in the next couple of years. So several projects in the pipeline, but we will announce it once it fructifies, yes.

Moderator: The next question is from the line of Bhavin Pande from Athena Investments.

Bhavin Pande: Yes, sure. Just on e thing. So a lot of marketing initiatives we are taking. So I mean what we approach to just -- I mean, increased market share? Or like how are we going about it? And what sort of payback period we can look at this?

Ajit Venkataraman: So in terms of focus is especially on growing the non -agri segment, because we are fairly strong in the agri segment. So we have targeted cities and states, which we are going after for the non -agri sales. And we have segregated -- this is on an organization basis. We have segregated our teams into 2 focused areas. So that is something which has happened over the last financial year. So which is starting to bear fruit right now.

And in terms of spends, we are going very, very focused on specific target segments. And our connect with the influencer community, which is extremely important for the non -agri or the plumbing and sanitation segment, has increased significantly as well, including several engagement programs, which has been initiated up late.

Bhavin Pande: Okay. And finally, if you have already mentioned it and I missed it, but what attributes to t his

Q-on-Q decline in volume?

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Niraj Kedia: So this is, say, Q1 and Q4, generally the peak seasons. That is when the agri demand is at the highest. So if you're talking sequentially, Q2 has always traditionally been poor, because volumes dropped because of monsoons. Pipes cannot be laid, even the construction activity kind of slows down. So you typically generally find Q2 being slower than Q1.

Bhavin Pande: Okay. Okay. But in terms of the top line, if you look at on Y -o-Y basis, there's some decline. So -- and that's why I was just wondering. Was the best Q2 was in last Q2, something like that?

Niraj Kedia: So see, on a value term, if you're comparing with last year, our volumes are up in the Pipes and Fittings segment, but PVC prices have corrected since then. So if you remember, Q2 last year was actually not a very good quarter for us. We lost a lot of money, because PVC prices fell very sharply and they kind of reached normal levels. So when you look at the top line number, there is an impact of the reduction in PVC prices.

Bhavin Pande: Okay. Okay. Wonderful. And just one last thing, what was agri and non -agri mix for this quarter?

Niraj Kedia: 60-40. 60 agri, 40 non -agri.

Bhavin Pande: Okay. And how has it moved Y -o-Y as well as Q -o-Q?

Niraj Kedia: So last year, same period, it was 63 -37.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. So first is, how should we read into a volume growth? 6% looks pretty low. The context in which I would seek to answer over here is, does the management look at volume growth with respect to peers or from a market share standpoint? I do understand we do not take direct government orders, but if we look at from a presumptive basis, this looks a tad lower. How should we read into this, sir?

Ajit Venkataraman: So thanks for your question, Ritesh. See, the volume growth, which we have seen for the Pipes and Fittings segment of almost 6% year -on-year. What I would also suggest is that, see, if you are looking at the product mix, a significant portion of our -- as Niraj mentioned, 60% of our volumes come from agri segment. And agri segment is a much more price -sensitive segment. And in anticipation of the PVC price drop, many of the purchases were postponed. And as a result, it has impacted the overall volumes. And that is one of the significant impact that you see that it is at 6%. Once the price stabilizes and given the moderate rainfall this year, we expect that the volumes in the agri segment is likely to grow from here on based on the assumption that the PVC prices will stabilize.

Ritesh Shah: Okay. Sir, if I put it the other way. So we also see inventory built up in the system. Had it not

been for this inventory buildup, which I presume it's probably on back of destocking the channel, what sort of volume growth we could have probably seen?

Ajit Venkataraman: You are referring to in terms of if the price movement was not there, what would have been the volume movement?

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Ritesh Shah: Sir, I'm referring to -- so there is inventory which has moved up for us. So I presume that is with respect to the prices going down, demand being a bit slow. Had that decline not been there or inventory stocking not been there, what sort of volume growth we would have probably seen?

Niraj Kedia: We would have seen at least 20% to 23% growth in this quarter.

Ritesh Shah: Okay. And sir, you indicated this is something, which is specific to us or this would be industry-wide phenomena wherein the inventories have actually moved up because of the price declines?

Moderator: Sir, I think the line got disconnected. Please stay on the line. Ladies and gentlemen, I'm really sorry for the inconvenience. But we have

now joined the management line. So sir, Mr. Shah, you can please complete your question.

Ritesh Shah: Yes, Sir, I had a few other questions. I'm audible, sir?

Ajit Venkataraman: Yes, Ritesh.

Ritesh Shah: Sir, any incremental color on the credit days, which I think has marginally increased? That is one. That's the second question. I have a third question for Ajit sir as well.

Niraj Kedia: No. So -- there is -- see, working capital, I mean, there is a slight increase in this quarter. But fundamentally, nothing has changed. So this should normalize as we have been overhead into the year. There's no strategic or tactic shift, which has happened in credit terms.

Ritesh Shah: Okay. So sir, just to understand on PVC agri pipes, it still continues to remain cash and carry for us, right?

Niraj Kedia: Yes.

Ritesh Shah: And on CPVC, what sort of credit do we give in the market there?

Niraj Kedia: There is no separate credit for CPVC versus other non-agri. So see anyways -- maybe even when you're giving us credit, it's to the participating dealers, then it becomes slightly difficult to segregate for CPVC so much for this. So generally it is 30 to 60 days, which is given for all plumbing candidates.

Ritesh Shah: Okay. That is helpful. And sir, last question is on competitive intensity in the marketplace. One of the larger South Indian players, I think they are facing a lot of challenges internally into the company. They are pretty strong in column pipes. Finolex also has had always a presence in column pipes since quite some time. So are we reaping any benefits? Or do we see any gradual benefits to accrue to us over the time line, be it on the loyalty of the dealers changing towards us? Anything on that sort, sir?

Ajit Venkataraman: So Ritesh, our focus has been in column and casing pipes. And we have been strengthening that going forward. And as a result, we do expect an uptick for us.

Ritesh Shah: Sure. And sir, lastly, on capital allocation, we have a huge cash balance. I think since Mr. Anil Whabi's (Ex-MD) days, we have been hearing that next quarter or so next year, we'll hear

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something on capital allocation, either capex or payout. Sir, any firm time line over here by when we can expect the use of funds?

Ajit Venkataraman: See Ritesh, to be very honest, we do need expansion of our capacities in the next couple of years, because we expect our volumes to -- our capacities to max out. And once we have figured that one out, we will be moving the rest of the remaining cash to the shareholders, but we will have to fix our capex first.

Moderator: The next question is from the line of Mr. Vipul Kumar Shah from Sumangal Investment.

Vipul Kumar Shah: Sir, this 60-40 agri/non-agri mix, is it volume-wise, right, sir?

Niraj Kedia: Yes, volume wise.

Vipul Kumar Shah: So any color on value-wise mix?

Niraj Kedia: No, generally, we don't share, because they are not separate subsegments. So volume is something that we feel is a good indicator.

Vipul Kumar Shah: Okay. And can you share CPVC volume and what was the same last year corresponding quarter?

Niraj Kedia: We don't give CPVC and other subsegment-wise numbers.

Vipul Kumar Shah: Previously, you have shared.

Niraj Kedia: So 2 quarters ago, we stopped doing that, because these are not separate segments for us. So polymer wise, we felt it is not right to share.

Vipul Kumar Shah : So at least directionally, you can say what is the year-over-year growth in CPVC segment?

Niraj Kedia: It is better than overall non-agri I can say that.

Vipul Kumar Shah : Better than overall non-agri, right?

Ajit Venkataraman: So CPVC has been growing faster. This has been a faster growing segment.

Moderator: The next question is from the line of Mr. Udit Gajiwala from Yes Securities.

Udit Gajiwala: Sir, firstly, on the

resin front, where do you see the stability in the resin prices coming. So you are still sorting out the issues of the supplier. So a steady quarter, hopefully should be from Q4.

Is that understanding correct?

Niraj Kedia: Yes, even I also concur with your view. By Q4 is, again, my personal view that we should see some sort of normalization in the profitability in the resin segment.

Udit Gajiwala: Sir for full year, what kind of EBIT per kg are you expecting for the resin's front?

Niraj Kedia: We should -- around INR7 to INR8 for the full year's average.

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Udit Gajiwala: Got it. And sir, secondly, on the pipes, your previous comments suggest that in the H2, so the plumbing mix will be much higher than agri. So in that pipe business, do we see any improvement in EBIT per kg? And similarly, what will be your full year guidance for that segment?

Niraj Kedia: For the full year, the Pipe segment, we should be between the INR10 to INR12 mark.

Udit Gajiwala: Okay. And sir, just directionally in the next 2, 3 years, when we are expecting to grow our non-agri portfolio at a faster pace. So how do you see these numbers for EBIT per kg moving in pipes segment specifically? We also have a capex cost that will be coming up if you are planning accordingly.

Niraj Kedia: Yes. See, gradually with our improvement in the non-agri business, this EBIT in the pipes segment should move towards INR14.

Moderator: The next question is from the line of Rahul Agarwal from Incred Capital.

Rahul Agarwal: On the new fitting plant, the 12,000 tons, which you put, what was the utilization in 2Q and first half?

Ajit Venkataraman: So the plant capacity is approximately 900 to 1,000 metric tons at this point of time. And our utilization has been upwards of 60%.

Rahul Agarwal: Got it. And Niraj, just one thing on the resin. I think the spreads are down Q-o-Q, right? I mean the delta you mentioned currently versus last month. I understand that the entire quarter is yet to go through, but the guidance that you're giving INR7 to INR8 a kg, I think first half average is about INR3. Isn't that too optimistic to achieve that INR8 a kg for resin?

Niraj Kedia: See my view is as follows, Rahul. Again, you're right, because we don't control how commodity prices move. But see my view is VCM, I feel that it should correct more before the next one starts. So that should kind of help us improve. A lot of this also is impacted by when are we buying the stock. So if you see this month, we have probably just taken this 1 vessel. We'll probably take 2 vessels. And if you look at the volume terms for the first half in resin, we have done roughly -- so of the 220,000 tons that we have to do in resin, a larger volume will happen in the second half. So that should kind of help us.

Rahul Agarwal: Got it, sir. And one question was on the supplier issues. Essentially, the guy could not supply, and obviously, it's a profitable quarter for us. I don't know how the contracts are signed with them, but is there any compensation which you're liable for? Would you claim for that? Or is it something that we have to let go?

Niraj Kedia: See this is generally force majeure clauses are there? He did not -- he could not -- based on that he did not supply, could not supply.

Ajit Venkataraman: Yes, they had a change in technology, and they did not anticipate it taking this long for the restart-up of plant. And that was one of the reasons why we had to -- we did not get some of the shipments.

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Rahul Agarwal: So I don't know about a long history here, but essentially, so it doesn't mean that we are liable to any compensation from them, right?

Niraj Kedia: No, not in this particular instance.

Rahul Agarwal: Got it. And lastly, CPVC volumes and fittings. I know that

you don't share it, but could you give

some positive flavor in terms of growth for 2Q and first half for CPVC and fitting, please?

Niraj Kedia: Fittings also helps -- the overall growth of fittings has been higher than overall non -agri growth, okay? As a ratio also, fittings have improved substantially, I would say, 3 to -- 3 basis points as compared to last year.

Rahul Agarwal: And CPVC growth just pure in terms of growth, 2Q or first half, whatever you could share?

Niraj Kedia: So it is better than the non -agri growth, overall growth of CPVC.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, if you could just highlight how much is our total fittings capacity right now? And out of the total volumes that we do, what part of it is captive? And is there contribution from outsourcing still element over there?

Niraj Kedia: So we have roughly 48,000 tons of capacity in fittings. Of this, 12,000 is what we have in -house capacity right now. And balance is outsourced, but it's captive. I mean, for only Finolex use.

Ritesh Shah: Okay. And what Ajit sir indicated in my prior question that we will look at incremental capex. Is this something which is going to be more only towards pipes and fittings, and there won't be anything for sure on the upstream side, either towards the jetty or PVC/VCM mass balancing over there?

Niraj Kedia: Yes.

Ritesh Shah: So should I assume that the entire is going to be on the Pipes and Fittings side, nothing else?

Niraj Kedia: Yes.

Ritesh Shah: Okay. Perfect. And sir, lastly, any update on the land bank? I think a part of the land parcel is still there, which is still yet to be monetized.

Niraj Kedia: No. We are still in talks to be honest. We were hopeful of closing 1 transaction, but we have not been able to close this yet. But most likely, again, my view by end of this year, one more substantial turn we should be able to dispose.

Ritesh Shah: Okay. Sir, I'll just try my luck. Would you like to comment anything on Finolex Industries, Finolex Cables? Does it impact the company in any which ways?

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Ajit Venkataraman: So Ritesh, as you always know, it's an independent company. As a management team, we are focused on our performance. What happens at the promoter level is something which we don't get into. And for us, it will not be appropriate to comment on that.

Moderator: The next question is from the line of Abhishek Ghosh from DSP.

Abhishek Ghosh: Sir, just one question. In terms of the other expenses as a percentage of revenue has seems to moved up. So is it because of ad spend? Or is there any other spend that's sitting there?

Niraj Kedia: Yes Abhishek, this ratio seems probably higher, because of the lower top line. And I'm assuming you're comparing this with Q1?

Abhishek Ghosh: Yes. But where I'm coming from is if you broadly look at your quarter, there you have lower revenues. You also see a decline in other expenses. This quarter, you have not seen any decline in other expenses despite a lower top line. So that's the only thing that we are looking at.

Niraj Kedia: No.

Abhishek Ghosh: So you say historically, your other expenses as a percentage of revenues more like 19%, is more like 23% in the current quarter. So that is there.

Niraj Kedia: So some advertising spend has come up. So that is reason why you see an increase.

Abhishek Ghosh: So Q-on-Q also, you have seen higher ad spend?

Niraj Kedia: Yes.

Abhishek Ghosh: Okay. Okay. And is it more focused towards -- there should be more focused towards the plumbing part of the business, right?

Niraj Kedia: Yes, yes, it is correct.

Abhishek Ghosh: And is it more focused towards only metros or certain regions, any color of that sort would be helpful?

Niraj Kedia: So it is not only towards metro. The kind of activity that we do

in marketing. So for example,

even when we have screen -- our presence on screen, we kind of stay away from very expensive IP sort of things. We are there certainly. But our presence, you would find more in content, which is seen by our relatable customer set. For instance, we were in -- and influences. For example, some of the shows that we kind of participated last year like Big Boss and this year on Khatron ke Khiladi. So these are shows, which have large viewerships of our relevant segment. And you'll see our spend more in the BTL sort of spends.

Ajit Venkataraman: And if you actually saw during the current world cup as well, how logo will be present in the TV screens, which is an amount of viewership and the comments, which you have got on that has been quite significant.

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Abhishek Ghosh: Okay. And Ajit, would you have any sense around either in terms of the overall -- while you have seen about a 6% kind of volume growth, what would be the industry volume growth for 2Q from the resin numbers? Any sense would you have around that?

Ajit Venkataraman: See, I will not be able to comment on the competition. But in general, the industry has been growing anywhere between 10%, 15% average.

Abhishek Ghosh: And you guys?

Ajit Venkataraman: As I mentioned, we have been impacted a little bit more severely because of our volume mix. And that's the reason why our movement towards the non -agri segment.

Abhishek Ghosh: But for the year, you expect also to grow at 15%, so you'll at least maintain your market.

Ajit Venkataraman: Yes, that is our expectation.

Abhishek Ghosh: Okay, okay. And the capacity constraint element will only come in, in FY '26 is what you believe.

Ajit Venkataraman: In the next 2 to 3 years, we are anticipating that, and therefore, we are doing what is needed at this point of time.

Abhishek Ghosh: Okay. And also in order to tap into newer regions like -- not newer, but various probably market shares are not higher. Are you also looking to get into something kind of an outsourcing model or a warehouse capacity? And any changes that you're bringing to your distribution? Because you're -- if I broadly look at your retail touch points, they have been stagnating it at about 21, 000 for some time now. So any thoughts around that?

Ajit Venkataraman: So although the retail -- see, for example, our dealers and distributors are around 800, whereas our retail network is growing. So a couple of years back, we were at around 20,000. We are up almost 23,000 now. And one of the things, which we are doing is that there is also a churn in the sense that the nonperforming dealers are getting out, and we are introducing more and more performing dealers. So although the number seems to be stagnant, the quality of the network also has improved significantly. That is one thing, which we are doing. And what was the other question?

Abhishek Ghosh: No, sir, I was trying to understand that in terms of getting into new regions or maybe there are regions where our market shares are lower, are you trying to put up a warehouse or some people also...?

Ajit Venkataraman: Other aspect of it, where we are working really hard on innovating, this is the logistics, et cetera. So we have several groups of concepts running at various parts of the country, trying to get closer to the market. And once they are successful, we'll be rolling it out to the rest of the country.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC . Please go ahead.

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Dhruv Muchhal: Sir, any update on the import -- the PVC import quality order, which the government has probably brought in -- I'm not sure if it was implemented. So any updates if you have you can share?

Niraj Kedia: So that quota system was implemented.

But till now, we don't know how it is being monitored.

I don't think being. But what it has done is some of those imports have reduced, which was coming off inferior quality PVC, that has reduced. But from a quota perspective how it is being managed, we don't know. I don't think it is being managed as of now.

Dhruv Muchhal: So the order is not effective as of it? It's just the -- few of the order that is...

Niraj Kedia: The government did come out with the quota and all of that. But how they are monitoring it, I am not sure.

Moderator: The next question is from the line of Vaibhav Muley from Jefferies India. Mr. Muley, unfortunately , we are not able to hear you. The next question is from the line of Praveen Sahay from PL India.

Praveen Sahay: I have one query related to the margin front. So if I look at your gross margin has improved, whereas EBITDA margin has been contracted even in the time of -- when the PVC/EDC spread is on the higher and that's benefited as well as, as you mentioned, that's the plumbing is up 40% for a quarter. That's maybe also benefited. So -- and also, you had given indicative the way forward EBIT per kg for pipe to be range of around INR14, which was not in the past quarters, we had not seen such.

So first, what exactly the EBITDA margin contraction region. Definitely, you had a set advertisement, but is it only advertisement or something else to look at? And the way forward, how you are going to look this? Because advertisement is not in a quarter, I believe, it's going to be continued. So that is my question.

Niraj Kedia: So you were right. There is a gross margin improvement in the pipe segment also that is because of the mix change. But on a net basis, when you see the volume that we did in Q1 was close to

90,000 tons, whereas in this quarter, we have done 60,000 tons. So your other fixed cost kind of gets amortized over a smaller quantity. So you get that negative impact in a per ton profitability. I hope I was able to answer you.

Praveen Sahay: Yes, yes. Right, right. So the way forward we will...

Niraj Kedia: Yes. So way forward, INR14 is something that we are aspiring for in a few years' time, not in this year. See, as our non-agri to agri moves more towards the 50-50 mark, we aspire that our margin in the pipes segment should also move up to INR14 and plus. For the current year, what we are saying is it should remain in INR10 to INR12 per kg.

Praveen Sahay: Okay. Got it. Second, sir, is related to the realization of the PVC ratio. If I look at the external realization, which is around 29% higher than the overall blended realization, so have you sold the PVC resin at the higher price in the external market?

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Niraj Kedia: No see -- If you see our external sale of resin has been very, very minimal. And you see a higher realization there, because we sell -- we also make emulsion-grade PVC. The realization of the emulsion grade is better than the suspension-grade PVC that we sell. So you see a better overall relation in the PVC segment.

Praveen Sahay: And how is the difference just to clarify, sir, emulsion versus that?

Niraj Kedia: So the difference is more than INR30.

Moderator: The next question is from the line of Mr. Achal Lohade from JM Financial.

Achal Lohade: What I wanted to check for the PVC resins, is it possible for you to kind of give some statistics about the industry in terms of how much was domestic PVC resin production in India, how much was import? And of the total availability, how much goes into pipes? And how much goes for other usages?

Ajit Venkataraman: In overall market, I think 73% of all the PVC, which is consumed in India goes into the Pipes and Fittings segment. Of the overall PVC resin, which is consumed, almost 50% is imported, only about 50% is made locally. And...

Achal Lohade: Sorry, I can't hear

you, sir. .

Ajit Venkataraman: Can you hear me now?

Achal Lohade: A little better towards the end. Yes. Now I can hear.

Ajit Venkataraman: Yes. So I don't have the exact numbers for you right now. But about 50% of India's PVC needs are imported still.

Achal Lohade: Right, right. No, because we have been hearing this 50-50 for a while. So I wanted to check if there is a change.

Ajit Venkataraman: No new capacity has come up.

Achal Lohade: But at the same time, the consumption would have grown. So I presume the imports would have gone up beyond 50%. And I wanted to see the change because when you say 10% to 15% growth for the industry, is this also being supported by the resin imports number?

Ajit Venkataraman: So that also depends upon what the capacity utilization of current PVC producers as well. So although Finolex has been producing at its capacity, I'm not sure that other manufacturers have been producing at their capacity. So the upside is definitely. But as you would have heard in media that there are few more manufacturers, who are looking into establishing large manufacturing facilities for PVC in India going forward, which might come up in the next 4 to 5 years.

Moderator: The next question is from the line of Nikhil Agrawal from V T Capital.

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Nikhil Agrawal: Just wanted a clarification. You said that the channel was anticipating price cuts in the PVC segment, so they were not -- there was not enough buying. So was this only restricted to the agri segment? Or was it in the plumbing segment as well?

Ajit Venkataraman: See overall market, this is a tendency that when they expect -- because to make it very clear, the pricing is very efficient in the Pipes and Fittings segment. The movement, there is a rise in PVC prices or drop in PVC prices, it gets translated into the pricing in the market within 1 or 2 days maximum. So anybody holding a higher value inventory and the PVC price falls, they will be under loss. So typically, in the dropping PVC price scenario, the work pulls back on holding any inventory. The moment they see prices going up, they start pulling inventory, and in the dropping market, yes, they will expect price protection as well for -- otherwise, the inventory -- they don't hold inventory at all.

So that is the dynamics of the market. And therefore, if you look at the Pipes and Fittings

segment, which is the non -agri segment, they are much less elastic. For example, building and construction, pipes and fitting contribute only 1.5% to 2% of the project price. And whereas in agri segment, if the farmer who is buying it with his own money, they are high price sensitive, and therefore any movement in price of resin, you have that segment pulling back immediately. Nikhil Agrawal: Okay. So the impact was mostly restricted to the agri pipe segment, the anticipation of price falling, right?

Ajit Venkataraman: That's right. I won't say only agri segment, but predominantly.

Nikhil Agrawal: Majorly, okay. Just another clarification. You said the differential between suspension PVC is about INR30 more than the emulsion grade PVC?

Niraj Kedia: It ranges. Currently, it is less than INR30. It is INR25.

Nikhil Agrawal: Okay. And it is mostly suspension -grade PVC, which is used to make pipes, right?

Niraj Kedia: Yes, yes. Emulsion grade has different usage. It is mostly for medical equipment and synthetic leather .

Nikhil Agrawal: Okay. And what would be the raw material for this emulsion grade or the same as suspension?

Niraj Kedia: Same.

Moderator: The next question is from the line of Abhishek Ghosh from DSP.

Abhishek Ghosh: Just in terms of we have seen a very sharp price correction as we speak in the month of October and with some amount of price improvement now, marginal one. So now the trade will have a lot more confidence given the behavior

al aspect that one sees towards the price movements in terms of volume uptick. Any thoughts?

Ajit Venkataraman: Yes, we anticipate given the annual rainfall scenario, which has been suboptimal in many parts of the country. And given the stability of PVC prices, we expect that the uptick, there will be an uptick in demand going forward.

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Abhishek Ghosh: Okay. And any -- given the crude price movement, do you have any thoughts on PVC prices trend over the next 6 to 9 months? Any thoughts?

Ajit Venkataraman: See, there is not too much of a correlation between the 2. The PVC prices are influenced by caustic production, crude oil prices, et cetera. So it is very difficult to predict based on crude oil prices.

Abhishek Ghosh: Okay. But you think after the sharp price drop in PVC, it should at least stabilize and that should give channel...

Ajit Venkataraman: We expect the bottom has been reached.

Moderator: The next question is from the line of Aasim from DAM Capital.

Aasim: Just one question. So you mentioned that Q2 volume underperformance on pipes is majorly to do with your agri mix being higher, but is your geographic mix more skewed towards South and West also a factor that may have weighed down on volume?

Ajit Venkataraman: Not really. Because our strongholds are West and South, where we have a decent demand of agri coming from those regions.

Aasim: Okay. Because I mean, amongst the interactions that we had with the channel players, I think what we heard was because -- I mean, there was a better range earlier. So accordingly, agri pipes sales were weaker. And then I think September month had the PVC price overhang, so anyway pipes sales were weak. So I just wanted to check. Basically the understanding that I wanted to get out of here was if you were a more balanced player across India and not a West and South player, would you have done better in Q2?

Ajit Venkataraman: No. If you actually see the pipe demand -- pipes and fittings demand is based on the GDP from each of these regions. And West and South are the strongest. So I don't think it's not because of the geographic spend.

Aasim: Okay. And just lastly -- so earlier in Q2, PVC prices were actually I think moving upwards. So did you see any sense of channel restocking on the agri side during that time?

Niraj Kedia: See at that time, if you see that the increase was in small tranches, INR1, INR1.5. So -- and that we were approaching the end of season. So we did not see much channel stocking at that time.

Aasim: But then, I mean, just to come back to the September period, I mean, if there's any way of weak season for agri, right? So if there was a PVC price overhang, why would agri as a segment do relatively weaker than to drag down the overall volume?

Niraj Kedia: If you really ask me, July and August were in fact very good months. So the whole, I would say, better some growth or the growth of both agri and non -agri kind of continued every month, month -on-month from April onwards. April, May, June, July, August. In September, there are a couple of things which have happened, which impacted agri more. One was monsoon kind of reached everywhere and there were rains. Secondly, while price correction did not happen, there

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was a strong indication of prices going down. The prices in the country were higher than the import offers, which were being offered.

So there was a long period of, I would say, an overhang where there is an anticipation of price reduction, but it did not happen. So that actually played a bigger role. If this price correction would have probably happened in the first month -- first week of September itself, then we might not have seen so much of this. That's my view. But the fact that this overhang of our base going to be

price correction, price reduction for a month, that had a very negative impact.

Moderator: The next question is from the line of Sriram Rajan, who is an individual investor.

Sriram Rajan: Just two questions, actually. In terms of agri and non -agri, where are the margins more for the company?

Niraj Kedia: Agri is a high -volume, low -margin business. And non -agri is a high margin business. The profitability in non -agri is more than agri.

Sriram Rajan: And is there any intention to change the ratio of 40 -60 to a higher mix from a sales...

Niraj Kedia: Not very long ago, we used to have a ratio of 80 -20 from 2017, '18 onwards. And that is when since then we have been focusing and trying to improve this ratio. And that's why we see comfortably that we are in the 65 -35 mark. Our endeavor is that in a few years' time, we should reach at least 50 -50 in both the segments.

Sriram Rajan: Okay. That's really helpful. And in terms of -- given that the building and the real estate market has significant tailwinds, at least for the next 4 -5 years. Is that an important segment for us actually selling directly to the builders?

Niraj Kedia: Yes, yes, absolutely.

Sriram Rajan: Okay. Would you mind sharing what fraction of your non -agri business would that be? Or it's a little too small now?

Niraj Kedia: So just -- I'm clear we do not sell anything directly to any builder or anybody. Whatever sales we do, it's our channel partners only.

Sriram Rajan: Okay. And see, the plumbers, et cetera, taking it and off -the-shelf is one, but have builder buying something in block for the entire construction of 1,000 flats. Is that a segment you're actually intentionally focusing on or it's something that the channel partners have to focus on?

Niraj Kedia: No. We do that. So what happens is while we do not sell it directly, we don't bill it to the builder directly. But it is our team. We have a dedicated team, which works continuously only on these projects. We call them project business. And their time, they work independently at times, they take support from the local dealer, distribution in their area, and they kind of jointly make the value proportion to the builder, but that happens.

Moderator: Thank you so much. As there are no further questions, I would like to hand the conference over to the management for closing comments. Over to you, sir.

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Niraj Kedia: Thank you. Thank you all for attending today's call. Obviously, if you have any further questions, please feel free to reach out to us and season greetings. Happy Vijayadashami to everybody. Thank you.

Moderator: Thank you so much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

FIL/SEC/SEs/202 3-24/104

23rd January, 2024

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Earnings Conference Call (Q3 FY24)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is in furtherance to our letter no. FIL/SEC/SEs/2023 -24/095 and in terms of the subject referred regulation, we hereby submit transcript of Q3 FY'24 earnings conference call held on 19th January, 2024 , for discussing the performance for the quarter and nine months ended on 31st December, 2023 .

The same has also been made available on website of the Company under Investor's section.

Thanking you,

For Finolex Industries Limited

Ajit Venkataraman
Managing Director
DIN: 07289950

Encl.: As above
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"Finolex Industries Limited
Q3 FY'24 Earnings Conference Call "
January 19, 2024

MANAGEMENT : MR. AJIT VENKATARAMAN -- MANAGING DIRECTOR --
FINOLEX INDUSTRIES LIMITED
MR. NIRAJ KEDIA -- CHIEF FINANCIAL OFFICER --
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES .

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Moderator: Ladies and gentlemen, good day, and welcome to Q3 FY'24 Earning Conference Call of Finolex Industries Limited hosted by ICICI Securities. As a reminder, all the participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid. Thank you, and over to you, sir.

Arun Baid : On behalf of ICICI Securities, I welcome you all to the Q3 FY'24 post-results conference call of Finolex Industries. From the management side, we have Mr. Ajit Venkataraman, Managing Director, and Mr. Niraj Kedia, CFO. Now I hand over the call to Ajit for opening remarks, post which is the floor will open for Q&A. Over to you, Ajit.

Ajit Venkataraman: Thank you, Arun. Good morning, ladies and gentlemen. Wishing you all a very Happy New Year 2024. Welcome to the investor conference call with Q3 FY'24 earnings release. We thank you all for continued support and interest in Finolex Industries Limited. Q3 FY'24 continued to report strong operating performance despite fall in volumes on a year-on-year basis. However, despite strong volumes based in FY'23, due to high pent-up demand, overall, our volumes on a YTD basis have been a healthy growth backed by stable prices and consistent demand in both rural and urban segments. Let me give you some of the performance indicators for the first quarter.

Q3 FY'24 highlights. Total income from operations was INR1,119.67 crores for Q3 FY'24, down 9% against INR1,124.76 crores in Q3 FY'23. EBITDA increased by about 31% year-on-year to INR119.90 crores in Q3 FY'24 compared to INR91.87 crores in Q3 FY'23. EBITDA margins during the quarter increased on a year-on-year basis to 11.76% compared to 8.17% in corresponding previous quarter of Q3 FY'23. The company reported profit after tax of INR89.21 crores in Q3 FY'24 as compared to INR72.07 crores in Q3 FY'23.

Now getting into segmental performance. Pipes and Fittings. Pipes and Fittings revenue decreased by about 8% and to INR991.61 crores in Q3 FY'24 from INR1,077.15 crores in Q3 FY'23. Volumes in Pipes and Fittings segment reported a fall of 10% by year-on-year to 81,312 metric tons in Q3 FY'24 against 90,396 metric tons in corresponding last quarter.

This was primarily attributed to weak agri demand. The plumbing and sanitation volumes have been growing in a healthy double digit on a quarterly and also year-to-date basis. The EBIT in Pipes and Fittings segment, on the other hand, has increased by about 8% to INR74.24 crores in Q3 FY'24 compared to EBIT of INR68.90 crores in Q3 FY'23.

Moving to PVC Resin segment. Revenue in Resin segment decreased 36% year-on-year to INR321.07 crores in Q3 FY'24 compared to INR504.09 crores in Q3 FY'23. Volume in Resin segment decreased 32% to 43,737 metric tons in Q3 FY'24 against 64,696 metric tons in Q3 FY'23.

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EBIT in Resin segment stood at INR30.88 crores in Q3 FY'24 compared to INR12.43 crores in corresponding previous year's quarter. The company continued to have a strong balance sheet with a net cash surplus of roughly INR1,570 crores as on 31st December '23.

Now let me leave the floor open to questions. Thank you.

Moderator: Thank you, sir. And the first question is from Keshav Lahoti from HDFC Securities. Please go ahead.

Keshav Lahoti: Sir, I wanted to get a sense, there has been some resin price correction in Q3. Is there any inventory loss involved?

Ajit Venkataraman: Niraj, would you like to take that?

Niraj Kedia: Yes. Am I audible?

Ajit Venkataraman: Yes, you are.

Niraj Kedia: So you're right

. See, when the quarter began in October, there was a sharp reduction of INR11 in PVC prices in a matter of 12 days. So that did have an impact on the profitability. In our case, see, because we use our own resin, so it is difficult to quantify the exact amount of inventory loss. But yes, due to that decline, there was some inventory loss. But if you look after that, during the quarter, there was a correction of INR5 over the period of the quarter. But on a net basis, during the quarter, we had some inventory losses.

Keshav Lahoti: Understood. Understood. What is the sense on the demand? Like H1 has been pretty strong for pipes volume, but we have seen some softening in quarter 3. How should we read it and what sort of volume growth you're looking for this year? And color would be helpful, like demand agri-wise and plumbing-wise and CPVC-wise? Yes.

Ajit Venkataraman: Keshav, in terms of demand, the demand in agri segment had petered out a little bit during the quarter. It started from Q2 and persisted in Q3. In terms of non-agri segment, we have seen some

robust growth. We have grown almost in a robust high double -digit numbers. And therefore, going forward, the strength in the segments are very strong. Construction industry, we continue to see a growth upwards of 15%. And agri demand, we have to wait and see. We expected single -digit growth, but we have seen a delay in the market picking up yet. And this was mainly due to PVC prices being a little bit unstable throughout Q3.

Keshav Lahoti: Okay. Understood. So your agri pipe would have seen a sharp degrowth in quarter 3 year -on-year. What could that number look like? And how is your quarter 3 agri and non -agri mix...

Ajit Venkataraman: Keshav, I'm finding it difficult to hear you. Can you speak into the microphone, please?

Niraj Kedia: Can I answer, please?

Ajit Venkataraman: Yes, go ahead, Niraj.

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Niraj Kedia: Yes. So Keshav, our agri and non -agri mix in Q3 in terms of volumes was 32:68, okay? Hello? Was I audible?

Keshav Lahoti: Yes. Yes. Got that number. And what is the agri degrowth in Q3?

Niraj Kedia: See, that will -- we don't give that number, to be honest. You can figure it out yourself from the price trend.

Moderator: Thank you. And the next question is from the line of Karan Bhatelia from Asian Market Securities. Please go ahead.

Karan Bhatelia: Sir, I just wanted to understand, given the ongoing global supply side challenges because of Red Sea, any difficulty with respect to sourcing of EDC, VCM and how do we see things shaping up for the next 3 months?

Ajit Venkataraman: So far, we have not had an impact yet, but we are holding a very close watch on the situation -- emerging situation in the Middle East, especially for shipments, and we are monitoring the situation. But as of now, we have not had any issues.

Karan Bhatelia: Right. So we've got strong inventories of 2, 3 months when it comes to EDC, VCM?

Ajit Venkataraman: Can you repeat that question?

Karan Bhatelia: I'm saying, do we now have 2 or 3 months of inventory of EDC, VCM at a company level?

Ajit Venkataraman: Yes, we are covered for the next couple of months...

Niraj Kedia: Yes. So just to clarify, we don't keep 3 months inventory of EDC, VCM. But as Ajit was saying, we are covered for the next quarter. We don't see any challenges as of now in any procurement of either EDC, VCM.

Karan Bhatelia: And on, sir, another question. How do we see infra as a segment growing for FY'24 after phenomenal volume growth in the Infra segment for FY'23?

Niraj Kedia: You're talking about Plasson or about us?

Karan Bhatelia: No. So for Plasson and for infra as a industry as a whole. So how do we see that shaping for FY'24 on a very heavy base of FY'23?

Niraj Kedia: I'll try and answer your question the way I understood. See, as Ajit said earlier,

even this year,

while if you look at our overall sales volume, it's single digits, but our plumbing and sanitation sales in terms of volumes, they are upwards of 15%, even on a YTD basis. So Infra is going strong. And our sense is that this should continue even in the next year.

Moderator: Thank you. And the next question is from Sneha Talreja from Nuvama Company. Please go ahead.

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Sneha Talreja: Two questions from my end. Firstly, when you're saying volume growth, what is the kind of volume growth we're likely to see in this particular year? Earlier, you were guiding for 15%, but looking at the run rate, we are at 7% YTD, what should we expect for FY'24?

Ajit Venkataraman: So when you look at volume growth, you need to look at it from 2 different segments. In the agri segment, we were expecting a high single -digit growth for the year, which was true until September. Since September, we have seen a significant slowdown in the agri segment. And in the Construction business, we were looking at upwards of 15%. As the construction industry itself is growing upwards of 15%, which is why we continue to give the direction of 15 -plus growth in the non -agri segment. The volumes in agri segment have not recovered yet. And we are expecting the market to open up soon because Q1 and Q4 are the strongest segments for -- I mean, quarters for the agri segment.

Sneha Talreja: Right. So that's on my understanding was that the real quarter is expected to come in. So what's your expectation in agri? Is it looking up because Q4 is a main quarter along with Q1?

Ajit Venkataraman: Correct. So we are hopeful, but it's very difficult to predict. Yes.

Sneha Talreja: Sure. Along with that, any reduction in PVC prices that you're seeing, given that there are supply disruptions globally, which have just started to pan out. Are we seeing any sharp up -move in PVC prices from here on?

Ajit Venkataraman: See, PVC prices have been range bound so far. We have seen the prices range between \$750 and \$800 per metric ton. At this point of time, it is still a range bound and it is almost at the lowest point at this point of time. It is between \$750 and \$770 per metric ton. And we expect it to be in this range bound -- in this range itself. So we don't see any specific reason why the prices will increase.

Sneha Talreja: Understood. And how CPVC pricing been faring? Has the bottom again that had been met? Or are we still seeing some cooling off of prices?

Ajit Venkataraman: CPVC prices have been on its way down. And it has been at the lowest point yet. So that is again a wait and watch. It is not directly correlated to the PVC prices.

Moderator: Thank you. And the next question is from the line of Miraj from Ar i hant Capital. Please go ahead.

Miraj: Just wanted a clarification on a couple of things. First is that I wanted to understand what kind of response are we seeing from our channel partners given to that coming soon the agri demand is supposed to pick up? So what kind of response are we seeing? Are they waiting to play out if there's any further fall in PVC prices or is there a decent response from there?

Ajit Venkataraman: So thanks for your question, Miraj. The PVC prices are at probably its lowest point yet at this point of time, and it is between \$750 and \$770 per metric ton. So the channel typically waits for the prices to fall in order to pick up inventory. So we are waiting for the markets to open up at this point of time. The market has been fairly lukewarm for most of Q3 and the first 2 weeks of Q4.

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Miraj: Understood. Okay. So we're still waiting for them to pick up on sales from the channel that is there. And sir, secondly, I wanted to understand that the remainder land parcel that we have, I believe it's close to

36 acres, are we planning any sale on that front? Or are we still planning to keep it with us?

Ajit Venkataraman: Niraj, can you take that question?

Niraj Kedia: So, Miraj, see, it is a noncore asset. So Board had clearly mandated us that we need to dispose this off. We are still trying to sell it out. We were able to sell half 2 years ago. Half is still remaining with us. So some -- nothing has been finalized yet, but the intent is to dispose it as soon as possible.

Miraj: Understood. Are we, sir, any -- are we in talks with anyone for the land yet or it's still in a very early stages?

Niraj Kedia: See, talks keep happening. See, because obviously, when there's a land, you continue to pursue some of the buyers. So discussions keep happening, but there's nothing concrete as of now. But the intent is to dispose.

Miraj: Understood. Understood. Okay. Sir, just 1 last part. Can we have some clarity on what would be the value of the land of 36 acres?

Niraj Kedia: See, it is 35 acres, not 36 acres. We had 70 acres. And when we sold the first 35 acres 2 years ago, we made a net gain of INR376 crores. So whatever we get now from the remaining should be at least more than that, that's our view.

Moderator: Thank you. And the next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.

Rajesh Ravi: Sir, first, a few bookkeeping questions. Could you share the agri mix in volume and value terms in Q3 and for 9 months FY'24, please?

Niraj Kedia: Yes. in value terms -- sorry, in volume terms, this quarter, we had 32%. And overall also, for this YTD, which is around 32%, 33%. Value generally, we don't give because this is not a separate segment, but volumes what I have told you.

Rajesh Ravi: Okay. For the Q3, what was the PVC, EDC and VCM prices? And what are the current ranges for these 3?

Niraj Kedia: Sure. So for Q3, I would say PVC on an average was \$787, EDC was \$322, VCM was \$645. So the PVC/EDC delta was \$465, and the PVC/VCM delta was \$143. If you look at it today, I have 1-week -old numbers with me. There is the latest number with us. PVC is at \$760, EDC is at \$350, VCM is at \$620. The PVC/EDC delta is \$410 and the PVC/VCM delta is \$140.

Rajesh Ravi: Okay. Okay. Great, sir. In terms of the business, how are you looking at your CPVC? I understand you've stopped sharing the numbers for that but what is your view given that we were around 4% to 5% of the total volume compared to last year. So what is the view, given that resin

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supply domestically is increasing? So are you looking to increase this segment significantly from a 4%, 5% level? And if so, what is the level you're looking at?

Ajit Venkataraman: This you're talking about CPVC segment, right?

Rajesh Ravi: CPVC, sir. CPVC pipes.

Ajit Venkataraman: All right. So the CPVC pipe segment is a growing segment for us. And we have been showing steady growth in the last 3 to 4 years. And it is going to increase -- continue to increase its contribution to the overall business for Finolex Industries because most of these pipes go into apartments and housing, and the need for hot water and cold water pipes is going to be existent across and that segment is growing anywhere between 15% and 20%.

Rajesh Ravi: Okay. So on a small base, you're not giving any significant given that Meghmani Fine Chem and then, you know, Lubrizol next year would all be Meghmani Fine Chem has already increased capacity significantly and even the Lubrizol capacity will come next year. And so for the domestic supply, you've already been present in this market. What is your outlook from this 4%, 5% currently? Would it be significant, say, 10%, 15% level range?

Ajit Venkataraman: Rajesh, in the CPVC segment, we have been outperforming the market, yes? And there is no constraint in terms of PVC availability, either through imports

or local supplies. And we have

capacities to meet the market requirements and the growing market requirements within the company at the moment.

Rajesh Ravi: Okay. Understood. So the resin availability will not be a trigger for you to exponentially increase the volume. So this is where growth -- your growth trajectory. Understood. And sir, you mentioned that you have some inventory losses. I understand you might not be able to separate segments. But on a total basis in Q3, what could be your inventory losses, which you have built in numbers?

Niraj Kedia: As I said, in our case, because we make our own resin, it becomes slightly difficult to compute that number, okay? But on a quarterly basis, full quarter, net basis, the prices were down by INR6, okay? And we generally carry a stock of, in pipes and fittings, roughly 20,000, 25,000 tons, so that can give you a ballpark. But in our case, to be very honest, because we use our own resin and we make our resin, this becomes a bit difficult.

Rajesh Ravi: Okay. No, I'm asking in your accounting, if you have taken account for any losses? I understand...

Niraj Kedia: No, no. There has not been any inventory write-downs or NRV provisions, if that is your question.

Rajesh Ravi: Okay. Okay, sir. Great. Lastly, all these land sale and all whenever you do, you generate handsome gains, so what are your capex plans? You're also sitting on a good amount of cash. So what about any expansion plans across both the segments?

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Niraj Kedia: Yes. See, on the resin side, I think it's very clear that we are happy with our current capacity. And there is no plan to enhance any capacity on the resin side, especially given it is a commodity business. We did it decades ago because that was the need of the hour. But right now, it's a small facility, is doing very well on its own. So there is no plan to have capacity there. We'll continue to do a capex of what is required to maintain the facility, which is around INR100-odd crores every year.

On the pipe and fitting side, if you recall, in March of last year, we set up a new facility for fittings. We also added some capacity in a modular fashion in our pipe plant. But in a couple of years' time, we will probably require some capacity enhancement. When the time comes, we'll let you know. But for the time being, what I can say is, on a guidance basis, INR150-odd crores of capex on an annual basis for the next couple of years you can assume.

Moderator: Thank you. And the next question is from Utkarsh Nopany from BOB Capital. Please go ahead.

Utkarsh Nopany: Sir, first question is on the cash flow part. So if I see over the past 7 quarters, we have generated a positive cash accrual of INR575 crores when we do the addition of net profit plus depreciation -- and I believe that there would have been also a release of working capital due to substantial decline in the PVC resin prices, but our net cash balance has remained at similar level at INR1,550-odd crores over the past 7 quarters. So can you please explain where we have deployed around INR600 crores of cash over the past 7 quarter period? And how we are planning to utilize the surplus cash going forward that we are carrying in the book?

Niraj Kedia: Yes. So you actually answered part of your question. Some of the cash, which actually got released from -- into working capital because PVC prices came down. And if you look at it last year, in Q2, we also incurred loss because of the sharp correction in PVC prices. I mean I don't

know how to answer this further because the cash position that you see is net of our short-term credit -- short-term borrowing that we take in terms of buyer credit. During the last 7, 8 quarters, we've also paid out dividends, and there has been capex.

If you have -- if you want to understand this, probably, in detail, I'm happy

to have a conversation

with you later. But it's very clear in our books the way cash has been there.

Utkarsh Nopany: So you are saying that this is INR600 crores of cash, which we have generated mainly through operation has been deployed only in the form of capex and dividend? Because for our working capital requirement, the cash would have got released from the system of the decline in resin prices.

Niraj Kedia: Yes.

Utkarsh Nopany: And how much capex we have incurred in this 9 months of FY'24?

Niraj Kedia: Can I answer this question in a minute?

Utkarsh Nopany: Yes, sure. And how we are planning to utilize the existing surplus cash balance going forward?

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Niraj Kedia: See, as I said, this large cash is in that point of time need to be returned to the shareholders in one form or the other, either a dividend or a buyback. Whenever the Board decides, this will probably go back to the shareholders.

Utkarsh Nopany: Yes, we have been hearing on this point again and again, but it's been quite a long time. So what would be that trigger which we are looking at to come to the decision point?

Niraj Kedia: There is no specific trigger per se, to be honest. It will happen.

Utkarsh Nopany: Okay. And do we have any plan to enter into a new product category like infra, pipe and tanks in near future?

Ajit Venkataraman: Utkarsh, let me answer -- take that question. The current agri and non-agri segments both are large enough for us to grow in these segments. And we are not looking at diluting our focus from these 2 segments.

Utkarsh Nopany: Okay. And sir, on the PVC resin side, are we facing any issue on the availability of PVC resin raw materials, that is VCM and EDC? Because if I see, our production has been on a lower side on a consistent basis compared to what we were doing during pre-COVID period?

Ajit Venkataraman: Yes, Utkarsh ...

Niraj Kedia: Yes. This year, we have...

Ajit Venkataraman: Niraj, go ahead.

Niraj Kedia: So this year, we have had issues with some of our suppliers. See, there are 2, 3 things which happened this year. Initially, generally, we take our plant shutdown sometime in November, December. But last year, we kind of extended it, and we did it in April of this year. So we lost around 20, 25 days of production there. Plus in Q1, Q2 as well as Q3, there have been intermittent challenges with some of our suppliers, some force majeure events at their plants. So we have had some issues in procurement of raw material.

But now if you see when I talk to you today, those problems seem to be behind us. And as I said earlier, for Q4, we are pretty confident that we will not have any issues and even beyond that.

Utkarsh Nopany: Okay. And if you can just give some guidance that how has been our CPVC volume growth in the December quarter period and in the 9 months of FY'24?

Niraj Kedia: See, CPVC separately, we don't give, but it has been more or less in line with our non-agri growth.

Utkarsh Nopany: Okay. And I'm just waiting for that capex number for 9 months.

Niraj Kedia: Yes.

Moderator: Thank you. And the next question is from Abhishek Ghosh from DSP. Please go ahead.

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Abhishek Ghosh: Just a couple of questions. In terms of the resin part of it, this quarter, the production is much higher than your sales. So, Niraj, were you referring to that data point in terms of normalization as far as the resin production is concerned?

Niraj Kedia: No. So that is different. What I was saying is that, see, even in this quarter, our production was roughly 60,000 tons, which is not -- we could -- if we did not have some supply issues, we would have probably made 75,000 tons. So what I was trying to say that in Q4, the way we sit today, we don't see a challenge in producing 75,000 tons of resin.

A

bhishek Ghosh: Got that. So the INR7 of broad EBIT per kg that you have done, that also has an element of negative operating leverage to that extent for the division?

Niraj Kedia: Yes. Yes. Yes, you're right.

Abhishek Ghosh: Okay. Got that. And just in terms of the market competitiveness, at a point in time when you're not seeing pickup in agri, do you see increase in competitive intensity by market leaders in terms of pricing and aggression? Any change in the competitive landscape that you're seeing in the marketplace?

Ajit Venkataraman: Can you repeat that question, please, sorry?

Abhishek Ghosh: Yes. Ajit, what I was trying to understand is, at a point in time when there has been delay in pickup in the agri demand, do you see a change in the competitive landscape of the PVC pipe market in terms of market leaders getting aggressive as far as pricing is concerned? Any kind of change in the landscape that you see at the competitive side?

Ajit Venkataraman: See, there is increased competition, and there is no question about that. And when there is increased competition, there is going to be pricing pressures, especially when market is not opening up as much as we had expected. So this is a fairly routine market response. We don't see anything unusual. Everybody had expected that the agri demand will pick up -- start picking up in Q3.

And we also expected that it will not be as robust as what we had seen in Q3 of FY'23 where we ourselves saw a record -breaking quarter, and we didn't expect it to be as big as that, but should come close, but we did see the market being a little bit lukewarm, and it has not opened up yet. And therefore, yes, when the market doesn't open up as quickly as it should, there is going to be pricing pressures. So we have -- which is quite normal, and that's what we are seeing at this point of time.

Abhishek Ghosh: But in your assessment, given the feedback that you might be having from your marketing and the distributor interaction, is PVC price movement, the sole cause of delay in pickup? Or are there any other issues in terms of affordability? Your last year has been very good. Any other dynamics also which is playing out for the agri demand pickup?

Ajit Venkataraman: See, last year, we did have a pent-up demand playing out, okay? And therefore, we saw the type of volumes, which we saw last year. This quarter, so far, last Q3 FY'24. And even now, the PVC prices have been hovering around the bottom, that is \$750 to \$770 per metric ton. So therefore, Finolex Industries Limited
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we are still seeing the market on a wait and watch, but our expectation is that the market at this PVC prices are not going to fall any further than this.

Niraj Kedia: Just to add, agri demand, as you -- we always say, you only know how season is after the season is over. What has happened during September, there was a large anticipation in the market that the PVC prices will go down, which they eventually did in October. And that led to some pickup in the volumes. In November, the weather spoilsport which happened was the flooding and excessive rains in large parts of the country. So that also had a negative impact on this quarter's volume.

Moderator: Thank you. The next question is from the line of Manish Bhadane from Ashika Institutional Equities. Please go ahead.

Manish Bhadane: Sir, if I look at the PVC prices and PVC/EDC delta prices, so they are in the downward trend. So what are the factors that are impacting on the PVC prices and PVC/EDC delta?

Niraj Kedia: So see, I see something very unique to our industry, I would say. PVC prices and EDC prices, they are not linked to each other. Generally, if you look at the long-term trend, they seem -- the EDC prices tend to lag behind PVC. But this lag could be anything. What impacts PVC prices in India especially is, see, India is import dependent on

PVC.

So PVC domestically is priced on import price parity. So anything which happens around the world, it can impact PVC price in India. Let's take some examples. See, last year when Chinese market was down, PVC was being dumped in the country.

So that led to reduction in PVC prices, whereas the demand was good. This year also, there have been -- so let's see now what is happening on the -- in the Gulf side. There are supply chain issues which we hear about. So these kind of things also effect the sentiments around PVC pricing and the real pricing in the country. When it comes to EDC, EDC is -- works on different parameters. The more chlorine is generated, EDC prices will go down. So they're not directly correlated. They do follow a lag, but they more or less run independently.

Manish Bhadane: Okay, sir. And my next question is, from which countries you are importing by EDC?

Niraj Kedia: Generally, we get it from the Middle East.

Moderator: Thank you. And the next question is from the line of Umar Farooq from CRISIL. Please go ahead.

Umar Farooq: Looking at the question regarding the PVC resin imports actually. From -- for the past 1.5 years, if you see, PVC resin have been imported into India very extensively from China, if you see

dumping. And very simply...

Niraj Kedia: Can you speak -- can you please speak up a bit? Unable to hear...

Umar Farooq: Am I audible now?

Niraj Kedia: Yes, yes.

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Umar Farooq: Yes. So the question is regarding the PVC imports into India. So for the past 1.5 years or 2, we see PVC resin imports have been on a rising trend, especially from the China dumping the PVC. And many local producers and domestic producers have also complained about that -- regarding the dumping.

So how do you see going forward, if we see the data for the past 8 months of the fiscal '24, the imports from China are already at 80% of fiscal '23. So how does this impact going forward to the domestic PVC market? Can you give any clarity on that?

Niraj Kedia: See, if you look at the numbers...

Ajit Venkataraman: Niraj, go ahead.

Niraj Kedia: Yes. So see, last year, on a financial year basis, India consumed 3.8 million tons of PVC, of which the domestic producers made 1.6 million, 1.7 million tons. So more than 50% of the PVC was imported into the country. And that is a trend which we expect to continue even in the future. So import of PVC is not going to stop. Whether it is dumped from China or other places, it all depends on how the economy of those countries are doing.

For example, if Chinese economy kind of starts -- say tomorrow, hypothetically, starts to boom up and their domestic construction industry picks up, they probably will be not selling as much to India as they're selling now. So this has to be looked at it from a global perspective. And these dynamics keep changing. So it is difficult to say what will happen tomorrow. Ajit, you were saying...

Ajit Venkataraman: No, no. It's in line to what I was about to say.

Moderator: Thank you. And the next question is from the line of Aasim from DAM Capital Advisors. Please go ahead.

Aasim: So first question is on the pipes business. Sir, I presume for your non -agri segment, Finolex would need to be aggressive on the ground in terms of channel incentivization and your E&P. I just wanted to know that assuming normal industry, I mean, agri volumes are normal. Is there a difference between ROCE profile for your agri and non -agri pipe business?

Niraj Kedia: No, ROCE profile is similar. See, there are 2 -- the businesses are very different when it comes to different business dynamics. In agri, the number of SKUs is lesser, so your capex involved is lesser. There is inherent requirement for credit is not there because funds are arranged by the customers, whereas in -- and then the profitability is lower.

On the non -agri side, while the profitability is higher, the number of SKUs is more, so your capex required there is more, plus this is requirement to give credit to the market, the stock has to remain in the shelves of the retailers. So the whole working capital cycle there is longer. But on an ROCE basis, they are more or less similar.

Aasim: So the takeaway basically is if you aggressively grow our non -agri business or rather if it's growing faster, it will not be ROCE dilutive? Got it.

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Niraj Kedia: No, not at all. Not at all.

Aasim: Yes. And the second question is on PVC resin. I mean just on a volume expectation for this fiscal, I think you had -- last quarter, you had said that you would be -- you would attempt to do 200,000 to 220,000 metric ton volume sales given the 9 -month run rate and with PVC prices being range bound but on the lower side, do you still expect to reach that number?

Niraj Kedia: Yes, definitely. So between 200,000 to 220,000 tons, we'll be able to achieve. And this when I say, I'm talking about both international sales. Yes. There was 1 question on the capex. So the capex that we have done in the 9 months is roughly INR85 crores.

Moderator: Thank you. And the next question is from the line of Amit Srivastava from B&K Securities. Please go ahead.

Amit Srivastava: Sir, a couple of questions. One is in terms of the PVC resin profitability if we look at, it's a INR7 kg around. So we have seen that from the last quarter, it has improved, whereas the PVC/EDC - as well as the VCM is also lower than the last quarter, then you have highlighted about operating delays also. So just wanted to understand that what has led to this improved profitability?

Niraj Kedia: Sorry, can you please repeat your question? I couldn't get that.

Amit Srivastava: Yes, sir, quarter -on-quarter, I was looking at EBIT per KG for the PVC resin, which is -- has gone up from INR5.4 to INR7. So our spread for the PVC/EDC as well as the VCM is lower than the last quarter. So what has led to this improvement in profitability?

Niraj Kedia: So if you see last quarter, see, in May of the year, generally around that time, our jetty gets nonoperational because during monsoon, we can't operate that jetty. So we stock up our stock of VCM and EDC before the jetty closes. Now this material which had come before the closure of the jetty was a high -cost inventory, which we used subsequently.

And that is why you -- why we saw the performance of the quarterly basis, Q1, Q2, Q3. So Q1, there was a heavy high -cost inventory that we used. In Q2, it reduced. And now this quarter, we have not used much of old inventory. It's a fresh stock that is being used, and that is why you see the improvement.

Amit Srivastava: So can we expect if that continues at the same level we can be in a similar kind of profitability in the coming quarters?

Niraj Kedia: Yes. Yes, we can.

Amit Srivastava: Okay. Second, in terms of the profitability of Pipes and Fittings also, we have declined on a quarter -on-quarter basis. So is it primarily because of the product mix that has led to an inventory loss or it has the impact of a decline in the prices also?

Niraj Kedia: See, so inventory loss and price decline are more the same thing. So you're absolutely right, this is because of the change in PVC prices and the change in product mix.

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Amit Srivastava: Okay. So in terms of our growth plan, basically, we are stronger in our West and South market. But still we are not so focused on our North and East market. So basically, in the future, what is the plan of action basically to cater to this market because these are the large markets, which is growing and a lot of peers seem to be moving towards that market? So is there any plan of action

for that market? Are we already looking at that market? Or still we are focusing on our core market?

Ajit Venkataraman: So Amit, let me take that question. Traditionally, we have been very strong in West and South, and we have a renewed focus on the North, okay? So it is North, West and South are our strong markets where we -- wherever we are strong, we want to strengthen it. And wherever -- in North, we are aggressively going into more new markets. It is East where we have been traditionally weak, and we are making efforts to strengthen that as well. So it is -- these markets -- I think all these markets are going to be important for us going forward to grow.

Amit Srivastava: Yes. So just to follow up that, basically, sir, we'll service from the same plants or we are looking at plants closer to the market in the North or any kind of -- because we have a future plan to grow anyway? So how is -- yes, so what is the...

Ajit Venkataraman: So at the moment, we are supplying all the pipes and fittings from the 4 plants which we have got, right? And going into the future, we are evaluating where to set up the next plant because in the next couple of years, we will need growth and therefore, where the next plant needs to be set up is something which is under evaluation.

Amit Srivastava: And if we are supplying from these plants, we are still competitive with the plants which are already into that market, in northern market primarily. East, we are still not there, so just to understand the northern market dynamics?

Ajit Venkataraman: So currently, we are supplying it from the 3 plants, which -- pipes, we are supplying it from 3 plants, and the fittings from almost all the plants of course is located in Pune. And so there are a couple of strategies which you can look at, which is one is distributed strategy, one is concentrated.

So we have followed the concentrated strategy given the good nature of infrastructure, which we have got for the availability of parts, the pipes and fittings to rest of the country can be reached within 2 to 3 days for the most. And therefore, we have, at this point of time, looked at it from a concentrated perspective. In future, it may be different, but that is under evaluation.

Moderator: Thank you. And the next question is from the line of Sarbhav Mittal, an individual investor. Please go ahead.

Sarbhav Mittal: Sir, historically, company has been generating good return on capital invested in the business better than the competitors. So what do you think are the competitive advantages present with the company?

Ajit Venkataraman: So Sarbhav, let me answer your question. See, this Finolex is a company which has been existing in -- for about 40 years. And we have been pioneers in the pipes and fittings industry and the quality of our products is our biggest differentiator. There is no compromise in the quality of

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products which we produce. And therefore, if you actually see there will be farms across the country, where Finolex pipes have been used for more than 30 years and still working very well. And this is the reputation which we carry forward as well. And to also let you know that most of the growth which is coming in, of course, the urban sectors are growing, but the new growth is coming from the Tier 2, Tier 3, Tier 4 cities. And this is where we have a very good stronghold in terms of the agri segment. And that is also translating into the non -agri segment as well. And therefore, our ability to serve the -- meet the customer requirements and provide really quality products with no compromise on the material -- raw material, which is used. The PVC, which goes into our pipes are probably -- 80% of it is coming from our plant in Ratnagiri. And this is topnotch quality wherever it is coming from rest of the world and that translates directly into the produ

cts we produce.

Sarbhav Mittal: Okay. Sir, does that mean backward integration, that is manufacturing our own PVC resin is providing some advantages? And is that...

Ajit Venkataraman: Definitely. See, the quality of the resin which we produce is probably the best in the world.

Sarbhav Mittal: Okay. And does it provide some kind of advantages in terms of cost?

Ajit Venkataraman: See, again, as Niraj has explained to you, we are not able to take full advantage of it because we do have a constraint.

Niraj Kedia: Ajit, I think this question is different. See, raising is at market rates. So there are no cost advantage as such to the pipe division. To the company overall, yes, because there is value addition in resin and there is further value addition in pipes and fittings -- in pipes. But if you look at them on a segmental basis, pipe segment does not have any added advantage of cost because we are procuring from -- our own other segment.

Sarbhav Mittal: Okay. And my second question would be, please correct me if I am wrong. In the past, the company has been targeting the customer segment and geographies which are largely avoided by other large organized players, but now that the company is targeting the plumbing segment in the urban areas where the competition is very high. So how are we going into that? What are the strategies that we would apply?

Ajit Venkataraman: So yes, definitely, we are getting into the urban segments and 1 brand, brand visibility because entering into a non -agri segment is a completely different ball game. It is much more of a push segment where the competition is quite high. And we have been a little bit slow in getting into the segment, but we have got very good traction in the last 5 years.

Our growth has been outperforming the market. One of the key reasons, one is making sure that we have the complete product portfolio available basket of products, which we have today.

Second is our distribution. The distribution is something which is a key differentiator.

Again, if you want to talk about differentiation, our distributors who have been with us for over 25, 30 years are our strongholds. They have very good connects with the market. and have been

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able to represent the brand very well. So that is the -- that is another key differentiator and enabler for us to penetrate the non -agri segment.

And yes, when we are entering the segment, there will be price competition, and we will have to be price competitive as well to make sure that the market understands that we produce quality products in the non -agri segment as well. So the brand spend, which is necessary in terms of presence, in terms of -- initially, we started with a mass -market carpet bombing. Now we have gone into a very specific targeted segmented marketing, connecting with our market with people who are brand ambassadors and who represent our brand, brand enablers, such as the plumbers, the MEP consultants, the builders, et cetera. So we have very targeted market campaigns towards that.

Niraj Kedia: Just to add, the level of interaction that is required with the plumbers, influencers, all the plumbing and sanitation business, there has been a significant uptick from our side. Just to take an example, since we launched our plumbers app, which is again trying to create a long -term connect with the plumber community. So that eventually, we are expecting it to become a very strong and a key player in the overall strategy with the influencers.

Ajit Venkataraman: Yes. It will create the stickiness that is needed with the influencers. Yes.

Sarbhav Mittal: Okay. And the last question would be, what are your goals for the next 5 to 10 years? And what are the metrics that would use -- what are the metrics that you would use to measure your performance?

Ajit Venkataraman: See, our aim is to double

the volumes. I'm not talking in terms of top line, double our volumes in the next 3 to 4 years, yes, and improve the product mix. Currently, as Niraj has pointed out during the call, we are anywhere between 65 -35 or a 70 -30 split between agri and non -agri, we would like this to move to a 50 -50 split.

Moderator: Thank you. And the next question is from the line of Miraj from Arihant Capital. Please go ahead.

Miraj: Sir, in one of the earlier con calls, we had mentioned that for FY'24 in Pipes & Fittings segment, we were looking for a INR10 to INR12 EBIT per low performance. So at this juncture, sir, what do we think what would be the achievable figure? Would we be able to achieve INR10?

Niraj Kedia: Yes, we should be able to achieve.

Miraj: Understood. Okay. And so for FY'25, do we have any figure ? Or are we -- will we be evaluating it later on once we cross FY'24?

Niraj Kedia: See, gradually as our product mix improves, our profitability on the Pipes & Fittings segment should improve. If you recall, 4, 5 years ago, our EBIT used to be in the range of INR6 to INR8 and our agri, non -agri mix was more like 80 -20. Now this has become 70 -30 or 65 -35 and you see this improvement in EBIT. Gradually, as this -- the faster this mix improves, the faster our EBIT for the segment will improve.

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Moderator: Thank you. And the next question is from the line of Ra aj from Arjav Partners. Please go ahead.

Raaj: I wanted to have the outlook for FY'25.

Ajit Venkataraman: Outlook for FY'25. It's -- at this point of time, very difficult. We can only base it on overall market trends. Again, if -- like in the past, we expect that the construction segment to grow anywhere upwards of 15% and therefore, our non -agri segment is likely to see anywhere between 15% and 20% growth.

In the agri segment, it is all going to be dependent upon PVC prices and the stability in PVC prices, and therefore, very difficult to predict at this point of time, but we are looking at any single digit growth in agri segment as well.

Moderator: Thank you. And the next question is from the line of Rahil Shah from Crown Capital. Please go ahead.

Rahil Shah: Sir, on the volumes again. So for the full year, you had said 15% to 20% overall, but then things are looking slow in agri segment. What are your expectations for the next year by '25 in terms of volume? Do you stick to the same number or something else?

Ajit Venkataraman: The expectation is growth between 10% and 15%, yes?

Rahil Shah: Overall volume?

Ajit Venkataraman: Yes, overall volume.

Rahil Shah: And the margins for the last 3 quarters, they've been in the range of 12%, 13%, any uptick expected there? You've also done much higher in the past, but is it too farfetched for now? Or this is the number we can look at?

Ajit Venkataraman: See, in the recent past, the very high margins which you saw in between FY'20 and FY'21 were basically on the back of abnormal PVC prices. We don't expect those Blackstone events to occur again. The prices are going to be much more range bound in between \$750 and \$850 per metric ton. So you cannot see or you're unlikely to see paranormal profits like that. It is going to be range bound.

As Niraj mentioned, as and as our product mix improves more towards non -agri segment, you're going to see improvement in the rupees per kg profit margins.

Rahil Shah: So when you say these prices are going to be range bound, so what's the timeline? Are you talking about the next quarter or even a good part of FY'25?

Ajit Venkataraman: See, it is already back to about \$750 to \$800 per metric ton. So we are already in a more stable situation. But again, with the developments happening in the Middle East, it's a wait -and-watch approach at this point of time.

Rahil Shah: Okay. So as of now, this margin band is something we

can continue with, with slight improvement like you mentioned.

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Moderator: Thank you. And this is the last question is from Tushar Vaidya , an individual investor.

Tushar Vaidya: You mentioned earlier that you see that the PVC/EDC spread for Q3 was good because you were using new materials, which was at a lower cost. How do you see -- what is the situation for Q4 and Q1 FY'25? Will the same low -cost material trend continue?

Niraj Kedia: Sir, to be honest, it is very difficult predict. It's like predicting what will be crude prices

tomorrow. So what we hope is that we should be range bound, but it is very difficult to put a number or even give a direction because EDC prices, VCM prices, they change on a monthly basis. And PVC prices change even on a weekly basis. And they both change because of reasons independent to each other. So it will be difficult to give any numbers for Q4 and Q1 of next year on EDC pricing, PVC pricing and VCM pricing.

Tushar Vaidya: Okay. Well noted. Well noted. Two quick questions. Number one, from the power plant that we have, can we produce any extra power and sell in to the open market to improve our profitability? And second question, any likelihood that the anti-dumping policy of the government is going to continue?

Niraj Kedia: See, there is no anti-dumping duty as of now on PVC. What the government did was they bought a quota for imports from certain countries, including China. But there is no duty on PVC import.

There's no anti-dumping duty, sorry. So that is the answer to your second question.

On first question, see, we have -- I don't think we can sell power in the open market. First of all, it does not become economical because ours is a thermal power plant, and we require specifically -- this is more or less, it's -- the primary requirement of our power plant here is to generate steam.

So a large part of the power that -- the coal -- the usage of this power is to generate steam. And that is where we use our CPP. We can't create more power and sell it in the open market.

Moderator: And this was the last question. I would now like to hand the conference over to the management for closing comments.

Ajit Venkataraman: Thank you all for attending today's call. If you have any further questions, please feel free to get in touch with any of us. Have a wonderful day. Thank you.

Moderator: Thank you. On the behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

17th May, 2024

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Investors and Analyst call (Q 4 FY2023 -24)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our intimation dated 3rd May, 2024 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on Monday, 13th May, 2024, pertaining to the quarter and year ended 31st March, 2024.

The same has also been uploaded on website of the Company under Investor's Section.

Thanking you,

Yours sincerely,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q4 FY'24 Earnings Conference Call "
May 13, 2024

MANAGEMENT : MR. AJIT VENKATARAMAN -- MANAGING DIRECTOR --
FINOLEX INDUSTRIES LIMITED
MR. NIRAJ KEDIA -- CHIEF FINANCIAL OFFICER --
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. SOHIL KAURA – ICICI SECURITIES .

Finolex Industries Limited
May 13, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to Finolex Industries Q4 FY '24 Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone Please note that this conference is being recorded. I now hand the conference call over to Mr. So hil Kaura from ICICI Securities. Thank you, and over to you, sir.

Sohil Kaura: Thank you. Good morning, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q4 FY '24 Post -Earnings Conference Call of Finolex Industries Limited. On behalf of the management, we have Mr. Ajit Venkataraman, MD; and Mr. Niraj Kedia, CFO. I now hand over the call to management for their opening remarks, post which we will open the forum for Q&A. Thank you, and over to you, sir.

Ajit Venkataraman: Thank y ou, Sohil. Good morning, ladies and gentlemen. Welcome to the investor conference call with Q4 FY '24 and FY '24 Earnings Release . We thank you all for your continued support and interest in Finolex Industries Limited. The company closed the quarter on a v ery strong note with over 23% growth in volumes. This also led to increased profitability for the quarter. On a full year basis, FY '24 reported another milestone achievement of record volume growth of over 3.3 lakh tons in Pipes and Fittings segment. Let me give you some of the performance indicators.

Q4 FY '24 highlights:

Total income from operations was INR1,235.42 crores or for Q4 FY '24, up 8.27% against INR1,141.06 crores Q4 FY '23. EBITDA declined by 3.91% year -on-year to INR 208.93 crores in Q4 FY '24 compared to INR 217.43 crores, in Q4 FY '23. EBITDA margin during this quarter stood at 16.9% compared to 19.1% corresponding previous quarter Q4 FY '23. The company reported a PAT of INR161.43 crores in Q4 FY '24 against INR158.35 crores in Q4 FY '23.

Now getting into segmental performance. Pipes and Fittings segment : -

The Pipes and Fittings segment revenue increased by 7.23% year -on-year to INR1,182.18 crores in Q4 FY '24, from INR1,102.11 crores in Q4 FY '23. Volume in Pipe s & Fittings segment improved significantly by 22.98% year -on-year to 100,171 metric tons in Q4 FY '24 against 81,452 metric tons in corresponding last quarter. The EBIT in Pipes and Fittings segment also increased by over 47% to INR132.81 crores in Q4 FY '24 compared to an EBIT of INR90.32 crores in Q4 FY '23.

Moving to PVC Resin segment. Revenue in Resin segment stood at INR507.48 crores in Q4 FY '24 compared to INR501.29 crores in Q4 FY '23. Volume in the Resin segment increased 19.07% to 69,215 metric tons in Q4 FY '24 against 58,132 metric tons in Q4 FY '23. EBIT in Resin segment stood at INR66.63 crores in Q4 FY '24 compared to INR117.25 crores in corresponding previous year quarter.

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The company continues to have a strong balance sheet with a net cash surplus of roughly INR1,820 crores as on 31st of March '24. It is to be noted that the subsequent to 31st March 2024, that is in April 2024, the company has transfe rred leasehold rights of 25.27 acres of land in Chinchwad, Pune and recorded a net gain of INR416.99 crores on such transfer. This figure is not included in FY '24 profits.

Let me now leave the floor open for questions. Thank you.

Moderator: Thank you ver y much. The first question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: A couple of questions. The first is for Niraj. Sir, can you highlight first on working capital days. One is inventory? Second is credit days specifically for agri and non -agri, PVC and CP

VC. And

the number of days, what we are looking at, is this the new normal that we should lever?

Niraj Kedia: See, on receivables, as our component of non -agri grows , the receivables days will obviously slightl y go up. So this is something that you can assume to be normal going forward also. Every time on every quarter's balance sheet end date, there may be some pluses and minus depending on that day of the year. But gradually, generally speaking, this should be a normal trend in terms

of receivables going forward.

In inventory, actually, there was some build-up of inventory on the resin side. So that is what is leading to the higher inventory days. But that is, I would say, not a very normal kind of phenomenon. That should normalize.

Ritesh Shah: Right. And sir, on credit base, can you quantify how much -- I would presume for agri, it would be cash and carry, on non-agri basically for PVC and CPVC, how is that in the marketplace?

Niraj Kedia: See, we don't differentiate in the credit days between PVC and CPVC. And the credit ranges from 30 to 60 days.

Ritesh Shah: That was helpful. Two questions for Ajit, sir. Sir, payout is great. Cash on books is great. If you could highlight on the incremental capex for FY '25, '26 with the end use?

Ajit Venkataraman: So the planned capex for FY '25 is INR150 crores. And we are also exploring opportunities for expansion. So that will happen as and when it certifies.

Ritesh Shah: Okay. And sir, last question for you. Since joining, you would have taken a number of initiatives properly, the strong volume growth is one of them. Can you highlight like what were the key variables that you had on your yardstick? And where do you stand on it right now?

Ajit Venkataraman: So in terms of the organization, we would like to grow in the Agri segment, which is our strength, and we are also focusing on accelerated growth in the Non-agri segment. And this is taking roots, and we are seeing that success in various urban markets, especially. And this is growing on the back of the growth in the Building & Construction segment. And that is something which we have done, and we are also focusing on projects which is resulting in growth in the Non-agri segment.

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Ritesh Shah: Sir, any other variables? Anything on supply chain, manufacturing, HR, operations?

Ajit Venkataraman: We have a good set of people who are running the operations. The management team is complete. And we have taken several initiatives. We have grown in all and our focus has been mainly in the Non-agri segment. We have been rationalizing our dealers' network. We have been growing in the areas which we wanted to grow. We have also been eliminating nonperforming dealerships. And all these have resulted in very focused efforts from the organization to grow the Non-agri segment.

Niraj Kedia: Plus Ritesh just to add, some of the things that we have done probably in the last year which is noteworthy is our "Plumber loyalty program", which went live. This is something that was a gap, probably I can say, for quite a while. And it is having good traction. We are receiving very strong feedback on the cities and the market where we've launched it. So hopefully, in a year's time, we will be a widespread launch of this program across India. That is something that we should keep looking at outward.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: So first one, can you give the PVC-EDC and the PVC spread numbers for a quarter and the current?

Niraj Kedia: So PVC for the quarter was \$785. EDC was \$358, and VCM was \$650. PVC-EDC delta for the quarter was \$427 and the PVC-VCM delta was \$135. Today, as we speak, there is a slight improvement in PVC. PVC has been trending around \$800. EDC, on the other hand, has reduced. It has gone to

\$320. And VCM has more or less remained stable at \$660. In terms of delta, the most recent delta that I can tell you, PVC-EDC is \$480 and PVC-VCM is \$140.

Praveen Sahay: And on the thing on the capex side. As you have mentioned that 150 odd crores of capex for this year. And if I remember, last time also you had indicated that you're evaluating the plant's location expansions as well. So any color on the geographical expansion for the company?

Ajit Venkataraman: No, this INR150 crores, which we are talking about is for incremental capacity addition and maintenance capex. Any expansion in terms of capacity will be coming in addition to this. At this point of time, we are evaluating it.

Praveen Sahay: Currently, how much capacity of Pipes and Fittings you have, end of this '24?

Ajit Venkataraman: So the total capacity we have is 470,000 metric tons, out of which the fittings will be about 48,000 metric tons.

Praveen Sahay: And also, if you can give some color on the full year. Definitely, you are not giving the fittings figure but any indicative number for a full year, how has been -- because you had commissioned the plant as well. So how has been Fitting growth rate in the financial year FY '24 in the Pipes and Fittings segment? And if you can give some indicative contribution numbers as well.

Ajit Venkataraman: See, we do not split it up. But in terms of the fitting plant, which we had installed in March of FY '23, the plant is close to near-end capacity utilization. Capacity was set up for almost 1,000

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-- 900 to 1,000 metric tons per month. And we are hitting close to that. And with the improvement in Non-agri segment, we expect that the fittings' contribution to the overall revenue would grow.

Moderator: The next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: A couple of questions from my end. Sir, firstly on channel inventory, where does this stand now? Are we still seeing some of inventory increase or decrease? Or is this at a stable level?

Ajit Venkataraman: As long as the PVC prices are stable, we expect the channel inventory to be stable as well.

Sneha Talreja: And we are not expecting any major up move in the PVC crisis, given that there is anti-dumping duty talks also on. So some flavor there would be helpful.

Ajit Venkataraman: We have to wait and watch. It's not just anti-dumping duty. It's also going to be dependent upon the Middle East situation, which has been quite volatile. So we are constantly watching -- very closely watching this situation. And let us see how this situation emerges.

Sneha Talreja: Understood, sir. Sir, secondly, what would be your FY '24 agri versus non-agri mix? And any guidances there?

Ajit Venkataraman: So it is -- the agri, non-agri mix would be in the range of about 31% Non-Agri for FY24 versus 30% in FY23. For the quarter

Sneha Talreja: Understood. And any guidance there for 1 or 2 years? Where do we see growing?

Ajit Venkataraman: Our aim is to move this to almost 50-50 in the next 3 to 4 years.

Moderator: The next question is from the line of Udit from Yes Securities.

Udit: Yes. Sir, firstly, in terms of growth guidance for next year, how does that move?

Ajit Venkataraman: So our expectation is that the growth will be anywhere between 10% and 15%. And that is -- that will be in line with what is expected for the industry over the next 4 to 5 years.

Udit: Okay. But sir, on the rated capacity of 470,000 tons, even if you're expecting a growth of 12%, basically on volumes and that is an 80% utilization. Does the plant allow that utilization? I mean, at peak what utilization can be reached?

Ajit Venkataraman: Our plants can take some incremental capacity as well. We can add to our existing capacity. But yes, definitely, over the next 2 to 3 years, we need -- definitely need additional capacity

coming

in and we are evaluating it at this point of time.

Udit: Yes, right. And you have said this, are you also looking out for any inorganic growth, or this will be purely that you want to go for a different region plant itself?

Ajit Venkataraman: It will be organic growth.

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Udit: Okay. So upon that any new capacity, even if you have finalized the plan, say, next quarter, coming it on stream will only be in FY '27. Is that understanding, correct? Because 18 to 20 months will be the bare minimum time you'll require.

Ajit Venkataraman: Correct. That is accurate. And it will take -- but we do have headroom in our existing, and we can add additional capacity in our existing locations as well.

Udit: Okay, sir. And sir, lastly, on PVC Resin front, is there any new domestic capacity coming up?

There were some talks of some major players coming in. But what is the...

Niraj Kedia: So there are talks. We see on emulsion side, there was some capacity addition last year. But on the suspension side, nothing has come up as such. And you are right, there are media news articles which keep coming, but we don't see any major capacity coming at least this year or the next year. Not something that is immediate in our view. But if something comes up, we will all get to know.

Udit: Got it. And sir, lastly, just one question on Q4 other expenses front, we have seen a decline of 9% on Y-o-Y basis. So what was the expenditure which has come down because that has given a good push to our overall operating margins?

Niraj Kedia: See, one thing is power was down because coal rates have kind of stabilized. So power has reduced. So that is one of the reasons. These are normal business expenses. Some quarters will be slightly high, slightly low, so that is not a major such problem with that. Nothing major has happened between this year Q4 and last year Q4.

Moderator: The next question is from the line of Utkarsh Nopany from BOB Capital Markets.

Utkarsh Nopany: Sir, my first question is regarding on your pipe margin. So we have seen a sharp sequential improvement in our pipe EBIT per unit versus what we have seen that the industry leader seen slight decline in the margin on a Q-on-Q basis. Can you please explain the reason for it?

Niraj Kedia: A couple of reasons here. In our case, if you see, we have the 100,000 tons of pipe this quarter. We have never done 100,000 tons in the past. So the benefits of scale have accrued to us in this quarter. And on competition, it's better that they answer the question. But what we are seeing definitely in the market is fierce competition and even pricing actions being taken by some

competition in some markets. So that may be one of the reasons why you see this difference.

But in our case, as I said, one of the major reasons is the benefit of scale.

Utkarsh Nopany: Yes. Because the reason why I'm asking the competition has, in fact, posted even much higher volume growth compared to what we have posted. And for that entire industry, the margin is coming under pressure, but that is not the case for us. So what thing we have done special, which has resulted into improvement in our margin, which is not the trend for the industry.

Ajit Venkataraman: Overall utilization has improved and also, to an extent, the product mix also helps in the whole equation. If you actually look at it from an EBIT per kg perspective, we did see a significant improvement, INR11.9 per kg versus INR5.09 per kg in FY '23. And various measures in terms

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of improvement in plant efficiency, in terms of overall improvement in volume itself helps in the whole equation.

Utkarsh Nopany: Okay. After March quarter result, so whether we would like to revise our earlier quite a bit per unit guidance of INR10 to INR12 per kg going forward?

ard?

Niraj Kedia: We have always said we used to be INR6 to INR8, and now we're comfortable in the INR10, INR12 range and that the target is in the next 2 to 3 years, we should reach the INR14 plus mark.

What happens is -- on any given year, given quarter, depending on PVC prices, some of these may impact plus if you see this number has come in a quarter, which has been very high volume, so efficiency of scale has come. So we'll not like to revise our guidance very immediately. But INR10, INR12 continues to be our guidance for near future, depending on and subject to PVC prices.

Utkarsh Nopany: Okay. And sir, lastly, on the demand front, if you can provide some color, how is the demand environment for agri price in the current June quarter and can we expect very healthy double-digit volume growth in this June quarter compared to last year because of stable present prices?

Ajit Venkataraman: Yes, you're right with stable PVC prices, our expectation is that the agri demand will be in the high single digits. And you also look at it from the Building & Construction segment, you are seeing a robust growth in that segment as well, and we expect that to be in the high teens.

Moderator: The next question is from the line of Gokul Maheshwari from Awriga Capital Advisors LLP.

Gokul Maheshwari: So my first question is, sir, if I just broadly break up the FY '24 volumes, agri would be having a low single-digit volume growth and there would be more like 25%, 30% growth in the -- something in the construction, non-agri pipe. Is the broad indications, right?

Ajit Venkataraman: So yes, it will be -- agri will be in the higher single digits. And very similarly, in non-agri, it will be in the higher teens, yes. Both will be in those range itself. We did see a drop in agri volumes especially in Q3 and which has picked up quite robustly in Q4 and continues to be in Q1.

Gokul Maheshwari: Just a confirmation on the capex, which you were sort of reviewing for the capex group. Are you planning to expand any capacity in the PVC business as well?

Ajit Venkataraman: No, not in PVC segment. Most of the incremental capacity expansion will be coming in the Pipes and Fittings segment and also maintenance budget.

Gokul Maheshwari: Could be even beyond your core region, which is -- because your current facilities are in Western part of the country. Would you be open to even look at the other regions to set up a new facility in the pipes business?

Ajit Venkataraman: Yes, we are evaluating all options.

Gokul Maheshwari: And lastly, just as a data point, could you give an indication of the volumes for the PVC business, external and internal sales from Q4 and FY '24?

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Ajit Venkataraman: See, FY '25, we are expecting volumes which are more or less similar to what we had in FY '23. And it might improve a little bit based on the -- last year, we did have some supplier issues, and that resulted in non-availability of raw material. And that situation is likely to improve this year, and therefore, we are expecting a little bit better volumes this year.

Gokul Maheshwari: No. My question was on Q4...

Niraj Kedia: So this year, we have sold roughly 14,000, 15,000 tons of PVC externally, balance all we have consumed in-house. So last year, if you remember, we had sold roughly 27,000 tons outside.

This year, it is half. We just sold about 14,000 tons outside, balance 180,000-odd tons we have used ourselves.

Gokul Maheshwari: Could you give the number for Q4 as well.

Niraj Kedia: Q4?

Gokul Maheshwari: Q4, yes.

Niraj Kedia: Q4 external sales will be about 6,000 tons.

Gokul Maheshwari: And lastly, just on the margin front, when you mentioned that directionally, you should be touching that INR14 kind of a number, but with more proportion of non-agri higher fitting over time, these would be the pri

mary factors to where your margins are higher and hence directionally, your margins should move up over the next 2, 3 years? Or is there any other factor?

Ajit Venkataraman: Yes. efficiency improvement along with these factors, yes.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher.

Praveen Sahay: I'm just repeating maybe. But can you give us some indication that out of your INR150-odd crores of capex, how much is the capacity region you are looking at? Because the question is how much the better utilization -- or the maximum utilization you can go up to actually because the FY '23, we had seen the capacity utilization has gone beyond 80%. So is it possible to run at 80% of the utilization or your -- how much of the capacity you are adding will give such kind of capex?

Niraj Kedia: So Praveen, instead of getting into numbers, let me give you some qualitative inputs. So this year, we will be adding some modular capacity in couple of our plants, especially in the mother plant. So that -- see, we can easily make 110,000 and 120,000 tons in a quarter, okay? So from a capacity side, we don't see any constraint. We don't see any issues when the demand comes. And we have been catering to the demand. During this year, as Ajit was saying, and as you also would be aware that it will be difficult to kind of set up a plan this year. But on a modular basis, we will be adding capacity during the year. If you remember, even last year, in our pipes, we added 20,000-odd tons capacity. That was just by adding the [extruders and we'll can do the same this year also.

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Ajit Venkataraman: And we are also looking at replacing some of the old ones with more higher output machines. So that does help in improving the capacity in a very modular basis.

Praveen Sahay: Second question is related to the PVC Resin. Definitely I get the answer that's why the volume for external sales is lower. So the way forward, you wanted to sell nearly around 26,000, 27,000 tons of PVC Resin externally. That is what you are saying?

Niraj Kedia: So Praveen, we would like to use as much resin as possible in-house. See, there are some customers whose operations are so to say, dependent on our grade of resin for our quality of resin. So we continue with those small quantities, but incrementally going forward, we will be using our own resin more and more.

Praveen Sahay: And the last question, sir, on the inventory loss or gain for this quarter or year, if you can give.

Niraj Kedia: No, there has not been any material gain or loss this quarter at least. In September, in the third quarter, there was some inventory loss because if you remember, prices went down by INR11 right after the end of September. So that is something that will happen. But overall, if you compare this with last year, where, in fact, entire Q2 profits ate up into the Q1 profit and fully half year was almost breakeven. So compared to that, this year has not been material at all from that perspective.

Praveen Sahay: Okay. And full year if you can just -- how much is the loss?

Niraj Kedia: Difficult to ascertain in our case, given that our integrated facility. But it is not very material.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, you indicated 10% to 15% volume growth as the guidance in line with the industry. So can you please elaborate on this?

Ajit Venkataraman: We expect -- as I mentioned, we expect that the Agri segment will grow in the high single digits. And the Non-agri segment will be close to 20%, which is what we are seeing. And we expect that to be the trend over the next 5 years as well, okay? And that is how we are arriving at any - between 10% and 15% volume growth.

Ritesh Shah: Sure. And sir, INR150 crores of capex is something which will take c

are of the capacity. I think

on the prior answer you did indicate capacity is not a constraint. Is that a fair conclusion?

Ajit Venkataraman: Yes. At the moment, yes. Looking at 2 to 3 years ahead, no. We'll need to add capacity.

Ritesh Shah: Sir, second question is, I think there was a regulatory update specifically on paste resin. I presume we have some exposure over here. Can you quantify what percentage of our resin sales volume was under the category and what sort of benefit it would actually accrue to us?

Ajit Venkataraman: Can you repeat that question? Could not hear you properly.

Ritesh Shah: So the anti-dumping duty on PVC paste resin, I think it got notified recently. I presume they would have some exposure over there?

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Niraj Kedia: So we make a very small quantity of emulsion grade PVC. This year, we made roughly 6,000 to 7,000 tons. It's a very small part of our business. Even historically, we have been making 8,000 to 10,000, 12,000 tons of EPVC. It is a different product. It is not used in pipes. It is used in some of the other industries like leatherette and medical equipment and all of that.

So there is an anti-dumping duty which has been notified recently. It used to be there earlier, Ritesh. And some years ago, it was taken away and now it has been reimposed. So on us, it does not have a material impact because our volume of EPVC is very, very low.

Ritesh Shah: Sure. That's useful. And last question on new launches. We see competition actually talk about OPVC as well as PERT, any particular thoughts on why we are not into these particular segments? Or do we have any intention to get into the segments?

Ajit Venkataraman: At the moment, we are just observing and evaluating these new products. The PVC demand is robust enough to us -- for us to focus at the PVC segment at the moment for us for Finolex.

Ritesh Shah: So we are not even looking at HDPE as a category?

Ajit Venkataraman: No.

Ritesh Shah: Okay. So no diversification basically from a polymer standpoint outside of PVC, would that be fair?

Ajit Venkataraman: That's right.

Moderator: The next question is from the line of Saket Kapoor from Kapoor Co.

Saket Kapoor: You alluded to the point of talks of setting up of the PVC complex by two of India's largest corporates. So sir, as we know the complexities of the same setting of a big project, and can you allude to the point why there are only talks, when -- what could be the key reason when we are importing PVC, we are import-dependent and we are unable to set up projects, and these are only on drawing boards. What could be the key reason why this has been the case for a very long time?

Niraj Kedia: It is a very theoretic and subjective topic that you have raised. And we may not be right people to answer this. But just to speak my mind on it. See, resin is also a very volatile business. Yes, India is dependent on resin and all of that is true. But commodity business is very volatile. The reason that we are also not expanding on the resin segment is because it is highly volatile. And in global market, the feedstock availability can become a challenge at times. So we can speak about ourselves. About others, I don't know. But these should be the main reasons.

Ajit Venkataraman: If all the feedstock is imported.

Saket Kapoor: Right. It is the integration part. Just to dwell on it, the big major petrochemical giants. Are they also in the same page as we are, or they have an edge over setting up a big PVC complex?

Niraj Kedia: We have -- we are a small player in that parlance. So our problems are very small and different than some of the large players. And it may not be right for us to comment on their strategy.

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Saket Kapoor: One more point on the chlorine requirements, sir. Correct me

here, sir, what is our annual chlorine requirement and...

Niraj Kedia: No, we don't buy chlorine.

Saket Kapoor: Okay. So in that case, we are not in that value chain?

Niraj Kedia: Sir, we buy EDC, which is ethylene dichloride chloride, and we buy VCM, vinyl chloride monomers. We don't buy chlorine. So we convert EDC and VCM both into PVC.

Moderator: The next question is from the line of Hemang from Anvil Wealth Management.

Hemang: Congratulations on a great set of volume growth in PVC pipes. Sir, my question is on PVC capacity expansion. So are we planning for current year, like in FY '25 because we are running at 100% for the new plant, what we had set up in last year?

Ajit Venkataraman: No, no, we have a total capacity of 48,000 and we are approximately about 65% to 70% utilization. So we still do have capacity.

Niraj Kedia: Our factory that we set up in '23, March. That still has space to add more machines. So whenever if in the next 2 years or odd, when we are reaching a 75%, 80%, 85% of the capacity utilization, it's just a matter of adding machines. So the whole setup is there to add more machines there itself.

Hemang: And what was the breakup of agri, non-agri in fourth quarter -- in the current quarter?

Niraj Kedia: It was 71-29.

Hemang: Okay. And on the EDC side, have we shored up the EDC this time or we are transporting through the tankers from the port?

Niraj Kedia: So we have showed up some -- and some like last 2, 3 years, we have kept it open, and we'll be buying on during the monsoon.

Hemang: Okay. That is about 50% of requirement or how the split would be?

Niraj Kedia: The number I did not often in my head, but some part of our requirement we'll be buying during monsoon.

Moderator: The next question is from the line of Praveen Sahay from Prabhudas Lilladher .

Praveen Sahay: Sir, one clarification. 70% of the agri in volume terms, you said for a quarter or a value term?

Niraj Kedia: Volume terms.

Praveen Sahay: And how much is the value term?

Niraj Kedia: Value generally, we don't disclose.

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Praveen Sahay: Okay. And one on the land sales. So you had 35 acres and sold 25 acres of land. So you still left with around 10 acres?

Niraj Kedia: Yes. Some 10 -odd acres is left with us.

Praveen Sahay: Okay. Okay. And this time is that the sale value has increased drastically from the last time? Is it right sir? Or else some land...

Niraj Kedia: There is an improvement. See, we sold 35 acres, and we made a net gain of roughly INR376 crores then. And now on these 25 acres , we have made roughly INR417 crores. So definitely, there is an improvement. In the last 2 years, overall, if you see property prices in and around Pune have gone up. And this place where we had our office, that has also kind of improved -- the real estate rates have gone up there also.

Praveen Sahay: Any indication for this -- is that in the process?

Niraj Kedia: See, nothing as of now. But to add this was a large noncore asset that we had. And that's why the Board had asked us to kind of get rid of it. Now with these 10 acres , the problem is not so big. Or I would say -- it is not that large of a non-core asset.

Moderator: The next question is from the line of Karan Bhatelia from Asian Market Securities.

Karan Bhatelia: Sir, is it with respect to no addition to our SKU base and net dealer addition for the current year?

Ajit Venkataraman: The SKU, we have more or less same and we keep adding wherever there is a gap, but our product basket is more or less complete, yes. And in terms of dealers, we have approximately 900 dealers in our network. And we continue to add to the number. And we have approximately 24,000 retailers in our network. This is something which is going to go up and down depending upon the dealer performance as well. So we do add, and we do remove as we

II. So it's a combination of both. Yes.

Karan Bhatelia: And how has been the CPVC growth for us in FY '24. We've seen strong price cuts in the market. So how are we paid? I know that we've stopped giving volume numbers, but can you give '24 volume numbers as a whole?

Niraj Kedia: It is more or less in line. The growth in CPVC is more or less in line with the non -agri growth.

Moderator: The next question is from the line of Ravi Mehta from Deep Financial.

Ravi Mehta: Most of the questions are answered, just a small bookkeeping one. I wanted this mix of agri, non-agri. What was it last year?

Ajit Venkataraman: Last year, it was about 70 -30.

Ravi Mehta: Okay. The mix you are saying.

Ajit Venkataraman: Can you repeat the question again?

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Ravi Mehta: No, I'm saying this agri, non -agri mix of 70 -30 in Q 4. What was it last year, Q4?

Ajit Venkataraman: Last year Q4 was 69-31. And this quarter it has been 71-20. On a full year basis, FY23 was 70:30 and FY24 is 69:31.

Moderator: Mr. Ravi, does that answer your question?

Ravi: Yes.

Moderator: The next question is from the line of Nikhil Agrawal from Vt Capital.

Nikhil Agrawal: I wanted to know, like Q1 is normally a good quarter for the Agri segment. Are we seeing any slowdown because of the elections or anything?

Niraj Kedia: Not really. See, except in those weeks or in those days when there are active elections, we have not seen as such a major impact of elections on our volumes, markets have been strong .

Nikhil Agrawal: Okay. So are we expecting 20% plus volume growth in the Pipes and Fittings segment in Q1 as well?

Niraj Kedia: 20%, we'll get to know when the quarter ends. But overall, demand scenario is good. Overall, the demand pull is there, both in agri also and non -agri also.

Moderator: As there are no further questions, I would like to hand the conference over to the management

for closing comments.

Ajit Venkataraman: Thank you all for attending the call today. If you have any further questions, feel free to get in touch with us, and have a wonderful day. Thank you.

Niraj Kedia: Thank you.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

1st August, 2024

National Stock Exchange of India Limited
Manager – Listing Department
5, Exchange Plaza
Bandra -Kurla Complex
Bandra (East),
Mumbai 400051 BSE Limited
Manager – Listing Department
Registered Office: Floor 25
P.J.Towers
Dalal Street
Mumbai 400 001
Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Investors and Analyst call (Q 1 FY2024-25)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our intimation dated 20th July 2024 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on Monday, 29th July 2024 for the quarter ended 30th June 2024 .

The same has also been uploaded on website of the Company under Investor's Section.

Thanking you,

Yours sincerely,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q1 FY '25 Post Earnings Conference Call "
July 29, 2024

MANAGEMENT : MR. AJIT VENKATARAMAN – MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. CHANDAN VERMA – DEPUTY CHIEF FINANCIAL
OFFICER – FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Finolex Industries Q1 FY '25 Post Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid . Thank you, and over to you, sir.

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Arun Baid: Good morning, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q1 FY '25 Post-Results Con Call of Finolex Industries. From the management side, we have Mr. Ajit Venkataraman , MD; and Mr. Chandan Verma , Deputy CFO.

Now I hand over the call to Ajit for his opening remarks, post which the floor will be open for Q&A. Over to you, Ajit.

Ajit Venkataraman: All right. Thanks, Arun. Good morning, ladies and gentlemen. Welcome to the Investor Conference Call , the Q1 FY '25 Earnings Release . We thank you all for continued support and interest in Finolex Industries Limited. The company closed the quarter with a good improvement in operating performance despite almost flattish volume in Pipes & Fittings segment. This quarter, the company has reported an exceptional gain of INR 417 crores coming from sale of leasehold land of 25.27 acres.

Let me now take you through some of the performance indicators. Q1 FY '25 highlights.

Total income from operations was INR 1,140 crores for Q1 FY '25, down 2.67% against INR 1,179.17 crores in Q1 FY '24. EBITDA increased by 35.53% year-on-year to INR 206.65 crores in Q1 FY '25, compared to INR 152.47 crores in Q1 FY '24. EBITDA margin during this quarter stood at 18.12% compared to 12.93% in corresponding previous quarter of Q1 FY '24. The company reported a PAT of INR 505.20 crores in Q1 FY '25. This includes exceptional gain from the sale of land , against INR 110.88 crores in Q1 FY '24.

Now getting into the segmental performances. Pipe & Fittings , revenue decreased by 2.67% year-on-year to INR 1,123 crores in Q1 FY '25 from INR 1,154 crores in Q1 FY '24. Volume in the segment decreased marginally by 1.69% year-on-year to 90,620 metric tons in Q1 FY '25 against 92,181 metric tons in corresponding last quarter.

The EBIT in the segment increased by 6% to INR 134.40 crores in Q1 FY '25 compared to INR 126.44 crores in Q1 FY '24. Moving to PVC Resin segment. Revenue in the segment stood at INR 548.23 crores in Q1 FY '25 compared to INR 359.41 crores in Q1 FY '24. Volume in the segment increased significantly by 51.11% to 69,625 metric tons in Q1 FY '25 against 46,074 metric tons in Q1 FY '24. EBIT in Resin segment stood at INR 69.11 crores in Q1 FY '25 compared to INR 3.12 crores in corresponding previous year's quarters.

The company continued to have a strong balance sheet with a net cash surplus of roughly INR 2,400 crores as of 30th June 2024 compared to INR 1,650 crores in the corresponding previous year's quarter.

Let me now leave the floor open for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: Sir, firstly, in terms of pipe volume growth, I mean, we have seen peers reporting around 20% growth. I mean, what went wrong for us or what were the segments that dragged the growth?

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Ajit Venkataraman: Thank you Udit for the question. We had a good growth in Pipes and Plumbing & Sanitation segment, but we were faced with certain supply constraints in the first 2 months of the quarter, which resulted in the lower volumes. But at the same time, our profitability per kg for the Pipes & Fittings segment has improved significantly.

Udit Gajiwala: Sir, what were the supply constraints? Was it -- because we have not heard it be industry-wide as such a phenomenon. Given that it was a peak Agri season, I mean -- so could you please elaborate? I mean, what were the...

Ajit Venkataraman: Our plants were running at peak capacity during that period.

Udit Gajiwala: Okay. And what was the quantum of inventory gains for the quarter?

Ajit Ve

nkataraman: Yes, just one moment. There was no significant inventory gain for the quarter.

Udit Gajiwala: All right. And sir, in Resin business as well, the EBIT margin, given where the delta has

improved, are we seeing some spillover that would happen in the following quarter in terms of inventory gains or improved profitability? Or lower prices could again dent the margin here?

Ajit Venkataraman: See, we have seen a certain degree of volatility in the past few months in the Resin segment. We have seen the prices rise and drop as well for the last few weeks. And therefore, there is not going to be much of an inventory gain or loss in the future as well.

Udit Gajiwala: Okay, sir. And lastly, what kind of pipe volume growth do you expect for FY '25?

Ajit Venkataraman: See, we maintain a 10% to 15% volume growth, which we had forecast in the beginning of the year.

Udit Gajiwala: This was on CAGR basis, right, for next 2, 3 years, if I'm not mistaken?

Ajit Venkataraman: No, no, this year as well. CAGR also, we expect a 10% to 15% growth. Yes.

Moderator: The next is from the line of Sonali from Jefferies.

Sonali : Sir, my first question is again a follow-up in terms of volume growth. Could you divide the volume growth between Agri and Non-agri for this quarter, please?

Ajit Venkataraman: So we normally don't give you the split of Agri and Non-agri. Typically, we don't release that. But we have seen much significant growth in the plumbing and sanitation Non-agri segment compared to the Agri.

Sonali : Understand. Sir, I just wanted probably the growth rates, because I just wanted to understand the minus 2% price decline. How much did Agri decline actually because of supply?

Ajit Venkataraman: What I would say is that we don't give you the split up between the Agri and Non-agri growth. But in the Plumbing & Sanitation segment, we have seen growth in line with the industry.

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Sonali : Understand. Sir, my second question is again regarding the supply constraint that you mentioned, your plants were operating at full capacities. What was the utilization that we were operating at, sir? And going forward, if there is such a strong summer again, what comfort do we have that we will not be hindered by such supply constraint again? Because the demand was very strong.

Ajit Venkataraman: Correct. Sonali, we have been operating anywhere between 80% and 85% in our plants. We always do planning in 2 ways. One is adding incremental capacities in our existing facilities, which we do from time to time. But we are also planning out the long-term growth plans. Based on the long-term growth plans, we are looking at capacity expansion as well. So these are on the drawing board at the moment, and we will announce it as soon as we are ready to do that.

Sonali : So sir, as of now, our capex guidance, have we increased that? Or it's the same that we guided for last quarter, for FY '25?

Ajit Venkataraman: We normally have a capex guidance of almost INR 150 crores for the year. And as soon as we have the plan for this expansion ready, we will be announcing it.

Sonali : Understand. Sir, last question from my side. Sorry if I missed, I joined the call a little bit late.

What's the PVC, EDC, VCM price for this quarter versus last, that's year-on-year, and also the spread?

Ajit Venkataraman: So if you look at the PVC price, in Q1 FY '24, the average price was about \$ 805, whereas in Q1 FY '25, it was \$ 855, the average. And if you look at the EDC, it was \$ 337 in Q1 of FY '24 versus \$ 322 average of Q1 FY '25. And VCM was almost the same, \$ 672 and \$ 671 in Q1 FY '24 and FY '25.

If you look at the delta, that is where the difference comes in. For PVC/EDC delta, in Q1 FY '24, we had \$ 468 versus in Q1 FY '25, it was \$ 533. In PVC/VCM delta, Q1 FY '24, it was \$ 133, whereas in

Q1 FY '25, it was \$184. If you were to look at the prices as of now, probably 25th of July 2024, the PVC prices had come down to \$ 820. The PVC/EDC delta was \$ 480 and the PVC/VCM delta had come down to \$ 80.

Sonali : \$80, 8-0?

Ajit Venkataraman: That's right.

Sonali : Okay. Sir, just one last question, sorry to squeeze this in. On the margins, there is a very strong lead to margins that we have got. But you mentioned that we do not have any significant inventory gains. So what are the drivers that you would attribute to the margin growth, especially because your volume in the Agri was also impacted. So I don't consider a big operating leverage to that. So what are the key drivers for such a strong margin gain?

Ajit Venkataraman: So one is definitely operational efficiency in our plants. That is one. And second also is that since there was a volume constraint, we had controlled our discounts in the market.

Sonali : Understood. And you think that you will control it going forward as well? Or we will revert back to status quo?

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Ajit Venkataraman: See, Q2 is typically the weak quarter of the year. And therefore, it should come back to normal in this quarter.

Moderator: The next question is from the line of Pujan Shah from Molecule Ventures.

Pujan Shah: Sir, on industry traction, we have been seeing growth of PVC -O pipes, and also a few companies have been aggressively growing. So what's our call on that part and how we have been planning to grow? Or like are we focusing on that part as well?

Ajit Venkataraman: So we are currently focusing on UPVC and CPVC only at this point of time. The new products which are coming into the market, it's under observation. But at this point of time, we are waiting and watching to see how the products perform in the market, because these products have been in the market for almost 10 years now.

Pujan Shah: Okay. And what is the difference? Like why few companies have been aggressively growing? Is it cost advantage or it's about the structural ease of installation compared to the replacement of any out of the land pipes. So what's your take on OPVC?

Ajit Venkataraman: OPVC pipes are definitely lighter in weight, because they are much thinner. But it has taken a long time for it to take traction in the market. It's almost 10 years now. And still that substance is something which is work in progress.

Moderator: The next question is from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Couple of questions from my side. While you, of course, mentioned the current pricing, both on the PVC, EDC front and VCM front, could we actually understand the PVC scenario from your end that why did the prices actually increase so much and why there's a sudden fall? And what would be your outlook here? Or will we continue to see the volatility during the entire year?

Ajit Venkataraman: See, it's very difficult to gaze in the crystal ball and give you a prediction. But there are several factors which have been influencing the pricing of PVC. They are mainly driven by housing market in both China and U.S., which have shown a sign of weakness. And therefore, we have seen a lot of material coming into India and resulting in price drops. But at the same time, there are also factors such as BIS norms being implemented, which are going to be influencing the pricing of PVC in the market.

So it is much more of a wait and watch as to whether the BIS norms come into effect immediately, or it is likely to see a further postponement as we have seen sometime in the past. And therefore, many of these factors are going to influence how the PVC price movement would happen. But at the moment, it is much more of material availability in the market, which is driving the price down.

Sneha Talreja: And the logistics challenges that the PVC was seeing, has that all gone away?

Ajit Ve

nkataraman: Correct. We had that aspect of it when we saw the price movement up. But I think that has eased right now, and therefore, availability has improved and thereby, the reduction in price, which you have seen in the past couple of weeks.

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Sneha Talreja: Understood. And secondly, any finalization, or any -- are we getting closer towards anti-dumping duty or actually duty to be levied on PVC?

Ajit Venkataraman: So it has already been implemented in CPVC, but UPVC is something which I think there was an indication of August, September time frame, but it depends upon whether it will be implemented or not.

Sneha Talreja: Sure. Understood. And lastly, on your capex plan, any finalization there? When can we see some finalization happening. Any timeline to it?

Ajit Venkataraman: So in the next quarter, we should be in a position to come up with a firm plan.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: The first question is related to the volume of Pipes & Fittings. So as you had mentioned that the capacity constraint has led to some lower volume. But if I look at your production versus sales, usually, in the first quarter, it's been in the range of 100%. But this time, we can see that around 96% of your production converted to the sales. So is there something else as well you want to highlight in the lower volume growth?

Ajit Venkataraman: No, no, the plants have been operating at peak capacity, which we normally do in Q4 and Q1. There is nothing abnormal in that.

Praveen Sahay: Okay. Because see, the production which you had done versus sales, which seems lower. So that's why I had asked this question. Okay. So is there any outsourced capacity right now, do you have?

Ajit Venkataraman: So we do have certain degree of outsourced capacity, but that is very small compared to the in-house capacity, especially for Pipes.

Praveen Sahay: Okay. And in the Non-agri segment, where we had grown better in this quarter, and also in the earlier calls, you had given guidance of a 20% volume growth in the Non-agri segment for this

year. So are you on track for achieving 20% of growth in the Non -agri segment for full year?

Ajit Venkataraman : Yes, the focus has been on that segment, and we are still slated to grow aggressively in that segment.

Praveen Sahay: Okay. And lastly, on the raw material side, see, last quarter also if I look at, in May month when we had a call, you had given a spread of \$ 480. And ultimately, this quarter end, return to \$ 533.

And again, it's a go back in July to \$ 480. So is there like only the demand -supply, which is impacting, or something else also to read into it?

Ajit Venkataraman: So typically, the EDC and VCM prices come in with a lag. And therefore, you will see this kind of a movement. Other than that, I think, see, what we have also done is, especially with EDC, we use to stock up for the entire summer before the rainy season. Now we have found alternative solutions for that. And therefore, we don't have to store EDC in large quantities, and therefore, insulate ourselves from huge price fluctuations.

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Praveen Sahay: Okay. Okay. Great, sir. And just to confirm, the capacity for Pipes & Fittings, 4,38,000 right now you have?

Ajit Venkataraman: Yes, it's approximately 4,70,000 metric tons, Pipes & Fittings together.

Moderator: The next question is from the line of Utkarsh Nopany from BOB Caps.

Utkarsh Nopany: Sir, I need a clarification. Your in -house Pipes & Fit tings capacity is 4,70,000. Is it correct?

Ajit Venkataraman: 4,70,000. That's right.

Utkarsh Nopany: Okay. So sir, if we see, like our Pipes capacity on a Y -o-Y basis has gone up by around close to 17%. And even on a 5 -year basis, it has gone up substantial

ly by more than 25% or 30 -odd

percent. But if we look at our Pipes sales volume, it has gone down on both Y -o-Y basis and 5 -year basis. So what is the actual reason that why we are underperforming in the industry on a consistent basis, sir?

Ajit Venkataraman: So we are in a transition from our focus on Agri to Non -agri, and this is a journey which we have undertaken about 3 to 4 years back. And this transition will see certain ups and downs. And our focus is shifting towards Non -agri segment, whi ch is less cyclical. And therefore, the movement that you see in terms of -- but what our aim is, is to make sure that in the next 3 to 4 years, we have an Agri, Non -agri split by volume of about 50 -50. So that is something which we are in transition and y ou're going to see that.

Utkarsh Nopany: Okay. Sir, a connecting question is that like, definitely, we are looking to increase the share of the Non -agri pipes. What we are seeing is that our Pipes segment EBITDA per unit, where it used to be around INR 8 per kg, INR 9 per kg, has gone up to around INR 15 per kg. And there has not been a major improvement, say, compared to the pre -COVID period. And our PVC Resin EBITDA per unit, which earlier used to be around INR15 per kg, has now gone down to around INR 9 per kg, INR 10 per kg. So just wanted to know whether there has been any change in our PVC Resin pricing policy for captive consumption, which is resulting into lower profitability for PVC Resin segment and better profitability for the Pipes segment?

Ajit Venkataraman: See, our transfer pricing, which happens from PVC Resin segment to Pipes segment is at market value. So there is no change in that policy. Yes. But what we have seen is that we have a shift taking place in the product mix and more Fittings be ing sold, which is also resulting in -- if you remember, last March, we had our Fittings capacity increased by almost 25%. So our aim is to try and improve the Non -agri segment, which correspondingly improves the Fittings sales as well, and that results in improved margins.

Utkarsh Nopany: Sir, again, I'm coming back to this question. On a Q -on-Q basis, sir, if we see, our EBITDA per unit of Pipes margin has improved. Despite Q1 being an Agri -dominated quarter, there was an element of negative operating lev erage played out during the quarter, and the Fittings ratio as a proportion of your total sales volume, which you have mentioned in the presentation, remaining the same. So when the industry is seeing a margin contraction, how come our margin is improving on a Q -on-Q basis?

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Ajit Venkataraman: See, the more Non -agri segment improves, the contribution of Fittings in the overall mix improves corresponding to that. So for example, in the Agri segment, the Fittings contributes anywhere between 3% and 4% of the v olume. Whereas in Non -agri segment, it is anywhere between 15% and 25%. So correspondingly, you will see an improvement in the margins.

Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. First, s ir, can you detail where do the credit days stand given it had

bumped up on March end basis?

Ajit Venkataraman: Number of days of credit...

Chandan Verma: Credit days for the debtor days is roughly around 60 to 70 days for the Non -agri sector. And Agri sector, we are at 0 credit days.

Ritesh Shah: Okay, fine. Sir, my second question was more from a regulatory aspect. We do understand that there is a quality control order which is expected on PVC. Likewise on EDC, EPM and VCM.

How are we positioned to tackle this?

Ajit Venkataraman: So most of our suppliers already have the certification, BIS certification. So we don't see much of a challenge.

Ritesh Shah: Okay. And sir, specifically on PVC, I presume it's expected sometime next month. What do you make of it? Like, will

it impact the local availability of PVC given imports could potentially reduce? How do you make up the demand -supply situation then?

Ajit Venkataraman: If it is implemented as per the current plan, there are certain countries which don't have the certification, which can result in a supply constraint. But there are a sufficient number of the PVC manufacturers who already have the certification. So we have to wait and watch as to whether it gets implemented or it gets postponed another 6 months.

Ritesh Shah: Sure. And sir, you did speak about antidumping duty on PVC. Have the rates been notified over here? I understand the timelines are a question mark, but have the rates been notified here?

Ajit Venkataraman: Antidumping has been implemented for CPVC.

Ritesh Shah: Correct. Sir, I'm asking for PVC.

Ajit Venkataraman: PVC, not yet.

Ritesh Shah: Not yet. But sir, any idea on the rates?

Ajit Venkataraman: No, no, no.

Ritesh Shah: Okay. Fine. Sir, second is on the operational side. You indicated that controlled discounts in the market. That's the words that we used; I think it is because of the supply constraints that we had.

Now sir, if I look at the realization that we have given on sales for Pipes & Fittings and for PVC

Resin, if I look at the differential, that is, you divide pricing on PVC Pipes & Fittings by the

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PVC Resin prices, that ratio is around 1.57%. It has declined versus 1.61% in the prior quarter. And it is again lower than 1.60% in Q1 FY '24. So sir, if the discounts have reduced, what has changed meaningfully? Is it like a significantly higher percentage of CPVC or Non -agri? If you could provide some color over here, it would be really useful sir.

Ajit Venkataraman: See, as I mentioned, our Plumbing & Sanitation segment has grown, okay? And also correspondingly, our Fittings has grown. And both these segments are more profitable than the Agri segment. And therefore, you will see improvement. And also, you have seen that the prices of PVC had gone up significantly in this quarter. And the company decides as to how much price to pass on.

Ritesh Shah: Right. Sir, the reason to just ask this question is, even if you look at it on a sequential basis, the realization increase for PVC Resin or PVC Pipes & Fittings is INR5 to INR6 only. So when we say that the mix has changed materially for this particular quarter or growth for any particular subsegments, it becomes a bit difficult to actually comprehend itself. So any quantification read on CPVC or Non -agri, I think it will be useful for us to better appreciate our numbers -- or probably I can connect offline.

Ajit Venkataraman: We can connect offline, but I'm not able to answer your question at the moment.

Ritesh Shah: No worries. And sir, just last question. There's a huge cash sitting on the balance sheet. I think the management has over time indicated that they will come up with some plans, but nothing has happened as yet. Sir, what should we make of it? Any timelines by which we can expect a higher payout or probably a larger capex with respect to expansion?

Ajit Venkataraman: See, we definitely need an expansion. And therefore, as I mentioned, it is on the drawing board. And we have to let you guys know as soon as it is ready. But as I've told you before, the Board has to decide. And whatever is not needed for expansion will be given back to the shareholders.

Moderator: The next question is from the line of Chirag Lodaya from Value quest.

Chirag Lodaya: Sir, I have just 2 questions. One was on what is the peak volume you can achieve given the current capacity?

Ajit Venkataraman: See, our capacity is approximately 30,000 in terms of Pipes per month, and about 3,500 in terms of Fittings.

Chirag Lodaya: This is essentially on a monthly basis, right?

Ajit Venkataraman: Correct. Correct.

Chirag

g Lodaya: Got it. So then on a quarterly basis, we can achieve 1 lakh plus volume, right? I mean...

Ajit Venkataraman: To operate plants at that peak capacity day-on-day for continuous 3 months is a little bit difficult.

Chirag Lodaya: Right, right. And what would be the lead time -- whenever Board decides, what would be the lead time to set up a capacity or line?

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Ajit Venkataraman: So it's anywhere between 18 to 24 months. This is including land, building, equipment.

Chirag Lodaya: Right, right. So given this constraint, we have limitations to grow volumes. So how do you plan to...

Ajit Venkataraman: See, the thing is, existing plants have got incremental volumes that can be added, which we do on a continuous basis, which we are planning as well.

Moderator: The next question is from the line of Vipulkumar Anupchand Shah from Sumangal Investments.

Vipulkumar Shah: Sir, our volume for PVC Pipes is 82,000, and Fittings is 90,000. So if I total it, it is 90,000 now, and our annual capacity is 4,80,000. So capacity utilization is around 70% only. In your opening remarks, you said it is 80% to 85%. So what I am missing here, sir?

Ajit Venkataraman: Vipul, can you repeat that, what you just said?

Vipulkumar Shah: No, I said your total PVC Pipes and Fittings volume is 90,000 this quarter. And our installed capacity is 4,80,000. So if you annualize it, our capacity utilization works out a little over 70%, whereas in your remarks, you said our utilization was 80% to 85%. So what I'm missing here, sir?

Ajit Venkataraman: So when you talk about peak capacity, that is your machines are operating at 100%, it's completely going. So you do have maintenance stoppages. You do have change over time, etc, which are not factored in there.

Vipulkumar Shah: Okay. So practically, what is the maximum capacity which we can work with annually. So it is not 4,70,000?

Ajit Venkataraman: It is lower than that. It will be about -- what we typically say is that we run at about 85% of that number.

Vipulkumar Shah: 85% of 4,70,000, right, sir?

Ajit Venkataraman: Correct.

Vipulkumar Shah: And sir, you said VCM delta has come down to \$ 80 as of today. So since we have one line with VCM, so can we expect a reduced profitability in this quarter?

Ajit Venkataraman: So typically what we have is that during the rainy season or during quarter 2, we typically don't -- we mainly manufacture with EDC, yes. And yes, you will have some impact because of the VCM delta reducing.

Vipulkumar Shah: And lastly, sir, since we are running at almost full capacity, are we planning to increase our Pipes capacity addition, which generally is 30,000 tons...

Ajit Venkataraman: We have to.

Vipulkumar Shah: So what is the capacity addition plan over the next 1, 2 years?

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Ajit Venkataraman: See, typically, we don't go for small capacity additions. All our plants are approximately 100,000 to 150,000 metric tons each per annum capacity. We believe that this business thrives on scale.

And anywhere between 100,000 and 150,000 is what we typically plan for additional capacities.

Vipulkumar Shah: So lastly, all additional capacity will be greenfield, should I suppose?

Ajit Venkataraman: We are evaluating that at this current point of time, Vipul.

Vipulkumar Shah: And sir, one small suggestion. Directionally, if you can give some indication about your Agri/Non-agri mix. So many questions are raised around that. It would be really helpful.

Ajit Venkataraman: For this quarter, it is 70/30.

Vipulkumar Shah: 70/30?

Ajit Venkataraman: Yes.

Moderator: The next question is from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Sir, just wanted to understand one thing. Like we knew in advance, Pipes demand has been pretty strong. It has been staying

strong. Still, we faced capacity constraint. So it was not like demand came all of a sudden and still management is drawing up the plan for capacity expansion. So why is it taking so long?

Ajit Venkataraman: See, what we believe is, is to make sure that we put the capacity in the right place, Keshav. Unlike many of our players in the industry, we do not have capacities being put up all across the country. So when we are putting it up, we want to make sure that it is in the right location, and it is in the right logistics location to serve the market, both from the existing customer base as well as where we want to expand. So that is taking a little bit of time. So we want to spend as

much as time possible to make sure that we make the right decision before we implement. So it is not a black and white answer. And therefore, it is taking a little bit of time.

Keshav Lahoti: Understood. Got it. Like your new capacity possibly might take more 2 years to come in. And already, we have faced capacity constraint in this year. So how do you think about next 2 years? Again, the same issue will go through, or how you want to navigate it? Or do we have scope of debottlenecking to...

Ajit Venkataraman: Keshav, what we are looking also is that, in 2 of our plants in the same -- Masar, which is near Baroda, and Ratnagiri, we have sufficient land parcel to do incremental expansion. So we can put up additional capacities in those 2 locations. And therefore, we are already planning for it. So the new capacity which I'm talking about, which is probably 100,000 to 150,000 capacity, is a completely different exercise, but incremental capacity, adding a few lines -- adding extruders, etc, is something which we can do in the existing plants as well. And therefore, coming up with incremental capacity can take place within 6 to 8 months.

Keshav Lahoti: Understood. Got it. Just some color on how has been the CPVC volume growth? Whether CPVC volume growth has been possibly fastest among everything this quarter? How should we look at, some color, maybe some range?

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Ajit Venkataraman: So we typically don't talk about the individual CPVC components in the whole range. But since -- so it is in line with the Non -agri growth, yes.

Keshav Lahoti: Understood. Got it. And your Fittings -- outsourcing would be higher in Fittings, right?

Ajit Venkataraman: Correct.

Keshav Lahoti: Understood. Any range would you like to highlight?

Ajit Venkataraman: See, the thing is that, as I mentioned, the Fittings contribution to Non -agri or Plumbing & Sanitation is anywhere between 15% and 25%, and therefore, Fittings aspect of it has also seen growth.

Keshav Lahoti: Understood. Got it. One last question from my side, whatever 30,000 and 3,500 per month number you highlighted, that is the actual production possible each month, right?

Ajit Venkataraman: Yes, that's the peak production possible each month.

Keshav Lahoti: Got it. So 4 lakh is the production you can do annualized from your plant, peak potential?

Ajit Venkataraman: Right.

Moderator: The next question is from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: Just one thing on similar lines to capex . So on discussion, are there any plans for any inorganic growth or it will completely be a PVC capex ?

Ajit Venkataraman: No, no. This is going to be organic growth only. We are not looking at any inorganic growth.

Udit Gajiwala: Understood. And sir, if you can throw some more numbers as well on the Resin business? I mean, what kind of volume growth are you seeing over there for FY '25?

Ajit Venkataraman: Resin growth, to put things in perspective, we have reached a point where we are not going to have any Resin sales except for a few customers who need a very specific grade of PVC, who we have commitments with. Other than that, almost all our capacity

is consumed by Finolex itself.

Moderator: The next question is from the line of Rishab Bothra from Anand Rathi.

Rishab Bothra: So I wanted to understand the tax rate on the sale of land -- lease land. What's the status on that?

Chandan Verma: Yes, Rishab, it is at the long -term capital gain tax rate, 20% plus for the charge and sales.

Rishab Bothra: Okay. Secondly, sir, the amount lying in cash and balance is quite significant if you look at last 3 years. I have been hearing on the calls that there are plans of capex . But what's going on the drawing board from the management side, could you explain certain things, because this has been going along for quite a long time. So what are you proposing to the Board and what decision Board will take is something different. But at least we can know where we are heading.

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Ajit Venkataraman: See, I know that sitting on this magnitude of cash is not the best use of our resources. One definitely is that the expansion plan is going to take up certain portion of it. And beyond that -- see, typically, a 100,000 metric ton capacity plant will cost you anywhere between INR 300 crores and INR 400 crores. Okay.

Rishab Bothra: But still that will leave us a lot of cash. What is being said to the board is what I wanted to understand roughly.

Ajit Venkataraman: See, the Board has to decide yet. So it is something which is under discussion at the moment. And therefore...

Rishab Bothra: Management would have definitely sent 2, 3 proposals, of which one will get decided, right? So could you highlight 1 or 2 of the proposals?

Ajit Venkataraman: This is not the right forum for such discussions. The Board will decide...

Rishab Bothra: Got it. And thirdly, in capital employed if you see, Resins and Pipes & Fittings, there's a lot of unallocated. So, is this cash component only? Or is there something else also?

Chandan Verma: No, Rishab. So unallocated generally is the investment portion, which remains unallocated between the segments. Plus as you rightly said cash and cash equivalents are also lying there.

Rishab Bothra: Okay. This is investment in Finolex Cables, I guess?

Chandan Verma: No, no. In Finolex Cables, but the cash surplus that we have, which is deployed in the liquid fund and the short-term to long-term investment, that is mainly lying in the unallocable portion.

Rishab Bothra: Got it. And lastly, can you let me know, in terms of we have a captive consumption for Resin.

Other pipe manufacturers, where do they source from? Is it from domestic market, RIL, or is it on an overseas basis?

Ajit Venkataraman: So in terms of Resin, almost 50% of -- the total consumption of PVC in India is about 4 million, out of which 1.7 million is produced in India. Rest is imported. Import typically happens from U.S. or from China and Far East.

Rishab Bothra: Okay. So my understanding, I wanted to suggest, since we have expertise in Resins, why can't we set up a Resin plant and supply to these manufacturers?

Ajit Venkataraman: See, the variability of performance of Resin fluctuates quite a bit.

Rishab Bothra: That is known for a commodity industry.

Ajit Venkataraman: See, we don't want to be exposing ourselves to that degree of variability. Raw material is available in plenty, and we don't want to subject ourselves to that kind of variability.

Moderator: The next question is from the line of Varun Jain from Dolat Capital.

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Varun Jain: Yes. So my question was on channel inventory. So what are the general levels of channel inventory as of now? And in Q1, we saw, in June especially, a lot of PVC price variation. So when the prices were going up, did you see that the channel off-take of inventory was low, and now, since the past, the prices have been coming down? Have the PVC volumes started lifting

ting

off again? Any sense on those lines?

Ajit Venkataraman: See, typically what happens is when the prices are going up, the channel takes up inventory, because we have got a very efficient pricing model in the market where any price increase or decrease gets passed on almost immediately to the market. So when the prices go up, the channel absorbs a lot more of the inventory. Whereas when the prices are going down, the channel holds back on taking in inventory. So we have seen a rise up and a rise down during the quarter. So it has happened both ways.

Varun Jain: But in this quarter, so we had a sense that because the channel thought that the price increases are very transient, they were not accepting them. So when prices went up, instead of channel taking on more inventory, they just held back. That was what we heard from another player. So just wanted to see if you also saw this trend, or no?

Ajit Venkataraman: So if you actually see, there are a couple of things which have happened. This quarter, we had rains set in quite early compared to last year. Okay? So when you actually see, June 1 onwards we had rains set in into the country. Whereas the same period last year, it had set in, in July. So as soon as the rain sets in, the Agri demand drops quite significantly. But also, you need to understand that the price movement which happened -- for example, in Q4, the average PVC price was \$ 920 -- I'm sorry, Q4 was \$ 785, which went up all the way up to \$ 855 in Q1. So Q4 FY '24, \$ 785 was the average. Q1 FY '25 was \$ 855. There was a price up.

And even during the quarter, you can see that the prices have come down. Currently, it is \$ 820, and expected to fall a little bit further. So you are going to see a certain degree of volatility both ways. And a lot of this at the channel partners do speculate. So this is something which is quite unavoidable in this market -- in this segment.

Varun Jain: And so current channel inventory levels are on the higher side, or they are at normalized levels?

Ajit Venkataraman: Normalized levels at this point of time. And this quarter, Q2 is any which way a slow quarter.

Moderator: The next question is from the line of Karan Bhatelia from Asian Market Securities.

Karan Bhatelia: Sir, I wanted to understand from your side any upgrade in the EBIT per kg for Pipes? Because in the last quarter, we did mention of INR 14 for the medium term, and already we are at INR 15 despite no volume growth. So, your thoughts on this.

Ajit Venkataraman: See, with the product mix improving, you will see, but it should be in the current range which we are talking about. Because as we had mentioned during the conversation during the call, it used to be in the INR 7 to INR 8 range, EBIT per kg. Now we are in the INR 14 to INR 15 EBIT per kg. And these will improve as we further improve the product mix. But at this point of time, I would say this will be the range from here.

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Karan Bhatelia: Right, right. And also, we did mention of capacity expansion in a phased manner, greenfield and brownfield both. So where do we see the SKU expansion in channel partners over the next 2 to 3 years?

Ajit Venkataraman: See, we already have, approximately, dealer network of 900 and retail network of almost 30,000. So the reach will continue to increase. We are much more focused on distribution model. And therefore, the dealer network will see a much slower growth, whereas the retail network will see a much faster growth.

Moderator: The next question is from the line of Dheeresh K. Pathak from WhiteOak.

Dheeresh Pathak: Sir, did you say that Plumbing, you have grown in line with the market?

Ajit Venkataraman: Plumbing & Sanitation, yes, we have grown. We are yet to see the results from other players. But yes, we have grown more or less in line with the market.

Dheeresh Pathak:

K: And did you also mention that 70:30 is the volume mix, Agri and Non-agri, right?

Ajit Venkataraman: For this quarter, yes.

Dheeresh Pathak: So then the Agri is down by some low teens? Is that the industry degrowth happening?

Ajit Venkataraman: Agri, you did see early set in of monsoons. And therefore, in June, we had seen a significant drop, yes.

Dheeresh Pathak: But for the quarter as a whole, based on the numbers you just shared, it would imply that low-teens volume...

Ajit Venkataraman: We have degrown a little bit compared to Q1 FY '24.

Dheeresh Pathak: But is it in line with the industry, low-teens volume degrowth in Agri?

Ajit Venkataraman: I'm not 100% sure about that, yes.

Dheeresh Pathak: You feel industry has degrown more or less? What is your...

Ajit Venkataraman: We have not seen too many results yet. So it will be difficult for me to say in comparison to the industry.

Dheeresh Pathak: Okay. Sorry, I might have missed, but any debottlenecking that you're doing in the existing capacities?

Ajit Venkataraman: See, we have area constraint in our Pune facility. So we are trying to debottleneck the operations there. But we do have large land parcels in the other two locations, in Ratnagiri and Masar. And we are trying to make sure that we have, in the short-term, headroom for growth as well.

Dheeresh Pathak: How much can we increase, 5%, 10%, 15%, how much percent capacity can we increase through debottlenecking?

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Ajit Venkataraman: So up to about 5% to 10% would be what we'll be able to.

Moderator: That was the last question. I would now like to hand the conference over to the management for the closing remarks.

Ajit Venkataraman: Thank you all for attending today's call. If you have any further questions, please feel free to get in touch with us. Have a wonderful day. Thank you.

Chandan Verma: Thank you all.

Moderator: On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

30th October 2024

National Stock Exchange of India Limited
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Scrip Code: FINPIPE Scrip Code: 500940

Sub: Transcript of the Investors and Analyst call (Q 2 FY2024-25)

Ref: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our intimation dated 18th October 2024 and in terms of the subject referred regulation, we hereby submit transcript of earnings call held on Friday , 25th October 2024, pertaining to the quarter and half year ended 30th September 2024.

The same has also been uploaded on website of the Company under Investor's Section.

Thanking you,

Yours sincerely,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q2 FY '25 Post Earnings Conference Call "
October 25, 2024

MANAGEMENT : MR. AJIT VENKATARAMAN , MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. CHANDAN VERMA , INTERIM CHIEF FINANCIAL
OFFICER – FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

Finolex Industries Limited
October 25, 2024

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Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Industries Q2 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid. Thank you, and over to you, sir.

Arun Baid: Thank you. On behalf of ICICI Securities, I welcome you all to the Q2 FY '25 results concall of Finolex Industries Limited. We have the senior management including Mr. Ajit Venkataraman, MD; and Chandan Verma, Interim CFO right now. Now I hand over the call to Ajit, post which we will open up for question and answers. Over to you Ajit.

Ajit Venkataraman: Thank you, Arun. Good morning, ladies and gentlemen.

Chandan Verma: Good morning all. This is Chandan.

Ajit Venkataraman: Welcome to the investor conference call, the Q2 FY '25 earnings release. We thank you all for continued support and interest in Finolex Industries Limited. Finolex has registered a robust growth in volume in pipes and fittings segment this quarter. Operating performance of the company was muted during the quarter due to volatility in PVC price prolonged monsoons. Let me now take you through some of the performance indicators, Q2 FY '25 highlights. Total income from operations was INR 828.43 crores for Q2 FY '25, down 6.2% against INR 883.15 crores in Q2 FY '24. EBITDA decreased by 90% year-on-year to INR 10.57 crores in Q2 FY '25 compared to INR 102.98 crores in Q2 FY '24. EBITDA margins during the quarter stood at 1.28% compared to 11.66% in corresponding previous quarter of Q2 FY '24. The company reported a PAT of INR 51.44 crores in Q2 FY '25, against INR 93.78 crores in Q2 FY '24, a drop of 45%.

Now getting into the segmental performance; Pipes and Fittings, revenue decreased by 3.57% year-on-year to INR 819.60 crores in Q2 FY '25 from INR 857.15 crores in Q2 FY '24. Volume in the segment increased by 10.22% year-on-year to 69,341 metric tons. In Q2 FY '25, again 62,914 metric tons in corresponding last quarter. The EBIT in this segment decreased by over 157% to a loss of INR 38.54 crores in Q2 FY '25 compared to a profit of INR 67.60 crores in Q2 FY '24.

Moving to the PVC Resin segment, revenue in this segment stood at INR 308.49 crores in Q2 FY '25 compared to INR 297.85 crores in Q2 FY '24. Volume in the segment increased by 7.25% to 40,236 metric tons in Q2 FY '25 against 37,516 metric tons in Q2 FY '24. EBIT in the resin segment stood at INR 35.90 crores in Q2 FY '25 compared to INR 20.40 crores in corresponding previous year's quarter. The company continues to have a strong balance sheet with a net cash surplus of roughly INR 2,380 crores as of 30th September 2024.

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Let me now leave the floor open for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Yes. Thank you. Sir, we'll come to the margin, but first I just wanted to check in terms of the volume growth. So in 1H, we have done in Pipes & Fittings, 3%, 3.1%. Last time, we said 10%, 15% kind of a growth for 2025. So what's the now revised guidance for FY '25 and or even moving forward also, we were looking at the similar 10%, 15% plus growth, any revised standard?

Ajit Venkataraman: So thank you for your question, Shravan. As you know, this industry is a little bit cyclical with Q2 being the weakest of all the 4 quarters. And Finolex being a lit

tle bit heavy on the agri

segment, during rainy season, the volume does reduce. Our projection for the year is still around 10% to 12%, given the quarter we have gone through or the first half we have gone through. But our projections for the year going forward is still around 10% to 12%.

Shravan Shah: Okay. Got it. And then so now coming to the margin that was a complete kind of a washout quarter for us, so trying to understand on that. So two aspects of what was the inventory loss for this quarter? And then what likely is there a chance for any further inventory loss in the third quarter? And now how one can look at in terms of the margin?

Ajit Venkataraman: See, one of the phenomenon which we had seen starting from middle of June, was a significant price drop. The prices had increased from month of May to almost about market prices of PVC has reached up to about INR 96 and within 6 weeks, we saw a significant drop from INR 96 to INR 77. And this has impacted the realization and that gets reflected in the performance of the company. We had seen something very similar in Q3, I mean, Q2 of FY '23 as well.

So this will even out during the course of the year. But since middle of August around 10th of

August, we have seen the PVC prices steady in the INR 77-INR 78 range. And with a steady price, it is good for the industry and less expectation is that the volatility for PVC prices being less where the performance should come back.

Shravan Shah: Okay. But how much was the investment in Q2?

Chandan Verma: So generally, we do not have the inventory loss during the quarter, Shravan.

Shravan Shah: Okay. And lastly, 2 aspects. The agri sir for Q2 and last time we said that we may be announcing the expansion plan, so are we talking or guiding any expansion plan?

Ajit Venkataraman: So the Agri :non-Agri split is about 60 -40 for the quarter. And in terms of expansion plan, we are already expanding in our existing facilities, both in Masar and Ratnagiri. We have been, we are adding more extruders and expanding and replacing our old machines with new machines. So that plan is already on.

Shravan Shah: So that will take, increase our capacity back I think we were talking previously, we were thinking about 1 lakh to 1.5 lakh...

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Ajit Venkataraman: So this was an incremental capacity. While we are planning out a step change in the overall capacity of the organization. We are going from the current level of 420,000 metric tons, we are adding 40,000 to 50,000 additional metric tons in our existing facilities itself.

Shravan Shah: That will be operational by?

Ajit Venkataraman: This should be operational by the first quarter of FY '25, I mean, the fourth quarter of FY '25.

Moderator: The next question is from Praveen Sahay from PL India.

Praveen Sahay: My first question is related to margins. If I look at your, you know both the segments, the EBIT margin is quite different. So if there is a fluctuation in the PVC resin prices or the spread has gone down? Why is it your you know of the PVC resin segment margins have improved, whereas PVC pipe and fitting reported a loss. So can you make me understand why there is so much of difference?

Ajit Venkataraman: So Praveen, the way we operate is that, since we operate both the resin segment and pipes and fittings segment separately, whatever resin gets transferred from the resin segment, is transferred to the pipe and fitting segment at market price.

Okay? So that is the reason why no matter what our production prices or the PVC production prices the transfer price to the pipes and fittings segment happens at the market price.

Praveen Sahay: Okay. So your sales of external sales of PVC resin is quite low this quarter. So it's largely.

Ajit Venkataraman: Going forward as well, Praveen, the sale to external will be very low. We will be p

roviding resin

only to select customers who really need. For example, people who are using it for medical segment, et c., who really want a high -quality resin. Those are the people to which we are supplying, and those are long -term who are customers who cannot change the resin. Only to those customers, we will continue. Other than that, we have stopped since January, we have stopped selling resin outside, and we are consuming almost all the resin we produce.

Praveen Sahay: Okay. So would be the way forward, 2% to 3% of your total production won't be...

Second questions are related to the volume. So for the quarter, it's a 10% of our volume. And I understand that the last year, the base were also very good. Last year also, you had done very well, so is the second quarter is a lean quarter for you. So is there some spillover of first quarter has been booked in this quarter? Or you had a theme in the agri demand were very good. So this 10% of a growth, how to look at actually?

Ajit Venkataraman: See, typically, the way I see it is that with the drop in prices, it is good for the market, okay? So people do wait for prices to drop. For example, our sales really started picking up only mid - August onwards, when the price had reached 77%, 78% and when the market knew that it is not going to drop any further. So that is when the sales started picking up really good. Other than that, if you actually see the market, June and July were really bad month for the market as such. And fortunately, it picked up at least volume picked up.

Praveen Sahay: And there is no impact of rain or we had also...

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Ajit Venkataraman: See the impact of rain will start coming from now onwards because see, typically, Q2 is muted because you cannot lay pipes during rainy season in agricultural fields. This year looks like the monsoon has been good in all the key markets. Gujarat, Haryana, Karnataka, Maharashtra, Tamil Nadu, all these markets have seen a 10% -plus growth over. I mean, over normal range. So we expect these markets to pick up going forward.

Praveen Sahay: And that's why you had given a 10% to 12% for this quarter...

Ajit Venkataraman: That's right. Despite this quarter being , I mean, for the first half being fairly flat, the second half, we expect that the money flow in the market will be better, and therefore pickup.

Praveen Sahay: 17% to 20% of the growth you are guiding for the second half?

Ajit Venkataraman: Not overall for the year, we are expecting around 10% to 12%.

Praveen Sahay: So ultimately, second half would be 17% to 20% if I look at a 3% of growth in the first half. So you are confident of delivering that 17%, 20% second half, okay? And anything on the ADD on the PVC resin prices?

Ajit Venkataraman: So ADD on PVC is likely to come on, I think, 24th of December, that time frame. So it's a wait and watch at this point of time. In CPVC, it has already been introduced. In PVC, whether it comes -- the next target date is 24th of December. So it is a wait and watch at this point of time.

Praveen Sahay: And there is no inventory loss you said for a quarter. No gain, no loss.

Moderator: The next question is from Sneha Talreja from Nuvama.

Sneha Talreja: Just a couple of extension of the previous question. Did I rightly understand that you have mentioned there is no inventory gain or loss? And if that is correct, we would like to understand why margins are down, unable to understand that?

Chandan Verma: So Sneha, as Ajit sir, rightly explained in our previous question, see we do not have the inventory gain or loss during the current quarter, but you see the margin has largely a decline because of the changes in PVC prices in the shorter span of time. So on the onset of July, if you can notice the price almost around INR 88 and exited the second quarter at the INR 76. So this decline

in

prices are generally as the reduction in revenue and consequently, reduction in our overall margin.

Sneha Talreja: If I'm not understand the mark -to-market loss is what we generally call it as inventory losses. Is that correct?

Chandan Verma: Yes, mark -to-mark market. This scenario will arise only when we are carrying a huge inventory, which got liquid from the subsequent quarter. But we are not in a scenario where we have been carrying a inventory at the higher level, which we need to liquid at the lower prices. So this was not exactly the scenario.

Sneha Talreja: And why is it that you see multiyear low margins in plastic pipe segment because if I go back even historically, I think leaving apart the quarter in 2022, we've never ever seen this kind of

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margin despite much more high volatility that we've seen during the COVID times, when prices shot up to INR 116 and feel down to INR 70 again. How is this quarter different from those quarters because volatility is gradually impacting us in a very big way. Is there any accounting treatment change that we do from the utilities segment to the plastic pipe segment?

Ajit Venkataraman: Sneha, if you see the similarity between Q2 of FY '23 and Q2 of FY '24 - I'm sorry, Q2 of FY '25, the rate of decline of PVC prices was very, very steep. And as Chandan mentioned, we did not carry too much of inventory getting into Q2. The rate of decline is what is impacting the overall profitability because the price gets passed on to the market immediately. So, when the price is declining, then the realization has dropped significantly.

Sneha Talreja: Understood. Lastly, on the volume side, I just wanted to understand where is the optimism for 20%-plus growth coming up? Is it only led by agri segment are you betting on plumbing?

Because as I understand, you're not present into the Infra -led activities, which other players are betting on. So where is this optimism coming from

Ajit Venkataraman: In terms of the non -agri segment, which contributes to the Infra segment, we have seen a robust growth -- so we are there, and we are continuing to have presence and aggressively look for business in that area. So non -agri business will be there. And we also expect, given the good rainfalls. The agri segment should pick up and we should see a healthy growth in agri segment because the cash or cash available in the system will be much better because of the good rains.

Sneha Talreja: Understood. And one last question, if at all, I can just squeeze in. We are adding this capacity at our existing class. What the capex we are doing there? And -- what about the greenfield expansion plan now? Is that yet to be seen or low that's deferred for comeback period?

Ajit Venkataraman: We are adding new equipment. So to let you know that we are adding higher capacity equipment in existing lines because most of our equipment in some of the locations, especially in Masar have been old. So we are adding more state -of-the-art, high throughput equipment, replacing the old machines. And as a result -- and we are buying some new , adding new capacity also there in both Masar and Ratnagiri. And as a result, we are expecting about 40,000 to 50,000 metric ton additional capacity.

This will be within the INR 150 crores of annual capex and maintenance capex that we normally budget. This new location will be a completely different investment where we will be looking at almost 100,000 plus capacity. That, as I mentioned, we're still under our plans, and we are taking some time.

But at the same time, we don't want to leave money on the table. And therefore, we are expanding in our local -- existing facilities. So from a 420,000 metric tons capacity that we have got in our existing plants at the moment, we will be increasing into a pproximately 460,000 to 470,000 metric tons for pipes

. Fittings, we already have a good capacity of almost 50,000 metric tons.

Sneha Talreja: Understood and post, which will be completely utilized or will we have further scope for brownfield expansion?

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Ajit Venkataraman: No, in both locations, Ratnagiri and Masar, we do have land banks for further expansion, but I don't think we will be expanding any further in these 2 locations. Because we will be approaching the 150,000 metric ton capacity.

Moderator: Next question is from Nikhil Agrawal from Kotak Asset Management.

Nikhil Agrawal: Sir, my question was more like since most of our plants are located in Maharashtra, are we seeing some demand impact due to the state elections next month?

Ajit Venkataraman: So far, Nikhil, thanks for your question so far, none. Since middle of August, we have seen the demand pick up, and there is no let-up since then.

Nikhil Agrawal: Sir, can you like quantify the volume growth month wise on a year -on-year basis for quarter 2, if possible?

Ajit Venkataraman: We normally don't do that, yes.

Moderator: Next question is from Udit Gajiwala from Yes Securities.

Udit Gajiwala: So just one clarification again on the margin front. Seems that there are no inventory losses, but our volumes are still growing 10% versus a peer, who has reported a flattish volume growth, but your margins have been intact. So for them, also the resin prices would have come down, but they have -- we have not seen such kind of a dent on their profitability. So what's the distinction over here?

Ajit Venkataraman: Thanks for your question, Udit. Udit, I will not be able to comment on competition. But I can just say that we have been carrying low inventory and the impact of the price drop of almost 15%, 20% within the scope -- within a span of 6 weeks has definitely impacted us.

Udit Gajiwala: But sir, I mean, sorry for being ignorant of this thing, but you mentioned that you pass on the prices once it comes down, you still pass on and you're not carrying any inventory. So I mean, still unable to understand that how does -- we understand that there might be some knock on the profitability for sure. But at this time, the quantum is too high. And when you mentioned about Q2 of '23 also, where we had seen impact on even your resin business, but that has not happened this time. But it's just ended the pipe plant. So there is some disconnect over here?

Ajit Venkataraman: So Udit, see, we need to buy resins in order to make pipes. And we have to make sure that we buy our raw materials, et c., well in advance in order to make sure that the resin is available for pipe production. The issue is not when the price decline is a bit more gradual than you don't see this impact. And we have tried analyzing this as well. But when the price decline is really steep, like what happened from June to mid-August.

If you actually go and see the analysis of say, Q2 of FY '23. It was almost a similar phenomenon where we had to make a loss. So there is a direct correlation because yes, we buy resin at a higher price and the market price, when it drops very fast, we have to sell at the market price only, the existing price of market -- existing PVC prices. And therefore, we have seen the realization drop significantly in a very short period of time.

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Udit Gajiwala: Understood, sir. But just one a counter to that in last Q2 that we are comparing when we had the loss. That time, I remember you mentioning that we were carrying some kind of inventory. But this time, we were with a very lean inventory.

Ajit Venkataraman: So we have -- this we had to store up for the entire summer during FY '23 in our facility. And therefore, we have to take a large inventory loss -- this time around, we have made our alternate arrangements so that we d

on't have to stock up. But even then when the -- we had to -- when we had this phenomenon happened this time. Last time we had an inventory loss. Here, this time around, it is just that the realization that we have got has declined very steeply over a short period of time.

Udit Gajiwala: Understood. And sir, just a last question on your settings capacity that you mentioned is 50,000 tons. So that will be over and above your 470 -odd tons capacity, which we will be having by

this year.

Ajit Venkataraman: That is right. Pipe is about 470. Fittings is about 50,000 with the added capacity coming up. With the added capacity coming up...

Moderator: Next question is from Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: My first question is could you help us with some numbers related to what was the PVC to EDC spreads for Q2 FY '25 versus '24 and what it is currently?

Ajit Venkataraman: The PVC/EDC spread in FY '24 was \$ 571 in Q2 FY '24 and Q2 FY '25, it was \$ 513. And PVC VCM delta was \$ 157, and for Q2 FY '25, it was \$ 130. And at this current moment, PVC/EDC delta is about \$ 490 as of 26th of September. And PVC VCM delta is currently the same as \$ 130. There's a lag which happens between PVC prices and these deltas.

Sonali Salgaonkar: Understood. Sir, I understand it is very difficult to predict the PVC prices of being in a mobile commodity. But what is your sense -- are they near somewhere near the bottom? Or do you think there is further delay for the collection? And how are the channel inventories right now?

Ajit Venkataraman: See, Sonali, typically, it bottoms out in the 73 to 77 range. We have not seen too many cases, where it goes below about 73. So we are expecting that this is about the level it should be because if I look at the numbers, since August 10, we are in that range. we are now in September -- October 25. Past 2 months, we have seen that it has been a very tight range, okay? And your second question was? One was the -- whether it has bottomed out? And what was your second question?

Sonali Salgaonkar: Channel inventories.

Ajit Venkataraman: See the channel inventory movement happens when there is volatility. See when the prices were dropping, the channel was completely -- they stop taking material, okay? Whereas when the volume -- the price of PVC is fairly stable at whatever level, then it comes back. So right now, the -- it has been a smooth movement, as I mentioned, since August 15 -- we have seen this demand to be fairly steady.

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Sonali Salgaonkar: Sir, our channels in the restocking mode right now due to the earlier destocking or are they normal?

Ajit Venkataraman: See, when the prices dropped between mid -June to mid -August, okay? I think all of us, we definitely saw a complete drop in volumes. And that clearly indicates that the channel is not -- it's completely destocking. They don't want to take the risk of PVC price volatility, okay? The moment that stopped, we have seen the demand pick up. And this is a standard phenomenon, which we have seen. No matter how much price protection we give, people are apprehensive of buying when the price is going down.

Sonali Salgaonkar: Understood. Sir, you did mention in your earlier remarks that June and July were back also in terms of volumes, and then we have seen subsequent volume pickup -- could we quantify the volume growth in July and August and September, if possible?

Ajit Venkataraman: No, we don't give directions in terms of -- in between months, we can give you only on the quarter.

Sonali Salgaonkar: Sir, would you be able to quantify agri volume growth versus normal agri for this quarter?

Chandan Verma: For this quarter, Sonali, agri volume has gone around are 12% and non -agri is around somewhere around 9% to 10%.

Sonali Salgaonkar: Understood. Sir, last question. capex , FY '25, '26 early out

tlook.

Chandan Verma: Capex , generally, we are doing the maintenance capex that we are incrementally doing around INR 100 crore to INR 150 crores . That is the plan that we have at this moment. No major announcement with respect to greenfield or brownfield expenses we have. We are adding capacity only on account of these maintenance capital that we are earning. And that is a present data to add up the incremental capacity in our existing facilities.

Sonali Salgaonkar: Understood. Sir, your agri volume growth of 12% seems to be quite healthy considering the prolonged monsoon through September. Is it because of higher affordability within the PVC price drop?

Chandan Verma: Yes you rightly said because of the affordability by the farmers where the pricing, PVC prices came down, that has resulted into the higher uplift.

Sonali Salgaonkar: Sir, in October, the first 20 days, how has been the demand?

Chandan Verma: We are yet to conclude on the October, Sonali.

Moderator: The next question is from the line of Utkarsh Nopany from BOB Capital.

Utkarsh Nopany: Sir, actually, I just wanted 2 clarifications from you. So please pardon me, again, I'm coming to pipe EBIT margin point. So like you mentioned that this quarter, our margin got impacted because of the speed decline the resin prices the way we have seen in Q2 of FY '23. But if we see the domestic PVC resin prices fell sharply by around 22% to 25% in Q2 FY '23 on a Q-on-Q basis, whereas it was almost flattish in this September quarter. And also, if we see the industry

leader margin was relatively stable on a Q -on-Q basis. So how come we have reported loss. Sorry, I'm not able to digest the point what you have given earlier, sir.

Ajit Venkataraman: So thanks for your question, Utkarsh. Going into, again, let me reiterate going into Q2. We were not carrying any much of our pipes and fittings finished goods inventory, okay? And if you remember, Q1, we had sold about 90,000 metric tons, if I remember correct -- 92,000 metric tons of pipes and fittings.

And we did not go into Q2 with much of our inventory. And so whatever was produced was with PVC some existing stock, which we had -- which was bought at a higher price. And when the prices started going down steeply, our realization came down quite steeply. Okay. And that had a huge impact.

Utkarsh Nopany: Sir, like whatever inventory we were carrying whether we were just carrying the pipes and fittings inventory at the end of June, we were not carrying inventory of PVC resin because we have not seen a decline in the profitability on a per unit basis for PVC resin segment, but we have seen a material decline in the profitability of the pipe and fittings segment?

Ajit Venkataraman: The resin segment, we do have -- since it is backward integrated, we do have -- the margins were not to the tune of INR 10 and INR 15 per kg, right? So whatever prices which we have transferred to the pipes and fitting, it was at a market rate, even then we were able to make margins in the resin segment. But that did not translate into margins in the Pipes and Fittings segment.

Utkarsh Nopany: Okay. Sir, next point is on the capacity side. So in the last earning call and in the annual report, it was mentioned that our pipeline fitting capacity is 4.7 lakhs. But now today, you've mentioned that it's around 4.2 lakhs. So can you please provide pro ...

Ajit Venkataraman: Let me correct that. We have a total capacity of 470,000 pipes and fitting out of which 420,000 is for pipes 50 is for fitting. So 420 plus -- I mean 420 plus 50, which is 470,000 metric tons is the total capacity. Now what we are doing is expanding on our existing locations both by adding extruders and replacing old extruders with more higher capacity extruders and that is resulting in moving it from 420 to 470.

Utkarsh Nopany: So our total pi

pes and fitting capacity would go from 4.7 lakh to 5.2 lakh or it would remain at 4.7 lakh by end of March?

Ajit Venkataraman: So when pipes goes from 420 to 470 and fittings remains at 50, so 470 plus 50, which is 520.

Utkarsh Nopany: Okay. And sir, lastly, sir, like on the CPVC pipe side, our CPVC pipe volume share was 5.5% in FY '22 of the total pipes and fittings sales volume. Can you please provide some sense what would be our CPVC pipe volume share in FY '24 and where it is likely to be in FY '25?

Ajit Venkataraman: See, we don't normally split up our volumes based on the type of product. So -- but essentially, it is about 8% to 10% of our overall volume.

Moderator: The next question is from Salil Desai from Marcellus Investment Managers.

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Salil Desai: Sir, in a scenario where prices are PVC prices are, say, trending lower. Then how does that tell you from a competitive point of view against, say it's a regional or local brands, which might be largely competing on price? And does the price differential narrow and does it help you to, does it hurt you?

Ajit Venkataraman: So what you're saying is that if the PVC prices remain low, how will it help Finolex?

Salil Desai: Especially compared to some of the smaller peers that you have been competing with in the regional or some local markets?

Ajit Venkataraman: See, one of the key differentiators we have is the type of the quality of products we produce we do get a premium for our products. And therefore, if customers can afford, they will buy Finolex.

So in terms of -- and most of our pipes, which we have sold 30 and 40 years back are still in agricultural fields.

So people know what they're buying. And therefore, in terms of differentiation, our reach, our brand and our quality should be sufficient for us for people to come and ask us for our products. So the only difference here is that one is when the quality is assured, then at a lower price, it is much more affordable for customers, and therefore, the demand will be better.

And again, I'm telling you whatever price the PVC is -- as long as it is steady, it is good for business. The moment you introduce volatility that is when the question mark comes. In terms of when to buy, how to time the buy, et c., . So therefore, we honestly don't like volatility, but that is not in our control.

Salil Desai: So sir, in that context, the current quarter's 10% volume growth, is that indicative of say some

market share gains because in general prices are lower people might as well buy Finolex rather than buying something else?

Ajit Venkataraman: Salil, it's difficult to say this because we don't have industry body which collects this information. We need to see what other competition is of how other competition is performing to come to this conclusion. I think there's only one other company which has released the results so far. So for me to conclude on anything at this point of time will be not right.

Moderator: The next question is from Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. First is, you indicated anti-dumping duty by 24th of December. Sir -- possible for you to indicate what is the extent? Some quantification around the duty structure, just trying to understand what sort of impact it could have on resin prices? And the related question, sir, how do we have the date of 24th of December, -- can it get pushed out into next calendar year? Or is it for certain that it will come by December?

Ajit Venkataraman: I'll answer the second question first. It is a movable date. At this point of time, what we have heard from the agencies is that it is in the last week of December, that's when the decision will be made. Now how will it impact? See, depending upon which countries will come under this on the -- in the anti-dumping.

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If these are major suppliers to India in terms of PVC resin, then there will be a shortage in supply, and therefore, there is a likelihood of price increasing. So it all depends upon whether we are going ahead with anti-dumping duty for PVC at all or not. There is a good chance that it can get postponed as it has happened several times. So it's a wait and watch for all of us.

Ritesh Shah: Sir, I would presume there would have been some representations done by us industry body. So I was just trying to understand what could be the extent of dumping duties, which could come in? Like is it like 10%, 15%? Any color if you could please provide.

Ajit Venkataraman: It's very difficult to predict, yes.

Ritesh Shah: Sure. Sir, second question, again, on the regulatory side. We understand the quality control order on PVC got pushed out. What is the status on EDC, ethylene and VCM? And will it have a bearing on our operations? Or is it something that we are already secured where we secure our parameters from those guys they have already secured those particular approvals or licenses.

Ajit Venkataraman: We are -- some of the suppliers have already got the approval. And we are trying to ensure that all the suppliers are qualified before we buy. So it's work in progress, but we don't see a challenge out there.

Ritesh Shah: And sir, the implementation date, I understand it was August, September, has it got pushed out again, just like PVC, even for EDCs and VCM into November?

Ajit Venkataraman: I think all of them were together, if I remember correct. But I can check back and get back to you, Ritesh.

Ritesh Shah: Sir, my second question is more generic. I think partly, I'm picking up on the prior question. Sir, over your tenure at Finolex and I presume this would be probably the last also. Thank you for your guidance and support. How has the competitive intensity in the space changed?

Ajit Venkataraman: It is -- see, it is getting more and more intense definitely. But the good part of it is that this is in a growing industry. And the Building & Construction segment is something which is likely to grow at a 15-plus percent over the next 5 to 10 years. So it is fantastic to be in a growth segment, where there is an opportunity for everybody to grow. Yes, competitive intensity is high, but at the same time, the industry, the size of the pie itself is growing, and therefore, it's good for everyone.

Ritesh Shah: Right. But sir, just for the sake of just paying a delta, if I look at the pipes and fittings realizations for us divided by the PVC realizations, -- the other way around pipes and fitting divided by PVC.

That ratio has actually dropped from 1.7 to 1.54, which assuming a constant mix probably may not be the case which reflects that probably the discounts that we could have offered in the market to get to the desired volume growth could have also increased. Now is this something which is by design or -- is it more a function of mix? How should one read into this?

Ajit Venkataraman: It will vary by quarter by quarter, yes. And this quarter, if any, which we are weak, and therefore, we have to respond to the market requirements. And therefore, see, it will even out over the course of the year, Ritesh. This quarter has always been difficult, whichever year you took.

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Ritesh Shah: Correct. But sir, if I just have to push you a little bit, if we had an option to grow at half the growth rate and still had some positive EBIT. Would we have preferred to do that rather than going all out and pushing volumes? Because this is a clear question of growth versus profitable

growth wherein we have chosen growth?

Ajit Venkataraman: Both are important, both are important. And given the fact that the next half is going to be -- we expect it to be much better than the

first half. We are optimistic.

Moderator: Next question is from Miraj from Arihant Capital.

Miraj: Sir, most of my questions have been answered, but I still had one clarification that I wanted in one of -- and answer to one of the questions, I think you mentioned that we will be adding 100,000 tons through greenfield. Did I hear it right?

Ajit Venkataraman: That is work in progress, Miraj, work in progress. We are taking some time in terms of deciding where to put this up, okay? And we want to put it up in an appropriate location. The capacity is something which we always -- we are not questioning, but it is the location which we are questioning. We will meet this for any growth beyond 3 years, okay? All our 3 facilities cannot take -- with this final expansion, all our 3 facilities cannot take any more volume growth, okay? So we will have to do that, and that is still work under progress. And we are taking a little bit more time because we want to do it properly. As a stop gap, we have gone for an incremental capacity in our existing locations where we can do expansion.

Miraj: Okay, understood. So this 100,000 tons, which we'll be planning still just finalizing the location. Post that, we will decide how much will be pipes and how much will be fittings, right?

Ajit Venkataraman: Fittings is a much more dense product, okay? And we would rather have fittings being made in one location. For example, all our fitting is made in Pune itself. Because supplying a dense product across the country is much easier than supplying pipes to rest of the country. Yes. So our aim always would be to try and keep the fittings in and around Pune itself.

Miraj: Understood. And just last part on guidance, sir, you mentioned that for the full year, you are having pipes and fitting growth would to be 10% to 12%, right?

Ajit Venkataraman: About 10% to 12% at this point of time, based on what -- for the first half of this year.

Miraj: But non -agri would still just be positive for 20% non -agri growth?

Ajit Venkataraman: We would be aiming at that.

Moderator: Next question is from Rishab Bothra from Anand Rathi.

Rishab Bothra: Yes. -- just a few questions. Firstly, where do we see the agri, non -agri mix in 2 to 3 years timeframe from now?

Ajit Venkataraman: Rishab, I'm not able to hear you this background noise. Can you repeat that question again?

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Rishab Bothra: So I was trying to understand where do we see our agri, non -agri mix from 2 to 3 years now?

Actually, we have been trying to push hard for expanding our non -agri mix, but I think it's scaling up, it is taking a slightly longer tenure. So I just wanted to have a few...

Ajit Venkataraman: Maybe 3 to 4 years, we are expecting that it will be a 50 -50 split. That is the intent.

Rishab Bothra: Okay and how are we going to do that color on that front? How are we scaling up?

Ajit Venkataraman: So, Rishab, several initiatives, which have been taken. We have defined focus cities because that is where the non -agri business will be coming from -- and we have reorganized our sales team to focus much more on institutional sales and in terms of the non -agri segment. The type of people we are hiring itself has been has changed quite significantly.

And finally, in terms of the data and data analytics, that is needed for improving the sales in this segment. We have made -- we are and we are going to make a lot of significant investments. So all these -- a combination of all these will hopefully help us to move to that 50 -50 split.

Rishab Bothra: Okay. So the plans which we chopped out 2 years before, I think those are reaping benefits and you are heading in the right direction. Understand right. Okay. Secondly, on the inventory side, if you could let me know what's the quantum of raw material inventory and finished goods inventory we are carrying

at in terms of quantity and at what rate?

Because that will drive future performance, let's say, we are carrying at INR 80 PVC resins and INR 130 finished goods. And if prices inch up towards, let's say, INR 100 to INR 110 for resin -- so we can conclude what kind of profitability we will be able to make. I mean based on the inventory, which we are carrying currently?

Chandan Verma: So Rishab, the inventory level that we have, you see in our balance sheet number, right?

Rishab Bothra: Correct. That is the amount figure -- split between...

Chandan Verma: Split between inventory at the September end, which will carry -- which will cater the immediate requirement and the production is already going on. So in terms of exact number, it's very difficult to give you at this point in time.

Rishab Bothra: The overall will get it offline?

Chandan Verma: We can discuss it a little later.

Rishab Bothra: Okay. Fine. And with respect to your expansion plan you have mentioned, the location is yet to

be identified. I mean, which of the states which we are looking at? And are there tax incentives for both states which we are opting -- and I mean what would be the time frame, let's say, if we conclude in Q3, Q4, by what time frame that expanded capacity will come up?

Ajit Venkataraman: So Rishab, I would not like to go into those details at this point of time. As an appropriate point and time when we are ready for the announcement, we will let you know.

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Rishab Bothra: Okay. Because what I was trying to understand is we have been speaking of the expansion since long. Or you can say, let us know what would be the amount required for such expansion? And what will be the utilization of the remaining process?

Ajit Venkataraman: So, typically for 100,000 facility, it will be anywhere between INR 300 crores and INR 400 crores depending upon the price of land, equipment is more or less the same. It takes about 18 months to set up a plant and to productionize it, add to full capacity will be probably another 6 months.

Rishab Bothra: So based on what we discussed what you made us aware, I think we will be still remaining with 15 billion of cash because cash generation will be also there for the next 18 months. So capex will be self-funded. So why don't you distribute the amount which is lying in balance sheet? I mean return ratios will look better is what I understand.

Ajit Venkataraman: We'll let the board decide on that, yes.

Rishab Bothra: Yes, but that -- I think that's true, but that has been for quite some time. And lastly, sir, if may I ask -- in terms of the cross holding, what are the game plans? Because a lot of chatter is there in the market with respect to simplifying the group structure, Orbit Electrical Holding and Finolex Cables. I think Chairman level positions are also very much clear in Cables. So any color on that front?

Ajit Venkataraman: See Rishab, I cannot add any color on that because we don't get involved with the family matters. The operations of the organization is very independent from that of what is happening at the group level. So -- and it has got no bearings on the operations. So I will leave that question out, the information which you have got is as good as mine.

Rishab Bothra: So that will not change alter anything in terms of the growth momentum which we are having at the industry level?

Ajit Venkataraman: Not at all.

Moderator: Before we take the next question, we'd like to request participants to please limit your questions to 2 per participant. Should you have follow-up questions, we request you to rejoin the queue.

The next question is from Varun Jain from Dolat Capital.

Varun Jain Most of my questions have been answered. Just 1 question I had was since our margins falling has been attributed to lower realization. So just wanted to understand like why did

the

realizations fall through? Like did we take some pricing action to push volumes vis-a-vis competition? Or was the fitting ratio low or the CPVC ratio low, which was higher yielding volumes. So like what happened, why did it fall so much?

Chandan Verma: So Varun, as you know, the pipe and fitting industry, the prices is directly linked with the PVC, right? So as Ajit and I explained in the previous question, so during the Q2, the price of PVC came down from the INR 88 and ended at INR 76 -- this was the Q2 only. And if you see within the -- it peaked out around INR 96 during mid-June and it started to come down and ended at INR 76. So largely, our realization has got impacted because of this decline in the PVC prices.

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Varun Jain So there was no change in product mix like CPVC share and fitting share, all of that, none of that.

Chandan Verma: No, nothing significant changes in that mix always keep changing, something here and there, but no significant changes.

Varun Jain And we have taken no pricing action also like to tough competition, since competition intensity is increasing, like pushing discounts and all of that. None of that action has been taken.

Chandan Verma: No. So we are the kind of discount, which is generally prevalent in the market, we have gone ahead with that, no further action on it.

Moderator: Thank you. Next question is from Praveen Sahay from PL India.

Praveen Sahay: A follow up just on the data points, only for a current PVC EDC spread, you had given a 490 or PVC VCM around 130. How is the PVC right now, the pricing is?

Ajit Venkataraman: What was the question? How was the -- how.

Praveen Sahay: PVC resin prices at the current moment?

Ajit Venkataraman: INR 800. It's about INR 780 to INR 800.

Praveen Sahay: And secondly, on these numbers, if I look at the VCM prices on the Q2 has jumped up significantly. So what's the reason for that? Or how is that setting because INR 130 is the same spread. So I believe that is still on the higher side. Can you give some indicators why is the...

Ajit Venkataraman: A couple of things which -- so Praveen, couple of things which influence. One is there is always a lag between PVC price and VCM. So VCM always follows, I mean, VCM always follows the PVC price. Second, also, there is a demand -supply equation also which comes in.

There may be situations where, for some reason, one of the refineries is closed down for maintenance or sudden maintenance. And as a result, VCM supply goes down. So in those situations, we do see a spike in the VCM price. So it is one aspect of it's a lag. And second aspect of it is the local phenomenon, which happens. So it's a combination of both, yes.

Moderator: Next question is from Keshav Lahoti from HDFC Securities.

Keshav Lahoti: So I want to understand the debottlenecking, which you're talking, is it fair to assume it will come by the end of the year, possibly no volume contribution will come from that?

Ajit Venkataraman: Our equipment is already coming in one by one. So by first quarter -- I'm sorry, Q4 of the -- Q4 of this year, FY '25, we should have almost all the equipment installed.

Keshav Lahoti: Okay. Got it. The reason I'm asking because you're implying to 2.10 lakh volume in the second half. And normally, we have seen whenever you touch 90,000, 1 lakh in a quarter, you face this capacity constraints. So possibly, if the debottlenecking doesn't happen, maybe at max, you
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would be able to do may be 1.90 lakh to INR 2 lakh so possibly, it would be hard to achieve for your...

Ajit Venkataraman: By Q4. by Q4, we should have almost all the equipment up and running.

Moderator: Next question is from Karan Bhatelia from Asian Market Securities.

Karan Bhatelia: Sir, one clarification on the greenfield

capex. Would it only be for pipes or it would be for fittings too?

Ajit Venkataraman: So at the moment, we have -- it is -- it will be for pipes, fittings, we can actually expand in our existing facilities itself.

Karan Bhatelia: Right. And just some clarification to the earlier participant. You did mention that in FY '23, we had to stock up for the summer and hence, the inventory also was more. But this time, we had some temporary arrangement. So I just have...

Ajit Venkataraman: See what we have done is there are 2 raw materials which come in. One is EDC and the other is VCM. VCM is a carcinogenic material and therefore, cannot be transported on road. Okay. EDC is something which can be transported by road. So we have -- since our jetty in Ratnagiri is a fair weather jetty.

It gets closed from May 1 week all the way to September end. So we have to stock up for material and therefore, we were exposed to the vagaries of the price fluctuations. So what we have done is we have found a port, which is 20 -- I'm sorry, 60 kilometers north of Ratnagiri, which is able to handle our EDC cargo. And therefore, we are able to buy it as and when necessary, instead of stocking up for the entire rainy season.

Karan Bhatelia: So just to continue on this, this is where our PVC margins were kind of holding by despite of a lower spread and okay -ish volume growth, right?

Ajit Venkataraman: I mean this is -- especially what it does is it does move out the PVC resin performance a lot more.

Karan Bhatelia: Right. And that is what is visible in this quarter as well.

Ajit Venkataraman: Correct.

Karan Bhatelia: Okay. Because there was no...

Ajit Venkataraman: We just started. We just started it this year. So this will improve as we go along, but it was a good start.

Karan Bhatelia: Right Yes, because that is what I was wondering because the volume growth was in single -digit spreads were lower, but still the EBIT performance was much better. So we've already started to see the benefits of this activity, right? That's right.

Moderator: Next question is from Shravan Shah from Dolat Capital.

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Shravan Shah: Sir, just a last question. So everybody tried to understand how the margin will improve. So again, trying to understand if the -- at current prices, the PVC prices, if it remains the same for, let's say, third quarter. So is it fair to assume that in the third quarter, we will again see the pipes and

fitting EBIT per kg, would be close to INR 12-odd.

Ajit Venkataraman: That is the intent, Shravan. If the margins remain the price -- PVC price remains at the INR 77, INR 78 level, and there's not much fluctuation from this. We should be back to where we were.

Moderator: The next question is from Puneet Javeri from Javeri & Company.

Puneet Javeri : I think just one clarification. I think you mentioned in the -- one of the previous questions that the -- about Ratnagiri jetty and how -- so your EDC is -- was something that you had available in this particular quarter, and that's why the PVC resin margins and the PVC resin financials look much better than the PVC margin. Is that the correct assumption to make?

Ajit Venkataraman: See to some extent, yes. What we -- what I'm again saying is that , we are able to modulate much better. The EDC price -- EDC buying, not VCM. EDC buying, we are able to spread it out over the summer and rainy season. And therefore, we are not locked into a position in the month of April -- March or April for the entire summer and rainy season. So that helps quite a bit in terms of the cost of raw materials that we use for producing PVC.

Puneet Javeri: Correct. And I think you did mention in detail to one of the participant question for for Utkarsh, basically, that going into Q2, you have very low inventory of raw material as well and as the prices are very high in Jun

e and July. So you had purchased inventory at a very high level. And then the prices had a lot of volatility in this particular quarter and prices corrected in the next 1 to 2 months, you had to give -- you have to sell the final product at a lower price at the market rate at that time. Is that the correct assumption?

Ajit Venkataraman: Let me also try to -- see most of these contracts are done about 2 months -- with a lead time of 2 months. Okay. So if you look at, say, April, May, beginning the PVC prices were at INR 76, INR 77. So many of the contracts, would have been done then. So -- and if the ship has to sail, reach Ratnagiri, we have to offload it, et c. So many of these contracts are done way before about -- we have a lead time of 2 to 3 months. And therefore, that is also getting reflected here.

Moderator: We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Ajit Venkataraman: Thank you, Arun. Thank you all for attending today's call. If you have any further questions, please feel free to get in touch with us, and have a wonderful day, and happy Diwali to all of you.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines

Call: Feb 2025

(no extractable text — likely a scanned image PDF)

Call: May 2025

30th May, 2025

The Manager – Listing Department
National Stock Exchange of India Limited
5, Exchange Plaza ,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400051
The Manager – Listing Department
BSE Limited
Floor 25 , P.J.Towers ,
Dalal Street ,
Mumbai 400 001
Symbol : FINPIPE Scrip Code: 500940

Sub.: Transcript of the Earnings Call

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

This is further to our intimation dated 16th May, 2025 and in terms of the subject referred regulation, we hereby submit the transcript of the Earnings Call held on Monday , 26th May, 2025, post declaration of the Audited Financial Results of the Company for the Quarter and Year ended 31st March , 2025.

The transcript of the said Earnings Call will be available on the website of the Company at <https://www.finolexpipes.com/> .

This is for your kind information and records.

Thanking you,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q4 FY '25 and FY '25 Results Conference Call "
May 26 , 2025

MANAGEMENT : MR. SAURABH DHANORKAR , MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. CHANDAN VERMA , CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES LIMITED

Finolex Industries Limited
May 26 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY '25 and FY '25 Results Conference Call of Finolex Industries hosted by ICICI Securities Limited . As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, Mr. Arun Baid.

Arun Baid: Thanks, Sagar. On behalf of ICICI Securities, I welcome all to the Q4 & FY '25 results concall of Finolex Industries. From the management side, we have Mr. Saurabh Dhanorkar, Managing Director; and Mr. Chandan Verma, CFO.

Now I hand over the call to Mr. Dhanorkar for his opening remarks. Over to you, Mr. Dhanorkar.

Saurabh Dhanorkar: Thanks, Arun. Good afternoon, ladies and gentlemen. Welcome to the investor conference call for Q4 FY '25 and FY '25 earnings release. We thank you all for your continued support and interest in Finolex Industries Limited all these years. FIL has registered a modest growth in pipes and fittings volume in spite of weak demand scenario during the quarter and the year. The operating performance of the company is muted, mainly due to weaker realization on account of volatility in PVC resin prices. The company's endeavor to grow in the non -agri segment in pipes and fittings is ongoing. Let me now take you through some of the performance highlights.

For Q4 FY '25, the volume in Pipes and Fittings segment increased by 2% to 102,253 metric tons against 100,171 metric tons in Q4 '24 in spite of the weak demand scenario. Total income from operations was INR1,172 crores for Q4 FY '25 against INR1,235 crores in Q4 FY '24. EBITDA stood at INR171 crores against INR209 crores for corresponding quarter.

Although EBIT in this segment decreased to INR108 crores compared to INR133 crores in the corresponding quarter, we have registered significant increase in EBIT per kg trend from the earlier quarter. EBIT per kg was about INR4 per kg in Q3 FY '25, which has now increased to INR10.50 per kg in Q4 FY '25. PAT stood at INR150 crores against INR161 crores in Q4 '24. Highlights for the financial year '25 are as under , the volume in Pipes and Fittings segment was up by about 4% to 347,982 metric tons against 336,577 metric tons in the previous year. This is in spite of the weak demand scenario. Total income from operations was INR4,142 crores against INR4,317 crores in FY '24.

Volume in the PVC Resin segment grew by about 13% to 222,708 metric tons. EBITDA for the company stood at INR476 crores against INR584 crores for the earlier year. Profit after tax has increased to INR778 crores, including exceptional gains for the year FY '25 compared to INR455 crores in FY '24.

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The Company continues to have a strong balance sheet with a net cash surplus of around INR2,535 crores as on 31st March '25 compared to INR1,820 crores in the corresponding previous year.

We would now like to leave the floor open for questions. Chandan Verma, our CFO, is with me to take some of the questions, and I'm here. Please go ahead. Thank you so much.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question comes from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congratulations on -- particularly on the EBITDA margin recovery quarter -on-quarter . Sir, a couple of questions. First, I wanted to understand in terms of the volume guidance for FY '26. And also, if possible, if you can share the -- how do you see the industry volume growth for FY '26? And if possible for CPVC, what was our volume growth

t h in Q4 and FY '25 volumes?

Saurabh Dhanorkar: Right. Shravan, basically, as a policy, we don't give exact projections for the year. But overall, this year, considering all the uncertainties, the PVC resin prices going up and down; in fact, from a big dip, now they have started recovering. But the uncertainty still remains, uncertainty about government policies remains.

So it's very difficult to say. The oil prices, there's a lot of uncertainties overall in the scenario.

But despite this, I can say that our internal targets, which we have kept for our team are definitely a double-digit growth. I would not like to give that as a guidance because, as I said, as a policy, we don't give guidance.

We don't see a spectacular year ahead in terms of volume growth. But we would be focusing this year mainly on recovery of margins, which had dipped. We are doing a lot of cost-cutting initiatives and I would say, - the margin improvement initiatives, whether it goes in terms of better pricing policies, better volume, better product mix.

So our focus would be on recovery of margins. As far as the overall scenario goes, we definitely see growth, but I would avoid giving any specific percentage. On CPVC, Chandan, can you say what was the exact...

Chandan Verma: So Shravan, year-on-year, CPVC volume has grown by 17%. And quarter-on-quarter, it was roughly around 7%.

Saurabh Dhanorkar: And we see in CPVC definitely a double-digit growth going ahead.

Shravan Shah: Sir, can we still see our CPVC share around 6%, 7% or it is still 5%?

Saurabh Dhanorkar: Still around 5%.

Shravan Shah: Okay. And now, sir, as you said in terms of the margin, what we are trying if all the cost structures or cost reduction or better -- seeing better product mix, so how one can look at margin?

So, this quarter, EBITDA level, 14.6% EBITDA margin, so how one can look at the normalized minimum should be a 14% plus for full year given the CPVC prices have also, I think, INR2.5

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has increased in the last 10 odd days. So in that scenario and plus the ADD and BIS, whenever it will come, if you can also help if any time line as per you?

Saurabh Dhanorkar: ADD and BIS remain a question mark. We are confident that both of them will come. Only thing, unfortunately, from the government side, there has been a considerable delay. Now the court also has told the government to speed up the process. So that will add, but without -- what I'm saying is, we are not depending on government initiatives to drive our profitability.

Independent of ADD and BIS, we are confident of improving the margins. I would not again like to place a number on that, but margin definitely, we see a margin improvement. And as you have seen, the prices have gone up. But while the prices of PVC resin when they went down; in the last quarter, we managed to recover the margins because we didn't reduce our pipe prices in line with the resin reduction.

And when they went up, we went up more than the resin increase. So that way, we are taking small steps in price recovery, margin recovery. ADD and BIS will definitely, as and when they come, will add to the margins, but that would be, I would say, more like a bonanza.

Shravan Shah: Got it. So when we say that it will improve the margins, will it -- are we saying from the fourth quarter numbers, it will or from FY '25 because the number is -- significant difference is there, so that's what -- just wanted a -- so from here on, whatever we have reported in fourth quarter, one can see an improvement on the margin front?

Saurabh Dhanorkar: What I'm talking about is from here on. I'm not really looking at the history. History is history. I'm looking at today onwards what happens.

Shravan Shah: That's great. That's great. Lastly, sir, in terms of this cash, so we were looking at capital allocation. So INR2,53

5 crores cash, so how one can look at -- so 2 things: one, so currently --

last time, I think we have spoken that we will be adding another 25,000 ton capacity. So if you can specify the current capacity and what one can look at for addition in the capacity and how we want to utilize this cash, INR2,500 crores plus?

Saurabh Dhanorkar: See capacity increase incremental will continue to happen with 25,000, we added. our total project is 50,000 addition to capacity, which within this quarter or early next quarter, we'll complete that 50,000. Partly 25,000 has already happened during Q4 '25. The remaining is happening in the next couple of months.

Beyond that, obviously, with the market growing, we are looking at capacity increase. But as you know, for the pipes, it's not a very highly capital-intensive business. So the capex on the capacity increase will not be very, very high. So all said and done, we would be left with cash. And as we have discussed in the last analyst call also, it's a question of time -- again, this is a Board's decision.

So I cannot really give you any concrete figures or timeline. Finally, if we don't have a very large capex, then it will be returned to the shareholders. But it's a Board's decision. So I would not like to specify anything right now.

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Shravan Shah: Great. Sir, just to clarify, when we say the 50,000 to be added, so currently, our capacity pipe would be the similar 420,000 and fitting is 50,000. And from there, we will add another 25,000.

Is that understanding right?

Saurabh Dhanorkar: 420,000 will go to 470,000. 50,000 is currently enough. So it will be 520,000.

Shravan Shah: Okay. So we will add another 50,000. So from currently 420,000, it will go to 470,000 and 50,000 remain the same?

Saurabh Dhanorkar: Correct.

Moderator: Your next question comes from the line of Pujan Shah from Molecule Ventures.

Pujan Shah: Sir, my first question would pertain to -- so we are hearing that High Court has removed the stay for the SPVC -- for the ADD purpose. So there is a bit of optimism in the prices, which have been seen in the last 4 days. So we have seen almost INR2.5 per kg has been increased. So do you expect the ADD to be -- it should be implemented sooner? And if yes, what could be the price incrementation could improve the realization going forward?

Saurabh Dhanorkar: No, sir, this price increase, which has happened in the last week has nothing to do with ADD. This is basically because of strong demand from the market for the last couple of months. The price increase after the ADD is implemented is yet to come. And to be honest, nobody knows when it will really come, if it comes in June. So that will be an independent result of -- the result of that ADD will be seen independently in the prices.

This current price increase is overall, there is a good demand scenario, less stock with PVC resin suppliers, less imports coming in for various reasons. So this is just a demand supply factor that these prices have gone up. ADD, we are expecting in June, but to be very honest, with the way the government scheme -- I mean, the initiatives are being handled currently, nobody is sure whether it will be June or July. But it will come. We are hopeful it will come.

Pujan Shah: But sir -- and the case of the HC, which has been imposed the stay, so is that removed right now due to -- or it doesn't that have any saying on the equity part due to as the case goes to the DGTR and the Ministry of Finance and there is no sale from the Gujarat state, so is that removed or is still prevailing right now?

Saurabh Dhanorkar: No, no, the stay has been removed. So there is nothing -- no hindrance left now. So it's a question of procedural delays. I don't think they can delay it too much now. But having said that, we are already at the end of May. So whether it will happen in

June or in July, we have to wait and see.

But it will happen. Now there is no obstacle to that.

Pujan Shah: And sir, just wanted to understand on the second piece is that in the China, we know that 80% of the PVC resins are made by carbide route, it is not environmentally friendly. So just wanted to understand there is a hard stop of 2031, like there should be a decrease in the manufacturing of the PVC resins from China. So do you see the positive impact flowing right now via capacity being shut down and the conversion being happen or it will take time?

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Saurabh Dhanorkar: No, that process has already started. But to be honest, more than that calcium carbide route and environmental issues, with all these -- once the anti-dumping duties kick in and BIS -- more importantly, once the BIS comes in, then China will become a very, very difficult country to import from.

So all of a sudden, then the whole scenario will change. So more than the ADD, we are looking at BIS and which is actually -- there's nothing stopping the BIS. There cannot be -- because BIS mandate has been imposed on many other products. So PVC resin is much lower in the list. Already, a lot of products have already got this BIS implementation. And once that happens, none of this resin from China can come in. So that's a very positive. So going ahead, we see less and less threat coming from China.

Pujan Shah: Sure, sir. Just add on to that next point. So on the BIS side, you are talking about paste -- suspension PVC, right? Not the paste?

Saurabh Dhanorkar: No. Suspension.

Pujan Shah: Got it. And sir, my third question would be on the CPVC side. So if we look into it, we know that many of the manufacturers have been expanding their capacity. So domestic procurement will be easily available right now in coming years. Even large giants like Reliance and Adani might add in the capacity coming years ahead.

So do you think that realization will impact a bit on a higher side and that should be compensated via volumes? Or do you think that demand supply will be stabilized once the capacity gets on stream via all these players?

Saurabh Dhanorkar: No. But the capacity, which has been announced and which is on the way is still short of the total demand. So the total demand, even if we take a muted growth of, say, maybe even single digit, will continue to grow. And all this capacity is still not going to outstrip the demand. So that -- I think that the dynamics will not change drastically.

Pujan Shah: But sir, if we're considering the single -digit scenario as well, so current demand would be around 250, let's suppose if we assume FY '25 and all the capacity gets on stream. So the total capacity -- the supply will be around 570, while the demand would be around 400 -420.

So do you still feel that there would be much advantages because might be one of our company is just shifting that plant, that demand would be shifted to over here or that could be around 420 supply. So that would be stabilized there. So that's the demand dynamics, which we have been looking into?

Saurabh Dhanorkar: No, sorry, I didn't get the question. The shifting -- who's shifting the plant?

Pujan Shah: Lubrizol

Saurabh Dhanorkar: Sorry.

Pujan Shah: Lubrizol.

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Saurabh Dhanorkar: Sorry, sorry. I completely misread your question -- you're talking about CPVC?

Pujan Shah: Right, right.

Saurabh Dhanorkar: Okay. Sorry, sorry. So I was talking about SPVC. No, no, the CPVC, yes, there would be -- see, it is getting more and more commoditized now. So with Lubrizol shifting the plant here, Epigral growing, you're right, Reliance also might get into it. DCW talking about this . So availability of CPVC is definitely on the increase.

And earlier the -- in fact, production or the gr

owth of CPVC was constrained by capacity because

getting the raw material was a constraint, which is slowly going -- as we go ahead, that's not going to happen. So today, the special status that CPVC enjoys, we believe that going ahead, it is getting more and more commoditized.

On the manufacturing side, also a lot of players have got into CPVC. So the super margins, which prevailed at one time have already softened a bit. They would still always be better than SPVC because of the technology angle and because of the very low level producers not being able to enter the market. But going ahead, I think demand supply will play the role in pricing as it does in SPVC.

Pujan Shah: Just wanted to add on that part. So in the CPVC space, as you rightly said, the margin might squeeze in. So it might impact the realization in the Pipe segment as well as the price of iron gets commoditized it gets impacted. So do you think that our future growth, which we are expecting a double -digit growth in the CPVC segment would be compensated more on the volume side as the realization gets squeezed in, once the capacity gets on stream?

Saurabh Dhanorkar: Yes, it will come from volume. Today also we -- despite much muted business scenario for FY '25, our CPVC volume grew by 17% or 18%.

Chandan Verma: 17% year -on-year.

Saurabh Dhanorkar: 17% year -on-year. So we have been able to grow. And so that market itself is growing. It's not that only we have grown. And our -- yes, this would come more from volume. So going ahead, we see substantial volumes coming from our CPVC. And this our -- the mix also, we see improving greatly towards more towards double digit.

Pujan Shah: And just last question on the bookkeeping side. So can you just spell the realization currently on PVC, CPVC and the spread between PVC and VCM?

Saurabh Dhanorkar: Chandan, do you have it offhand?

Chandan Verma: We have the number. See, generally, we do not disclose the number on a realization per ton basis. So overall number that we have disclosed, that is there in the public.

Moderator: The next question comes from the line of Sonali from Jefferies.

Sonali Salgaonkar: Congratulations on a great set of margins. Sir, my first question is on the resin side. Sir, despite the PVC resin dropping by almost 18% in FY '25, I think on a full year basis, you have posted a brilliant expansion in your resin EBIT margin.

Sir, could you help us understand more as to how did we arrive at such a great number as in what has structurally changed within our business? Or is it just something that we did in the interim?

Saurabh Dhanorkar: No, there's nothing actually, to be very honest, we can do at the plant level because that's a running plant and it's a petrochemical plant. So it's not that doing any tweaking this and the prices are driven by international prices. So basically, the delta in the PVC and EDC prices internationally is what drives the margin.

And that has been favorable between EDC, PVC and VCM PVC. So it's mainly a question of, I think, the international price. I would not like to take any great credit for more efficient operations or anything.

Sonali Salgaonkar: Understood, sir. And if I may ask as an extension to the same question, in FY '25, what proportion of our production of PVC resin came in via EDC and what via VCM?

Saurabh Dhanorkar: Do you have it, Chandan? Offhand.

Chandan Verma: Out of total production, roughly -- one second. 55% came from the EDC route, rest came from the resin route.

Sonali Salgaonkar: VCM route?

Chandan Verma: Yes.

Sonali Salgaonkar: Sir, my second question is regarding the demand scenario presently. Now we understand that from Q1 -- in Q1, the initial April month as well, there was some softness in the PVC resin. And right now as we are seeing there's strong monsoons across most of the part

s of India, so which

is sort of inversely proportional to the usage of agri pipes.

So considering that this is one of your key summer quarters, and we are having -- witnessing all these characteristics in terms of demand and PVC resin prices, how would you rate the demand right now and also the channel inventory of the agri pipes?

Saurabh Dhanorkar: Right now, in fact, April and May have been very strong months for us, both agri and non -agri. In fact, till the rain started a couple of years -- I mean, a couple of days ago, we have been completely sold out on inventory. We are running very low on inventory. despite the channel not carrying too much of inventory, we pushed out everything. The channel pushed out to the -- I mean, end user. So as of now, even despite the push from our side, channel is not carrying too much of inventory.

With the rains now starting, obviously, the demand will slow down. We still have to take a call whether this is a long spell of monsoon, which has already started because we saw in the last -- almost thrice out of the last 5 years, saw that the monsoon starts in June, then there's a long lull for about 1 month, 1.5 months and then it resumes.

So if that happens, then the demand will pick up again because to be honest, this was a little unexpected for the farmers also. So some of the activity is still not complete. So if after a week or so, there is a lull, then we see a strong demand pull coming back. If this continues, then obviously, agri pipe season -- because you can't lay the pipes while it is raining so heavily. So I don't know whether I can answer your question very emphatically. But to be -- still today, we are on Monday, maybe till Wednesday, Thursday, we had a very, very strong demand from the agri as well as non -agri side.

Sonali Salgaonkar: That's pretty clear, sir. Sir, my last question of the full year volumes, how much of that would have come from agri versus non -agri, as in what percentage volume growth in agri division versus non -agri in FY'25?

Saurabh Dhanorkar: Chandan.

Chandan Verma: So FY '25, our agri to non -agri was 67%:33%.

Sonali Salgaonkar: Yes. So your full year volume growth is about 3%. So in the full year, how much would be the agri growth and how much would be the non -agri growth?

Chandan Verma: Agri volume more or less 2% in terms of totality and non -agri around 9%.

Moderator: Your next question comes from the line of Udit Gajiwala from Yes Securities.

Udit Gajiwala: Congratulations on your recovery in margins. Firstly, if I may ask a follow-up. When you said that the demand is strong for these 2 months, especially last month, if you can, then is it purely because of restocking? Or is it some end demand in some particular states that have commenced? Or is it related more to pre-monsoon, if you may allude more on it.

Saurabh Dhanorkar: Yes, this is more -- this is basically pre-monsoon kind of demand. Because if you have seen the last few months that the PVC resin prices were dropping, people delayed, delayed their purchases to quite some extent. But ultimately, there comes a time when what is needed to be bought will be bought. So this was -- in fact, the demand was strong despite the resin prices has still not kicked in.

There was still uncertainty about it. Now with this INR2.5 increase, now suddenly, there is a rush from people for the last minute but that's a different scenario altogether. So coming back to your question, the demand came from actual users. It's not that the channel is stocking up too much of inventory.

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Udit Gajiwala: Got it, sir. And in terms of our price differential versus our peers in the non-Western markets where -- I understand that the Western region is one of your strongest zone. But in other

markets,

what will be the price differential that you have versus the peers?

Saurabh Dhanorkar: Difficult to answer that because many of -- I would not like to take any names, but some of our large competitors have a different pricing policy in different markets, different pockets. So, it changes from, I think, pocket to pocket -- district to district state to state. And we -- to be honest, we don't really play the price game very strongly. Beyond a certain limit, we depend on our brand and the quality. So I would not be able to give you a clear answer about what is the price difference. Sorry.

Udit Gajiwala: Understood, sir. No worries. And lastly, you mentioned in your opening remarks that focus is on more on margin, one of the reasons -- one of the way will be through product mix and some cost control. So could you elaborate more on what kind of cost initiatives are we taking? Is that right?

Saurabh Dhanorkar: No. Basically, see, like it's not a rocket science in our pipe and fittings industry, you improve the operating ratios, that is what we are doing. You reduce the scrap percentages. And these are some of the things with very tight controls, with very tight monitoring, some outside help from TPM consultants. So some initiatives are being taken. I won't be able to give you too much of details because obviously, these are -- everything is not for the market.

But I would just to summarize the better efficiencies, on the buying side also, we have got some better pricing now from some of the suppliers based on volume commitments. So, we have changed some buying pattern. So everything adds up a bit. So there is a very clear focus. At the beginning of the year we have taken that this year would be a year of margin recovery.

Moderator: Your next question comes from the line of Ritesh Shah from Investec.

Ritesh Shah: Congratulations on a good set of numbers. Sir, the first question was, currently, PVC resin prices are at INR70-INR71. Sir, hypothetically, if the anti-dumping duty comes in, where should we expect these prices to stabilize at? Is it like INR75, INR77, INR80? Because the range of anti-dumping duty across countries is very, very wide. So how should we understand this? That's the first question, sir.

Saurabh Dhanorkar: See, basically, one is the anti-dumping duty and the advantage, which we get immediately because of that. But on the other hand, we also have to wait and see whether some of these countries on which anti-dumping is imposed are able to absorb part of that by lowering their prices.

So that's why it's a very dynamic situation. There would be a recovery definitely anywhere between 5% to 10%. But to be honest, to put a finger on the number would be very difficult because not the entire anti-dumping duty, we just can't take a mathematical average of all the countries and then put a number.

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And it will be something, which the larger PVC resin producers will keep trying a portion at a time and trying to push it through the market and see how the suppliers react to that.

Ritesh Shah: Sir, how did you come to that number of 5% to 10%? Is it possible to comprehend that, please?

Saurabh Dhanorkar: Sorry?

Ritesh Shah: Sir, you indicated that the price increase could be anywhere, say, 5% or 10%. How do we arrive at that number of 5% or 10%, sir?

Saurabh Dhanorkar: That is based on the import pattern and what can go through. This is an estimate by the industry. 10%, I would say, would be very, very ambitious. 10% would be something like INR6 to INR7.

But INR3 to INR4 is something, which I think is definitely -- which can go through. So as I said, it can be anywhere between -- so if you want to place a range, it can be between INR3 to INR6.

Ritesh Shah: Sir, is it fair to assume that this INR2.5, which has happened over the last 7 days, 10 days, it's already p

art of this INR3.5 or one can...

Saurabh Dhanorkar: No, no, that has nothing to do with anti -dumping. Because nobody knows when the antidumping duty...

Ritesh Shah: Correct. So how should we read into this last INR2.5, INR1 and INR1.5 of increase? Is it because the imports have dried out and hence, the price uptick? Or is it like the demand has really shot up? That's the reason why prices...

Saurabh Dhanorkar: As I said, demand has been strong for the last couple of months. Plus there have been production cuts because of maintenance shutdowns at the domestic producers level as well as some large international players. So imports have dried up or reduced, I would say. There was very, very low inventory with the large PVC producers.

So, this is -- and this has nothing to do with anti -dumping. So, this was purely a demand -supply gap, which -- so whether this can be sustained is the question over the long run, if there is no anti-dumping duty. As of now, yes, it looks sustainable.

But suppose there is -- theoretically, there is no anti -dumping duty for the next 4 months and then monsoon kicks in, then maybe yes, there will be a question mark whether this can be sustained. So this is purely a current demand and current supply scenario playing out.

Ritesh Shah: Sure, sir. This is helpful. Sir, secondly, as we look into the next fiscal, do we have any plans to launch any new product categories, any new product lines? And anything on geographical expansion, if we are targeting anything?

Saurabh Dhanorkar: No. As we discussed in the last analyst call, the geographical expansion is something we are working out at the back of this. But even in the last call, I said, at least for the next 6 months, you will not hear any announcement about that. Currently, we -- see, our philosophy, we have already spelled out in the past also is to first squeeze out every possible efficiency from the existing plants.

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And all our 3 plants have adequate possibility to increase the production by just changing the -- replacing the old capacity, smaller capacity machines by higher capacity machines. The manpower remains the same. The overheads remain the same. And you just get almost double the production from the same space, from the same real estate or from the same manpower. So our focus always has been to first squeeze out every possible efficiency there and then look at expansion. So we still believe that there is a scope for better capacity at the existing plants . So, whatever the next immediate round of expansion, which comes after this 50,000 tons, definitely, brownfield would be option one. Then option two, we are still contemplating, but it's too early to make any announcement right now.

Ritesh Shah: Sure. And sir, just last question. Would it be possible for you to quantify our total fittings capacity and what part of it is for outsourcing? And a related question, sir, earlier, we had planned that Ratnagiri, given we have 2 ways to produce resin EDC ethylene and VCM, are we -- do we have any plans to further backward integrate specifically the VCM line? Or is it entirely on the back burner?

Saurabh Dhanorkar: Sorry, what was your first question? Ritesh, I missed that.

Ritesh Shah: Sir, fittings capacity, what is your total fittings capacity?

Saurabh Dhanorkar: Yes, fittings. Chandan will give the breakup, but I would just like to clarify one thing. When you say outsource or when you say in -house, it is not in the conventional sales outsource. You can say outsource if I'm buying from somebody who is also giving to me and giving to auto component manufacturers and giving to somebody else.

Whatever capacity, when we say it is not within our own premises, that is still entirely controlled, driven everything by us. So I personally don't really subscribe to this theory of in -house capacity

and outsourced capacity. But having said that, Chandan can give you the numbers.

Chandan Verma: So Ritesh, our total fitting capacity is 50,000. Roughly, it consists of 1:4, roughly. 1 is in -house,

4 is the dedicated outsourced contract manufacturers.

Ritesh Shah: Sure. That's perfect. And sir, lastly, on the PVC, VCM extension, anything on backward integration at Ratnagiri?

Saurabh Dhanorkar: No, nothing immediately. We are still, as I said, still under study. We have not -- I wouldn't say that it will never happen. It does definitely make sense to push through that. But you will not -- again, I don't think -- hear any announcement in the next 6 months about that.

Moderator: The next question comes from the line of Sneha Talreja from Nuvama.

Sneha Talreja: Congratulation on great set of numbers. Just 2 questions from my end. One is related to industry demand. Leaving apart the PVC price increase and decrease and leaving apart the restocking part of it, what is the in-general PVC plastic pipe industry growth rate that we are forecasting over the next 5, 6 years?

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Saurabh Dhanorkar: See, CAGR has always been about 8% to 10%, and there is no reason for that to change drastically either lower or higher. So we expect that close to double-digit trend to continue, both on agri as well as non-agri side. So for our internal calculations, we take a little above 10% growth.

Sneha Talreja: You are talking about 10% growth in PVC plastic pipe industry only, this has been the past 10-year CAGR?

Saurabh Dhanorkar: No, no, no. PVC plastic pipe industry as a whole.

Sneha Talreja: Understood, sir. The second question is related to other new segments. I understand you're looking at capacity expenditure program and you are working on it. But our new products such as OPVC and Silent pipes, Fire Pro pipes, are all these kind of pipes being considered? Or is it the expansion only in traditional categories, be it PVC or CPVC, which are planned at this point of time?

Saurabh Dhanorkar: At this point of time, it is still existing conventional pipes. OPVC, Silent pipes are on the study table, but nothing concrete to be announced yet.

Sneha Talreja: Understood. And lastly, some clarity. If I see your PVC EDC spreads at this point of time, the spreads, if I'm not wrong, declined by 5% Q-o-Q. At the same time, you have seen a great amount of margin expansion. Has those cost-cutting measures already being incorporated in this particular quarter only? Or are we missing out on something?

Chandan Verma: Sneha, can you repeat your question once again, please?

Sneha Talreja: If I look at your last quarter's PVC EDC spreads, that was about 517. This particular quarter, I see it 491. But there is a strong Q-o-Q recovery in terms of your plastic pipes' margins. So I just wanted to understand, is the cost-cutting measures already incorporated because of which you have a sharp increase in margins? Because I mean, PVC prices the entire quarter were on the downward trend, leaving apart the last 2 price hikes, which have been post the quarter end?

Saurabh Dhanorkar: You're talking about the PVC, the Pipe segment?

Sneha Talreja: Yes, Pipe segment margins expansion.

Saurabh Dhanorkar: In fact, I don't know whether you attended the last analyst call, but in that I had mentioned that there was, to use a bad word, price war kind of a situation in Q2 and Q3 and because of which the margins had taken a massive beating. And then that time itself, we declared that we would steadily take the margins up.

And so this is basically not so much on the costing side. The cost initiatives have started last quarter itself, but that is still to kick in. This is basically because of, one, better product mix; and two, more importantly, better pricing decisions that we -- to which markets to focus on, which products to focus

on and what discounts we are willing to give and what business we are willing to give up if the margins are not good enough.

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So it was purely a basic -- better pricing strategy, I would say, and which is a more sustainable long-term kind of policy. So there was probably some aberration in the pricing strategy in the earlier quarters, which got corrected and which is getting corrected further now.

Sneha Talreja: Understood. You also mentioned that price war last quarter, I mean, referring to the scenario. Is that pricing strategy opted by the large player now done with? And are you seeing some stability

in terms of pricing across the players?

Saurabh Dhanorkar: Yes, there is a stability now. That just happened, I think, in last June, July, August or something that time. But yes, now we see stability. And anyway, we decided that we will not be part of any of these things. So we will -- based on our brand stability and our brand image, we will continue to -- whatever our brand justifies, we'll continue to get that price. And we are seeing that improvement immediately in the market.

Sneha Talreja: Understood. And can you just lastly speak about the PVC VCM spread? I don't have that handy.

Chandan Verma: As of now, PVC EDC spread is around \$490.

Saurabh Dhanorkar: VCM, she is asking.

Chandan Verma: PVC VCM is at \$160.

Moderator: The next question comes from the line of Vipulkumar Anopchand Shah from Sumangal Investment. Please go ahead

Vipulkumar Shah: What was the PVC VCM spread last quarter, sir?

Chandan Verma: PVC VCM spread were \$174.

Vipulkumar Shah: \$174. So it has improved to \$190 right now.

Chandan Verma: \$160.

Vipulkumar Shah: No, I 'm talking about current spread?

Chandan Verma: Current spread, I'm telling you.

Vipulkumar Shah: \$160?

Chandan Verma: Yes.

Moderator: The next question comes from Shravan Shah from Dolat Capital. Please go ahead

Shravan Shah: Sir, Capex for FY '26 would be how much?

Chandan Verma: Roughly around we have planned INR120 plus crores.

Shravan Shah: Sorry, INR125 crores?

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Saurabh Dhanorkar: Not more than INR150 crores.

Shravan Shah: Okay. INR125 crores to INR150 crores?

Saurabh Dhanorkar: Yes.

Shravan Shah: Okay. And sir, also just wanted a clarity, the staff cost for this quarter was INR51.3 crores versus for last 3 quarters, it was around INR57-odd crores. So is there any one -off in this?

Chandan Verma: No, it's not exactly a one -off. See, there are a lot of year -end valuation is required to be done. Because of that, it's more or less impact of that, cascading impact.

Shravan Shah: Okay. So going forward, is it fair that our staff costs will again come back to that INR57 crores kind of a quarterly run rate?

Chandan Verma: Yes.

Shravan Shah: Okay. And second, obviously, we have a significant cash and that's why the -- our other income has also -- this quarter has gone up to close to INR65-odd crores and for full year INR247-odd crores. So till the time we decide that this money to be returned to the shareholders, this kind of a run rate on other income front are likely to continue?

Chandan Verma: Yes, it's more of a result of how the market is performing. So based on that, the thing that these numbers are coming.

Saurabh Dhanorkar: But more or less similar.

Chandan Verma: More or less, it's similar in nature.

Shravan Shah: Okay. Got it. And just, sir, if you can again clarify in terms of the currently for FY '25, when we say the 5% CPVC share, does that mean that broadly the entire industry would be at 2.5 lakh ton kind of a yearly number?

Saurabh Dhanorkar: Yes, around 260, to 270.

Shravan Shah: Okay. And then including everything PVC, it would be 43 lakh, 44 lakh ton?

Saurabh Dhanorkar: Correct.

Chandan Verma: Y

es, PVC is roughly around 4.1 million tons, the total India demand.

Moderator: Your next question comes from Pujan Shah from Molecule Ventures . Please go ahead

Pujan Shah: Sir, my first question would be on the -- let's suppose the PVC prices right now, what has been inch up, it remains the same. Assuming the EDC ethylene prices also remains the same, do you feel that EBITDA margins could be in the range of 10%, 15% easily going forward, assuming the similar situation for FY '26?

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Chandan Verma: So Pujan, let us not put any number on the margin percentage. Let the things -- because there are various dynamics that takes -- that decide the margin. So let us -- we are not willing to put any number on the margin at this moment.

Pujan Shah: Okay, sir. Got it. And sir, right now, you say the realization -- so the spread between PVC and VCM remains at \$160, while a quarter ago, it was 174. So what has been impacted the margin specific to that? Because ultimately, the EDC has been inch upped a bit. So what happened to the VCM part? So why the VCM spread has been narrowed down?

Saurabh Dhanorkar: No, sir, I think what Chandan is saying is that \$160 is this month's...

Chandan Verma: Latest one, Not the year -- current sitting on today's date.

Saurabh Dhanorkar: So if you see a long term trend also, month -on-month it keeps going up and down. PVC goes up, VCM goes down. If PVC has moved up and VCM takes time to move up, the delta increases.

If PVC comes down and VCM stays there, the delta reduces -- so month -on-month, it's very, I think, not correct to look at it as a trend.

Basically, if you see a quarterly or a half yearly or yearly trend, -- the dynamics have not really changed drastically. So month -on-month, it will always change. There is no particular reason for that.

Pujan Shah: So considering year -on-year, it would be around \$160 range, the spread?

Saurabh Dhanorkar: No, \$160 remains today. Going ahead, we see it same as similar to last year. There is no -- the dynamics, we don't expect to change that much

Pujan Shah: Okay. Got it, sir. And my second question would be on the last call as well, we have been mentioning about the OPVC. And it is not -- so we have not been keen to grow into -and enter into that space. So what are the key reasons you have been looking into for the -- because ultimately, other players also, I understand the segment is too small right now. But other players are very optimistic about this product. So what are our key thought about this specific to OPVC?

Saurabh Dhanorkar: So basically, as you rightly said, the market is still quite small. And it's not as if there is a 5 -year or 3-year gestation period once we decide to get in. It's not that you have to put up a huge greenfield facility. So the day we feel that the market is right, we already have the brand, we already have the distribution network.

It's a question of 3 to 6 months when we can enter the market. So we're still on the wait -and-watch approach. We are not saying that we will not enter it. But right now our focus, as I said, has been on various initiatives. So the management bandwidth right now is not on OPVC. We'll get into it when the opportune time comes.

Moderator: Next question comes from Madhav Agarwal from SG Investments. Please go ahead

Madhav Agarwal: A couple of questions. Can you tell me what's the current market share for Finolex ?

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Saurabh Dhanorkar: Current market share for the Finolex as a percentage of total PVC pipe market?

Madhav Agarwal: Yes, sir.

Saurabh Dhanorkar: It's about -- see, again, between organized and unorganized, we look at share of the organized market. Chandan, do you have the number right now?

Chandan Verma: Hold on for a minute. I'll park this question. You Continue. I'm telling you.

Madhav Agarwal: Secondly, sir, you had mentioned that our aim is to take the split between agri and non -agri to 50 and 50. And currently, it's at 67 to 33. So just wanted to know what are the steps we're taking to achieve that 50 to 50 level?

Saurabh Dhanorkar: Basically, these are all obviously long -term measures. One, I can tell you. One significant step which is driving -- if you see last year also, our growth in non -agri was much higher than the agri growth and which we continue -- we expect to continue that way. One significant step is that we were practically absent from the projects market.

We were depending entirely on the retail network. And the large projects, the Lodha and the Hiranandani and SOBHA developers of this world, we were -- we hardly had any presence there.

So last couple of years, -- we have a completely different team for projects business, which focuses only on these initiatives, and that's yielding very strong results.

So we are now there in almost, I would say, 60% or 70% of the top 100 builders we are already there. That our share is increasing. And besides that, within the retail segment, also we are taking a lot of initiatives like reaching out schemes for retailers, for plumbers, which earlier we were not doing so in a focused manner, which also we are doing.

And that is yielding results definitely. So traditionally, we were always the agri player, and we

played the market from that perspective. Now we have completely different teams for agri and non-agri, and that's yielding results.

Chandan Verma: Just to add, Madhav, in terms of our share in the PVC pipe segment, see, there are 2 segments of PVC pipe manufacturer operates in India. One is the organized sector and another is the unorganized sector. So since the data of the unorganized sector is generally not available, so we compare ourselves with the largest, largest players. So out of the largest player, we are roughly having a share of 30% around market share.

Moderator: The next question comes from the line of Karan Bhatelia from Asian Market Securities.

Karan Bhatelia: Sir, just wanted to understand what could be the fittings volume growth in the entire year? Percent just could be helpful.

Saurabh Dhanorkar: Last year, we had a muted growth, to be honest, more like 1% or 2%...

Karan Bhatelia: And CPVC, if I heard it correctly, FY '25 volume growth was 17%?

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Saurabh Dhanorkar: Right.

Karan Bhatelia: Right. And sir, since the focus now remains more on the non -agri side, what kind of expansion have we seen on the SKU base or sales marketing efforts in this year? And how do we see that in next 2 years?

Saurabh Dhanorkar: So one, as I said, SKU base, of course, we keep on adding every year, 100, 200 SKUs. So I don't have the number right now with me how much we added last year. But that's an ongoing. As and when the market requires, we keep on adding. Today, we have more than 1,500 SKUs. Exact number, unfortunately, I don't have right now.

And initiatives, as I said, for the non -agri, I just emphasized in the earlier question that the projects business, the reach out to the retailers. We have now a large digitization program going on where we have visibility on the inventory with the retailers. We have direct outreach with the retailers. So a lot of these digitization reach -out programs plus to a great extent, the projects business is adding out to our non -agri.

Karan Bhatelia: Right. And have we also separated the project team from the retail team, like is the focus on projects too?

Saurabh Dhanorkar: Yes, yes, that's a completely separate team. They don't even look at the retail business. They are completely on the other side.

Moderator: The next question comes from Vishal Shah from Sameeksha Capital . Please go ahead

Vishal Shah: So, on the quest

ion regarding, sir, we have INR2,500 crores cash on books and the Board will decide. So as the matter is going on since last more than a couple of years, so when can we expect the same, as we are not doing much Capex of INR125 crores to INR150 crores. So can we expect in the next 1 year or so?

Saurabh Dhanorkar: No, Vishal, it would be not only unfair, it would be illegal for me to answer that question because that is a question, which only the Board can take a decision. But I can say one thing the management is fully aware that, yes, this is a money we are holding on behalf of the investors. And if we don't use it adequately for the business, we are obliged to give it back to the investors. So the Board of Directors, the management is sensitive to this issue, but it would be unfair for me to put a time line on it.

Vishal Shah: Okay. And sir, the second question, can we expect any sale of like last year in Q1, we sold the property. So can we expect the similar line of sales of the additional property that what we have and exceptional item in the current year also?

Saurabh Dhanorkar: No, I don't think we plan to sell anything now.

Moderator: The next question comes from Madhav Agarwal from SG Investments.

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Madhav Agarwal: I just had a quick follow -up on my earlier question. Just wanted to know the split between the retail and project business?

Saurabh Dhanorkar: No, Madhav, the project business for us is new -- in fact, we just started, as I said, the whole concept started a couple of years back. This year, we have done well. But I think it would be still a project, which is only 10% of the retail business. There is scope for growth. But yes, today, we are not where we would like to be.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Saurabh Dhanorkar: Thank you, everyone, for attending this call today. And if you have any further questions, you can always reach out to us by mail or by telephone, and we'll be happy to answer. Have a wonderful day. Thank you again.

Chandan Verma: Thank you, everyone. Thank you for your participation.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

August 11 , 2025

To,
The Manager – Listing Department
National Stock Exchange of India Limited
5, Exchange Plaza ,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400051
To,
The Manager – Listing Department
BSE Limited
Floor 25 , P.J.Towers ,
Dalal Street ,
Mumbai 400 001
Symbol : FINPIPE Scrip Code: 500940

Sub.: Transcript of the Earnings Call

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Dear Sir / Madam,

This is further to our intimation dated July 30 , 2025 and in terms of the subject referred regulation, we hereby submit the transcript of the Earnings Call held on Tues day, August 5 , 2025, post declaration of the Unaudited Financial Results of the Company for the Quarter ended June 30 , 2025.

The transcript of the said Earnings Call will be available on the website of the Company at <https://www.finolexpipes.com/> .

This is for your kind information and records.

Thanking you,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q1 FY '26 Earnings Conference Call "
August 05, 2025

MANAGEMENT : MR. SAURABH DHANORKAR – MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. CHANDAN VERMA – CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to Finolex Industries Q1 FY '26 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, sir.

Arun Baid: Good afternoon, everyone. On behalf of ICICI Securities, I welcome you all to the Q1 FY '26 Results Con Call of Finolex Industries. From the management side, we have Mr. Saurabh Dhanorkar, Managing Director and Mr. Chandan Verma, CFO. Now I hand the call over to Mr. Dhanorkar. Over to you, sir.

Saurabh Dhanorkar: Thanks, Arun. Good afternoon, ladies and gentlemen. Welcome to the investor conference call for Q1 FY '26 earnings. We thank you all for your continued support and interest in Finolex Industries. FIL has registered a modest growth in pipes and fittings volume in spite of the overall weak demand scenario during the quarter. The operating performance of the company is muted, mainly due to weaker realization on account of volatility in PVC prices.

The Company's endeavour to grow in the non-agri segment is ongoing. Let me now take you through some of the performance indicators. Pipes and Fittings volume increased by 2% to 92,129 metric tons against 90,620 metric tons in Q1 FY '25. This was in spite of a weak demand scenario overall. Total income from operations was INR1,043 crores, down 9% against INR1,140 crores in Q1 FY '25 due to weaker sales realizations.

EBITDA stood at INR94 crores against INR207 crores in Q1 FY '25. PAT stood at INR97 crores against PAT of INR505 crores, which was including an exceptional gain of INR339 crores in Q1 FY '25. From the current year, we have decided to evaluate the company's performance as a single entity rather than splitting the performance between the 2 segments, PVC resin and Pipes & Fittings as done earlier.

This is because PVC resin is no more being sold in the market, and it's almost entirely for captive consumption. So as a management, we do not really look at PVC resin segment as a separate business. The company continues to have a strong balance sheet with a net cash surplus of around INR2,533 crores as on 30th June '25 compared to INR2,401 crores in the corresponding previous year's quarter.

On a personal level, as many of you are aware, I stepped in from my role as a Non-Executive Director on the Board to the role of Managing Director in November 2024. This was meant to be a transitory position till we find a new MD after Mr. Ajit Venkataraman stepped out.

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I'm pleased to share that our Board of Directors have now approved a worthy successor for this role, and he will be joining soon. Of course, I will continue to be associated with the company in an advisory capacity. And before I formally hand over to the new incumbent, I will and even after that, I will be continuing to mentor him and be involved in the strategic decisions of the company. Let me now leave the floor open for questions. I have with me Mr. Chandan Verma, our CFO, who will take the questions regarding the numbers. Thank you.

Moderator: Thank you very much. The first question comes from the line of Shravan S from Dolat Capital. Please go ahead.

Shravan S: A couple of questions. So first on the volume front. So obviously, this quarter was very, very muted, 1.7% kind of growth. So just wanted to understand, last time, I think we have spoken that April and May was very good. And once the rain

n has started at the end of the May or start of the June, then only demand got impacted ?

So just wondering, was the June so bad that for the quarter, we just had only 1.7% growth. And now how one can look at this, particularly July until now August, have we seen the improvement in demand? Because I think last time we were talking about kind of a double-digit volume growth for full year. So how one can look at?

Saurabh Dhanorkar: So as you rightly said, because of the early onset of monsoon towards, I think, 22 May or something, then onwards, the demand came down. And June, yes, was very subdued as compared to the June in the corresponding quarter last year. But overall, to answer the second part of your question, July, we have picked up despite the monsoon continuing.

And as we talk today, we are at high single-digit growth. So it's not as low as the first quarter. We have picked up in July. And we are as a policy, though, we don't believe in giving guidance of accurate numbers. But yes, this trend of at least high single digit will definitely continue. Hopefully, we will cross the double-digit growth.

Shravan S: So for that so 2, 3 aspects. First is in terms of this 1.7%, how was our agri, non-agri share? And if you also can help us in terms of the growth for agri, non-agri in this quarter?

Chandan Verma: So, in terms of agri and non-agri, both have in tandem, agri has also grown around roughly around 2% and non-agri has also roughly grown around 2%. So both have both agri and non-agri, more or less, we have the similar growth numbers. And in terms of volume split, generally, we don't give. It's roughly around 70-30 ratio that we are having between agri and non-agri between the current quarter also and the same ratio was there in the corresponding quarter of the last year as well.

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Shravan S: Okay. Got it. And now, sir, in terms of margins, so pricing a bit percent despite our pricing was if I look at Q-o-Q was 1.2% down realization. But if I look at FY '25, it is 4.9%. So let's say, even if we are saying a high single-digit growth for this year, how one can look at on the pricing front? Because net-net, ultimately, how one can look at the revenue for this year?

Chandan Verma: So revenue, so it all depends upon how the prices of PVC is going to remain over the period to come, right? So we have been seeing the declining trend of PVC prices from the last quarter till the current quarter. So this will more or less the price guidance will come how the -- it is going to remain over the period of time. PVC prices...

Shravan S: Yes. Because now the even the ADD whenever it will come and BIS has also been postponed to December. So in that scenario, do we see the pricing to pick up at least in next 2, 3 months or maybe it will be October, November onwards, one can look at?

Saurabh Dhanorkar: Shravan, to answer your first question about ADD, we are expecting the recommendation to go through within this month. But you are right, by the time the finance department comes out with the final circular, it will be maybe October or so. So after that, definitely, there will be an increase in the domestic prices.

Internationally, as you know, it's all a volatile situation. We don't know where or which way oil will move, it's going up and down, the tariffs. So very difficult to predict what the PVC resin prices will be and obviously, correspondingly, that they will reflect in the price spread.

Shravan S: Yes. So on the EBITDA margin front, so this quarter was 9%. I think normally, we talk about kind of a 12% kind of a margin. So how one can look at can we start seeing a double-digit plus kind of EBITDA margin from Q2 onwards or till the time the prices will come up, then only one can start looking from third quarter onwards kind of a double-digit EBITDA margin?

Chandan V

Verma: Yes. So Shravan, so you have seen in the last quarter also, June '24 quarter also, we have registered an EBITDA margin of 18%. But because of this declining pricing trend, the EBITDA margin has got down drastically. If the price will remain stable, definitely, we are expecting a higher double-digit EBITDA margin for the year as a whole.

Shravan S: Okay. Last, sir, on the capacity, we were saying that we will be adding 50,000 tons in 1H FY '26. So have we added anything? If not, by September, are we adding these 50,000 tons? And is there any plan in terms of the greenfield expansion or brownfield expansion?

Saurabh Dhanorkar: 50,000 tons, Shravan, that has been the 25,000 tons came in, in the last quarter of the last financial year. And 25,000 tons right now is almost completely implemented. So definitely, by September, everything will be up and running. So once we come back from the monsoon, we will have the advantage of this 50,000 tons.

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As on the greenfield expansion, there is still no decision of a new location because we the next phase of expansion, which we are already talking about internally, working on internally, though it's not approved by the Board yet, will still most probably happen at the existing locations because both at Ratnagiri and Masar, we have adequate infrastructure to handle more capacity. We see a growing demand still around the market around these plants. So the next phase of expansion definitely will come at the existing plant. Greenfield capacity announcement, I think, probably will take some time, not in this quarter.

Moderator: The next question comes from the line of Sneha from Nuvama Wealth.

Sneha: I wanted to understand on a structural level, given now that you're an integrated player and you would be reporting your margins on a consolidated basis, where can we actually see the margins on a structural level, leaving apart the PVC ups and downs, which we have seen particularly in the last 1 or 2 years...

Saurabh Dhanorkar: No. As I said in the beginning, more and more, we are looking at ourselves as a pipe and fitting player with backward integration. Earlier when we set up the PVC resin plant, that also was a move towards backward integration, but we put up a capacity more than what we were consuming. So we were almost 50% of our resin at one time we were selling.

And slowly now that has come down to almost 0, maybe 1,000 or 2,000 tons we sell outside specialty grade. So basically, it's all for captive consumption. So our margins obviously would remain whether we publish segment-wise or whether we publish as a whole, this is basically an accounting treatment, and we have been advised for the last, in fact, year or that slowly you have to start thinking of looking at this whole thing as one unit because there is zero sale practically in the market.

So whatever were the volatility of the EDC, ethylene prices for the PVC resin business, those will continue. There's nothing structurally different in our operations now. So what was happening until last year, the same thing will happen. We will continue to be benefited by low EDC prices, and we will continue to be impacted if the delta between PVC and EDC goes down. Only thing as far as we are concerned, we look at ourselves purely as a pipes player now, not as a petrochemical player. So that is why this change in accounting method.

Sneha: Understood. Could you help us with the stress this particular quarter, PVC/EDC?

Saurabh Dhanorkar: Yes, Chandan, could you help on that?

Chandan Verma: One second, for PVC/EDC is traded at \$552 per metric ton currently.

Sneha: And for VCM?

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Chandan Verma: And PVC to VCM, it's \$151.

Sneha: Also, could you give us the pricing, sir?

Chandan Verma: Sorry?

Sneha: AI

so, could you give us the pricing? That would be better.

Chandan Verma: Pricing is around \$870.

Sneha: Understood. Understood.

Chandan Verma: Sorry, my bad, \$708. Sorry, my bad. It's \$700.

Sneha: Understood. Sir, lastly, on the growth front, what would have been the growth in CPVC this particular quarter? And you also mentioned from July, you're seeing a pickup. Is that more to do with the plumbing is what I'm understanding? And if yes, could you give some color? Is it broad-based? Is it selective?

Chandan Verma: For the current quarter, our CPVC volume has grown by 10%. So out of that, 66% contributed by pipe and 32% contributed by the fitting. So more or less, the same increasing trend growth trend of PVC, we are going to see in the upcoming quarter as well.

Moderator: The next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay: First, what's your capacity in the pipe and fitting right now?

Chandan Verma: So in terms of our total capacity, 4,70,000 we were reporting earlier. Now as I'm sitting on today's date, it's 4,50,000 sorry, 5,20,000. So 5,00,000 out of 4,70,000, 25,000 we added in March quarter and 25,000 we have added in the current quarter. So sitting on today's date, we have the total capacity of 5,20,000.

Praveen Sahay: Right. Okay. Second question is related to the gross margin because as you said, you are an integrated player and your gross margin more to do what I suppose is how is the spread is moving

PVC/EDC or PVC. So sequentially, if I look at your spread for PVC/E DC has improved from \$490 to \$522. But in the same case, your gross margin has contracted. So is there any inventory loss you had booked for this quarter? Or why is it so?

Chandan Verma: No. So basically, if you see, we are managing our inventory effectively. So this quarter, fortunately, also, we have not seen any inventory loss. This is number one. Number two, in terms of pricing margin, see, whenever you see the prices in the international market, there are these prices are more or less an indicator.

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When we see the compare the landed prices and we when it goes to the market, there are multiple factors also playing into picture. So that's why the cost front will remain more or less same in terms of number, but margin will also depend upon how the top line is going to get finally getting sold in the market. So that is how our margins got impacted.

Praveen Sahay: Okay. So there is a more contraction in the realization than the cost?

Chandan Verma: Yes, yes.

Praveen Sahay: Okay. Got it, sir. And sir, next question is related to the use of your the cash, which is INR2,500 - odd crores. Is there any plan for the future?

Saurabh Dhanorkar: See, basically, Praveen, we will continue to expand the pipe capacity year after year. So typically, a few hundred crores between INR200 crores to INR300 crores would be definitely spent every year in the expansion of pipes and fittings capacity. But in the meantime, we will also be adding to the cash reserve. So definitely, if you take a 5 -year span, we will have more cash reserve than what we would be using for expansion.

So it's a question of timing. And again, as I said in the last call also, it's the Board's decision that when we feel that we have an adequate cash surplus, which is not likely to be used by business, then we will return it to shareholders. But the timing, obviously, we cannot commit now.

Praveen Sahay: All right, sir. Lastly, on the capex , for this year, you guided last quarter INR125 crores to INR150 crores. What exactly like now you are saying about INR200 crores, INR300-odd crores of capex annually you are looking for. So for this year, we can assume it's about like INR200 crores, INR300-odd crores of capex you are going to do.

Saurabh Dhanorkar: Additionally, maybe another INR150 crores.

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Praveen Sahay: No. So INR150 crores for this year, you are saying?

Saurabh Dhanorkar: Yes. Yes.

Moderator: The next question comes from the line of Udit from Yes Securities.

Udit: Sir, just one follow -up. In the last call, you mentioned that the focus of the company now remains on margins. I understand that this was a tough June overall, and that must have dragged your overall performance. But overall, if you had no inventory losses and also the margins are very much suppressed.

Saurabh Dhanorkar: Yes. But margins are also a factor of because the top line the expenses remaining the same and the top line coming down. So obviously, absorption of fixed cost plays a role. But having said that, what we mentioned in the last quarter holds good that some of the incentive schemes, some of the discounting schemes, which we had done in the past, we have started withdrawing .

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And we have definitely managed to lock in a few percentage points in the absolute gross margins in the pipes business, and that will continue. Obviously, this is not the right time during the monsoon to be very adventurous. But once the demand picks up post -monsoon, we will carry this further.

Udit: Right, sir. So sir, just actually that is what one is that you withdraw the discounting. But in terms of your agri, non -agri mix on an annualized basis, how do you see internally that shifting? Because otherwise, those margins without the volumes may also not suffice the target, right?

Chandan Verma: So that will definitely come because w as we have in our opening remarks, we have said our emphasis is already going on regarding the making the mix to the better level at the 50 -50 level.

But since we are at the first quarter conclusion only, let's see how the things is moving.

But yes, our emphasis and our endeavor is also to make it to the extent possible, 50 -50 over the period to come. And that will give us the margin because as the non -agri will go up, that will give us the margin push as well.

Moderator: Udit sir, we are unable to hear you.

Udit: That's it from my end .

Moderator: The next question comes from the line of Shivkumar Prajapati from Ambit Investment Advisors.

Shivkumar Prajapati: My first question is, what is our current share from Fitting, I mean, revenue share from Fitting?

Chandan Verma: See, Shivam, generally, we do not give our breakup between pipe and fitting. So overall ratio, agri, non -agri remains 70 -30, but that number, we do not disclose.

Shivkumar Prajapati: Understood. Okay. And sir, would you be able to provide me the breakdown of the non -agro revenue? I mean just want to understand whether the non -agri revenue comes from plumbing, construction or industrial?

Chandan Verma: So in terms of our total revenue, non -agri somewhere comprises of INR460 crores roughly around.

Shivkumar Prajapati: Okay. And this INR460 crores, would you be able to break it down further?

Chandan Verma: No, no. That won't be able to disclose that number.

Shivkumar Prajapati: Okay. And is there any breakup available for retail versus the institutional?

Chandan Verma: No, no, no. That granular detail, we do not disclose in the market generally. Though we have tracking the number, but though this was for a management use.

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Moderator: The next question comes from the line of Vishal Shah from Sameeksha Capital.

Vishal Shah: Yes. So like as Mr. Agarwal will join a few months later, so what are the key strategic priorities and immediate goals, so Mr. Dhanorkar will transfer, so in the near term?

Saurabh Dhanorkar: There is some background noise. I didn't get your question. Yes. Can you please repeat the question? Somebody else was talking behind.

Chandan Verma: Yes, Vishal, you can continue, please. You can repeat your

question, please?

Vishal Shah: Yes. So what are the key strategic priorities and the immediate goals for Mr. Agarwal. So as he will join the MD in the coming 2 to 3 months, as Mr. Dhanorkar will be Chair only, but whether we can expect any change in the stance from the company or any policy?

Saurabh Dhanorkar: See, policies will remain the same because the policy is not dependent on the person. It is as a corporate. And that's why we are a very, very well -defined Board -driven company. Our independent directors are very actively involved in the strategy and planning. So whether it is Saurabh Dhanorkar or Udipt Agarwal, that will not change the overall strategy.

But for him, I would say the immediate KRA's would be the looking at the market expansion, market penetration to some extent, why I would not like to have a long full -time role in this because the way the market dynamics go today, the person at the helm has to travel extensively. I'm sure with his younger age, Udipt will be able to reach out to every corner of India, meet the distributors, understand their pain points and basically make the marketing network robust.

As far as the manufacturing is concerned, we already have a solid team in place. That's not a problem. And again, the expansion, he would be involved in executing this. As I said, although we have not declared the numbers, he would continue to expand the pipe's capacity. So one of his KRA's would be also to see that the expansion happens in time at the right location and the products get distributed properly.

Moderator: The next question comes from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. Sir, first is just wanted to understand on Nal Se Jal is there any offtake happening with respect to the scheme, given there were some corruption -related issues on the tendering? Specifically, if you can give some color in the state of Maharashtra also, that would be great. And do we also supply under Nal Se Jal directly or indirectly by contractors?

Saurabh Dhanorkar: No, we don't supply anything directly. It's all through contractors. And I don't know what this corruption -related issues, but we are not directly, indirectly, even remotely affected by that.

Because if at all something happened at the government level, I'm sure somebody must have been involved. But for us, we have not seen even the slightest impact of any corruption there.

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Ritesh Shah: And sir, how is the offtake with respect to this particular scheme? Is it quite normal? Or has it improved on a year -on-year basis or last 3 -month rolling basis?

Saurabh Dhanorkar: Again, as I said, we sell and supply to many of these schemes through our distributors, and they

pick up the pipes from us as normal purchases and then they supply to various players. Because these schemes happen across the state in smaller villages, in smaller amounts also, some of them are as low as INR1 lakh or INR2 lakhs, some of them maybe INR5 lakhs, INR10 lakhs.

So to be honest, we don't track each scheme individually at our level. But what we understand from the retail network is that there is not a great surge as of now this year. Probably that will come only post-monsoon. So the normal pickup is going on. There's nothing there's no lull in that purchase.

Ritesh Shah: Sure, sir. And sir, my second question is, we have indicated that we will have only one segmental number. Sir, to what I understood, I think earlier, we had this logistic cost savings specifically for the Baroda plant, wherein we didn't have to move resin all the way from Ratnagiri to Baroda. So when we say that we won't have any external sales, is it we are implying that we are okay to bear a higher inbound freight costs even if it impacts profitability?

Saurabh Dhanorkar: No. But even today for the Baroda plant, we are buying fr

om Reliance. It's an outside basis. So

we are not transferring from Ratnagiri. So today, our the Ratnagiri production, as you know, is of the capacity is a little over 2 lakh tons, whereas our pipe capacity is now more than 4 lakh tons with the consumption more than 4 lakh tons. So in any case, we have to buy. So there's no question of whether we incur more freight. And it doesn't go from Ratnagiri. Now we are buying from the Reliance for the Baroda plant.

Moderator: The next question comes from the line of Shravan S from Dolat Capital.

Shravan S: Sir, just to clarify, when we said the capex of INR150 crores, so how much already we have done in Q1? And how much more we will be doing in the remaining 9 months?

Chandan Verma: So at this moment, that number is still order has been started to place. So over the period that we will be able to materialize. But as of now, the order we have started to place is roughly around INR30 crores, INR40 crores has already been placed.

Shravan S: So Q1, we have done capex of 30 -odd crores to 40 -odd crores.

Chandan Verma: Order. Not actually conversion, it's order placement only.

Shravan S: Okay. So for full year in terms of the cash capex, it would be INR150-odd crores. That's the way one can look at it.

Chandan Verma: Yes, yes.

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Shravan S: Okay. But going forward, as you mentioned, it would be INR200 crores, INR300 crores kind of capex from next year onwards, one can look at?

Chandan Verma: Yes. So that will include our existing replacement capitalization plus the enhancement of capacity.

Shravan S: So sir, there, so currently, as you said, we have a 5,20,000 capacity. So this year, further, is there any capacity that will be coming up? And if not, in next year, how much more whatever brownfield, how much more capacity we will be adding?

Saurabh Dhanorkar: See, basically, Shravan, exact numbers, we cannot give without the Board's decision. But as I stated earlier, the market is growing. We definitely have plans to have a double-digit growth over the next 5 years, which means we will need to expand capacity. And that is since we have the funds available, since we have the market available, we will continue to expand. But exact numbers today, unfortunately, we cannot share because that is still under planning.

Shravan S: Okay. Okay. Got it. But whatever the capacity right now, we are looking at, but this year, definitely, we will not be adding any capacity?

Saurabh Dhanorkar: So this year, towards the end, yes, we will have some of it. But as I said, it's not finalized as yet. But as I said, this quarter, we are right now, we are implementing the earlier 50,000, out of which 25,000 already happened before March. 25,000 is happening right now. And we still have 9 months to go. So by that time, we will have some more capacity.

Shravan S: And then now whatever we will be...

Saurabh Dhanorkar: INR150 crores.

Shravan S: Yes, no, no, I understood. But now onwards, whatever we will be adding, so leave apart this 25,000, that will be mostly only in the pipes. And are we also thinking to add capacity in fittings?

Saurabh Dhanorkar: No, it will be mainly in piping.

Shravan S: So trying to understand when we for last I think I don't remember if you can help me since I think many quarters, we are saying that we want to have a 50 -50 agri, non -agri share. So how we will be achieving this if we will not be adding a fitting capacity, how because this the agri share is already it is around 70% for last many quarters, 65%, 70 -odd percent. So to reduce that share and to increase the non -agri, how that is possible?

Saurabh Dhanorkar: Fittings because today, we already have adequate capacity to go through this year. I'm not saying we are not going to add fitting capacity at all. But this year, there is no capacity because we

already have a

bout 50,000 tons of capacity. And last year's fitting sales was about between 35,000 to 40,000 tons. So we have adequate capacity to take care of the growth for the current year. Next year will be another year definitely. By that time, we will have something.

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Shravan S: Okay. And in CPVC also, are we adding capacity?

Saurabh Dhanorkar: CPVC also, yes, we'll keep on adding.

Shravan S: Okay. Okay. And for industry, for this year, as you mentioned that we are looking at a double - digit growth for next 5 years. So this year also, are we looking at kind of a 10 -odd percent kind of growth?

Saurabh Dhanorkar: Yes, definitely. Target is definitely above 10%. Definitely, our internal target with our dealers, everything is there. And as I said, already as of today, we are high single digits. So as the market picks up, there's a good chance we'll cross 10%.

Shravan S: No. For us, definitely, but for industry, I'm talking for industry growth this year, how we are looking at the industry growth?

Saurabh Dhanorkar: Industry also should be close to double digit.

Shravan S: And there also, as you mentioned, the CPVC will also be growing at a double -digit, 10 -odd percent and PVC will so both will be growing in tandem.

Saurabh Dhanorkar: That's what we are expecting.

Shravan S: Okay. And lastly, sir, whenever last time we said whenever the anti-dumping duty will come, whether it will come in October, September, whatever, we said that in terms of the price hike, INR3 to INR6-odd. So that's the way one can look at? Or has anything changed? Or is it...

Saurabh Dhanorkar: No, the expectations are similar.

Shravan S: But do we believe that this INR3, INR6 kind of a price hike can push the channel to fill the inventory and then can help us in terms of the growth? Or is it whether this will be INR2 hike or INR6, it will not have an impact, the growth will be in any way coming kind of the double digits.

Saurabh Dhanorkar: I think channel inventory, channel picking up is a temporary phenomenon when they go down maybe for a couple of months, 3 months, 4 months. Finally, at the end of the day, how much the market grows by because the channel is not going to keep the inventory for months together.

So if the market is growing, the channel will be picking up. Whether they pick up in 15 days or whether they pick up the same quantity over 1.5 months, that's what the price movements decide.

So if you look at quarter -to-quarter, yes, whether that growth will come in this quarter or the next quarter. But if you look at the annual this, there definitely will be growth.

Moderator: The next question comes from the line of Vipulkumar Anopchand Shah from Sumangal investments.

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Vipulkumar Shah: So my question is, is Mr. Chhabria, our Chairman and is he actively involved in day -to-day management of the company and guiding the company strategically because he is absent on the call for so many years and company's performance is also not up to the mark. So are we losing any market share? So Mr. Dhanor kar, can you make some comments regarding the strategic role Mr. Chhabria plays?

Saurabh Dhanorkar: Yes. He's definitely involved in not only the strategy, of course, he is involved as the Chairman. Plus, as I said, we have a very, very active independent director s on our Board who engages with us not only from Board meeting to Board meeting, but also in between, we have regular sessions, Chairman and the Board and the CEO and our HODs we have there.

As far as Mr. Chhabria is concerned, we have regular online meetings with him. So he's involved in all major decisions like capex and. But day -to-day, obviously, he doesn't get into the day -to-day is left to the MD and HODs. So that way, we are a fairly professionally run company with

a promoter who is actively monitoring.

Vipulkumar Shah: No. But because the churn at the top is very high, sir, even before you took over and the performance of the company has also has been less inspiring. Have we lost any market share over last few years, sir?

Saurabh Dhanorkar: See, market share obviously is a moving target. To some extent, yes, some of the competitors

have expanded after their public issues or whatever. So that changes from year -to-year. But that has nothing to do with the Chairman being present on the conference call or on the analyst call. He is involved in the decision-making, he's very much involved in the Board decisions. And if at all, there is a dip in the performance, it is market driven or probably the team has to take the blame. It has nothing to do with the Chairman.

Vipulkumar Shah: Okay. Sir, can you comment on the difference between margins for fittings and pipes? So naturally, fittings will have a higher margin. So if you cannot quantify, but directionally, they are much higher than pipes?

Saurabh Dhanorkar: Yes, directionally, they are much higher than pipes, definitely.

Moderator: The last question for the day comes from the line of Keshav Lahoti from HDFC Securities.

Keshav Lahoti: Firstly, I want to know how are the CPVC prices? And secondly, the growth you have indicated in CPVC for Q1 double digits. So whether you have grown -- you have gained market share or the market demand were healthy?

Saurabh Dhanorkar: Yes. The CPVC prices have been on the decline of late, if you compare to last year, we have got benefits. More CPVC capacity is coming up this year and by end of next year, we'll have more capacity. More players are coming into India. So the availability of CPVC has increased. Correspondingly, the prices have come down, and we expect them to come down further.

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And with CPVC becoming more affordable to the customers, the volume is growing. What we have grown to some extent, I believe, is that, yes, we have taken some market share. We have grown more than the market. But having said that, we expect the overall market for CPVC to grow in line with the plumbing market. So it's not just CPVC. The overall plumbing market is growing. CPVC as part of that is probably growing faster because the base is smaller. And we are growing slightly ahead of the industry. That's the scenario.

Keshav Lahoti: Got it. And what is your secondly, the CPVC prices have declined. So it is because of a cost pass-through or whether the margin has also taken ahead? Secondly, what is your CPVC revenue and volume for this quarter?

Saurabh Dhanorkar: No, I'll just on the first part, I'll say that CPVC resin prices have declined, but correspondingly, our sales prices have not declined. So in fact, the margins in CPVC are better compared to last year. But having said that, the numbers, I don't know, Chandan, do you have that handy?

Chandan Verma: So we have the total 6% share of CPVC in our overall volume.

Keshav Lahoti: Okay. Understood. Got it. And what was the CPVC growth in July month, which you said for the company was high single digit?

Chandan Verma: July month, still we are wrapping up the number. So we'll not be able to comment at this moment. We are just wrapping up July.

Keshav Lahoti: Got it. And sir, on PVC side, how has been the channel inventory for the company maybe on March versus June versus July? How has it changed? And what is your possibly normal channel inventory? How is it now? What is the possibly can channel inventory bring a strong growth for a quarter, if that gets normalized?

Saurabh Dhanorkar: See, channel inventory has been right for the last few months has been low because the channel inventory, as we discussed earlier, picks up when there is an anticipation of price increases and they tend to stock more. So that will

really depend on how the international PVC prices move over the next 2 months, depending on also the sentiment relating to the antidumping duty.

So very difficult to predict when the market. But since this is a monsoon period, we don't really see a surge in the channel inventory pickup during this month. But as we come towards the end of monsoon by end of August or early September, September should be definitely a much better month. So by that time, they will be very low on inventory. And as the demand comes up, the demand I mean, the channel inventory will pick up.

Keshav Lahoti: Okay. Got it. Sir, one last question from my side, sir. So the excess cash, which is there in the balance sheet, which has been discussed multiple times, so but there is still no clear road map, missing possibly whether the company won't be using why it is not distributing to the shareholders?

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Saurabh Dhanorkar: Yes. But unfortunately, I don't have an answer for that because this is a decision taken at the Board level. And as I said, we are as management, we are aware that, yes, we are holding the

shareholders' money interest and if we don't utilize it effectively for business, it would be proper to return it to the shareholders. But unfortunately, I can't place any timeline on this.

Moderator: As there are no further questions from the participants, I now hand the conference over to management for closing comments. Thank you, and over to you, sir.

Saurabh Dhanorkar: Thank you, Arun. Thank you all for attending today's call. And if you have any further questions, we'll be most happy. You can get in touch with us through mail or through call to Mr. Chandan Verma. Thanks once again. Have a wonderful day.

Chandan Verma: Thank you all. Thank you for your active participation. Thank you.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2025

November 14 , 2025

To,
The Manager – Listing Department
National Stock Exchange of India Limited
5, Exchange Plaza ,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400051
To,
The Manager – Listing Department
BSE Limited
Floor 25 , P.J.Towers ,
Dalal Street ,
Mumbai 400 001
Symbol : FINPIPE Scrip Code: 500940

Sub.: Transcript of the Earnings Call

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015

Dear Sir / Madam,

This is further to our intimation dated November 5 , 2025 and in terms of the subject referred regulation, we hereby submit the transcript of the Earnings Call held on Mon day, November 10, 2025, post declaration of the Unaudited Financial Results of the Company for the Quarter and Half Year ended September 30, 2025.

The transcript of the said Earnings Call will be available on the website of the Company at <https://www.finolexpipes.com/> .

This is for your kind information and records.

Thanking you,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q2 & H1 FY '26 Earnings Conference Call "
November 10 , 2025

MANAGEMENT : MR. UDIPT AGARWAL , MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. CHANDAN VERMA , CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Industries Q2 and H1 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note, this conference is being recorded.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, sir.

Arun Baid: Thank you, Mark, and good afternoon, everybody. On behalf of ICICI Securities, I welcome you all to the Q2 FY '26 Results con call of Finolex Industries. We have from the management's side, Mr. Udipt Agarwal, Managing Director; and Mr. Chandan Verma, CFO.

Now I hand over the call to Mr. Udipt for his opening remarks, post which, we'll have the Q&A. Over to you, Udipt.

Udipt Agarwal: Good afternoon, gentlemen. Thanks, Arun. Good afternoon, ladies and gentlemen. Welcome to the investors conference call for quarter 2 of FY '26 and H1 FY '26 earnings release. We thank you for your continued support and interest in Finolex Industries.

Finolex Industries has registered a marginal dip in volume during the quarter and also for the H1 of this current financial year, mainly on account of prolonged heavy monsoon. The operating performance of the company has been notably improved during the quarter and also during the first half of the year due to our continued focus on margin and also operational efficiency. The company's endeavor, as we have been saying in the last conference calls as well, is to grow in the non-agri segment is ongoing. And we will also talk about -- a little bit more about it as we go forward in our Q&A session.

But before I open the floor for Q&A, I want to take you through some of the performance indicators. So Q2 financial year '26 some of the highlights are as under, for quarter 2 FY '26, the volume as I mentioned decreased by about 6% to 65,336 metric tons against the 69,341 metric tons during the same period last year.

Total income from operations has improved slightly about 4% to INR859 crores for the quarter as against INR828 crores for the same quarter previous year. EBITDA, we have seen a significant improvement in our EBITDA margin, which has gone up to INR130 crores against the last year of -- last year same quarter of INR11 crores. PAT also has gone up to INR119 crores against the INR51 crores in the same quarter last year.

So the highlights for the first half, that overall volume in the first half has been down by about 2% to 157,645 metric tons against nearly 159,961 metric tons in H1 of the previous year. Total income from the operations is also slightly down to INR1,902 crores against INR1,969 crores last year.

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EBITDA has improved by about 3% in the first half to INR224 crores as against INR217 crores of last year. Correspondingly, the PAT also has changed but -- to INR216 crores compared to INR557 crores. But let's remember that INR557 crores first half of last year, also included exceptional gains of INR417 crores.

We continue to -- as a company, we continue to have a very strong balance sheet with a net cash surplus of around INR2,360 crores as of 30th September '25.

I think with this little overview on the numbers, I would leave the floor open for questions.

Together with me is my colleague, Chandan, and we would be very happy to respond to the queries.

Moderator: Thank you very much, sir. We will now begin the question and answer session. First question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, first off, I wanted to under

stand this change in inventory which is a INR172-odd crores

negative, and that's why there is a significant improvement in the EBITDA and EBITDA margin.

So a couple of things to understand here. First, how much is inventory gain in this quarter, how much one can look at to reverse in the third quarter? And if we exclude this, then what kind of margin -- EBITDA margin one can now look at it from third quarter onwards?

Chandan Verma: So how we look at our numbers. So if you compare our gross margin, so looking into the inventory number directly, inventory changes will not give you the right perspective. How we should look into the gross margin and what is there in the current quarter and what is there in the earlier quarter?

So if I give you the perspective, our gross margin during the current quarter stood at 42%, whereas the same number of the corresponding quarter of the previous year is 30%, number one. Number two, having said that, this inventory gain and loss as such is not directly in the quarter,

but the number you can see in the financial result is only on account of what is the inventory that we have been carrying at the end of the previous quarter versus at the end of the current quarter. So inventory gain or loss per se, we do not have in this quarter as well, number one.

Number two, as in our opening remarks, Mr. Udipt has mentioned, we have been continuously focusing in our performance evaluation and focusing on the margin. So based on that, we will continue to give our endeavor to keep the EBITDA margin to the same possible at this level. We'll try to maintain that.

Shravan Shah: That's a great thing, sir, if you can manage such kind of EBITDA percentage, 15% plus, it's a great thing. Another thing, just to further understand here in terms of the realization. So if I look at on Q-o-Q basis also, so there the realization has significantly increased kind of 16%. So a couple of things to understand there first.

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If you can also share the agri, non-agri and also the overall volume has declined. But in that also agri, non-agri growth and from where this realization increase is coming and how now one can look at even if let's assume there is no ADD then this kind of realization is sustainable?

Chandan Verma: So Shravan, as we have mentioned, we have -- during the current quarter, our volume is on overall basis down by 6%. And if you make a breakup of the 6% between agri and non-agri, actually, because of the prolonged monsoon, we have suffered a setback in agri segment, whereas there is a plus volume of around 7% in our non-agri segment. So on an overall basis, there is a 6% decline, but this is largely contributed by the agri decline, but non-agri, we have registered a volume growth of 7%.

And on a quarter-on-quarter basis, the ratio between agri and non-agri, current quarter, it is 56 to 44, whereas corresponding quarter of the last year, it was 61 to 39. As you know in non-agri segment, gives of the larger in terms of realization. So agri is the sector where we get the large volume. So we -- we'll be able to push our volume in the non agri this quarter, the realize pattern is definitely going to be higher.

Shravan Shah: Got it. So compared to Q1, Q-o-Q, the non-agri share has significantly increased from 30% to 44%, and that is why we have seen a significant increase in the realization?

Chandan Verma: Yes. Correct, Shravan.

Shravan Shah: Sir, now how we look at from the third quarter onwards, because our endeavor was to have a 50%, 50% agri, non-agri, share. So this kind of 56%, 44% share, that kind of can be maintained in the third and fourth quarter?

Udipt Agarwal: Shravan, the third quarter, fourth quarter, we also see a significant demand growth in the agri segment. Quarter 2, we all know is, because of the monsoons, there is always dull demand in agri

segment. So that's why you also see that reflection in our share of volumes with agri versus non-agri.

Yes, our long-term endeavor remains in that direction that we want to have a fairly good dependence on both agri and non-agri just to manage our -- manage the seasonality in the business. But I don't think we would be able to maintain 55%, 45% of that kind of a thing, unless there is a significant shift in the demand.

Shravan Shah: So -- but broadly, because the entire in terms of EBITDA now depends on this non-agri share. So roughly if somebody has to understand how one can understand for the second half? Because if our agri share goes up, realization again will be a dip, and that obviously will have an impact on the EBITDA margin. So in that sense, I wanted to understand?

Udipt Agarwal: No, but there would also be a volume growth. That will also drive the margins or the margins, yes. Right now, if you look at our quarter 2 traditionally is a lower volume quarter because of the monsoons. And as we move into the quarter 3, there will be demand and for this will come back,

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agri. And that will also help us to improve the volumes. So I think we would be able to sustain the margin in the current percentage range.

Shravan Shah: Got it. So in terms of the now on the volume front, so 1H, 1.6% growth. So previously, we were looking at kind of a high single digit to double digit, so that means that we should be having an 18% kind of growth in the second half. So now how one can look at the growth in the second half or maybe for full year, what we are looking at? And maybe if you can help us going forward also because we are looking at double-digit kind of growth, given now the PVC prices are kind of bottomed out and maybe ADD will help there also?

Udipt Agarwal: Yes. Certainly, I'll answer the -- ADD will certainly have. We'll get to know probably in the next

one week or so. Hopefully, this week, what is going to be the outcome of the decision from the government. So that will certainly help. You are absolutely right. The second part -- or the first part of your question, which was outlook on the growth, so yes, we -- I think -- it would be fair to say that we will -- we are now looking at mid -single -digit numbers in terms of our growth forecast for the year.

Shravan Shah: But going forward from FY '27 onwards, we can see a kind of a double -digit kind of a growth that's kind of sustainable?

Udip Agarwal: Yes. I think, as you know, our volumes are -- our business is dependent on agri and non -agri and non-agri when we talk about, we also talk about a lot of infra -related projects in the real estate developments which are happening in the country. So as long as that thing continues, I don't see any reason why we should be doing less than the market.

Shravan Shah: Okay. And lastly, sir, what was our CPVC volume, sir? And maybe if you can help us the growth in Q2 for us?

Udip Agarwal: In Q2, our volume share was about 8%, Chandan, if I'm right?

Chandan Verma: Yes, we have been able to contribute 8% in the CPVC segment.

Shravan Shah: And their growth will also be a 5%, 7%?

Chandan Verma: No, no, no. CPVC is going at a higher rate because we have a lot of endeavor in the CPVC segment. It is growing at double digit -- at the pace of double digits.

Shravan Shah: Sir, I hope we should maintain a double -digit growth and maybe going forward under 15% kind of EBITDA margin.

Moderator: The next question is from the line of Sonali from Jefferies.

Sonali: Some bookkeeping questions. Firstly, what was your PVC to EDC spread in Q2 FY '26 versus Q2 FY '25? And also Q1, if you could give us?

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Udip Agarwal: PVC to EDC Q1, it was \$522, and current quarter, it is \$532 -- \$535, sorry, my bad. \$535, which is PVC to

EDC. Another one is what you have been asking PVC to...

Sonali: VCM, Yes.

Udip Agarwal: Yes. \$151 v \$187.

Sonali: Understood, sir. And what is the PVC to EDC spread right now as we speak?

Udip Agarwal: Right now, it's roughly around \$535.

Sonali: So almost close to the average of Q2? Understood. Secondly, what were your average prices for PVC and EDC and VCM during this quarter?

Udip Agarwal: That detail, actually, we do not disclose. That is the actual -- at what rate we have structured our VCM and what is the procured rate because it is two, three sectors that plays a bigger role. On the market -driven price plus at what rate we -- how we are negotiating our supply that also depends. So that is something that we do not disclose to the -- in public.

Sonali: No problem, sir.

Udip Agarwal: That number I have given you it is more or less will give you an indication.

Sonali: Understood, sir. very well understood. My last question is, now first quarter was 9% EBITDA margin, second quarter is 15%. Despite volatile PVC in Q2 and you explained the reasons for that. So Q3, Q4, how should we look at the run rate? I'm not asking for an estimate but approximate run rate. Should we go back -- do you foresee us to go back to Q1 sort of less than 10% EBITDA margins or maintain sort of mid -teen EBITDA margins?

Udip Agarwal: So on a year -on-year full year basis, we would like to maintain a higher digit -- higher digit EBITDA will be achievable. So 15% is the number that we can see for the current quarter.

However on the overall basis, higher single digits are more or less achievable.

Sonali: Sir, higher single digit you said for the full year. Is that right?

Udip Agarwal: Yes. Around, you can say, around 10% to 12% around.

Sonali: For the full year?

Udip Agarwal: Yes, for the full year.

Sonali: Full year EBITDA margin. And you're saying mid -single -digit volume growth for the full year. Is that right?

Udip Agarwal: Yes, yes, yes.

Moderator: The next question is from the line of Praveen from PL Capital.

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Praveen: My first question is...

Moderator: Sorry to interrupt Sir, your voice is very low. Could you please come closer to the mic?

Praveen: Is it fine?

Udip Agarwal: Not really.

Moderator: Just a second, sir.

Udip Agarwal: Speak a bit louder. Your voice is quite feeble.

Praveen: Hello.

Moderator: Yes, it's better.

Praveen: Okay. So my first question is related to the -- what you had said about the agri, non-agri segment. Is that the bifurcation for the volume we had given or the value?

Chandan Verma: Volume, volume. We always give a number -- whatever the number we are giving in terms of volume only.

Praveen: Okay. Second thing is on the PVC and VCM route, I recall that there is some procurement challenges. How that stays like that's normalized? Or still you are getting some issues?

Chandan Verma: Yes, you are right, there were some structural issues which are going on globally in terms of the VCM market, and we are trying to work through it via our long-term contracts.

Praveen: Okay. So we are not facing any challenges related to procurement of VCM right now?

Chandan Verma: I'm not saying that there are no challenges. But as I mentioned, we are trying to work it through the contract so that we had a continued supply of VCM for our operations.

Praveen: Right, certainly. Second question is related to the capacity. So what capacity right now we have right now for pipe and fitting?

Chandan Verma: Pipes and fittings -- Pipe and fitting all together, it's 5,20,000.

Praveen: Okay. And that we are expected to maintain for a full year?

Chandan Verma: Capacity is definitely strong capacity I'm talking about, 520,000 capacity. If you can recall in our earlier calls, we are saying 25,000 of the latest capacity we have done addition in Q1. So

the

-- after that, our total capacity stands at 5,20,000 at this moment.

Praveen: Okay. Okay, sir. Second thing is on the agri demand as an overall, so definitely, I understand because of rain and Q2 also got impacted, seasonally also it's low. But -- and overall, how you are seeing the agri demand is playing out right now?

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Udip Agarwal: Agri demand, as you know, I mean this is impacted because of the -- I mean not only the early onset of monsoon, but also prolonged monsoon. I mean we are still having rains in some parts of the country. And so that has a continued impact on our volumes as well.

But I think on an overall basis, we don't see a decline in the demand overall. It should come back. And when it comes back, there could also be a pent-up demand, which also be there. So I don't think there is going to be any significant impact on the agri demand.

Praveen: Okay. And one clarification, sir. You have said related to non-agri you are doing infra as well as real estate projects. So any bifurcation or any color on that? How much is the infra contribution and where you are going to see the infra contribution the way forward?

Udip Agarwal: Praveen, as you might already know that we do most of our business through channel partners, we do not supply directly to these kind of projects. So it's very difficult to really put a finger on how much is coming from infra, how much from real estate segment. But that is something which we call as our project sales, and we see that there is a momentum in that area and that also drives our non-agri sales.

Moderator: The next question is from the line of Ritesh Shah from Investec India.

Ritesh Shah: A couple of questions. I wanted your broad thoughts on one, how are we looking at our market share in volumetric terms? That is one. Second is on the use of cash, any particular timeline that you have in mind on how we'll go about it? And third, any specific changes at the company level that you aspire for, say, over the next 12 to 18 months, 12 to 24 months?

A specific question that I had over here was we have indicated in the past about the variable component for the employees. Has there been any progress? Do you think that, that is something which is required? So these are the first three questions?

Chandan Verma: Ritesh, Chandan here. So just to update because you know the PVC market pipe market is a very -- a mix of market where there is organized players and unorganized players both. So considering this, it's very difficult to give what the market share that we are having.

Having said that, if you compare ourselves with the three major players, if you compare ourselves three major players like Astral, Supreme and Finolex. In that scenario, our sales roughly comes out to be 25%. If you compare ourselves with three big players in PVC pipe segment, largely, number one.

Number two, your question was cash. Cash utilizing definitely, that question all we have been seeing for some time because we have -- at the end of the day, we'll have to see how the cash is getting utilized over the deployment in our internal requirement as well as capex utilization.

After that, anything something left out, then that has to go back to shareholders in whatever form

that is suitable.
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Third, the stock option that is very old scheme that very -- I think 4, 5 years back or probably 5, 6 years back, we have decided something to give the option to employee, but it is not materialized at this moment. It is on hold at the moment.

Ritesh Shah: Sir, any timelines on the usage of cash on books because almost like INR2,400 crores of cash sitting on the books since quite some time? Sir, any timelines in place over here, sir?

Chandan Verma: Ritesh, it is very difficult to put any timeline because

it gave -- because there are -- depends up

on what kind of our planning is going on in our cash that is there on the table. And once that materializes, that goes for the multiple level of approval, including Board, then we'll be able to conclude how -- what we will be able to utilize and by what timeline.

Ritesh Shah: Sure. Sir, variable component for employees that I was referring to marketing and sales, not the ESOP part?

Chandan Verma: Okay. Sorry, my bad.

Ritesh Shah: Any progress over there?

Chandan Verma: Yes. No. So at this moment, we still -- that we have not decided to go ahead with the variable component. So when next year, our this appraisal cycle will come, then definitely will look into.

At this moment, it's not yet decided. Currently, we are working on the fixed basis only.

Ritesh Shah: Sure. And last question, where do we procure CPVC resin from given there are a lot of new capacity announcements locally as well and there's new incremental capacity, we understand Reliance is also putting up something this month. So is it something that we have factored to basically, if you're not sourcing locally that will start to source locally, what bearing it will have on working capital and the sourcing cost?

Udip Agarwal: So we have already been -- it's not like that we are not buying from Reliance. We are already buying from Reliance locally. Because as you know, our capacity is not sufficient -- our internal PVC resin capacity is not...

Ritesh Shah: So I'm referring to CPVC, CPVC.

Udip Agarwal: Yes. CPVC also. I mean we have been taking from all the sources. And we are constantly in touch with Reliance. So for other places, we are already buying from Reliance. So it's not like that we are not buying from Reliance. And it is not only Reliance, there are other producers also, as you rightly mentioned, there are capacities which are coming up.

And we are in touch with everybody and trying to evaluate and improve the suppliers as we go along. It would always be a mix of local versus imports. But I think -- I guess I still -- not guess, my estimate would be that going forward into the future, probably dependence on the imports would be reducing more and more because of the local capacity is coming up, not only by the

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Indian producers, but also some of the international producers like Lubrizol is trying to do something local here in India.

Ritesh Shah: Okay. Sir, possible to highlight which are the new PVC and CPVC capacities, which are coming up in India over the next two years?

Udip Agarwal: I mentioned just one name, Lubrizol is international. You know a couple of players in Gujarat who are coming up with this kind of capacity here in India.

Ritesh Shah: Okay. Anything from Reliance side, specifically on the CPVC side?

Chandan Verma: Reliance would also be -- also putting up the capacity.

Moderator: The next question is from the line of Sneha Talreja from Nuvama Limited.

Sneha Talreja: Just two clarifications here. One you said is mid -single -digit growth. And does that include the benefit of antidumping duty and channel restocking that you're already building up?

Udip Agarwal: Yes, that takes care of. Yes, that's included in there. The benefit of the anti -dumping is already included in there. But you see that is the overall market correction. It would be more or less a pass-through for us.

Sneha Talreja: Understood. Secondly, what I wanted to understand was that one place, you said that you would be maintaining 15% sort of EBITDA margin. On the other one, your annualized EBITDA margin guidance stands about 10% to 12 %-odd. So just wanted the clarity over there?

Chandan Verma: And just to correct, just in the previous question, we have clarified that EBITDA margin for the year, we are going to maintain around 10% to 12%. So that is in line that you are a

sking the same.

Sneha Talreja: So that means you expect margin cooling for the coming 2 quarters, which would actually take care of the increasing agri mix because you are expecting improving demand from agri over the next 2 quarters. Is my understanding correct there?

Chandan Verma: Yes, yes. Your understanding is correct, yes.

Moderator: The next question is from the line of Mehul from Nayan M Vala Securities Private Limited.

Mehul: Yes, sir, I just wanted to know current utilization. What is the current capacity utilization?

Chandan Verma: So this year, as of currently for the 6 months ended, our total capacity utilization is around 70%.

Mehul: 70%?

Chandan Verma: Yes.

Mehul: And what are you expecting for '26 and '27?

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Chandan Verma: Next year?

Mehul: For full year '26 and '27?

Chandan Verma: This will be around -- this will be roughly around 74% to 75% '27, '28.

Mehul: For both the years?

Chandan Verma: Sorry, '26 , '27.

Moderator: The next question is from the line of Vishal Shah from Sameeksha Capital.

Vishal Shah: Sir, what is the reason for a substantial reduction in trade payable and other current liability for H1?

Chandan Verma: Reason for reduction in the other current liability, right?

Vishal Shah: Yes, trade payable, major end. Yes, please, sir.

Chandan Verma: So other current liability largely consists of our borrowings at the year -end -- at the point in time of reporting. So currently, since our procurement uplifting is low, and the last quarter, we have been at a full. That's why it represents the borrowing that we have in the market. So as our scale of operation is going to be higher during the upcoming quarter, then again, that will be equalized in terms of our year -end number.

Vishal Shah And creditors?

Chandan Verma: It is also the same line. So as the procurement activity will go up in the upcoming quarters, it will also go up in the same line.

Moderator: The next question is from the line of Shubham Padiyar , an Individual Investor.

Shubham Padiyar: My question is for Mr. Agarwal. So I just wanted to understand since this is -- this is his first year. So is there any short -term and long -term focus against that he has? And also, is there something that needs to be changed in the company or something that he thinks that can be added in the company, anything of that sort?

Udip Agarwal: Thank you for the question. See, our businesses, as we have been saying, is that we are pipes and fitting producer and marketeer, yes? So that position remains unchanged, yes. So we'll continue to drive the focus on pipes and fittings. And of course, we would be continuing to be looking at the products which we will be going into this kind of market.

I think any company of our size will do that, that's normal to happen. We'll continue to drive the operational efficiency, we talked about just in the previous question, the capacities, what we have and what would be the utilization.

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There has been a question about our expansion plans also. So that will continue to drive, okay, but structurally, I think our businesses, as I mentioned in the opening, is about pipes and fittings, manufacturing, marketeers, and that position is not going to change.

Shubham Padiyar: And also, do you have any strategy at place on the -- how do we achieve the 50:50 agri, non agri split?

Udip Agarwal: Yes, there are a lot of discussions going on within the organization about it, including where do we structure ourselves. So that is also under discussion and so really putting a focus onto this that how soon do we achieve this 50 -50?

Shubham Padiyar: Because I think we've been planning to achieve this for the last 5 to 7 years and we haven't been able to do that. So just wanted to understand

what's happened from going forward?

Udip Agarwal: Yes. I gave you some things around it, yes. We are also looking at how do we structure ourselves to be better capture this, move into that direction. So that's one such indicator. I gave you an indicator about the product, which we'll move into more into the non -agri kind of a business. So that's also something which we are evaluating at this moment.

Moderator: The next question is from the line of Shashwath Jalan from Augmenta .

Shashwath Jalan: Sir, also, you have mentioned about the full year guidance on the volume front and also on the volume mix between agri and non -agri. I just wanted to understand if we are to split it between -- the non -agri between housing and infra and then agri as well. In the second half, which segment do you think then have some sort of a negative surprise in terms of volume of our external factors?

Udip Agarwal: So it's -- as we said earlier also, it's difficult to segregate and put a finger on how much is coming from the infra segment and how much coming from real estate in non -agri business because most of our business is through channel partners. So we do not deal directly. So it's difficult to put an estimate. Overall, we are able to say how much we are into agri and how much into non -agri. What was the second part of your question?

Shashwath Jalan: Yes. Just the overall demand do you see in the agri in second half?

Udip Agarwal: I mean the agri demand is dependent on the quite largely on monsoon. But that's primarily otherwise, at this moment, there are no indicators which can have a negative impact on the agri demand.

Moderator: The next question is from the line of Ritesh Shah from Investec India.

Ritesh Shah: Sir, can you detail the capex numbers for this fiscal, next fiscal and one after that, if possible?

Udip Agarwal: Yes. I mean, we have been saying this that on a yearly basis, we have to continue to support the growth in the market. We will be investing anywhere between INR100 crores to INR200 crores

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at a minimum in terms of our capex . And that would be also the way we see at this moment would be the number going forward.

Ritesh Shah: Sir, this would be maintenance capex ? Or would it be a new growth capacity? Just trying to understand how will the capacity number increase. So you indicated 520 KT right now. So can one assume this number to increase by say, 30, 50 KT every year, what should be considered?

Udip Agarwal: Yes. So if you look at it, this -- out of this 520,000 tons, which we have a capacity with nearly 50,000 tons come up in the last 6 to 9 months. That capacity addition is a continuous process at our end, yes. We'll continue to add this kind of capacity as to support our growth in the market.

And the numbers would be in this region only INR100 crores to INR200 crores per year.

Ritesh Shah: Sir, should we assume this INR100 crores to INR200 crores...

Udip Agarwal: This is not a maintenance capex . This is the new capacity addition.

Ritesh Shah: So this would be net new capacity addition because I would presume we might be phasing out some old machines or refurbishing them? How should we look into that?

Udip Agarwal: No, that's not there. This is why I'm talking about the net capacity additions.

Ritesh Shah: Okay. So sir, fair to assume 100 kt of capacity addition every year?

Udip Agarwal: I don't think so 100 would be necessary, but somewhere in the region of 50, 70, 80 would be more realistic. But it all depends, I mean, how the demand grows. If the demand grows faster, we are geared to add capacities.

Ritesh Shah: Okay. Sir, second is, you did indicate that we are hopeful antidumping duty will probably come in a week's time. Sir, how much is the antidumping duty quantify that by region, if you could provide some color? And if at all, it gets impos

ed as which has been proposed, what is the

quantum of rupees per kg increase that we see, say, for any particular grade of PVC resins?

Udip Agarwal: Yes. I mean, the impact is different for different origin material, yes. What we see is that the impact could be anywhere between INR3 to INR6 per kg depending on the origin region from where it comes.

Ritesh Shah: Sir, how do we arrive at this INR3 to INR6 per kg?

Udip Agarwal: Yes. I mean there is anti -dumping duty component. If you look at the DGTR notification. So in the origin and they have given a dollar number to it. And based on that, you calculate. Yes. That's why I said, depending on the origin price, which comes to it is and then the duty number is there.

For example, if it is \$50. I'm just making up a number. For any region, if it is a \$50, then you can calculate how much it is, right?

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Ritesh Shah: Sure. Sure, sir. And sir, just last question. Sir, what percentage of our fitting is part of the 520 Kt and overall, when we look at the sales volumes, fittings will be what percentage of the volumes?

Udip Agarwal: So Chandan has a better handle on the numbers.

Chandan Verma: In terms of our overall fitting that comes out to be, around 12% during current quarter.

Ritesh Shah: This is sales?

Chandan Verma: Volume, volume.

Ritesh Shah: Sales volume, 12% of the total volumes, right?

Chandan Verma: Yes.

Ritesh Shah: And sir, from a capacity standpoint, when we say 520 KT, what percent of it would be fittings?

Chandan Verma: It will be around 18%.

Ritesh Shah: 18%.

Moderator: The next question is from the line of Varun from B&K Securities.

Varun: Sir, on the current quarter's EBITDA, what percentage would be attributable to the resin business and how much would be attributable to the pipes business?

Udip Agarwal: See, we have been reporting the consolidated number because we do not sell resins now. So everything is for captive. So we always report it as one number.

Chandan Verma: And eventually, we have been saying that the resin sales to the external parties is no longer there, except a few parties are very miniscule. So what are the volumes you are seeing is only the pipe volume.

Varun: Okay. Just actually, I wanted to understand what -- for the current quarter's improvement, how much is due to the resin business and how much is due to the product mix in pipes?

Chandan Verma: No, that you'll have to keep in mind because that is the reason that we are focusing only on the pipe business. So we are considering nowadays, resin is only as we put the material. So whatever the volume that we are getting, there is no separate significance of the resin. Resin is now playing an input cost for our overall pipe. So the entire business or if you can see a number that you are seeing that is attributable to pipe only. We have stopped clarifying our segregating business resin as a separate business.

Varun: Okay. So because the PVC delta improved this quarter. So there must be some benefit because of that.

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Chandan Verma: Whatever the impact, either on the positive side or negative side that you see that will be -- that will be impacting our pipe performance. No separate classification for the resin.

Varun: Okay. And sir, because going forward, we will have antidumping on PVC. And so the delta would increase even further. So is that not a possible case for further margin expansion on, say, on the backward integration side of the business?

Udip Agarwal: Backward integration of PVC production is kind of a petrochemical complex. So if anything you want to do backward integration, -- I mean it's a different kind of a capacity addition with different kind of magnitude altogether. We all have seen how the petrochemical complexes look like. So

o that need s a different kind of planning.

And antidumping, we all know is for a specified period of time. So if you look at the kind of a petrochemical complex by the time you start conceiving it, putting it on the ground, and you start getting production, it's got its own maturity cycle. And PVC, the anti-dumping duty is also for 5 years.

So during the life cycle of the backward integration, it would be difficult to justify returns. That's point number one. Point number 2 is, with all these new capacities of PVC coming up here in India, there would be sufficient local capacities still be available for the resin to be available competitively. And this was one of the questions and the earlier one of the participants was also is that how are we trying to manage in terms of sourcing locally our capacities.

At this moment, there is no as such for plan. There are always discussions which goes on in a company like of our size and magnitude, we already have expertise in this area and have developed it in the past but this is at a discussion stage. I cannot give you a timeline, but when and what form we would be able to get backward integrated, if at all, we decide. Our focus continues to remain on pipes and fittings.

Varun: Okay. But just I wanted to understand since after the antidumping, we'll get some margin benefit because of the PVC/EDC delta, which would further widen?

Udip Agarwal: Yes, it should support the industry, yes.

Varun: But still we maintain the like 10% to 12% EBITDA margin guidance, so like is it possible that we outperform that number as well like post the anti dumping?

Udip Agarwal: Difficult to say, it all depends on how the international players international suppliers into India decide to run their petrochemical complexes and want to price their product.

Moderator: The next question is from the line of Ritesh Shah from Investec India.

Ritesh Shah: No questions. My questions have been answered.

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Moderator: As there are no further questions from the participants, I now hand the conference over to the management for the closing comments.

Udip Agarwal: I just wanted to say thanks to everybody for attending today's call and this afternoon, very first day of the week. And -- but if there are any further questions, we would be happy to respond to those, please feel free to get in touch with us, and have a wonderful rest of the day. Thank you.

Chandan Verma: Thank you all participants from my side as well. Thank you for your interest in Finolex.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

February 5, 2026

To,
The Manager – Listing Department
National Stock Exchange of India Limited
5, Exchange Plaza ,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400051
To,
The Manager – Listing Department
BSE Limited
Floor 25 , P. J. Towers ,
Dalal Street ,
Mumbai 400 001
Symbol : FINPIPE Scrip Code: 500940

Sub.: Transcript of the Earnings Call

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir / Madam,

This is further to our intimation dated January 27, 2026 and in terms of the subject referred regulation, we hereby submit the transcript of the Earnings Call held on Monday, February 02, 2026 post declaration of the Unaudited (Standalone & Consolidated) Financial Results of the Company for the Quarter and Nine Months ended December 31, 2025.

The transcript of the said Earnings Call will be available on the website of the Company at <https://www.finolexpipes.com/>.

This is for your kind information and records.

Thanking you,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q3 FY '26 Earnings Conference Call "
February 02, 2026

MANAGEMENT : MR. UDIPT AGARWAL , MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED

MR. CHANDAN VERMA , CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES LIMITED

Finolex Industries Limited
February 02, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Industries Limited Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid from ICICI Securities. Thank you, and over to you, sir.

Arun Baid: Thank you, Shivam. Good afternoon, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q3 FY '26 post results con call of Finolex Industries. On the management side, we have Mr. Udipt Agarwal, Managing Director; and Mr. Chandan Verma, CFO.

Now I hand over the call to Mr. Agarwal for his remarks, post which the floor will be opened for Q&A. Over to you Mr. Agarwal.

Udipt Agarwal: Thank you, Arun. Ladies and gentlemen, good afternoon. Welcome to our investors conference call for quarter 3 of FY '26 and also for the 9 months ending financial year '26 earnings release. We thank you for your continued support and interest in the Finolex Industries. We give it -- coming over to some of the numbers for the quarter.

We see a little dip in our volume numbers for the quarter and also correspondingly for the 9 months ended for the current financial year, mainly on account of the monsoon season. However, our operating performance has seen a notable improvement during the same period, largely supported by softening of the raw material prices and also the operational efficiencies, which we have been pushing through the organization over a period of time.

Let me also take you through some of the performance indicators for the quarter, quarter 3 FY '26. So the numbers are like for this quarter, the volume decreased by about 14% to 73,500 metric tons against 85,767 metric tons in quarter 3 of last year. Our income from operations was at INR898 crores for this quarter, it is a 10% decrease against INR1,001 crores of quarter 3 FY '25. However, happy to note that EBITDA improved to INR123 crores against EBITDA of INR83 crores in quarter 3 of previous year. Correspondingly, PAT also has improved to INR110 crores against PAT of INR71 crores in quarter 3 of previous year.

For the 9 months ended December '25, overall, our volume is lower by about 6% to 230,965 metric tons against 245,729 metric tons for the 9 months ending of the previous financial year, that is financial year '25. Our income from operations was at INR2,800 crores, down about 6%, which is in line with the volume against INR2,970 crores for the 9 months ending FY '25. EBITDA improved to INR347 crores and this is an increase of about 15% against INR302 crores for the 9 months ending FY '25. Profit after tax also improved to INR926 crores compared to -- I mean, from the operations I'm talking about, but all in all, profit stood at INR326 crores compared to INR628 crores, which included last year, exceptional gain of INR407 crores for the 9 months ending FY '25.

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So operationally, we have improved significantly in our profitability. We continue to have a very strong balance sheet with a net cash surplus of around INR2,430 crores as on 31st December '25.

I think with this, we leave the floor to question and answers. And together with me is

Mr. Chandan Verma, our CFO, to answer the questions.

Chandan Verma: Good afternoon, all participants. A very warm welcome from Finolex Industries.

Moderator: Thank you very much. We will now begin with the question and answer session. The first question comes from the line of

Divyansh Thakur from Finterset Capital.

Divyansh Thakur: Sir, congratulations on a great set of numbers. So, what we have been saying for the past few months have been that everyone is saying that PVC prices should bottom out. So can you provide us some guidance on how the market has been behaving and when is it going to stabilize?

Udipt Agarwal: Yes. I mean all the commodities market have been affected by what is going on with respect to the geopolitical developments. And that also has an impact not only on the polymer prices, but

also on other commodities as well. So from that standpoint, we had our own share of volatility in the raw material prices and also on the prices of PVC.

During the quarter, we saw that the price is going very, very low. I think we have never seen these kind of prices in the recent past. The PVC prices had gone down to as low as in the range of \$600, depending on the region where it is coming from. However, the situation has improved a little bit. And we look into this quarter a little more positively. I hope that answers.

Divyansh Thakur: Yes, sir, that answers my question. Sir, can you also provide us with a visibility on what prices can we see going ahead or something like that?

Udip Agarwal: Nobody knows what is going to happen, but the prices in the month of December has started improving or towards end of December. As I said, last quarter, we saw prices going as low as \$650. And we see some 8%, 9% improvement in that. So they are more like \$650, \$660 range currently.

Moderator: The next question comes from the line of Utkarsh Nopany from Anand Rathi.

Utkarsh Nopany: My first question is again on the PVC resin side. So just wanted to know like given large PVC resin surplus capacity is there in China. So do you see any possibility of the resin prices going back to the historical range of around \$850 to \$900 per ton over the next, say, 12 to 18 -month period, sir?

Udip Agarwal: Yes, not only in China, but globally, there is a capacity quotient. And we also see in the recent past capacity adjustments, some of the Western companies announcing shutdowns of their plants. We see this kind of a trend in China also. But I think China also, there are 2 different technologies which operate, okay, and not everywhere, everything could be used.

We also heard the news that there is going to be a different tax structure or the incentive for exports in China. So that is also going to have an impact on the PVC resin prices from China, okay? So we will see how does it play out, but outlook is that probably PVC has bottomed out.

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Utkarsh Nopany: Okay. And sir, yesterday, in the budget, when we looked at the document, we saw that the government has reduced the import duty from 10% to 7.5% for Chapter Number 3904 and the PVC resin falls under Chapter Number 3904. So just wanted to confirm whether the import duty on PVC resin has gone down from 10% to 7.5%?

Chandan Verma: Utkarsh, we have also seen this announcement, but we are waiting for the fine print to come out. We still see that as regulatory stage. Let the fine print come out, then we'll have to be able to conclude whether actually we are getting impacted by the reduction in the PVC prices or not. We are waiting for the further in this regard.

Utkarsh Nopany: Now see, the PVC resin prices on a Y-o-Y basis in rupee terms, it has corrected by double-digit rate. But our pipe realization has improved quite a lot on a Y-o-Y basis for the past 2 consecutive quarters, which is not the case here. So, just only because of the only because of the change in the product mix? Or is it because of some other factor?

Udip Agarwal: I think it is a combination of different factors. One thing is that during this quarter, we had a higher share of non-agri segment, okay? So that also helped us to keep the prices a little bit

on

the higher side. So realization is also better. Second thing is we have been also careful on our pricing side. And I think, as you know, that we have always been saying that we are looking at also profitable growth, and this is what is the impact what we see.

Utkarsh Nopany: Okay. And sir, on the margin side, like the margin for the PVC resin producer or the plastic pipe company has been coming under pressure. But for us, it has actually improved over the past possible reason for that, sir, in a falling resin price environment?

Chandan Verma: So Utkarsh, if you know that we are a company which is having advantage of backward integrated plant for the PVC resin. Now of a total consumption of, say, 100 in a year, in a given period of time, roughly we get a share of 65% to 70% from the in-house manufacturing of the resin.

Now if the in-house manufacturing resin, we have a cost advantages in comparison to the other producers who are purchasing the PVC price directly from the market. So this -- having a backward integrated plant and in-house manufacturing of resin, we are having a certain cost advantages, that is getting reflected in our margin.

Utkarsh Nopany: No, sir. What I meant to say is that as per your presentation only, if we see the PVC/EDC delta or the PVC/VCM delta has gone down sharply in this December quarter on both Q-on-Q and Y-o-Y basis, okay? So how come our margin has improved, sir? That's my question, sir.

Chandan Verma: Yes. So see, if you see the PVC/EDC Delta that is also more or less an indicative number, which gives a direction in which the market moves on, number one. Number two, if you see the margin, as Mr. Udip just explained, the margin consists of 2 parts. One is the improvement in the realization; second, in the cost efficiency. So if you add both together, both has added in a favorable direction for us. That has resulted in the overall increase in the margin, EBITDA

So there is a 2-way benefit. One is the improved in the net realization that we are having. Number two, though there is a decline in PVC/EDC Delta, but that's actually not got converted while we actually negotiated in the market, th at advantage we're also having.

So in a way, both the way we're having the advantage from the sales realization side as well and as well as cost side both. This, too, has resulted in the overall improvement in the EBITDA for the quarter and YTD as well.

Utkarsh Nopany: Okay. Sir, lastly, sir, what would be our sales volume guidance for the current March quarter? And what would be the EBITDA margin guidance over the medium-term period, sir, for us?

That would be my last question?

Udip Agarwal: You know historically, the quarter 4 has been the quarter where the demand picks up. And this is true not only for us, but also for the industry. So we hope that the trend also continues this year, and we see a better volume number in quarter 4.

Utkarsh Nopany: And any growth we are looking at any range?

Udip Agarwal: As compared to the previous year for the full year, we will see more of a flattish to slight increase in the volume for the full year. This is what our expectation is. We'll see how the demand picks up and how the market behaves in the next 2 months.

Utkarsh Nopany: So what would be the EBITDA margin guidance on a sustainable basis for us?

Chandan Verma: We would like to continue the same margin. Let's see how things get unfold over the period of time. We would like to maintain our margin level.

Moderator: The next question comes from the line of Shravan Shah from Dolat C apital.

Shravan Shah: Sir, I have a couple of questions. Before that, just a couple of data points to get it right. So agri, non-agri share, CPVC share and fitting share for third quarter?

Chandan Verma: So agri, non-agri, currently, we are at the 62 -38 duri

ng current quarter.

Shravan Shah: 60?

Chandan Verma: 62% versus 38%. CPVC share is 8% in terms of volume. Fitting share, 12% in terms of volume.

Shravan Shah: Okay. Got it. And PVC /VCM spread for third quarter?

Chandan Verma: PVC/VCM spread for the third quarter, an average, \$156.

Shravan Shah: \$156?

Chandan Verma: \$156, yes.

Shravan Shah: Okay. \$156. Got it. So now, sir, coming to the main questions. So sir, as you just now said that we are looking at flattish to marginal growth for fourth quarter. That means in the last year, Q4 FY '25, we did close to INR102,000 plus kind of a volume. So if we want to have even flattish

also, we need a 39% kind of a Q-o-Q growth, which is a significant kind of INR30,000 extra that we need to sell in the fourth quarter. So in the January, did we have seen that kind of a growth? Just trying to understand?

Udip Agarwal: Shravan, good to meet you all virtually. I would like to say we would refrain from making any forward-looking statements here, but there is a good traction in the market as far as January is concerned.

Shravan Shah: So does that mean good traction that -- not the number, but was there a growth on Y-o-Y basis for us in January?

Chandan Verma: So Shravan, just we are about to wrap up the number, but things are looking positive in January month as well. So allow us to wrap up our number, then we'll be able to comment on that because January has just closed. So we are about to look at the number. But yes, overall, on a directional basis, as our MD has just communicated, we are looking somewhere around flattish to slightest growth on a full year basis.

Shravan Shah: Got it. So then from FY '27 onwards, broadly, if you can help us how one can look at the industry level growth? And for us, how can we expect kind of a 5%, 7% kind of a growth? Or are we looking at kind of 8%, 10% kind of a growth from FY '27 onwards?

Udip Agarwal: Shravan, we are just starting our budget planning for the next year. But overall, if we look at the industry and how the markets are behaving, I think having anything growth, which is double digit, I don't know if that would be something which I can comment on at this moment.

Shravan Shah: But is it fair to say can we see a 5%, at least plus kind of a growth for us and for industry? That's the broader thought process?

Udip Agarwal: I think our endeavor would be that we keep our market share.

Shravan Shah: Okay. And sir, just on the margin front. So last quarter also and this quarter, so if you can help us in terms of accounting entry, particularly, this change in inventory, particularly. So last quarter, it was INR172 crores and this time, INR168 crores. And that's why there is a significant improvement in the margin is there?

So try to understand me, so whatever the closing higher inventory, which was there in the Q2, similar was there in this quarter. And let's say, if this gets sold in the fourth quarter, so then one can expect kind of 8%, 9% kind of a margin?

Udip Agarwal: So if you see, Shravan, quarter 3, we have ended with an EBITDA margin of roughly around 14%, right? So on a yearly basis, 12%. So as we have replied to a previous question, we would like to maintain our 12% EBITDA, 12% around in that trajectory, our full year EBITDA margin as well. So this is number one.

Shravan Shah: But sir, still not able to understand, how come we have the similar kind of a higher closing inventory at the end of second quarter and the similar number, INR170-odd crores in the third quarter itself. So because that's the one which is actually have a significant delta on the margin.

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Udip Agarwal: Sorry, Shravan, you have to keep in mind though number more or less looks in terms of parity from our previous quarter. However, in

terms of volume, it is because price is always changing.

So if you compare the inventory changes, which is getting reflected in our quarterly results, in terms of volume, this is not always in parity.

So though coincidentally, numbers are looking quite similar in terms of the previous quarter.

But actually, if it is at a quantitative basis, the numbers are not similar. So Q2 always remain where we keep the higher inventory and Q3 is where, where the inventory starts getting liquidated. So that's how the industry works.

Shravan Shah: But that doesn't get reflected in the number. So correct me if I'm wrong, a simple basic math, I'm not able to understand. This minus INR168 crores, how this number comes, if we have the INR160 crores, does that mean that the closing inventory as on December is higher by INR168 crores versus Q2, and that's why it is resulting or something I'm missing?

Chandan Verma: Yes, yes. So it's basically a difference between the opening stock at the beginning of the quarter and the closing stock at the end of the quarter. So that is what this number gets reflected and in the inventory accounting standard requirement.

Shravan Shah: No. So then the question arises is similar, then why the closing inventory of 2Q did not get sold in the third quarter? And why we kept the similar kind of inventory?

Chandan Verma: Shravan, it's not like that. Q2 inventory because every company has a continuous production process. So inventory gets liquidated over the period of time. Then again, inventory gets built up.

And there are a lot of factors that we keep in play like what is the raw material availability, what kind of future forecast we are having, what kind of inventory level we will have to maintain. So there are multiple factors which keep playing around when do we see a particular inventory number at a particular point in time.

So you're saying that inventory has been remain whatever it remain in the Q2 end, it continued at the Q2 end, that is not exactly a correct statement because whatever inventory was there in the Q3, Q2 end that gets liquidated. And again, there is a build-up of inventory because of the production that has been taken place during the quarter.

Shravan Shah: Okay. And lastly, sir, what we heard, just correct me if I'm wrong, that from the 1st January till now, what we have seen is there is a INR7 hike in the PVC prices. So first, if it is yes or no?

And then if have we also seen the similar kind of pass on to the consumer levels?

Udip Agarwal: Yes, you are right. We have seen a price increase in the PVC prices there in India. And you know it ours is primarily a pass-through business. So quite a bit of it is past.

Shravan Shah: So at the channel level, have we started seeing a significant improvement at the inventory level, so which was kind of below average. So have the channel has kind of seen a normal level of inventory? Or still it is below the normal?

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Udip Agarwal: I think channel has started building up the inventory slowly, slowly in the month of January after the prices have started increasing because sentiment has changed, right? But I don't think so it is at a level where it should be. There is still room for improvement.

Shravan Shah: Okay. Okay. I have more questions, I will come up in queue.

Moderator: The next question comes from the line of Vipulkumar Shah from Sumangal Investments.

Vipulkumar Shah: Congratulations for a very good set of numbers. So my question is regarding the cash balance. So we have very modest capex every year, and we are building cash. So we are neither taking any big capex nor we are sharing it with shareholders through dividend or buyback or any other route. So what we are going to do with this cash?

Chandan Verma: So Vipul, as you are saying, yes, we have been seeing there is a quarter of increase in the cash

balances over the year. So last year, I think for the financial year '25-'26, roughly around INR100 crores to INR150 crores was the capex plan for the current year, '25-'26, basically.

So that is all the capex spending already on. And if you can recall, last year, we have declared a dividend of INR3.6 per share. So that was a huge dividend that we had declared last year.

We are waiting for the current year's number, then we'll have to take a call on that, number one.

Even saying that, yes, there will be still a sufficient balance of cash will remain. So this discussion is around. We are yet to conclude upon what to do with this cash over the period in time. So once something will be further out, then we'll be able to conclude upon.

Udip Agarwal: And a company of our size in this, I mean, we always keep looking at opportunities for the capex, and there are different discussions which happen at the Board level. And so we all are working under the direction of Board. And as soon as we have some more decisions around it, happy to communicate.

Vipulkumar Shah: This standard answer is given in every call, sir. Anyway, so what is the current PVC/EDC Delta as on today?

Chandan Verma: As on today, it's INR465 crores.

Vipulkumar Shah: INR465 crores?

Udip Agarwal: Yes.

Vipulkumar Shah: I'm sure, you said your CPVC volume was 12% of the overall volume, right?

Udip Agarwal: Volume, 8%.

Vipulkumar Shah: 8% CPVC?

Udip Agarwal: Yes.

Moderator: The next question comes from the line of Shravan Shah from Dolat Capital.

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Shravan Shah: Sir, last time we said that we are looking at 520,000 capacity, we are looking at 50,000, 80,000 kind of addition. So is it fair to say that by FY '27, we will be able to add this 20,000 to 80,000 kind of capacity? And if yes, how much capex that we need to do?

Udip Agarwal: Shravan, for us, the capacity addition is a continuous process. And as you know that in the last 1 year, we have increased our capacity and the discussions are on to increase the capacity further to support the growth, right? So this is an ongoing exercise. But typically, we end up doing a capex of between INR100 crores to INR200 crores year-on-year basis. So we'll continue to see that kind of a direction.

Shravan Shah: Okay. So roughly, one can say similar kind of 50,000 to maybe 70,000 kind of a yearly basis, one can look at if we find the demand is growing. But there also, we are not kind of confidently saying that we can see a double-digit kind of a growth. So that's what I'm wondering how one can look at?

Udip Agarwal: Yes, so you build capacities also with a little outlook of the demand, not only for over a short period, but also maybe over a horizon of 2 to 3 years because capacities also do not come up immediately. They also take their own time in coming up. So you always have excess capacity than what you can sell. And it is a continuous process. You keep evaluating, keep evaluating year-on-year.

Shravan Shah: Yes, got it. And given, let's say, if there is a INR7 price hike in PVC and let's assume that it remains constant until the March 31, though it is passing on to the customers. But given if we have the similar volume, but if we are selling at let's say previously INR100, now at INR107, so is it fair to assume that we will be having some operating leverage and then our margin should be better, but at the same time, we are seeing our margin for fourth quarter, we are looking at 12%. So yes, if you can clarify?

Chandan Verma: Yes. So as the PVC prices will show the upward trend, there will be definitely an advantage in terms of our operating margin, not only for us, but for the industry as well across the industry.

But if you will see the stress in the PVC prices, then the things will again go in a different direction. So more the PVC price level is stable,

the more the efficiency will be appearing in the numbers.

Shravan Shah: Okay. And before China, whatever the extra tax they are putting up for the export, particularly to, let's say, India, but this is applicable from, I think, from the 1st April onwards. So is there a possibility that before that, there will be some dumping will be happening and that may lead to

some rollback in the prices? Is that also a fair probability?

Udip Agarwal: I think that is one of the reasons that we see a price increase here in India with the lead time taken into consideration that expectation is that the prices would be sustaining here on.

Shravan Shah: Okay. Okay. So prices will sustain. So there will be a less probability that there will be a dumping from China before 1st April. And so it should not be impacting the prices. So more or less, the prices from here on should stay stable, if not increase further?

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Udip Agarwal: Yes. But I would like to always have a caveat here that we do not know what would be the reaction or how the producers in that country would look at their book account and the underutilization of their capacities. So I cannot say it with 100% certainty, but trend looks like that way.

Shravan Shah: Okay. Okay. Got it. And for us, the CPVC, the 8% share, so there also, we have continuously seen the double-digit growth?

Chandan Verma: Yes. Because CPVC, we are getting a good appreciation in volume, so that is going in a higher rate.

Shravan Shah: Okay. Okay. Okay. Got it. And then broadly, what is our long-term target, 50-50 agri, non-agri, so how do we see it structurally, let's say, by FY '27 on an average basis, if one has to see, can we see 3%, 3%, 4%, 4% kind of improvement there? Or how one can look at?

Chandan Verma: Shravan, though our overall ambition is also to increase our non-agri sales because there are a lot of variety factors that keeps into play. While though there is a great emphasis going on from our side to push our non-agri sales. So things will come unfolded over the period of time, but still difficult to comment what is the time horizon when we'll be able to get. But yes, our emphasis is already on to improve our share for the non-agri side.

Shravan Shah: Got it. And then broadly, for third quarter, the CPVC prices more or less has remained stable or still there was also some decline in the CPVC prices?

Chandan Verma: CPVC prices also go in tandem with the PVC prices, though there is no exactly in the same tandem, but yes, it's in sync with the prices of the PVC prices.

Moderator: The next question comes from the line of Sonali from Jefferies.

Sonali: Sorry, but I have to ask this question on margins yet again. So if I look at our gross margin from Q2 FY '25 to Q1 FY '26, our raw material cost to sales was somewhere between 65% to 70%?

Suddenly, over Q2 and Q3 FY '26, it has dropped to 57%?

So now if I look at the last 2 quarters, the volume growth has not been as great, and the PVC prices are also weakening also suggesting that the realizations are getting lower. So could you help us reconcile what exactly are we doing right? Or what has changed in the past 2 quarters, that our gross margin has suddenly improved by about 700 to 800 bps year-on-year?

Chandan Verma: Okay. Sonali. So if you see consider our structural business, roughly our 75% of total consumed raw material cost comes from the in-house and 25% comes from the outside procured. When I'm saying 75% on an average comes out from the in-house procurement, it consists of prices of imported raw material, which is though move in line with the PVC prices, but spread always remains the same.

So if the PVC prices, I'm giving one example, it goes by the 10 basis point, goes down by the 10 basis points, it is not always necessary that prices of EDC or ethylene will also go in the same

period in the same number.

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So it always keeps a lag sometimes and sometimes it remains. Like if I see a decline in the PVC prices of 10%, we have seen the decline in the EDC prices by 8% -- basis points. So in a way, so our raw material prices, if so long as it is not getting affected the way the PVC prices is getting affected, we are finding a cost advantage, number one.

Number two, though there is a declining in the overall PVC prices, we have improved our realization in terms of our structuring of prices in the market. That also gives us increase our realization.

So on an absolute basis, you can see from the outside world, yes, price of the PVC is declining from the -- realization, but we have improved our -- restructured our sales price on a net realization basis, that has given us a price advantage as well in the market. So these 2 factors both added in our favor, which is resulting in the better gross margin.

Sonali: Sir, if I may just extend this question. We do understand that PVC and EDC are not exactly correlated to each other as both are global commodities. But would you agree that whatever the

delta is, is captured in that one ratio of PVC to EDC spread. If I look even at that ratio, that ratio has come down from \$500 per MT in Q3 last year to \$449, which reflects the movement of both PVC and EDC.

So I'm just still trying to understand that if your realizations are lower, if your volume growth is not as great, plus we did add this new employee cost as per the new Labour Code, it's certainly a great surprise that the gross margins and the EBITDA margins are growing so well year-on-year. So just wanted to reconcile these bits?

Chandan Verma: Just to add Sonali, the employee benefit cost is not forming part of the gross margin. It is forming part of the EBITDA, not the gross margin.

Sonali: Yes, I was meaning the EBITDA only. But my main question is regarding the 840 bps jump in the gross margin?

Chandan Verma: Yes. So gross margin, as I just wanted to reiterate, the prices that you see in the PVC/EDC delta, that is more or less indicative. But when we go actually for commercial negotiation, the prices will definitely matter but there are a lot of factors, the quantity volume discount, the landed price headwinds and rupee dollar as well.

So, all these factors considering our landed cost of PVC sorry, EDC has seen a significant decline from last year's Q3 versus Q2, Q3 of the current year. That has resulted in the cost saving to us.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for closing comments. Thank you, and over to you, sir.

Udip Agarwal: Thank you, everybody, for participating in the call and asking the well-researched and deeper level questions. Hope to meet you next time in the conference call. Thank you. Have a good evening.

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Chandan Verma: Thank you all participating from the Finolex side and thank you very much for showing your continuous support for the Finolex. Thank you so much.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jun 2026

3rd June, 2026

To,
The Manager – Listing Department
National Stock Exchange of India Limited
5, Exchange Plaza ,
Bandra -Kurla Complex,
Bandra (East), Mumbai 400051
To,
The Manager – Listing Department
BSE Limited
Floor 25 , P.J.Towers ,
Dalal Street ,
Mumbai 400 001
Symbol : FINPIPE Scrip Code: 500940

Sub.: Transcript of the Earnings Call

Ref.: Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015 ("the Listing Regulations")

Dear Sir / Madam,

This is further to our intimation dated 20th May, 2026 and in terms of the subject referred regulation, we hereby submit the transcript of the Earnings Call held on Wednesday , 27th May, 2026, post declaration of the Audited (Standalone & Consolidated) Financial Results of the Company for the Quarter and Year ended 31st March , 2026.

The transcript of the said Earnings Call is available on the website of the Company at <https://www.finolexpipes.com/> .

This is for your kind information and records.

Thanking you,

For Finolex Industries Limited

Dakshinamurthy Iyer
Company Secretary & Compliance Officer
M. No.: A13004

Encl.: As above

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"Finolex Industries Limited
Q4 FY26 Earnings Conference Call "
May 27, 2026

MANAGEMENT : MR. UDIPT AGARWAL – MANAGING DIRECTOR –
FINOLEX INDUSTRIES LIMITED
MR. CHANDAN VERMA – CHIEF FINANCIAL OFFICER –
FINOLEX INDUSTRIES LIMITED

MODERATOR : MR. ARUN BAID – ICICI SECURITIES LIMITED

Finolex Industries Limited
May 27, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to the Finolex Industries Limited Q4 FY26 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Arun Baid from ICICI Securities Limited. Thank you, and over to you, sir.

Arun Baid: Thank you, Julius. Good afternoon, ladies and gentlemen. On behalf of ICICI Securities, I welcome you all to the Q4 FY26 Post Results ConCall of Finolex Industries. From the management side, we have Mr. Udipt Agarwal, Managing Director; and Mr. Chandan Verma, CFO.

Now I hand over the call to Mr. Udipt for his opening remarks, post which we'll open the floor for Q&A. Over to you, Udipt.

Udipt Agarwal: Thank you. Thanks, Arun, and good afternoon, ladies and gentlemen. Welcome to Finolex Industries Earnings Call for Quarter 4 and for the Full Financial Year 25 -26. We are very pleased to have you here today with us. Just a reminder to everyone that during the course of this call, there might be certain forward -looking statements based on our current view.

However, the actual results may differ. Coming back to our quarter 4 of FY26 performance. We had a 12% growth on year -on-year on the revenue and the revenue for the quarter 4 stood at INR1,314 crores as compared to the quarter 4 of FY25 of INR1,172 crores. EBITDA, we had a significant improvement. It nearly doubled to INR332 crores from INR171 crores in the previous year quarter.

And as a result, there is a margin improvement of 25%. Profit before tax rose 65% to INR334 crores from INR203 crores in quarter 4 of FY25. And correspondingly, this EBIT jump also from INR144 crores of Q4 FY25 to INR306 crores of Q4 FY26. During the course of the quarter, the volume were broadly flat for us. And this quarter, our volume was 101,77 2 tons versus 102,253 tons of the quarter 4 FY25.

Moving on to the full year '25 -'26 performance. We had a flat revenue of INR4,113 crores against FY25 of INR4,142 crores. The lower volumes which we had during the course of the year were offset by the better realizations. That's why we see the revenue broadly flat.

As we discussed in quarter 4 and has an impact on the full year performance also, our EBITDA was up 43% to INR679 crores. Our EBIT grew 55% to INR572 crores during the course of the year. The sales volumes for the full year stood at 332,736 metric tons against 347,982 metric tons in the previous year. We continue to have a very strong balance sheet with a net free cash of about INR2,563 crores.

I want to come back to one of the topics, which is impacting all of us, which is the Middle East conflict and what does it mean for us. As we all know, since the start of the conflict, there has
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been a major macroeconomic changes around the world, particularly in the downstream of oil, which is the petrochemical industry and PVC markets. So disruptions, which are also happening because large volume of oil flows through the Strait of Hormuz, this creates the bottleneck for the -- across the value -- polymer value chain. And it's not only the PVC, all other polymer prices also saw a significant increase during the course of the last couple of months. So while this led to higher prices, it means also a little better realizations for us.

So this is near -term positive for integrated producers like us, but the supply uncertainty and cost inflation remains a risk, but which we continue to monitor very, very closely. Also on the demand supply side

, if we talk about the PVC demand in India follows a very well -established seasonal pattern. Pre -monsoon, typically, we see uptick in demand because of the agricultural

demand going up ahead of the kharif season. And then the moderation starts during the monsoon, okay.

I think with this, I would like to conclude my opening remarks and would like to open the floor for questions and answers. Thank you.

Moderator: The first question is from the line of Sneha from Nuvama.

Sneha : Just a couple of questions from my end. Firstly, what could be the quantum of the inventory gain in this particular quarter?

Udip Agarwal: Chandan, do you want to take that?

Chandan Verma: Sneha, so we have -- as like the other PVC pipe producers, we have also the inventory gain during the quarter -- during the month of April, March when the prices have gone high. It ranges amount roughly around -- on an average, INR35 crores to INR40 crores around.

Sneha : Understood. My second question was related to your volume growth. What we were also hearing from the other plastic producers was there was a good amount of restocking, which took place because of which, of course, the volume was much higher. And of course, we are seeing consolidation. We saw good growth coming in from leaders as well. Why was our volume growth flattish for this particular quarter?

Chandan Verma: So Sneha, as you know, our -- roughly around 65% to 70% volume comes from the agri sector. And this time, we have seen that the agri demand is not taking uplift during Q4. So on an overall basis, though the quarter -on-quarter volume has remained flat, but we have seen a reduction in volume in agri and increase in volume in non -agri.

So overall, the volume has remained flat, but the dragging has mainly happened on account of agri volume not getting picked up because the farmers were quite -- they were also anticipating that the prices -- because of prices volatility, they have -- they were anticipating that there will be softening in the prices. And on that anticipation the volume has not picked up as it used to happen in the earlier quarter -- in the corresponding quarter of the last year.

Sneha : Our agri demand picked up in the month of April and May, how are we seeing the trend? Any guidance that you would like to give? And lastly, if I even adjust the INR50 crores EBITDA, I

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mean INR50 crores inventory gain, your EBITDA margin comes out to be significantly higher than what we've seen for the last 8, 9 quarters. How sustainable are these margins?

Chandan Verma: Sneha, as you know, we are also the -- we have the backward integration facility of PVC resin manufacturing. So there is always a fuel cost advantage that we enjoy. So based on that, our procurement planning that we have in place, so we have enjoyed certain benefit and that has given us the margin.

Overall, the kind of margin that we have -- you have seen during the current quarter is obviously certain at the higher side, but going to be -- going forward, it is going to moderate to some extent.

Sneha : Guidance?

Chandan Verma: Guidance, more or less, you can say lower -- double to low double digit around.

Sneha : Understood. And on the volume front, how -- agri part. How has the April and May month...

Chandan Verma: We lost you in between. Volume front?

Sneha : So the other question was that have you seen pickup in the month of April and May with respect to agri pipe volume? And any annual guidance with respect to volume growth?

Udip Agarwal: April was a little subdued month because the prices were pretty high in the month of March and prices started coming down. So really, in a falling market, it has a straight impact on the demand.

So April was pretty subdued, but we see a little better May.

Sneha : Got that, sir. And any guidance, sir, for the annual for FY27?

Udip Agarwal: There is so m

any things going around, both on the supply side and also on the demand side. But

I would say, structurally, I would look at GDP, one of the indicators of our growth and which also has several constituents to it. Agri is one of those. Construction industry is another. And how the government spend on the -- some of the growth drivers which government has said, for example, extending the Jal Jeevan Mission and how that allocation happening during the course of the year will define what kind of a demand growth we can see.

Moderator: The next question is from the line of Praneeth from SJ Investment.

Praneeth : I was just wondering in terms of the demand, how is it on the ground level? I understand that the Q4 was not so great because of the rapid price hike. But in terms of, let's say, consolidation in the market, especially in the agri space, how has it been in terms of competition and other things?

Udip Agarwal: Sorry, I could not completely understand your question. Can you come again?

Praneeth: Yes, am I audible right now?

Udip Agarwal: Yes.

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Praneeth: I was trying to -- I was asking, sir, in terms of competition overall in the agri space right now, how has it been? And how is the customer demand sentiment besides the Q4 rapid price spike, like is there any consolidation? And how is the overall market competition versus because some of our players are getting a little more aggressive on track. So just wondering what's happening on the ground.

Udip Agarwal: No. The story is different for everybody because the ratio or the dependence on the agri market is -- everybody is different. We have been predominantly in the agri side relatively stronger as compared to the non-agri side. And so the impact cannot exactly be like -to-like compared. But coming back to your question of what is going on, on the ground, as we said, April was a subdued month in terms of demand. May looks to be slightly better, yes. Also because of the agri demand, which has kind of come back a little bit ahead of the monsoons. And a lot will depend on what happens to the monsoon.

We already know that monsoons are kind of getting delayed this year, which was supposed to happen like nowadays, these days in Kerala, but got extended by another week or 10 days. So I hope that the -- in the month of -- as we move forward into the month of June, some part of the June, there is continued demand on the ground.

Praneeth: Understood, sir. I was just wondering in terms of, let's say, players like -- senior players like Jain Irrigation have also been gaining the market share. I was wondering has it been affecting us? Was it at the cost of us or at the other players?

Udip Agarwal: See Jain Irrigation plays in the micro irrigation market. So there is not a complete direct like -to-like comparison with us. So that's what I said in the beginning of my response to your question that everybody has a different positioning in the market and which market segment do they play.

Praneeth: Got it, sir. Just one last question. I understand that we're still very concentrated on the agri space side. Is there any strategy in terms of meaningfully shifting away from agri to, let's say, other products because we are still extremely highly regarded in agri space, but I'm pretty sure that the brands can also translate it to other segments. So what's the strategy for that?

Udip Agarwal: Yes. I mean we have been constantly pushing our -- trying to diversify our portfolio in terms of the market segments. So there's been slight improvement year-on-year. If you look at FY25, 67% was agri. And if we look at FY26, we are at about 63%.

So really, the non-agri segment share is also increasing in our portfolio. So yes, there is a gradual shift. And as we have been saying in the past in the previous calls also, there's a constant effort in this direction. And

our goal is to have a much more balanced business coming from the two distinct market segments.

Praneeth: So let's say, what is the ideal split the management want for the next 3 to 4 years? Is there any internally targeted metric?

Udip Agarwal: I would say more like ideal case for us would be more like 50-50 over the next 4 to 5 years.

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Praneeth: Got it, sir. And one last question regarding the market. I understand that you're still market leaders. So in terms of market shares, has there been any growth, especially with the market going down? Are you able to gain market share gains over the last year or the other sort of -- could you give some guidance on that?

Udip Agarwal: No, I don't think so. What we have been doing so far is trying to manage the market share and also looking at the margin growth. So our positioning is slightly different from what other players are doing in the market. And you see that clearly reflected in our numbers also.

Praneeth: Got it, sir. But could you explain the strategies that are going behind the margin growth? I understand you being more selective. So -- but in terms of how are we exactly growing the margins by maintaining our market share? Is it lesser credit terms or higher prices? Could you give some light on to that?

Udip Agarwal: So it's basically a continuous process. See, the margin improvement, there are a lot of things and a lot of dynamics into picture how we are procuring and how we are managing our margin. It's our procurement strategy at what time we were facing the market, at which point we are putting some schemes and discounts in the market. And at what point in time, which geography we are concentrating.

See, margin is not a result that we are seeing. It is not a result of a single factor. It's a combination of various factors that we keep -- that we -- that are at our constant radar. So that's how we try to protect the margin currently and going forward also the endeavor is on.

Praneeth: I understand that it's a very dynamic factor, and we are doing -- we are very competitive in that.

I was just wondering for this specific year and this specific quarter, what were the major contributing factors? I understand that it changes time to time depending on the market. I just want to...

Udip Agarwal: The results that you have seen, basically, it's a result of whatever the factors that I just described, it is a combination of all the factors. It's very difficult to pinpoint what is -- how the margin came on for a particular initiative. But yes, it's a combination of all these factors that you have seen.

Praneeth: Understood, sir. That's been very helpful. In terms of geographical....

Moderator: Sorry to interrupt you, Mr. Praneeth. Could you please rejoin the queue. The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Congrats on a good set of numbers. I have a couple of questions. Just, sir, can you share the agri you have shared the 63%. So for fourth quarter, it comes around 62%. What was the CPVC share in the volume and fitting share for fourth quarter and possible for fourth quarter of last year and maybe the full year FY25, '26, if you can share both CPVC share and the fitting share?

Udip Agarwal: Thanks, Shravan, for the question. And I think Chandan has the numbers handy with him.

Chandan Verma: So CPVC share on the overall portfolio, it comes out to be roughly around 7% to 8% during the current quarter. And last year, it was roughly around 6% to 7%. So it hovers around roughly

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around 6% to 7% and currently 7% to 8%. And on a year basis, year-on-year basis, this is the same. 7% to 8% range on overall volume.

Shravan Shah: Okay. And fitting share, sir?

Chandan Verma: So fitting share in total business is roughly around 90:10 is the

ratio that we maintain.

Shravan Shah: Sorry, sir, I didn't get. 12% is the fitting...

Chandan Verma: 90 to 10%. So 90% is the pipe and 10% is the fitting. That's what you wanted to understand, right?

Shravan Shah: Yes. So in the fourth quarter, the fitting was about 10% share.

Chandan Verma: Yes. Fourth quarter is 9%. And last year also, it was 9%. On a yearly basis, overall year basis, full year, the fitting share on overall volume is 11% and last year, it was 10%.

Shravan Shah: Okay. Got it. Now sir, first, I just wanted to again try to understand this EBITDA margin because this is the sharpest positive surprise that has come, whatever you have tried to answer, still not able to understand even if INR35 crores, INR40 crores, the inventory gain, if you adjust, it comes around 22% odd margin for fourth quarter.

And how -- so first, though you said that we are backward integrated, but still able to understand further more. And now, let's say, in the Q1, given the April, we have seen the significant PVC prices as dropping down and in May, maybe INR4-odd again, it has bounced back. So how one can look at this margin? And so do we still will see such a kind of a 10%, 10% kind of volatility in the EBITDA margin going forward also? How on a yearly basis, can we see it full year FY26 is 16.5%. Can we see 14% plus kind of a margin is doable on a sustain level or 16% plus is doable?

Chandan Verma: So Shravan, I just explained to another question a few minutes back. So on a yearly basis, we have a target to maintain our EBITDA margin on a mid - to lower double digits, roughly around that is our target. So we will continue...

Shravan Shah: Sorry, sir, lower double digit means a significant range. So just that's why I'm trying to understand.

Chandan Verma: Double digit -- so you can say sub -15 number.

Shravan Shah: Okay. Sub -15 number. Okay. But it should be -- originally, we were -- till last time, we were looking at 12% kind of sustainable. So now...

Udip Agarwal: That's what I'm saying sub -15 number with anywhere, it's very difficult to pinpoint at the so dynamic environment. So we are trying to keep -- maintain our margin sub -15% level, EBITDA margin...

Shravan Shah: Yes, yes. So we are talking on EBITDA margin. So in Q1 itself also, can we see the similar or still the number could be much higher in the Q1 also?

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Udip Agarwal: As Shravan, as I told you, our endeavor is to see margin on a year-on-year basis, full year basis. We'll try to maintain, but let's see how the quarter progresses. As you know, April is some subdued month we have faced everyone is aware. So let's see how the May and June goes, then we'll be able to comment upon. Yearly basis, we have a target to sub -15 level roughly somewhere around.

Shravan Shah: Okay. And on the volume growth front, so this year, obviously, on a yearly basis, 4.4% degrowth. But on the fourth quarter Q-o-Q sharp jump is there. So you have mentioned that the April was subdued, May was better. So how one can look at on a yearly basis, the volume growth.

But at the same time, wanted to understand in terms of what's our capacity and how we want to add because till last time, we were saying 50,000, 80,000 kind of 50,000, 80,000 ton capacity on a yearly basis will keep on adding?

Udip Agarwal: So Shravan, our total capacity at this moment is 5,20,000. So we have a sufficient headroom to grow still. So current year and I think more probably next year also, we'll be able to -- we'll be sufficient to close with the current volume, number one.

Number two, your second question -- one part of the question, how you are seeing your yearly target. So definitely, we are seeing targeting a growth number of roughly around higher single digit to double -- lower double digit. This growth we are targeting for the upcoming full year, not on a quarter-on-quarter basis, full year, we are targeting.

Shravan Shah: Got it. And then in terms of the -- then the capex would be INR100 crores to INR200 crores kind of a number and the cash because for last many, many times, we are saying that we will reward the shareholders, but timing is not clear. The Board will decide. So I'm still wondering when that time will come.

Chandan Verma: So, yes, you rightly said, we -- every year, we are going to incur the capex of roughly around INR100-odd crores every year. This is more on account of our maintenance capex that we'll keep doing. We'll be debottlenecking process is already on where your capacity extruder gets replaced with the higher capacity extruder going forward in time. That process already, we have also explained in our earlier call, that process is already on, number one.

So as you -- all the shareholders must be happy that last year also, we have declared a huge dividend of INR3.60 per share and this time also INR2.75 per share. Yes, we have huge cash balance in hand. But still, even our yesterday's discussion with the Board, still the decision regarding the remaining cash is yet to come. So we'll have to see. That time will tell.

Shravan Shah: Okay. And any specific reason, though the number is lower in terms of the finance cost for this quarter from third quarter, INR3 crores to INR7.8 crores. Any specific reason? And how -- at the same time, the other income from INR52-odd crores. So on the first 3 quarters, it was kind of INR55 crores, INR58 crores and then came to INR36 crores. So is it just -- just wanted to know the reason and how this...

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Chandan Verma: Other income largely consists of mark-to-market gain on the investment portfolio that we are having. So you have seen in March, there is a decline in market has gone for a lower trajectory.

So that's why the mark-to-market in game has come down, number one.

Number two, finance costs have gone up. So you see because of this geopolitical scenario, we have been planning to keep our inventory at the optimal level. So that resulted into the optimum purchase of procurement of material, number one. And that has got converted into over the period in time in borrowing. So that has resulted into certain higher cost.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: Praveen Sahay from PL Capital. My question is related to the capacity. So capacity of 520,000 what you had said. And if there is no expansion, is there a constant capacity has become a constant for a volume growth? Because if I look at last quarter and the utilization rate were very high of some 78%, 80% of the utilization. So is that a constraint for a growth for you right now?

Udip Agarwal: No. So capacity is not a constraint for the growth. As Mr. Chandan Verma mentioned in the response to one of the earlier questions is that there is a constant capex planning of INR125 crores to INR100 crores to INR200 crores, which we have been always saying. So this year also, we would be also spending a substantial amount into the capacity augmentation.

As you mentioned, the changing the lines from a lower capacity to the higher capacity. That also leads to the capacity expansion, I mean, having additional capacity available for production. So certainly, capacity availability is not a constraint for growth.

Praveen Sahay: Okay. Second question is related to the inventory because answering to the earlier question as well, you had highlighted that the inventory number has increased. So is that assumed that because there is a lot of volatility in the PVC resin prices, we had created an inventory of our RM for our future use?

Chandan Verma: Yes. So also, you need to -- it's a regular activity. So it's a regular activity where whenever we find the opportune time, so opportune time to procure the inventory at a suit

able prices, then

definitely we try to hold up -- take that inventory in our stock. So that is the strategy that we

have been following, and that is how you see the inventory level at 31st March. Current inventory level is also a result of that strategy that we are following.

Praveen Sahay: And because there is a lot of volatility from the March onwards, we have seen in the PVC resin prices. So at what level like those inventories has been built up is also -- just wanted to understand on that because if that is on the higher side, then we will -- then after there is a good correction in the prices also. So how you are comfortably built up your inventory actually?

Udip Agarwal: So Shravan, just to say, we have -- we are constantly keeping a watch. We understand that PVC market is too dynamic, and we will be holding higher inventories and that is going to be a dent on the future period. So keeping all these dynamics in mind, we have sufficient control over the inventory number that we are having. So I don't want to quote any number regarding how we are seeing this impact on the subsequent quarter. But yes, we are mindful of the thing that PVC prices can grow for any direction. So keeping that risk in mind, we have optimal level.

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Praveen Sahay: Okay. Another on the demand side because also you had mentioned and in the past, we had seen that the PVC resin prices always impacted the agri demand in the past. And still, if I look at some prices of a PVC resin is at an elevated level of nearly around INR87 -- INR85 to INR87 per kg.

So how in the May actually you are seeing the demand is coming back even after the higher prices? Is that still quite a softer or it's coming back strongly because the prices from INR115 now is down. So can you give some color? Because from last year of INR70, INR65, INR70, now we are at very high level of pricing. So how the agri demand is actually shaping up?

Udip Agarwal: Yes. So 2 parts of it, which you touched very rightly. I mean, so yes, if you compare it to the last year, the absolute value seems to be higher. But if you compare it to the high of March, it is significantly lower. I think it is 25%, 27% lower, okay?

So that is one of the factors when farmers or the agri demand is being considered. The other is that this is the season time, okay? So the inherent demand, which is there which is independent of the pricing. That is also there, okay? So combination of both these 2 factors.

Praveen Sahay: And some bookkeeping question, sir. How is the VCM, PVC spread for a quarter? And at this point, how is the PVC resin prices or the spread PVC/EDC spread right now, not the quarter, Q4, but right now?

Chandan Verma: So Q4 PVC/EDC spread was \$521. And Q4 average, average I'm talking and also PVC prices in the international market, it was average around \$793. And currently, we have seen a PVC/EDC spread -- PVC/EDC spread around \$543. And prices somewhere around \$900 -plus in international market, latest price.

Praveen Sahay: Okay. And VCM, sir? PVC VCM?

Chandan Verma: PVC/VCM spread is currently \$108. Currently, it is \$108. And last Q4 average is somewhere around \$179. \$179, \$180.

Moderator: The next question is from the line of Pujan Shah from Molecule Ventures.

Pujan Shah: Sir, my question pertains to the -- so first of all, I just want to get a sense on the government regulation side ...

Udip Agarwal: Sorry to interrupt you, but your voice is not very clear. Can you come closer to the mouth piece, mic, please.

Pujan Shah: Am I clear now, sir?

Udip Agarwal: Better, better.

Pujan Shah: Okay. Sir, my question pertains to the government regulation. So as an industry PVC, we have been struggling for 1.5 years and considering the demand scenario and we also -- industry has also filed the ADD, but it didn't implement it. While I just want to understand if we file

the ADD

again, do they keep -- do they understand the impact which has happened in the March that

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might decline the ADD purpose because at that point of time, the prices were at a high prices compared to the historical average. So can you give a sense, is that a possible way we should get an ADD or we might go for a shorter-term purposes like MIP, which might be helpful for a 6 months duration?

Udip Agarwal: I think on the ADD front, we all know, I mean, what happened. So -- and this is also -- there is a cooling period in between the 2 investigations, which needs to be there. Okay? So that's on ADD. I don't think right now there is a case for ADD per se.

But this is, again, very much one view of looking at it. The other topic which we talked about

other kind of protections which can be given to the industry. Certainly, MIP is one of those however short term it might be.

You also know that the government policy, government announced a 90 days period of new import duty on PVC resin starting April till 30th of June. So that is also giving probably rightfully so also to the -- a lot of medium and small enterprises, yes. And this is -- I'm talking about all polymers, not only for PVC, PVC is also among that. We know how is the structure of our pipe producing -- pipe producers here in India. And so that has impacted the large players like us, and that's how we also saw a sudden drop in the prices of PVC in the month of April. So government policy certainly has an impact on what happens on the business side. So -- but I think on a short-term basis, MIP could be a good option if the industry decides to move forward. And I think that is a separate topic, which CPMA, the Petrochemicals Manufacturers' Association is separately pursuing. We see ourselves as a leading pipe producer, and that remains our position as far as all these matters are concerned.

Pujan Shah: Got it, sir. And secondly, our revenue concentration is a bit on the higher side on the agri demand. And this year, we have been expecting that there is 8% less rainfall compared to the previous year. So how we have been planning to tackle that? Do you see some kind of degrowth in agri, which can offset in non-agri space? And how do we are planning to get strategies for this year to get our double-digit growth?

Udip Agarwal: So as we have been telling, see, there is a forecast of lower monsoon also that you have just said. And also, see, the prices of the demand of agri is always monsoon dependent. But as we have said in the earlier question, since our thrust is to put more and more emphasis on our non-agri sector. So there will be partly whatever the projection that we are going to have in the upcoming quarter is going to be any loss if we are going to incur in the agri sector, this time we'll compensate with the non-agri space.

Moderator: The next question is from the line of Vipul kumar from Sumangal Investment.

Vipulkumar: So you said this VCM delta was \$170 in last quarter. And right now, it is \$108. Have I understood it correctly?

Chandan Verma: Yes.
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Vipulkumar: So half of your capacity is VCM based. So this quarter, there would be a substantial pressure on profitability. Is that understanding correct?

Chandan Verma: Yes. To some extent, you are correct. But yes, the delta is currently, you are seeing the impact of current pricing. But yes, we are trying to -- we are -- our discussion is already on to have the proper VCM at the optimum prices. So that we are also trying to have the inventory.

Vipulkumar: No, no. But whatever you are getting at a market price, but if the spread is lower, naturally, your profitability will be affected. And half of your capacity is VCM based?

Chandan Verma: So you need to appreciate the point that you are seeing, the number you are saying at the point

in time. Let's see how the number goes over the period and over the quarter. So we have seen the 179 average has come down to 108. But at a certain point in time at the beginning of the quarter, it was also at the 180 or 190 level of the last quarter.

Vipulkumar: So average will be higher than is what you are trying to say, sir?

Chandan Verma: Yes. Okay.

Vipulkumar: Okay, okay. And why we are not seeing any substantial growth in volume contribution of CPVC and fittings because they have become stagnant over last certain years?

Udip Agarwal: No, but you'll have to see our fitting in fitting share in overall basis has gone up on a yearly basis. So last year, our fitting share in our total volume was 10%. It is a little up by 11-plus percent during the current year. So this is on an overall basis. And if you see the growth of fitting alone, the growth of fitting alone is somewhere around 9% to 10%. So that is -- our focus is there on the fitting.

Vipulkumar: Okay. So fitting will continue to grow at 9% to 10%. Is that understanding correct?

Chandan Verma: Yes. Yes...

Vipulkumar: Same applies to CPVC also?

Udip Agarwal: CPVC, in fact, you see, though we have the lower base of the CPVC, but CPVC are growing at a higher pace. It's roughly around 15% to 18% of -- sorry 8% to 9% of range.

Vipulkumar: No, no, would you repeat it was a little confusing.

Chandan Verma: So, we have a CPVC, we have a lower volume, lower base. So our growth of CPVC, fitting is higher again in CPVC fitting, our growth is higher. And overall CPVC portfolio is growing around 8% to 9%. CPVC portfolio as a whole. I think I have clarified your question if I'm...

Vipulkumar: Yes, sure. Yes, sir. And any plan to return the cash to the shareholders, sir?

Udip Agarwal: So I have just replied to this question. So this question is things will come from the Board and still the board couldn't give a guidance how to utilize this cash. So let's wait for the time. So

whatever the dividend that we have given, that is definitely out of the current accrual. But yes, the accumulated cash we have, the Board will give certain guidance.

Vipulkumar: So one final request to Mr. Chhabria, if you can convey our requests. It has been long since he has attended any call. And this question is asked every time. So at least for one call, if he can attend, it will be really helpful. Please convey our request to Mr. Chhabria.

Udip Agarwal: Yes, definitely, we'll convey your message.

Moderator: The next question is from the line of Anu Parakh from Anand Rathi.

Anu Parakh: Am I audible?

Udip Agarwal: Yes, we can hear you. Can you bit come closer to the mic, please?

Anu Parakh: Am I audible now?

Udip Agarwal: Yes, it's better now.

Anu Parakh: So I just -- so first question is what proportion of VCM quantity sourced from Middle East region and whether our PVC resin production is likely to get impacted in FY27 in case the geopolitical issue persists for the next, say, 3 to 6 months?

Udip Agarwal: Yes, Middle East has been the large supplier to India for VCM. So that has been -- there has been an impact. At the same time, coming to the next part of your question, will we see an impact for the full year? As you might already know that during the monsoon period, our jetty is not operational. So we do not run the VCM line during those periods.

So in any case, it remains closed. So for that period, 4 to 5 months period, we are not impacted because of this because structurally, we cannot bring in any VCM into our facilities, okay? Our efforts are on to shift our supply chains from Middle East to the other parts, particularly looking at Far East and Northeast Asia, where VCM is available.

And the good thing is that if we are now able to get competitively VCM. The PVC is available in Northeast Asia and also in U.S

. And it's only the 50% of the total imports in India come from

China and rest of it comes from other parts of the world into India. So there is already established PVC supply chain. So we don't see any impact on the PVC availability for the course of the year.

Anu Parakh: Okay. And sir, second question is the Finolex's average EBITDA margin has been in the range of 17.5% over the past 10 years. And since our share of non-agri pipe is also going to gradually go up. So this is going to enhance the margin profile of the company. Then sir, why are you guiding a conservative EBITDA margin at sub 15% level for FY27?

Chandan Verma: So we don't want to give any rosy picture at this moment because of the geopolitical scenario, the future is always see uncertainty. So that's why we are giving a conservative margin and let's try to deliver at a higher margin towards the year-end.

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Udip Agarwal: Yes. And this number is over long term, what you mentioned. And we are talking about a relatively shorter period of time, which would be greatly impacted by the volatility in the market. So that's why a little conservative estimate. But you are right. I mean we have been around that range, 15% to 17% over time.

Anu Parakh: Yes, sir, but we have clocked 17% in FY26, which was a difficult year.

Chandan Verma: It was a difficult year. But if you look at the full year, the quarter 4 was the major game changer. If you look at the first 9 months of the quarter -- sorry, pardon me, first 9 months of the year. And then the -- it's a different picture. It's the quarter 4, which has really changed.

Anu Parakh: And sir, the last question would be, what is the reason that all other listed plastic pipe companies are looking forward to geographically expand the manufacturing footprint and expand the product portfolio, but we are pursuing a different strategy and delivering weak volume growth compared to them. So don't you think that we should reevaluate a capital allocation policy so that we can at least maintain our market share in the pipe segment going forward.

Udip Agarwal: See, there are 2 parts of it. One is the cost to the customer. As long as that is competitive, customers will continue to buy. And with the increased better transport infrastructure available in the country, the distance are becoming shorter and shorter or I should say, the impact of the distance is becoming less and less.

Earlier, it was probably 5 years back, 7 years back, it would take probably 5 days from Ratnagiri to go to the material to the East of India. Now it reaches there on the third day. So that strategic advantage of being local, local is really diminishing. And that's the reason I think we think that if we are able to serve our customers all over India from our current production base, we would be able to also manage our cost better and also serve the customers within the reasonable amount

of time in terms of delivery.

Anu Parakh: But sir, our existing strategy seems to be not working. So why are we not thinking of changing it?

Udip Agarwal: You need to -- see, there are 2 things that we have to keep in mind. Like even if you move another capacity at some other location, it will be difficult to cater all the product and SKU on the single location, number one. Then the balance SKU, we need to source from the other locations where we have the presence. So definitely, again, it is going to create hindrances, number one.

Number two, as you know, we are currently largely agri -focused segment. And non -agri, we are going to increase our share over in time. So as the product portfolio of non -agri will go and if we will find a suitable opportunity, then definitely we'll look for the certain other geography at this moment. I think currently -- and particularly, the volume decline in the agri you have seen, basically, you see agri has always

a homogeneous growth trajectory. If it goes always in tandem with how the monsoon scenario works in the country, right?

So if there will be healthy monsoon, we'll see a sharp jump in the agri demand again. So see, this is something where no one has any control over that. So that's how we are seeing our

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business. And if we find an opportunity over the period in time, so then we'll have to look for the -- then we'll definitely relook our strategy to further decentralization.

Moderator: The next question is from the line of Mehul Shah from Nayan M Vala Securities Limited.

Mehul Shah: Sir, what is the utilization -- capital utilization for FY25 and FY26?

Chandan Verma: So currently, FY26, we have the utilization 67%. And last year, though, since our -- we have added a few capacity this year, Q1 of the current year. So last year, we had a higher utilization of 71%.

Mehul Shah: Sorry, sir?

Chandan Verma: So last year, we have ended with our capacity of 4,92,000. So based on that, our utilization was 71%. Current year, we have the capacity of 5,20,000. So based on that, our utilization is 67%.

Moderator: The next question is from the line of Praneet h from SJ Investment. The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah: Sir, broadly, if I have to look at the price difference and maybe ultimately the margin difference between the agri, non -agri for us, how one can look at...

Udip Agarwal: Shravan, so this number definitely margin, there is a gap in the agri and non -agri realization and margin growth, but we do not disclose in the public.

Shravan Shah: Okay. No, the point is -- I'm not asking a specific number, what's the price difference or the margin difference, but the range would be decently higher, let's say, on the margin front.

Udip Agarwal: Definitely, we have to see -- non-agri has a higher margin than the agri. That's what I can comment maximum here.

Shravan Shah: Yes. No. So the point is that given the significant -- even the previous participant was also trying because for last many, many times, we are not able to distribute the cash. So there are 2, 3 ways because this agri is always dependent on the monsoon. Nobody knows how this will pan out after 3, 5, 7 years.

So if you want to have a build a brand. So obviously, we need to have a higher share in the non -agri. That's what even we are trying. But the pace is on the lower side. So how -- as a company, given that we have the cash, why can't we have a more team, maybe the different manufacturing setup at 2, 3 places because with this INR2,600 crores kind of a cash, we can definitely add at 2, 3 places easily.

So -- and then keep on increasing both in the CPVC and the fittings, even fitting capacity is also very less for us there. So these are the 4 to 5 ways in terms of the project level also, we can keep on increasing our share. So that becomes -- it is kind of a recurring kind of a demand for us and also at a higher margin, higher realization, we can have a better brand. So that's the way of understanding.

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Udip Agarwal: Yes, Shravan, thanks for the multipronged approach and the discussion which you want to get into. First is our penetration in the market. So as you know, historically, agri is predominantly for us the West and South. But non -agri, we are expanding rapidly into other regions as well, okay? So we have the required number of sales people, which we need in other parts as well. As you know that this is also which you touched upon in your question is also the project

business. So there is a life cycle to that. And so we have to live with that. So that's the structure that you need to get the product specified and as the construction progresses, the demand starts flowing.

And most of our business is through channels.

I. And so it would be hard to say for which project,

how much have we supplied. But yes, this is one of the -- non-agri is one of the areas where we see that we have to balance our portfolio, and this is what we also mentioned in the beginning of the call that we are looking at over time for a balanced portfolio between agri and non-agri.

Some of the topics which you touched upon having a diversified or a multi-locational manufacturing footprint. I think we touched upon that earlier. Mr. Chandan Verma has been able to give a very elaborate explanation to that why we adopt a particular strategy. And -- but yes, the opportunity is greater in non-agri. That's where our focus also has been.

Shravan Shah: Yes. But just the pace of effort and the outcome or the result is yet to be seen. So that's what the investor wants. And given the kind of cash we have, so that's the only request, suggestion, feedback, whatever.

Udip Agarwal: Thank you.

Moderator: Thank you. Ladies and gentlemen, we take this as a last question. I now hand the conference over to the management for the closing comments.

Udip Agarwal: Thank you all who participated in our call. I must say that the questions which were asked by you are very, very pertinent. And I must say they are very well researched also. And we'll continue to put in our best efforts as a company to meet the expectations of the shareholders and the investors. I hope to see you next time for our quarter 1 FY27 conference call. Thank you.

Thank you for your continued interest in Finolex Industries.

Chandan Verma: Thank you so much for -- to all the participants and showing your continuous interest and belief in the strength that Finolex is having. We are delighted to see your questions and insight that you bring in the investors call, and we will keep to -- your expectation to the extent it is possible.

Thank you so much to all of you.

Moderator: Thank you, sir. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us. You may now disconnect your lines.